

Lodha Developers (LODHA)

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Call: Aug 2022

LODHA
BUILDING A BETTER LIFE
August 1, 2022
The Listing Dept.,
BSE Limited
Corporate Relationship Department
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai- 400001
Scrip Code: 543287 Scrip ID: LODHA

Dear Sir,

Sub: Q1 FY23 - Earnings Call Transcript The Listing Dept.

National Stock Exchange of India Limited

Exchange Plaza, C-1, Block G

Bandra Kurla Complex

Bandra (E), Mumbai — 400 051

Trading Symbol : LODHA

Debt Segment - DB - LDPL23

We are enclosing herewith a copy of the transcript of the Company's Q1 FY23 earnings conference call held on July 26, 2022. The transcript is also being uploaded on the Company's website i.e.

www.lodhagroup.in under the Investors section.

This is for the information of your members and all concerned.

Thanking you,

Yours truly,

For Macrotech Developers Limited

eo =

Sanjyot Rangnekar

Company Secretary & Compliance Officer

Membership No F4154

Encl: As above

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"Macrotech Developers Limited

Q1 FY 23 Earnings Conference Call"

July 26, 2022

MANAGEMENT : M R. ABHISHEK LODHA - MANAGING DIRECTOR
AND CEO, MACROTECH DEVELOPERS LIMITED
MR. SUSHIL KUMAR MODI - CFO, MACROTECH
DEVELOPERS LIMITED
MR. TIKAM JAIN - CEO PUNE , MACROTECH
DEVELOPERS LIMITED
MR. ANAND KUMAR - HEAD IR, MACROTECH
DEVELOPERS LIMITED
MODERATOR: M R. BIPLAB DEBBARMA - ANTIQUE STOCK
BROKING LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY23 Earnings Conference Call of Macrotech Developers Limited hosted by Antique Stock Broking. As a reminder, all participants' lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchstone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Biplob Debbarma from Antique Limited. Thank you and over to you, sir.

Biplob Debbarma: Thank you Jacob. Good afternoon, everyone and welcome to the Q1 FY23 earnings call of Macrotech Developers Limited hosted by Antique Stock Broking. Today we have with us, the management of Macrotech Developers represented by Mr. Abhishek Lodha, Managing Director and CEO, Mr. Sushil Kumar Modi, CFO, Tikam Jain, CEO Pune and Mr. Anand Kumar, Head IR. Without further ado, let me hand over the call to Mr. Lodha. Over to you, sir.

Abhishek Lodha: Thank you, Biplob. Good afternoon, everybody. Thank you for joining us once again for our earnings call. I hope all of you, your families and loved ones are well. To start, let me speak a little bit about the broader macroeconomic situation, both globally, as well as in India. The first quarter of the year, continue to present significant challenges as geopolitical conflict continue to drive oil prices up, which poses the biggest danger to India's resilient economy. Events over the last few quarters have resulted in inflation surging to high levels for almost all economies around the world, causing central banks to be in a race to raise interest rates.

As fears of high inflation resulting in sharply rising interest rates started giving way to fears of r

ecession in the US and a sharp slowdown elsewhere. Most of the commodities have given up significant gains, but oil prices still remain higher than they were in January. The situation continues to have various risks and unpredictability ahead of it. For the housing sector specifically the two largest economies, China and the US face problems of different natures, with similar outcomes of impact on the housing market. The USA saw sharp increase in mortgage rates and re finance rates resulting in housing activity slowing down while the various problems in the Chinese real estate market threaten to result in a very significant impact on its economy.

You will however appreciate that housing is a very local market and the Indian housing market did not benefit from the significant boom that the rest of the world experienced between 2015 and 2020. We are now at the start of a very different cycle in India, and we have highlighted the drivers in our previous calls where we believe that the housing market in India is at the start of a long sustainable up cycle for a significant period of time, as long as 10 to 15 years. And that is reflected in our results over the last few quarters.

In India in the last quarter, like the rest of the world, the RBI raised interest rates sharply, but the increased mortgage rates to a certain impact have had a very limited impact on the EMIs for the borrower. EMI is being the monthly mortgage payments. As a matter of fact, Lodha brought in a program where our purchasers have a fixed interest rate of 6.99% for the next two years, which helps in significantly cushioning the impact for a middle-class housing buyer, especially in affordable and mid income housing, which are significant drivers of growth in India and specifically for us. And this will have no significant impact on our operating metrics as it is increasing raw material costs to have little impact on our overall costs and thankfully input prices like steel have already started reducing over this last quarter. And inflation has started moderating in terms of construction costs. To a great extent the increase in cost is taken care of by the modest increase in house prices, which we aspire to keep below the salary growth levels in order to ensure that affordability remains high and increases further and that in turn increases volume. Thus inflation in turn might be creating a positive cycle for us as waiting buyers see the increase in modest increase in prices and start buying homes at an earlier point. The strong drivers of housing growth cycle, as we have explained, enable us to maintain great momentum during the quarter. And we

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Page 3 of 12 have been able to deliver 75% of our targeted growth guidance for the entire year in the first quarter itself. We remain very confident about achieving our targets for the year. Collections remained on track and strong cash flows enabled us to reduce debt by just

under INR 500 crore.

We continue to focus on reducing our net debt to around INR 6,000 crore by the end of this fiscal, we continued with our asset light model of growth through the JDA route adding three new projects, worth GDV of INR 6,200 crore, which puts us well on track to achieve our guidance for the full year of adding projects worth INR 15,000 crore of GDV. We launched about 2.7 million square feet in the first quarter, and we expect to further launch about 8.5 million square feet for the rest of the year, which will give a strong pipeline for the coming fiscals too.

The potential to sign more new JDA projects continues to show great potential. And we will continue to follow the asset light high return JDA model over the next 12 to 18 months in order to increase our ROEs and enable

us to grow into the geographic

locations where we currently don't have presence while simultaneously keeping our debt at a very conservative level and meeting the guidance that we have given, which is to keep our debt at or below one year, our net debt at or below one year of operating cash flow.

Our digital infrastructure business continues to demonstrate the potential of creating significant recurring annuity income. As you are aware, we have already repaid a vast majority of the debt taken for our UK business, partially pre-paid the USD bond and the rest should also be paid very soon well ahead of maturity. Repatriation of the surplus back to India should be starting within this fiscal itself, bringing an end to the investment that we have made outside India and enabling us to fully focus on the growth within India, which we are extremely excited about.

I also want to highlight two important developments that happened during this quarter.

As I mentioned in the last call, we were evaluating entry into the Bengaluru housing market and has progressed the decision to either enter or stop this investigation, during the course of this quarter. After careful evaluation of lasting almost nine months, we have decided to enter the Bengaluru housing market and have signed our first JDA on the same lines as we have done in Mumbai and Pune with attractive return profiles and strong cash flows.

The attractiveness of the Bengaluru market was well highlighted in the release, we made at the time of the entry and we will continue to provide updates on this in due course, including an introduction to the CEO of the business over the next couple of quarters. The Bengaluru market, I reiterate, does not alter the elements of our guidance for the fiscal '22 fiscal '23 in any manner. And we continue to focus on meeting and keeping our net debt at or below one-time operating cash flow. Secondly, with full confidence that our cash flows are sufficient to meet our debt guidance, we have updated our dividend policy from this fiscal and expect to start distributing our dividend for the fiscal year '23. This is a reflection of the strong underlying cash flow generation of the company, and will enable our shareholders to be rewarded, not just by appreciation in the value of the share price, but also by recurring cash flow, coming from the operations of the company.

And finally, as we have done in previous conference calls, we would like to continue introducing our management team to you so that you can assess the great depth of management skill that we have in the company, which is underlying and underpins the strong growth as a performance as well as future potential of the company. Today, we are going to have Mr. Tikam Jain, who has been with the company for more than 15 years earlier as Head of our Procurement Function. And over the last year, he has taken on the important responsibility as CEO of growing the business in the Pune region.

I now request Mr. Tikam Jain to join the call and thereafter, Sushil Modi our CFO and myself are available to answer any questions that you may have. Mr. Jain, over to you.

Tikam Jain: Thank you, Abhishekji and welcome to all the participants. I've taken over charge of CEO last year and my tenure in the company is more than 17 years. It is a challenging

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Page 4 of 12 job I've taken, and I'm very confident that I will see that the Pune market grow very well. Our presence in Pune is more than a decade through our one of the Belmondo project, which is giving us the revenue of INR 250 crore to INR 300 crore every year. In the expansion we have entered joint development at NIBM Road where we named this project as a Lodha Bella Vita, which is around 1.6

million square feet. And where

we have the typology of 2BHK, 3BHK, 3BHK with study, 4BHK. Sales has been very nice, in last 10 months, we could achieve INR 450 crore of sales and which is more than the 60% of the launched inventory.

We have also increased the selling price in this last quarter, 3% to 5%. And we have another JDA, which is in the Hinjewadi, which is the GDV having around INR 2,600 crore and we have a 75% share. So based on the encouragement from the NIBM, lot of landowners are approaching us and they want to do the joint ventures. We are also very aggressive and hopefully, we'll enter into some of the JDAs this year only. For executing a good business we require a good team also, we could be able to achieve, a formation of the good team over there.

We have reached around 200 people where proper CEO, COO, Strategy Head, Sales Head, Marketing Head and BD person is also there. Pune real estate market is INR 35,000 crore to INR 40,000 crore. And right now, we are at 3% to 5% of the Pune market. And we aspire for more than 10% market in coming two to three years. So we are very aggressive in Pune, very enthusiastic for the Pune market. We want to cover the all micro market as a strategy. We want to have our presence in all the market whether it is North, East, South, West.

So the ultimate goal is to achieve the 15% to 20% real estate market of Pune. I hope we will achieve this; we have achieved a lot in past and hopefully in Pune we will definitely achieve it. Thank you.

Abhishek Lodha: With this potentially we can get into the Q&A. We will be very happy to take the questions that you would have or any clarifications that you might be desiring around our performance.

Moderator: We will now begin the question-and-answer session. The first question is from the line of Kunal Tayal with Bank of America. You may proceed.

Kunal Tayal: Abhishek my first question is, it's great to see enhanced launch plans for fiscal '23, but given that your bookings outlook is unchanged, does it mean that you are anticipating a lower conversion here or is there a different dynamic out there?

Abhishek Lodha: Kunal good question. I think, as you're aware, the overall launch pipeline is also reflected from a function. It also reflects in sales, depending on the timeline of the launch, given the overall outlook for launches this year, we believe that this launch pipeline will contribute to the sales outlook for fiscal '24. For fiscal '23 we believe that the launch pipeline should lead to a similar level of sales as we have guided to. We do not and have not seen any reduction in conversion rates. It just is a matter of the timing of the various quarters and when these launches will come to do better.

Kunal Tayal: Got that. My second question is around the dividend policy, obviously, great to see something formalized here. But you know, just curious that given we are also headed into maybe a softer environment on the macro, what were the puts and takes between choosing for a dividend policy as against letting cash accruing books?

Abhishek Lodha: Kunal I'm sure you're aware the company's underlying, operating cash flow generation, is quite strong. We'll be generating somewhere close to INR 6,000 crore of operating cash, this fiscal and a consequently, we expect our net debt to be down to approximately INR 6,000 crore also by the end of this fiscal. In that context this year, if you look at the utilization of INR 6,000 crore, we will be using almost INR 3000 crore for debt reduction while the balance being used towards, growth as well as interest payments.

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Page 5 of 12 Now, if you look at it for the next fiscal, we are guiding to a situation of 15% to 20%, of

the PAT, being used for dividend distribution, which number will be given where we are for fiscal '23, somewhere between INR 250 crore and INR 300 crore of dividend distribution quantum for fiscal '23.

So given the fact that we are not looking at any significant, further reduction in debt at that point in time, the dividend distribution is an indication of the company's belief of the strength in our operating cash flows. And yet you will notice that even if we were to maintain a modest to increase in operating cash flow for fiscal '24, the surplus available for after growth and interest payments will be very, very substantial. And there will be significant amounts of cash accruing to the books of the company after the pay out of the dividends.

Sushil Kumar Modi: So Kunal, just to add, nonetheless point being taken that this is a subject that one would keep revisiting from time to time. So and the growth at that point definitely will be kept as a precedence. So depending upon the environment, if the need be then to that extent in any case, dividend percentage can be suitably, will be deliberated at the board and basis the board guidance, whatever kind of board feels taking into on both micro & macro environment, one would judiciously get to the final number that we decide to distribute.

Moderator: The next question is from the line of Pritesh Sheth from Motilal Oswal. Please go

ahead.

Pritesh Sheth: Congrats on the set of numbers, first, just a follow up on dividend again, my view is little different I mean, INR 250 crore, INR 300 crore potentially this year, and maybe two, three years down the line with this 15%, 20% of consolidated PAT, cap that we have right now, we would be at around INR 500 crore. And I think the visibility of cash flows that we have wouldn't the dividend, would have been more than, what we have guided for, what we are capping it for?

Abhishek Lodha: Pritesh, this one, there is no right or wrong answer to, I think from the company's perspective, the intent is to showcase the fact that the company's operating cash flow is now at a point and its capital structure and debt equity positions are at a point where we feel very comfortable. The company growth plans, which we have augmented significantly, as you have seen over the last four, five quarters are well supported by the operating cash flow of the company. And therefore, now we are in a position where the company shareholders will be, can be rewarded through regular distribution of dividend. As Sushil mentioned, all factors, macroeconomic performance, et cetera, are always going to be taken into account by the Board. As we look at the dividend distribution, as you would have noticed the company prefers to be modest and conservative in terms of its outlook and guidance.

And therefore we believe the 15% to 20% range on the dividend distribution is the right, metric to be considering at this stage the Board has taken that view after a lot of deliberation, and obviously we will be open to, you know, not only reviewing it from the perspective of the macroeconomic, as well as our performance factors, but over two, three years, we will of course, take into account how the business of the company evolves and what else we can do to make sure that shareholders are having the best utilization of the capital that their company is generating.

Pritesh Sheth: Absolutely. I mean, that's what I wanted to know, whether there's a scope of revision in this 15% to 20% and you have answered that. My second question, since Mr. Tikam is here, on Pune, so I think we have started this exercise of JD addition since last 15 months. And we have progressed particularly well in our core market, which is Mumbai, but not so in Pune, we have had a couple of project additions, obviously. That's good. But how is the visibility from here on, in terms of project additions? And what

are the, you know to start with, what are the core markets that we are looking at? Probably what we understand from here is, Western Pune market, which is Pimpri-Chinchwad belt and which also includes Hinjewadi where we have had our first project addition, is kind of picking up well, both in terms of demand and supply that is coming
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Page 6 of 12 in. But what's the outlook on the other micro markets in Pune and our potential of adding projects in those markets?

Tikam Jain: So, as I told you, in my introduction that we want to cover the entire Pune, not as a particular market. So, we are looking for spread in to all the areas of Pune where we can create a lot of inventory in all the areas, That is the whole strategy, basically.

Abhishek Lodha: So I think, the point being that as you know, Pritesh, our strategy is more micro market focused. So thereby meaning we are looking into all the markets in parallel in tandem and kind of trying to consummate the transactions one after another. Obviously, as you would appreciate, this is a journey and it'll take its own time, but just seeing what we have achieved in last six, seven months, potentially you would appreciate that this is pretty significant because in last 10 months we got to, the new project itself has given us the sales of as Tikam clearly indicated initially, around INR 450 odd crore. So that means the Pune market itself potentially may contribute to our overall top line pre-sales kind of 10% plus in this year itself with hopefully our some of further launches around the new tie up that we and one being, as you know, we have announced with this quarterly results itself in Hinjewadi.

Sushil Kumar Modi: And if I may add to that, our strategy in any market is first driven by the focus on generating good profitability and good ROEs. And we are always balancing that with the desire to grow and therefore what we expect, what you expect from us in any new market is steady growth focused on profitability, focused on ROE and in Pune, our trajectory is exactly that the growth is coming, the partnership performance, the partners want to see execution. The partners want to see how, we deal with the JDA partners and that in turn creates momentum and positivity. You will see over the next three quarters, four quarters that, Pune market will also start, showing good, good business development i.e. land JDA partnership projects coming through, but always our focus being on gradual growth, which is profitable as well as good on our ways.

Pritesh Sheth: Sure. Got it. And one last question on, INR 300 crore of digital infrastructure sale that

we had in this quarter, what are the contours to it? I mean, is the 110-acre Palava land that we transferred to the platform also part of that sale?

Abhishek Lodha: Sushil do you want to take that?

Sushil Kumar Modi: Yes, the dominant part of that sale is, what has been put into this platform, which is effectively the, our contribution to the platform also gets taken care beyond the cash flow that we generate. So obviously our share being one third, so two third becomes the incremental cash flow in the process.

Pritesh Sheth: Got it. So 110 acre, we need to take two third of the share into our consideration, right that's how we will look at it?

Abhishek Lodha: Yes. The approximate consideration. Sorry will be a 100%, and against that we would have our share of investment that goes as an outgo because from a bookings end point it's 100% gets realized first.

Pritesh Sheth: Okay. I was actually particularly concerned about, the value that, we have had, I mean, for 110 acres to close to INR 300 crore of sales. So realizations are somewhere around INR 3 crore per acre, and

we were already at around INR 4 crore per acre. So is my math right or there's some difference to it?

Sushil Kumar Modi: No that is not incorrect. The land value at which the land has been sold to the platform is approximately about INR 3 crore an acre. So total consideration is a little north of INR 300 crore somewhere close to INR 350 crore. And the fact is that as the, we have a very variety of different users and mixes that we use for the land in Palava. We have looked at, we have used land for this large-scale platforms, which we have done with Morgan Stanley, earlier with ESR, and now with Bain Capital and Ivanhoe Cambridge. We do land, which is sold to direct users, which we have done with various operators. And then we have, land which is sold to players who are actually bringing in different kinds of asset classes like training, like a bank has set up a training center, a pharma Macrotech Developers Limited
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Page 7 of 12 company is setting up its R&D unit, a hospital chain is setting up a large-scale hospital and so on. So depending on the size of the transaction, the pricing can move north or south. And also depending on the restriction on use, because we also put restrictions on the use in order to encourage diversity of economic activity, at Palava. And so the land values are linked to both these factors.

On average, the land value realization continues to be north of INR 4 crore an acre when you look it for the full fiscal this quarter, obviously because there was a single large transaction in the industrial and logistics park category of user, the average realization is slightly lower, but generally we are north of INR 4 crore.

Moderator: The next question is from the line of Sameer Baisiwal with Morgan Stanley. Please go ahead.

Sameer Baisiwal: Sir the first question is what's the total repatriation potential from London?

Abhishek Lodha: Sameer, as we have guided, in the past that amount will be approximately in the range of INR 1500 crore of total repatriation from the UK back to India, partly in fiscal '23 and partly in fiscal '24.

Sameer Baisiwal: And the second question is, over the last few months, a lot of companies have reported or projects have reported strong sales in South Central Mumbai. So I just wanted to check, how do you think park and world towers are doing, and the outlook on these?

Abhishek Lodha: Sameer, I'll request, Sushil to share the detailed performance. But we continue to see that our market share in South Central Mumbai continues to remain very strong.

Generally the demand is more focused on projects, which are high quality and given Lodha's projects and the delivery that we have done. And if you have visited, some of the others on the call have visited clearly, both park and world towers are the most sought-after projects when it comes to that price ticket, the price bucket of INR 5 crore to INR 10 crore in South and Central Mumbai.

And we continue to see very good, both walk-ins as well as conversion levels, in the projects. And as we move forward, we continue to see the South-Central Mumbai is a good market when it comes to sales momentum. Sushil would you like to add.

Sushil Kumar Modi: So in the park Sameer, we recorded new sales of a round INR 300 odd crore in this quarter and the world tower, the new sales were in the handle of around INR 200 odd crore. So kind of pretty much in line with what we were seeing the last year, last financial year. So I think the strength of both the projects continues to be appreciated and continuously seeing the momentum.

Sameer Baisiwal: And what's the expectation that your quarterly sale would be say INR 500 crore per quarter or is it going to be any different?

Abhishek Lodha: Sameer

r we will have to take into account the seasonality, as you well know, real estate sales are quite tilted towards the second half of the year. And especially in South Central Mumbai, the first half gets affected by vacations as well as then there is a Shraddh period which comes in late September. So we expect that the first quarter is generally I would say from a ranking of performance, it's the third, is the third best quarter of the year, with Q2 being the worst quarter of the year. So we expect that, sales momentum in South Central Mumbai will only increase and we are surpassing our last year sales performance for South Central Mumbai in this fiscal.

Sameer Baisiwala: And the final question I have is the cashflow from operations. So is it fair to say that, right now we are getting a pretty good helping hand from the finished inventory, but as you go forward, next few quarters ahead, our collections will drop, I mean, as a percentage of presales and the construction costs will go up. So Sushil your thoughts on how would cash from operations pan out going forward.

Sushil Kumar Modi: I mean, we for the full year guided to cash flow from operations of about INR 6,000 crore of which INR 1,350 crore were generated in Q1, we are of the view that the cycle on construction, as well as cash inflow has been well seen in our company over the last

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Page 8 of 12 seven, eight years. And you will notice on a consistent basis that our collections tend to be in line, with our sales or often slightly higher than the sales number that we report also. So we see no drop in that ratio of collections to sale. There may be quarterly variations, but generally there is not going to be any change in that ratio that we are collecting compared to the sales that we have.

And therefore you notice that this quarter, in spite of adding INR 6,200 crore of new GDV, our debt has gone down by about INR 450 crore, which is really a reflection of A) the strength of the operating cash flow and B) the ability of the company to utilize the cash flow, both for debt reduction, as well as for growth. So we maintain our full year guidance of generating approximately INR 6,000 crore of operating cash.

Sameer Baisiwala: My question was actually going beyond fiscal '23, because you will continue to get the benefit of finished inventory on your book for some time. So I'm just looking out say two to three years that, you are right now in a bit of a sweet spot is all that I just want to check out?

Sushil Kumar Modi: Sameer, I guess, we are happy to share with you our operating cash projections for the medium term also, which is beyond fiscal '23. We do believe that ours is a cycle, as you will notice, we are sitting on INR 7,000 crore, INR 8,000 crore, INR 9,000 crore of ready inventory even today. And that number, we keep selling that down and it keeps getting added because our construction at various projects is at various stages. So we believe it isn't, given the scale of our operations and the quantum of throughput that we produce. I'm sure you'll notice that we deliver just over close to 12,000 units, this fiscal. So with that kind of scale of operations, it isn't that any one building or any one project, leads to an outsized impact on the operating cash flow, at any one point in time, it just is that there is a significant number of projects at different stages at all points in time, but happy to, we are very happy to walk you through our operating cash flow projections for the next three years, and Anand will connect with you to take that forward, if you would like.

Sameer Baisiwala: That's fair enough.

Abhishek Lodha: Sameer just to add considering that, our continued growth trajectory, what we would

see as we envisage, that kind of INR 6,000 crore of an operating cash flow that potentially we have projected for this year becomes kind of, if I may say so a floor going forward too, because as you know, our business in any case runs on a bit of a negative working capital cycle. So thereby meaning even with the intensity of higher construction costs with the increase in the presales number, the collection will keep improving equally and thereby the operating cash flow intensity will continue to kind of, improve beyond what we have forecasted this year. And for sure would not see any downward trajectory in terms of operating cash flow strength.

Moderator: The next question is from the line of Kunal Lakhan with CLSA. Please go ahead.

Kunal Lakhan: Abhishek we plan to start paying dividend from next year. And, you also said, earlier that company's growth plans can be supported by the operating cash flow. I just wanted to understand how you are looking at reducing the promoter stake to the prescribed limits. Would you look at raising equity and diluting the shareholding or would the promoters look at selling down their stake?

Abhishek Lodha: I think Kunal you've answered the question within your preface itself. Given the fact that the company's operating cash flows are quite strong and the company is in fact moving towards pay out of dividend. There is very limited need for the company to raise primary capital and therefore, the dilution of the rest of the promoter's stake,

which we are still, you know, 20 months away from the timeline to achieve it. The most of the sell down of the promoter's stake will have to be from the, will have to be secondary sale. Given that the company has a very high focus on achieving an ROE of close to 20% over the next three years, it would be not prudent for the company to raise, primary capital, further is at least our current assessment. And therefore it will largely be through secondary sale.

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Page 9 of 12 Kunal Lakhan: Secondly, on the ESG spend, right, we have earmarked about \$500 million, over the next five to seven years. Any analysis, we have done on what will be the ROI of this spend or what could be the cost savings of due to such a spending?

Abhishek Lodha: Kunal the spend that has been highlighted when we did our recent announcement of the accelerator for sustainable urban development in partnership with the globally renowned Rocky Mountain Institute is a reflection of our company's commitment to becoming a global leader in the ESG space and specifically setting up benchmark when it comes to sustainable development of housing and real estate in general. The accelerator at Palava will enable global solutions to be tested, live in a real-world environment in India, and therefore be rapidly accelerated for implementation in India, not just in Lodha projects, but we intend to have that information freely available, for all stakeholders so that, as fast as possible India can move towards its climate change goals. In terms of that investment, that investment is inherent and not additional to our planned spend on our projects.

As you are well aware, we have been focused on sustainable development for a very long period of time. And therefore, as you would have noticed in our various investor and quarterly updates, the actions around making a minimum negative impact on the environment and making a positive impact are inherent to what we build and design and therefore these investments are part already of our standard costs, that we incur for our projects and therefore our underlying profitability and ROE parameters already reflect these costs.

It's just that over the next few years, as we scale up the quantum of spend

towards this

initiative also scales up in ratio of the growth in the company and as India's largest housing developer, and one where we see we can deliver sustainable growth of 20% or higher for the medium term, we expect that doing this in a manner where ESG continues to remain high focus is the right thing for us to be doing as a company. There isn't any change on our underlying profitability or ROE, but we believe that by doing so, we will set a very high standard and benchmark for India as well as globally and make our contribution as a responsible corporate citizen.

Kunal Lakhan: My last question was on the Bangalore market, look, Bangalore has been a quite organized market with a lot of reputed developers. So what will be a strategy here, in terms of penetrating this market, because we have tried some of your peers entering that market, and not doing much over the past few years, but how are we approaching this market? Do you think, the kind of success that we are seeing say in Pune market today, we'd be able to replicate that in Bangalore as well?

Abhishek Lodha: We feel very confident about the fact that our entry into Bangalore is a strategic choice we have made, and we have made it after careful deliberation on what it is likely to do for us as a company, as we have mentioned in our release, our focus will be on gradual growth, again, focusing on underlying profitability and good ROEs. And we are doing so by investing in our team, building a strong team so that we can deliver these outcomes. Where do we differentiate ourselves is in our product quality, as you will notice, also in a very competitive market, like Mumbai Lodha's product design, product delivery, service quality stands out.

And we are seeing the same in Pune and we expect to do the same in Bangalore too.

Yes, Bangalore is a good market with good developers, but ultimately the share of the top five players is only around 30%. We respect those players, but at the same time, we believe we have certain skills, knowledge, global learnings, and capabilities, which we will be able to bring to that market and, raise the overall standard in that market too.

And as I mentioned, will do so in a gradual manner, focusing on underlying profitability.

Moderator: The next question is from the line of Abhinav Sinha with Jefferies. Please go ahead.

Abhinav Sinha: So my question is on the cost and pricing front. So on the construction cost the labor component, because the largest is still not moving, despite the large inflationary pressures we are seeing broadly. So, firstly I mean, does it worry you that this will start

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Page 10 of 12 moving up in the next half of the year? And secondly, can you also update us a bit on how the pricing has behaved in some of your key micro market in Mumbai?

Abhishek Lodha: Would you please mind just repeating that question?

Abhinav Sinha: Yes, sure. So, question on firstly the labor component where the cost hasn't really moved over the last several quarters, but there is lot of inflation and it can start moving. So, does it worry you, towards the latter half of the year? And secondly, on pricing in the various micro markets and how it can change and what you're basically seen there in the last few odd months?

Abhishek Lodha: In terms of the overall mix of inflation, we believe that the labor market inflation over the last two years, and it's not just the last 12, 15 months, is reflective of the fact that in India, construction is attractive sector for those who are moving from the farm to the urban areas. And therefore the labor cost inflation in construction continues to remain moderate. And I think that's not likely to change very quickly. So we

aren't unduly

concerned of any sudden spike in underlying inflation of labor costs. And generally, I think given where the commodity cycle is where the global macro picture is in terms of demand in the developed economies, we feel that also there will be some moderation going forward in some of the components, non-labor components of construction costs, and therefore we are sanguine about the overall construction costs inflation going forward as we've explained in our quarterly presentation, the annualized rate right now is running at about 9%, and this takes into account the period from 1st, April, 2021. So all the impact of the last 15 months, which has been as globally a quite an inflationary period, and the impact of that 9% growth in inflation translates into about a 2% increase in our cost of goods sold.

So overall the risk of inflation to housing profitability in India is quite moderate and very different from most of the other markets, where the ratio of construction cost to sales price, as well as the labor cost inflation are very high. As I noted in my opening remarks, every housing market is very different, and I think India's housing market, both from the demand side, as well as from the supply consolidation side, and also on the inflation side is very, very different from some of the other markets that are followed globally and is quite well poised. In terms of price growth, what we saw in the first quarter is average price growth of between 1.5% and 2%. This is quarter on quarter averaging about 1.7% across our portfolio. And this is in line with our guidance that we expect to see 6% to 7% annualized price growth for this fiscal, and which will be below wage growth and therefore in our opinion will keep affordability high and keep volumes growing.

We saw in the first quarter of this year, that as there is modest price growth volumes have also grown quite significantly for the industry, which is a very heartening sign and tells us that the price growth is actually a positive for the industry and can be supported going forward.

Moderator: The next question is from the line of Alpesh Thacker with Antique Stock Broking. Please go ahead.

Alpesh Thacker: Just couple of questions. First one is more from the strategy perspective, by that, I mean, since we've started doing this asset light strategy and we are mostly focused on the JDA, type of business model, but few of our peers, they moved away from JDA to JV. So is there any thought or strategy behind that JDA model is more beneficial or more profitable for us or any thought on that as why not JV model?

Abhishek Lodha: It's an interesting question. Typically the question that is asked is why not outright versus a capital light model. Both JDA and JV are examples of modalities of doing capital light model, given the fact that we like to do, all our business, within MDL's full control end to end control when it comes to design construction sales and so on.

We find that the JDA model has very clear demarcation of responsibilities between the landowner whose job is to get the land and get the approvals. And the rest of the responsibilities are clearly with Macrotech. So, we find that the JDA model is much clearer. Having said that, I think, the balance between outright and JDA is important for our business because JDAs have higher ROEs and moderate profitability, outright have Macrotech Developers Limited

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Page 11 of 12 higher profitability and moderate ROEs. And the combination of both of these will allow us to generate our 20% client growth with ROEs approaching 20%. And so therefore we have no particular view on why not JVs, but we like the JDA model because it is clearer on responsibilities.

Alpesh Thacker: Just second question

on more from Pune and Bangalore, so what is a team size in Pune and Bangalore?

Abhishek Lodha: So I'll answer on Bangalore and I will ask Mr. Tikam Jain to respond on Pune, since he himself is present on the call. Bangalore, we are currently about 20 people in Bangalore, and we will grow in line with the growth in our projects. So currently a modest size team in Bangalore. Mr. Jain, if you can give an overview of the team in Pune please?

Tikam Jain: We are right now more than 150 people and we are continuously on the recruiting process. And by end of this financial year, we want to reach 250 people. That is the overall team size we estimate.

Moderator: The next question is from the line of Mohit Agrawal with IIFL. Please go ahead.

Mohit Agrawal: My first question is again on the Bangalore market. So, typically Bangalore projects, we see, have a different margin profile versus, Mumbai. So what is the kind of margins we are going to see in Bangalore projects you've clarified for the Mumbai projects it's going to be around 18% at the PBT level so if you could clarify that? And again, what kind of IRRs also from the overall projects in Bangalore that we see? So that's the first part of the question. And secondly, you've also mentioned about 15% market share in Bangalore over time, so that's like almost, INR 6,000 crore of annual sales and like 8 million square feet to 10 million square feet of sales. So what kind of timeline are you giving yourselves in terms of reaching that target of 15%?

Abhishek Lodha: In terms of, as we have said repeatedly, our entry into Bangalore is strategic and the growth will be gradual. Our goals for achieving that kind of market share are over a moderate period of time. We expect to get to, 10% market share in five years and then grow to 15% thereafter. So it's a very gradual increase you can almost count, 2% to 3% share coming to us every year. So it's no dramatic investment or no dramatic, presence in Bangalore, it'll be gradually increased. So the idea being that between Bangalore Pune and Mumbai, that is almost two thirds of the value in the top seven Indian cities. And by serving these three markets, we have access to markets which are currently worth almost INR 175,000 crore. And over the next three years, it will grow to almost INR 225,000 crore in terms of value. And therefore Lodha's growth trajectory from here onwards we closed fiscal '22 with the base of INR 9,000 crore of sales. We feel quite good that even that scale of market that we are serving, we can maintain consistent top line growth of 20% or thereabouts and do that in a prudent profitable manner.

Mohit Agrawal: Sure. And what about the IRRs and margins there?

Abhishek Lodha: I think, you know, IRRs for our business continue to be driven by the acquisition model. So as we have guided in the past overall, we are aiming to have JDAs typically have IRRs which are close to 40% or higher, and that is no different for Bangalore. In terms of margins, Mumbai margins are about 200 basis points higher on the JDA model, compared to Pune and Bangalore. Pune and Bangalore PBT margins tend to be modestly lower. So, Mumbai will do between 18% and 20% on the JDAs, when it comes to PBT levels and Bangalore and Pune will do between 16% and 18% when it comes to PBT levels on the JDAs. Outright projects of course, tend to have higher profitability, but for the next 12 to 18 months, our focus is largely on JDAs and outside Bombay, which is Pune and Bangalore till we build up substantial capability and substantial success. Our focus will continue to be on the light model, capital light and risk light model of JDAs.

Mohit Agrawal: Okay. Understood. And one more question is, on your digital vertical, so you've given a target, I guess, of INR 600 crore, INR 700 crore annually, annual sales now with this, joint venture with Bain Capital and Ivanhoe

Cambridge, does that target change and
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Page 12 of 12 what role do you see, beyond this 110 acres, injecting into the platform, what role do you see, in this platform? Like, do you see yourself going pan India in warehousing also over time?

Abhishek Lodha: Yes. The platform with Bain Capital and Ivanhoe Cambridge is a pan India platform. It'll focus on the bigger cities, including the top metros, we from the Macrotech Developers side, we have given the platform, the seeded asset at Palava, which is the 110 acres of land. We will continue to add other assets from our portfolio so that our overall investment into the platform is largely in terms of assets and not in terms of significant incremental cash flow. So we'll keep adding other assets over time. But yes, the platform is gearing up now to expand across the country.

We will, over the next quarters, bring in the CEOs, and leadership team of the business to interact with you so that you can directly ask them questions. But they are looking at Bangalore. They are looking at NCR, they are looking at Pune, as they build out the

warehousing and industrial platform, because they are intending to invest \$1 billion, and build almost 30 million square feet over the next three to four years. So it's a very significant platform and it'll be across various geographical locations in India.

Mohit Agrawal: Yes. And just to clarify, is Macrotech looking at operating and getting involved into the construction and operating of these assets as well, or they will just be financial investors outside the Mumbai market?

Abhishek Lodha: No, Macrotech Developers Limited is the owner of the Opco. So the structure of this platform is a Propco and an Opco. The Opco is significantly owned and managed by Macrotech Developers Limited. There is a completely separate team, which looks at our green digital infrastructure platform as a completely separate operating team, which sits in this Opco. And of course, with this new platform coming in, that team is being significantly augmented. And that team will look at doing all the parts of operations, which is land acquisition, approvals, construction, leasing, and for the platform, it'll be the operator of the platform and it will generate significant recurring fee income for Macrotech Developers Limited, in addition to the rental income, which will come from Macrotech share as the financial investor in the Propco.

Moderator: This was the last question. And with this, we hand over the line to the management.

Anand Kumar: Thank you everyone. Thank you for joining the call today. As highlighted earlier, consumer interest in housing remains very resilient on the ground it's robust and growing stronger with each passing month. We are well on track to achieve our stated guidance and our strong launch pipeline in the second half, going ahead, including this quarter, will help us achieve our guidance. Feel free to reach out to me or Sushil for any further queries that you may have. Thank you.

Tikam Jain: Thank you.

Sushil Kumar Modi: Thank you.

Abhishek Lodha: Thank you all. Thank you for your time.

Moderator: Thank you. On behalf of Antique Stock Broking, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Call: Nov 2022

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November 8, 2022

The Listing Dept.,
BSE Limited
Corporate Relationship Department
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai- 400001
Scrip Code: 543287 Scrip ID:- LODHA
Debt Segment – 974163, 974199 The Listing Dept.
National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G
Bandra Kurla Complex
Bandra (E), Mumbai – 400 051
Trading Symbol : LODHA

Dear Sir,

Sub: Q2 FY23 - Earnings Call Transcript

We are enclosing herewith a copy of the transcript of the Company's Q2 FY23 earnings conference call held on November 2, 2022. The transcript is also being uploaded on the Company's website i.e. www.lodhagroup.in under the Investors section.

This is for the information of your members and all concerned.

Thanking you,

Yours truly,

For Macrotech Developers Limited

Sanjyot Rangnekar
Company Secretary & Compliance Officer
Membership No F4154

Encl: As above

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"Macrotech Developers Limited
Q2 FY2023 Earnings Conference Call"

November 02, 2022

ANALYST : M R. BIPLAB DEBBARMA - ANTIQUE STOCK BROKING
LIMITED

MANAGEMENT : M R. ABHISHEK LODHA – MANAGING DIRECTOR & CHIEF
EXECUTIVE OFFICER - MACROTECH DEVELOPERS
LIMITED

MR. SHAISHAV DHARIA – CHIEF EXECUTIVE OFFICER ,
TOWNSHIPS & RENTAL ASSETS - MACROTECH
DEVELOPERS LIMITED
MR. SUSHIL KUMAR MODI – CHIEF FINANCIAL OFFICER -
MACROTECH DEVELOPERS LIMITED
MR. ANAND KUMAR - HEAD INVESTOR RELATIONS -
MACROTECH DEVELOPERS LIMITED
Macrotech Developers Limited
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Page 2 of 17 Moderator : Ladies and gentlemen, good day and welcome to the Q2 FY2023 Earnings Conference Call of Macrotech Developers hosted by Antique Stock Broking. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Biplab Debbarma from Antique Stock Limited. Thank you and over to you Sir!

Biplab Debbarma : Thank you Steven. Good afternoon everyone and welcome to the Q2 FY2023 earnings call of Macrotech Developers hosted by Antique Stock Broking. Today we have with us the management of Macrotech Developers represented by Mr. Abhishek Lodha - Managing Director & CEO; Mr. Shaishav Dharia – CEO, Townships & Rental Assets; Mr. Sushil Kumar Modi - CFO; and Mr. Anand Kumar - Head IR. Without further ado let me hand over the call to Mr. Lodha. Over to you Sir!

Abhishek Lodha : Good afternoon everybody. Thank you for joining us for our earnings call. Best wishes of the Indian New Year to you and your family.

I will begin by highlighting three key updates. Number one: Our UK investment cycle is now visibly reaching conclusion. We have repatriated back approximately Rs.100 Crores during this quarter and we will receive an additional Rs.1000 Crores in the course of calendar year 2023. We have also paid off the US dollar bond of \$225 million from the UK investment in two tranches in March and September 2022 and there is no further liability or risk to the Indian balance sheet from the UK investments.

Deterioration in the sterling and the deterioration of the local economy as well as certain other project related expenses likely to be remitted to India from the UK operations is going to be a total of Rs.1100 Crores, Rs.100

Crores already received and about Rs.1000 Crores to be received next year against our earlier estimate of Rs.1500 Crores. It is to be noted that the onetime noncash provision of Rs.1177 Crores that we have taken in this quarter in our P&L is to reflect the difference between value of the debt instrument we had used to finance the UK investment and the value of the actual receipts. Now that the repatriation has started back, it was appropriate for us to take into the view of what the final repatriation would be and therefore take this noncash provision for the differential amount. Please note that the remittance amount of Rs.1100 Crores, Rs.100 Crores already received and Rs.1000 Crores to be received is completely independent of this and that money will be received as I mentioned in the course of calendar 2023. Of course the provisions taken will also lead to a tax benefit of about Rs.350 Crores to us in due course. So therefore effectively from the UK we will receive back about Rs.1100 Crores and we will get a tax benefit because of this provisions/write-offs of about Rs.350 Crores totaling to a total cash benefit of Rs.1450 odd Crores to Macrotech Developers Limited and this will bring an end to our UK investment cycle and allow us to completely focus on only doing investments in India.
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Page 3 of 17 Point number two: As we had promised earlier from this quarter onwards we will report the Embedded EBITDA from the presales done this quarter. The Embedded EBITDA is calculated using the sales price of the sales done in the current quarter and the estimated lifecycle cost of the relevant building or plant in which the sales are done. This will give you the clear visibility into the profitability and free cash flow generated from our quarterly sales. Since we have very little depreciation and amortization cost in our business the EBITDA can be converted into profit before tax PBT by deducting the interest cost, so we update you on a quarterly basis on Embedded EBITDA and as well as our total debt as well as cost of borrowing. For this quarter we added Embedded EBITDA margin of approximately 33 % on presales of Rs.3148 Crores implying Embedded EBITDA of approximately Rs.1050 Crores. For the H1 as a whole the Embedded EBITDA amount is approximately Rs.2040 Crores.

Third update: We have the strongest H1 in our history with Rs.6000 Crores of sales and our strongest ever Q2 which is seasonally the weakest quarter, but that also had almost Rs.3150 Crores. The start to the current quarter has been equally strong in Q3. Two factors are supporting this momentum. One is the consolidation to quality on the supply side and the second is the

strong demand driven by the acceptability of mortgages and the moderate price growth in the marketplace. The underlying momentum in the housing market is in spite of the inflationary pressures on the consumer and almost 150 BPS increase in mortgage rates from about 6.75% to just under 8.5% during H1. We believe that this is the evidence that the long-term upcycle in Indian housing is now well underway.

The broader economic context now: It was yet another quarter of volatility and uncertainty in the global economy and markets. Higher inflation readings for the US has got Fed to continue raising rates. How much the higher interest rate have an impact or how deep or longer US recession is going to be we will all have to wait and watch. Alongside with the worst turmoil in other economies as well the UK most noticeably and China continuing to have its own sets of challenges. The idea is not to share global expertise but highlight one which have the impact on the currency. The INR has seen depreciation of significant quantum in this quarter but it is not out of sync with what is happening with most other currencies. The RBI has used both its forex reserves to shore up the

rupee and we think that the RBI is now approaching an end to its interest raising cycle and we expect probably another 50 basis points or so of further increase by the RBI. Mortgage rates as I mentioned earlier increased from just under 7% to almost 8.5% now and we have not yet seen any significant impact on the housing sector. As I mentioned we do expect mortgage rates to go up by approximately another 50 basis points and as we remain comfortable with the demand in the housing sector which has not been impacted even with this further moderate increase in mortgage rates. We have also as we have informed in earlier call sheltered home buyers by capping their mortgage rate at 6.99% until June 2024. This scheme has had good take up with almost 56% of our sales by volume and 40% of our sales by value taking advantage of this scheme. The total cost to us for this quarter for this scheme might be about just under 0.3% of the cost of goods sold. So the overall cost of this scheme is quite moderate but it is giving the consumer a reassurance that they can buy the home that they have been dreaming of without getting impacted by the sudden volatility in mortgage rates. Of course inflation does impact the wallet of the consumer and the sentiment of a potential home buyer and we have

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Page 4 of 17 continued to exercise caution on that front, but for now it does feel like the strength of the market is quite strong, sentiment in our core areas of operations i.e. Mumbai and Pune continues to remain buoyant as can be felt on the ground in this festive season in terms of enquiries and sales. On the other hand as financing environment tightens it will provide us with further opportunities in terms of land owners coming to us more for JDAs. Overall looking really out of the play book to report for this quarter, as I have mentioned in the past we continue to remain convinced on the multiyear housing cycle. The presales of over Rs.30 00 Crores was our second best ever quarterly performance and our best ever Q2 as I mentioned and while collections were a bit slow it is only about the shift from one quarter to the next. Similarly revenue recognition and profitability as reported was impacted due to revenue recognition phenomenon and we can of course provide further details if so required. However we believe that looking at our presales and the EBITDA of the presales which we are both reporting will give you a much clearer look into our business and cash flow as well as underlying profitability. The business development opportunities continue to remain quite available and we have signed four further projects in this quarter providing additional development value of approximately Rs.3100 Crores with every quarter and every opportunity that we have signed we are laying the foundation for growth in the following years with nothing to suggest that our targets for this year will not be achieved both in terms of presales and collections.

Commodity pressures have already subsided and cost for us continue to go down. Just to let you know our absolute interest cost per quarter has fallen from over Rs.550 Crores in Sep 2021 to just over Rs.250 Crores in the quarter ending September 2022. The momentum remains strong and we are on track for FY2023 and working closely to achieve our guidance of our net debt to approximately Rs.6000 Crores and even if we fall short modestly that will only be for about a quarter or so.

In terms of our business progress beyond Mumbai and Pune, in Bengaluru we are on track for a launch in the first half of 2023 and all the ground work has been done and the trees are being planted. This is a test for us in a new market with minimal capital deployment returns on the same through the same asset light model. We intend to use the next 12 to 24 months to become local in Bengaluru, do a limited number of proje

cts and really learn how the market operate and then scale up using the learnings and project deliveries so that in due course Bengaluru can become another opportunity to scale up in the significant manner Pune is now playing out. In terms of the Pune market we feel very strong about how we are placed in that market and we believe that sometime in the next 24 months our sales will become amongst the largest in that

market or if not the largest definitely amongst the top two.

Coming to the operating as well as financial highlights of the quarter, despite this being the seasonally weakest quarter we clocked our best ever Q2 sales Rs.3148 Crores growing by 57% year-on-year. The Q2 of course is weak due to the monsoon plus the inauspicious period of Shraddh or pitru paksha. The cherry on the cake is that it is a second instance when we have achieved Rs.3000 Crore number in quarterly presales in the same calendar year the earlier instance being Q4 of fiscal 2022. With this strong performance we have achieved presales of

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Page 5 of 17 Rs.6004 Crores in H1 of FY2023 our best ever first half in terms of presales and this is 52% of our guidance of Rs.11500 Crores and positioned us very well to definitely deliver on our guidance and to the extent possible surpass it. As mentioned earlier we will continue to provide you with the Embedded EBITDA margin on the presales done for this quarter, this will help all the stakeholders in financial community to get a sense on the profitability of our presales. As mentioned earlier for this quarter the Embedded EBITDA margin is at 33% and for the first half of the year it is at 34%. This information will bring much needed transparency for stakeholders and provide understanding around not just the presales but also around the quality of the presales in terms of profitability and cash flow. This also helps take away focus on the revenue recognition in our P&L which is informed by the Indian standard and allows revenue to be recognized only upon the physical completion of the building which is evident by the occupation certificate and therefore can lag sales by almost three years.

Moving on, collection continue to track the presales growth and the same came in at Rs.2375 Crores for the quarter showing a growth of 24% year-on-year. We expect collections to keep growing in line with our overall collection target for the full year being approximately at Rs.11000 Crores of which we have collected just about Rs.5000 Crores in the first half. As mentioned earlier we have added four new JDA projects with a GDV of Rs.3100 Crores across MMR in Pune. With these Rs.9300 Crores of projects have been added in the first half which is 62% of our guidance for the full year. As we keep launching new JDA projects in each quarter it further enhances our brands and capabilities with brand owners looking to partner with a player like us who can maximize the NPV of their land. We have a strong pipeline of business development opportunities which makes us confident of achieving the business development guidance. Our average cost of debt has further come down to approximately 9.9% as on September 30, 2022 showing a decline of 60 basis points in the first half of the fiscal even as there was an increase of 190 basis points in the policy rates recognizing the improved business fundamentals as well as the strength of our balance sheet. ICRA has assigned a credit rating to the company of A+ in the month of October which is one point above rating which was A with a positive outlook. This should further enable us to improve our cost to our funds in the times to come.

Moving further and updating you on the digital infrastructure business. During the quarter we have monetized our first joint venture by selling our stake in the ESR Park for approximately Rs.158 Crores. This is consistent with our strategy of monetization after developing an asset

either at the asset level or the platform level. Our platform with Bain Capital and Ivanhoe Cambridge has commenced activity on developing the first land parcel as well as scouting for new land to put in the platform is also progressing well and there should be announcement in terms of the growth of that platform over the course of the next six months. Just to recap in terms of this platform. The platform has been established with a view to create a pan India presence in the digital infrastructure space that includes logistics and industrial parks as well as in-city fulfillment centers. The platform will entail \$600 million of equity contribution divided equally between the three partners. The platform can lever modestly and jointly invest over \$1 billion and create approximately 30 million square feet of operating assets to serve India's digital economy. Lodha's share of equity contribution will largely be in the form of asset that we will inject into

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Page 6 of 17 the platform. In addition to the signing of the \$1 million plus square feet box with Skechers in Q1 we have now signed up Schlumberger in our park in Palava. Advanced negotiations with various end users in a diverse set of industries like FMCG, EV ecosystem, 3PL logistics, Cold Chain, etc., is currently ongoing. A number of closures are likely to take place over the next six to 12 months, this is likely to generate a large number of jobs thus boosting the economic activities in and around Palava and kick starting a virtuous cycle and augmenting our residential business as well.

Let me now update a topic which is close to our ethos of do good do well that is sustainability. On this front we have continued to make significant progress. This can be seen through the rating given to us by GRESB which is one of the most globally renowned real estate focus

sustainability benchmark provider. In the residential category we received the score of 95 out of 100 in our very first attempt in 2022 which gave us a five star rating. This score is also amongst the top three in Asia. We have also established the Lodha Net Zero Urban Accelerator in collaboration with the Rocky Mountain Institute of USA. The accelerator has already identified five focus areas, where they have started work, on being passive design, efficient equipment, embodied carbon, clean energy and green mobility. Palava will serve as a city scale living laboratory to solve these challenges and pioneer innovations on the path to Net Zero. After finding solutions this would be rolled out for multiple projects not only transforming the way construction is done but also improving the lives of so many people who would be staying in such development. The information and knowledge generated in the accelerator will be freely shared with the entire India so that the transition in India towards Net Zero in the building space can be expedited. We have also become a part of the Build Ahead Coalition launched by Xynteo, an initiative consisting of forward leaning businesses such as JSW, Godrej Construction, Shell India, etc., committed to scale decarbonization effort across the Indian construction value chain. With this partnership we aim to accelerate the use of low carbon building materials in the construction process.

On the governance front the company has strengthened its Board by inducting Ms. Harita as an Independent Director. Ms. Harita Gupta has over three decades of global experience in digital and IT services. She has had leadership positions at globally renowned companies like Microsoft and NIIT amongst others. She is presently leading A PAC and enterprise business at Sutherland Global Services. Being a digital innovation focus organization we will benefit immensely from her guidance and experience as we stepped into our next phase of growth.

As discussed earlier to

further enhance our disclosures we are committing to provide the Embedded EBITDA margins for the presales of each quarter this is one more step to enable stakeholders to better understand our business and the quality of presales. We have from time-to-time made an effort to introduce the depth of our management team to you and showcase the details of the different parts of our business. Today we are going to have with us Shaishav Dharia, who is the CEO of our Townships business as well as represents the company on the Board of the Digital Infrastructure that we have with Bain Capital and Ivanhoe Cambridge. The model of townships that we have built is in our opinion unique in India. We are proud of the fact that we are able to bring the highest standards of living to the lower middle class families of India's large metros and not only we enable them to live in great environment but we also create comprehensive work, play, live Macrotech Developers Limited

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Page 7 of 17 and learn environment including healthcare, education, work spaces, sports and so on, which provides people with a quality of life which is extremely rare in our country. As part of further using our scale and our township for positive impact for society we are now working with a variety of corporate partners on an initiative to increase the female workforce participation rate which is much lower than in several other economies. We are trying to create a model wherein women can get the jobs within a short walk or short drive from their home which enables them to not only take care of their family responsibilities but also work in a manner which is physically and mentally reasonable for them.

Before I handover to Sushil the one last point I would like to make is that accounting for our sector has made it difficult to understand the profitability and therefore for the first time in the sector we are providing the visibility on the Embedded EBITDA margin of the sales. We hope that with this initiative our other peers in the industry will also follow soon and that will allow this industry to be better understood by all those who are stakeholders of this industry. I now hand over the call to Shaishav and Sushil before we get to questions.

Sushil Kumar Modi : Hi Shaishav you may like to kind of give a bit of details around our township business in particular that what kind of activity on the ground that you are seeing please.

Shaishav Dharia : Sure, thank you Sushil and Abhishek. Good afternoon everyone. Our township business today basically we achieved about Rs.1940 Crores of presales in FY2022 and expecting about a 30% growth this year we have already reached about Rs.1130 Crores in the first half of this year, so well on track to achieve our targets. We expect this business to continue to see high teen growth for the next few years and can get even stronger as some of the infrastructure that has been developed across MMR they start getting completed. We are very fortunate that Palava which is a largest township and more of a city has become a blueprint of how we see to develop new townships and replicate the similar success. The way I see it building or what Abhishek said we have basically mastered I think four areas and that has allowed us to create a model that cannot be replicated by other developers or other projects in creating successful townships. So the first one that I feel is I believe to deliver high quality homes along with world-class amenities at an affordable price point. We have been doing this over the last 10 years and for each of our townships high quality education is very important. For example in Palava today we have five schools now think it is amongst the best education districts in the country now. We have fantastic

sport facilities, infrastructure within the townships which is fully reliable around water, power

sustainability, healthcare in the form of clinics and now multiple hospitals with a tie-up through AIMS as well as Jupiter Hospital world-class parks and amenities, so this is all of which is within walking distance. All of this put together ensures that what we have created as a product for our customers is truly world class and we are able to deliver at an affordable price point. The second over the last 10 years the ability to master how to deliver homes continuously and consistently at scale. Today we have demonstrated and are easily capable of delivering 7000 to 10000 homes every year just within our township business to do this at scale and consistently is something which is very few have ever shown the capability. The third important point is sometimes it is easier to develop and build physical assets it is more difficult to govern and build communities this is the softer side of what we have been able to achieve for all our customers. For majority of
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Page 8 of 17 them this is a new way of living. Our governance model along with a very strong focus on building communities across the entire segment is what really differentiates our townships and today that is why we have over a 150000 people already living in Palava and 15000 people living in our Upper Thane Township which is a more recent township. Fourth is the ability to innovate and bring in different products so we had the CASA homes then we brought in the Crown affordable homes but equally our focus is now on growing the aspirational home business which are ranging from Rs.1 to 2 Crores plotted homes and villas that we have done very successfully at Upper Thane and now bringing to Palava, small offices and retail through our Signet brand, what this does is that we are able to capture the market and the ecosystem that our townships provide through all of these five product categories and build a more consistent business model. These four elements are basically what we have developed and mastered over the last 10 years but now we are seeing finally a very important lever which is an external one to us the upgradation of road and rail infrastructure from our townships to business hubs, what is a very high quality I think in a Mumbai context is a 30-minute driving distance or a 10, 15-minute ride to a train station because of the infrastructure upgrades that are started a few years back which are now coming to a completion we will see significant benefit I will just take a few of them as an example.

For Palava city the infrastructure upgrade which will complete in the next six months is the elevated road to the business hubs of Ghansoli and Airoli, placing them in less than 30 minutes driving distance. These are predictable times and that will become a big game changer to a very large segment which wants access to high quality homes but now well connected. For an Upper Thane township the bridge to Dombivli station will be opened by March 2023 which will reduce travel time to less than 10 minutes. In the future we will also get metro within Palava with three stops. This suddenly will create a disproportionate jump in our business because we will now in addition to having everything internally will also provide great connectivity. Equally important is our own job creation as Abhishek referenced within our township business one example being the green digital infrastructure and the large development we are doing at Palava logistics and industrial park. A lot of the work is already under development and over the next two years this will all become operational creating 5000 plus jobs and growing continuously along with the emphasis we have put on economic empowerment and job creation for women close to our townships which allows them to manage both their home life as well as have an economic as well as have a work career. I think this growing

strength around infrastructure as well as job creation

close to our townships is going to create further disproportionate jump in our business.

So in a summary the township business has been in a virtuous cycle of world class product, community, infrastructure and now great connectivity, external connectivity and with this we can continue to grow the business with a moderate price increase year-over-year, large volumes and almost become like an FMCG business. Let me stop there and hand it over to Sushil.

Sushil Kumar Modi : Thanks Shaishav for this update and ground reality checks for the stakeholders at large. Biplab would you like to take it up in terms of queries that various speakers would have.

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Page 9 of 17 Moderator : Yes Sir we will open it up for the Q&A session. Ladies and gentlemen we will now begin the question and answer session. The first question is from the line of Kunal from Bank of America. Please go ahead.

Kunal : Thanks. Hi! Abhishek I was hoping to get some more color on the footfalls and conversions you would have seen during the festive season and if there was anything there that would have given an unchanged presales guidance for rest of the year ?

Abhishek Lodha : So what we have seen is that like in previous years the strength of the sales interest continued

even through the second quarter and the same trend has held up also in October so we are continuing to see similar conversion rates in the 8 % to 10% range, we are seeing very good quality footfalls and I think the strength of the market can be only assessed from the fact that even in months like August and September which are traditionally very slow month we ended up on an average doing Rs.1000 Crores of sales which is how we got to Rs.3150 Crores for the quarter which is just showing that yes the demand is strong but not only it is strong it is also consistent and the throughput is coming through in a much more predictable manner now.

Kunal : The next one was on the monetization of the ESR JV. I just wanted to check what is the broad realized rate per acre of land parcel that you would have fetched here and is that a good representative of how we could value the remaining land bank?

Abhishek Lodha : We have monetized the ESR land at about Rs.4 Crores an acre I may have mentioned to a similar query in the past the range at which we sell and will vary to an extent based on the users because data centers for example can sell for even Rs.20 Crores, Rs.25 Crores an acre and it will also depend on the extent of the land holding. So warehouse using land of large scale this was a 90-acre JV with ESR is probably the lowest value per acre that has gone at about Rs.4 Crores per acre and average the north of that.

Kunal : Last one from me for Sushil. Sushil if we just look at your CFO target for H2 as debt reduction target it seems to leave about Rs.800 Crores that can be incurred towards interest expense and investments so broadly does it mean that you are looking at less outflow on the investment side in H2?

Sushil Kumar Modi : Yes, potentially you are right but nonetheless keep that in mind that our operating cash flow trajectory for the second half generally is far stronger than the first half and henceforth some of these debt reduction targets is going to be more and more visible from the quarters that we will speak up from Q3 and Q4, but nonetheless I think we reasonably kind of see the visibility of getting us anywhere in the band of 6000 net debt and some number around that by the end of this.

Kunal : Got that alright thank you so much.

Moderator : Thank you. The next question is from the line of Pritesh Sheth from Motilal Oswal. Please go ahead.

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Page 10 of 17 Pritesh Sheth : Hi thanks for taking my question. First is on your micro market sales that you have reported. So I

can see a drop in sales in your affordable markets like Extended Eastern Suburbs and Thane affordable mid income so anything to read into in terms of interest rate that ways impacting the trajectory of these micro markets because they have gone down by at least like 30%, 40% if I compare quarter-on-quarter and on an average what the rate has been for last three to four quarters so your comments on that?

Abhishek Lodha : The Extended Eastern Suburbs is especially tend to be the one which is most affected by the monsoons because these are the individuals who tend to rely on public transportation as well as the auto rickshaw or taxi services most for their communities, so typically if you look at it while you are comparing the Q1 versus the Q2 numbers of course Q1 also has certain launches in the Extended Eastern Suburbs but even adjusted for launches Q2 will typically be weak on account of seasonality most affecting that segment, but we do not really read anything into it on the contrary as Shaishav mentioned we are well on track to deliver sort of mid teens in the townships business for this fiscal compared to the numbers for last fiscal of a fairly significant base.

Pritesh Sheth : In terms of collections as well it is broadly your comment on that so are you seeing any trend in terms of people delaying or customers delaying payments because they are adjusting to their budgets or any specific trend you are catching up there or collections are pretty much in tandem with what it is supposed to be?

Abhishek Lodha : No, we have not seen any increase in delayed payments. We measure delayed payments is greater than 30 days delayed and we have actually seeing a fall in that absolute value on the larger base of units from which of course collections are coming through as each quarter we sell more units, so at this stage we do not see the Indian consumer in any manner at least our consumer in any manner affected by trying to delay or trying to delay their payments. It is just the normal throughput of our sales, registrations and then cash flow coming in any quarter. Sometimes the pitru paksha period is in Q2 sometime it is in Q3 so that 15 days people do not like for example registering their documents they do not want to make major payment these are all sort of factors but we believe that the collections machine is pretty strongly in place first half we have collected just under Rs.5000 Crores and we have an internal target of about Rs.11000 Crores of overall the collections for the full year .

Pritesh Sheth : Lastly on your debt your target remains the same for below Rs.6000 Crores so you will have to literally reduce that by Rs.3000 Crores in second half. Is it all going to be coming from operating cash flows or are you also building in that UK repatriation helping it reducing the debt initially I do not think that was built into our expectation but now the target is it including the repatriation?

Abhishek Lodha : We are targeting to be around Rs.6000 Crores by the end of the fiscal. If it is few hundred Crores

here and there, it will be for a maximum of a quarter but it will be somewhere around the Rs.6000 Crores handle. We have some asset sales, we are disposing mall in Palava that is definitely a part of the number that we are looking at. We also have a few other sort of leased spaces which are part of our normal divestment which will also happen in the second half of the year and I do not have a detailed breakup on when the money will come back from the UK
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Page 11 of 17 quarterly though we know that the Rs.1000 Crores will come back in the calendar year next year so yes we have assumed at about Rs.250 Crores out of those Rs.1000 Crores will come back in the first quarter of calendar 2023.

Pritesh Sheth : Got it thanks that is it from my side all the best.

Moderator : Thank you. The

next question is from the line of Sameer Baisiwala from Morgan Stanley. Please go ahead.

Sameer Baisiwala : Thanks and good afternoon everyone. Shaishav great commentary on townships so thanks for that. Just if you look out mid to long-term are there any risks that you see to Palava development something like airport coming and taking development away from you or any other thoughts if you can share with us?

Shaishav Dharia : Actually the airport development will be a positive because the new airport will be about 30 minutes from Palava city so in terms of connectivity it becomes even better for companies that are operating there as well as folks who are living in Palava so that is actually a positive. I think we have been able to over the last 10 years as I mentioned developed this model which is now very difficult to replicate by somebody else and more importantly to have this kind of scale is very difficult again probably in the history of MMR. So I would say that natural black swan event that can impact any business always exist but we have reached a stage where I do not see any normal course of event causing major disruptions.

Sameer Baisiwala : If I have to just put some number around you talked about sustainable volume and price increase in about 2 to 3 million square feet per annum 5% to 7% price increase per annum for extended period of time and do these numbers look achievable or higher or lower your thoughts?

Shaishav Dharia : Let me take the price growth. I think the 5% to 7% which is just below inflation is a healthy price increase and sustainable because affordability will always remain good with that particular aspect so that I think is yes very much possible and within our target. Second I would think as a business of township much more than 2 to 3 million is what we should achieve especially given the growth the developments on the external infrastructure side that will connect us better to the business hubs both with road and rail so I would think we have the potential to do more than that.

Sameer Baisiwala : Just to be sure 2 to 3 million is excluding DI it is just the residential part?

Shaishav Dharia : Correct.

Sameer Baisiwala : So you can do better than that, but it would get the benefit of the commercial in the DI development over there that is the point you are making, right?

Shaishav Dharia : Correct.

Sameer Baisiwala : Second question I have is on one Lodha phase Abhishek now that it is coming to completion what percentage is leased out and how do you plan to realize the capital value here?

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Page 12 of 17 Abhishek Lodha : As we started the leasing process for the building the lower one third of the building was under

the spot sale model and that is almost 58% sold. We intend to lease the building out over the next 18 months and then post stabilization we in all likelihood will dispose off our interest in the building, the recurring rent from the building will be in excess of Rs.200 Crores per annum and therefore you can see a significant one time income will accrue to the company when we divest this asset most likely some time in calendar 2025.

Sameer Baisiwala : Great initiative on Embedded EBITDA so that will definitely help us a lot. If I understood you correct you are saying that this is calculated using the launch price but the cost is over the cycle of the project so there is certain inflation over there?

Abhishek Lodha : Yes, the cost side has taken for the lifecycle of that building and the price is the actual price realization for the quarter so it is not necessarily the launch price in case it is launched in that quarter it will be the launch price but whatever is the actual realization in a given quarter and the estimated life cycle cost including the inflation that one would expect in the life cycle of the building.

Sameer Baisiwala : Thank you so much.

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Moderator : Thank you. The next question is from the line of Parvez Qazi from Edelweiss Securities. Please go ahead.

Parvez Qazi : Good afternoon Sir, and thanks for taking my question. My first question is about the pricing. Given the increase in mortgage rate what kind of pricing increase can we take from our customers keeping affordability in mind?

Abhishek Lodha : Very important question and the one which we think about long and deep. Believe generally that the total cost growth which is a function of the price growth plus any increase or change in the cost of mortgages should be below wage growth so that affordability keeps getting better. We had guided at the start of the year that price growth should be in the range of 5% to 6% given that wage growth would be in the range of 9% this year. Given our initiative around interest costs are being kept at 7% till mid 2024 our consumers are not having any significant impact on account of the increase in mortgage rates and as I mentioned earlier the cost to us so far has been averaging about 0.25% of the value done in any given quarter therefore we continue to guide to the same number of 5% to 6% price growth for the full year for fiscal 2023.

Parvez Qazi : With regards to our South & Central Mumbai projects how do we see sales velocity there and in general what has been the sales momentum seen in that micro market?

Abhishek Lodha : As you would have looked at in terms of the sales done during the quarter South & Central Mumbai was a very strong contributor bringing in about Rs.1100 Crores of sales in this fiscal and just under Rs.2000 Crores of sales for the half year. So South & Central Mumbai continues to see a good strength and we are seeing growth over comparable period last year with strong growth over comparable period last year. I think our variety of products in South Mumbai across

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Page 13 of 17 different price points starting from as low as Rs.2.5 Crores and all the way to the top end of the market but with a great concentration between Rs.2.5 Crores to Rs.7, 8 Crores and we are having different points of the lifecycle we have ready product, we have advanced under construction product, we have just launched for example Lodha Bellevue opposite Vivarea at Jacob Circle or Saat Rasta it is colloquially called gives us ability to serve that market quite well and we are seeing good traction.

Parvez Qazi : Thanks and that is it from my side. All the best for the future.

Moderator : Thank you. The next question is from the line of Abhinav Sinha from Jefferies. Please go ahead.

Abhinav Sinha : Just a follow-up on the Embedded EBITDA part so just to be clear this is gross share or this is the project total Embedded EBITDA that we are looking at here?

Abhishek Lodha : This is the total for us of course numbers are the same because for us our EBITDA is the same as the project's EBITDA because any payments made to the land owner is treated as land cost in our accounting so there is no share of EBITDA which goes to the land owner in most of our joint developments so the actual EBITDA which would accrue to us.

Sushil Kumar Modi : On the sales that we announced so if the sales is 100 that means be it coming from the joint development or be it coming from our own land the EBITDA margin is the blended that we have indicated applies on 100.

Abhinav Sinha : In case of our own land how are we treating the land cost here because you have some very legacy sort of projects also?

Sushil Kumar Modi : Obviously those will carry the historical cost of acquisition along with to the extent that if any interest has been incurred during the construction period and has got capitalized that interest will also be getting capitalized but we are giving you EBITDA number so thereby meaning any finance cost incurred would not be there but in any case as we move away

away from capitalization of

finance cost effectively we will completely get kind of out of picture when it comes to anything that is including in the cost of project because our debt itself is going to getting down to the Rs.6000 Crores handle or below whereby you can have the finance cost separately taken below the line from the EBITDA downwards.

Abhinav Sinha : Just for my clarification also and maybe we are talking about FY2024 now it seems in another three odd quarters you should be done with reducing the net debt so what is the utilization of cash there will you say abandoned the JV model and go back to buying land or there is something that comes in your mind?

Sushil Kumar Modi : Firstly we would like to say that the target of Rs.6000 Crores of debt is one milestone we are seeking to achieve. We will of course review the macroeconomic situation and even lower level of debt we will definitely even use our cash flows towards that we have not made any decision because we are of course watching the externally evolving situation closely. Having said that whatever is the growth capital available will be significant and we will continue to use the

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Page 14 of 17 growth capital in a prudent in order to generate the ROEs that we are targeting of approximately 20%, In order to generate those ROEs we will have a blend of joint development and ownership in our sales mix, we expect that for the next 12-18 months, it will continue to remain focus towards JDAs and in the medium term it will settle down incrementally 40% of sales value

coming from joint development and 60% coming from outright own land and such that, that mix allows us to generate the 20% that we are targeting .

Abhinav Sinha : Thanks for that. That is all from my side.

Moderator : Thank you. The next question is from the line of Saurabh from JP Morgan. Please go ahead.

Saurabh : I just had two questions. So one is this 33% margin in you have given this is margin at the project level or is it your share?

Abhishek Lodha : This is the net margin to us this is our margin after all expenses including overhead cost as well as whatever goes to the land owner this is margin to us.

Saurabh : So 33% is the EBITDA and this is the gross margin right or the EBITDA?

Abhishek Lodha : Whatever very miniscule depreciation and amortization we may have and then only the interest cost and taxes.

Saurabh : I am just asking you because normally we have seen the JDA margins are much lower with the industry they are in the 20%, 25% handle that case so what could explain that you are getting these kind of margins on incremental basis?

Sushil Kumar Modi : No, you are right to the extent the composition of JDA will always have the lower margin but from an EBITDA standpoint as if you recall what it will be indicated on any JDA that we target anywhere between 15% to 20% handle of a PBT. But as in this quarter the contribution of the JDA is not that significant and in essence what you are seeing is more coming out of our own project as time goes and thereby the JDA some position improves you have potentially this margin as I think potentially will have a downward trajectory.

Abhishek Lodha : If I may just come in, in addition to what Sushil has just said we estimate obviously it will vary project-to-project but the own lands have the margins in the mid to high 20s and the JDAs have PBT margins in the high teens so there is definitely a delta between the two and therefore the blend of course depending on how much JDAs are contributing to sales in any given quarter.

Saurabh : The second is I just want to understand this impairment you have done in UK better so your cash flow receipt has not changed so what has changed for this Rs.1100 Crores impairment to happen can you just throw a better light on this?

Abhishek Lodha : Of course Sushil will be able to explain better but I

will take a little bit of an attempt and then

Sushil can add. We had made the investments in the UK by means of a debt instrument and the debt was accruing interest at high interest rate of 12% to 14% so that is what the balance sheet

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Page 15 of 17 was carrying in terms of what would be returned from the UK. Now this quarter the net received from the UK have started coming back and we know with a fair degree of certainty what the final amount that is going to come back is that rate of return is not going to be in that 12% to 14% handle but that rate of return on our investment is going to be more in the single digit handle and therefore the delta between the two is that impairment that we are taking which is really just an impairment in terms of the return. The principle of course is all being returned and it is being returned with a return but the return is not high as the debt instrument was assuming.

Sushil Kumar Modi : While from a cash flow standpoint we always kind of guided you on a conservative basis that we would be targeting repatriation of around Rs.1500 odd Crores handle number but internally we were still optimistic looking at how things perform and potentially there was a scenario whereby we can have a repatriation even higher, but knowing where how things has evolved and how what UK is seeing in terms of economy and obviously equally the kind of deflation in our own inventory having received expedited sales thereby to concentrate more and more on India side so that is some of those optimism which we had internally but that is no more relevant but in any case to all the stakeholders we always guided conservatively to be in the handle of Rs.1500 and if you really see on the whole while the form of this 1500 now changes whereby the Rs.1100 Crores, Rs.100 Crores already received in this quarter and Rs.1000 Crores expected in next calendar year but on this provision we will have the tax break and the tax benefit which will also be in the handle of around Rs.350-400 Crores so net-net effective result from a cash flow standpoint rather decide for the business for the company would continue to be in the handle of Rs.1500 Crores in line with what we have guided.

Saurabh : Okay I think I will take this offline Sir and just one last question Abhishek what is your end March debt guidance and March 2024 gross is expectation of net debt zero where do you think this by March 2024?

Abhishek Lodha : At this stage we do not have a March 2024 guidance to provide we will of course do it when we share the entire guidance for the fiscal year 2024 and that is what I mentioned in response to an earlier question this is the first milestone of getting to approximately Rs.6000 Crores of debt by March 2023 we are working aggressively towards getting there even if we miss it by a little bit it will be maximum for a quarter but we will get there quite soon and then of course whether to continue to further reduce debt will depend on the external environment we are quite open minded about making sure that the company at no time has any risk when it comes to leverage so while Rs.6000 Crores given the scale of our business is not significant leverage but if we believe

that it is better to be lower we will go lower.

Saurabh : Just one final question, can you just provide what percentage of your borrowers would be taking a mortgage this is my final question thanks, what percentage of customers will be taking a mortgage maybe after booking a flat?

Abhishek Lodha : I do not sort of right now have an exact number but what I remember from memory is that it is in the mid 60s the numbers as a percentage of the total buyers who take mortgages.

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Page 16 of 17 Sushil Kumar Modi : To be precise it is around 68% at this point of time.

Saurabh : Okay understood thank you

Moderator : Thank you. The next question is from the line of Kunal Lakhan from CLSA. Please go ahead.

Kunal Lakhan : Thanks for taking my questions. Firstly on the spend on new projects that we spent close to about Rs.1300 crores plus in the first half, how should we look at this in the second half considering like we have already achieved GDV worth Rs.9300 Crores versus Rs.15000 Crores guided so how should we look at the spend in the second half?

Abhishek Lodha : That number will moderate because obviously we have already done 60% plus of our target in the first half then the second half that number will be lower.

Kunal Lakhan : My second question was to Abhishek. You mentioned that you expect demand to remain healthy even after another 50 bps increase in mortgage rates according to you at what mortgage rates you think the demand or affordability will get impacted?

Abhishek Lodha : I think it is a question which we can only guess. We had earlier said that up to 9% demand remains unaffected and therefore another 50 basis points from wherever we are right now 8.25 within that thing but to provide another way of thinking about this I do not think it is too much about mortgage rates. Of course it is if mortgage rates are at 12% it will matter but it is not so much about mortgage rate as it is job security and job creation. As long as there is job security and job creation even if mortgage rates were modestly higher than 9%, it does not meaningfully impact on demand. It really is about that job security and job creation question.

Kunal Lakhan : Sure thanks a lot and all the best.

Moderator : Thank you. The next question is from the line of Kushagra from Old Bridge Capital. Please go ahead.

Kushagra : Thanks for the opportunity. Few questions, one, can you give us cash outflows which we are expecting on construction, SG&A and those land in JDA investments over next two years not probably the second half but FY2024-2025?

Abhishek Lodha : Good question but not something we have prepared for I do not want to answer something of that nature of the cuff so let us sort of revert to you on that offline.

Kushagra : Sure no worries and second question is on your JD As basically so till now whatever JDAs you have signed what would be the cash outflow towards the land owner share in the project which probably you would have given if it would have been your own project you would have given as your land purchase acquisition cost so what that amount would be out of Rs.17000, 18000 Crores of JDAs which you have signed till now?

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Page 17 of 17 Abhishek Lodha : We were answering what percentage would we expect as outflows to the land owners it would

be in the range in our expectation around the 20% to 25% of those revenues so if the revenues are about 25% it will range between Rs.5000 and Rs.7000 Crores of outflows.

Kushagra : Got it and just one last question on this wage inflation so at one point you sort of mentioned that wage inflation will continue to sort of pickup resulting in better affordability but at the same time wages which is almost one third of your cost there seems to be lower than inflationary numbers than the other components so just taking your thoughts on how you are thinking about this dichotomy between the wage inflation at the lower end of the pyramid wage inflation which is somewhat in the broader affordability factor like in this percolate in your wage cost as well and are you building anything over there in your price hike strategy?

Abhishek Lodha : I say it is a very thoughtful question. Obviously wages are determined by the tradeoff of supply and demand and as we know India is abundantly supplied with the semi-skilled labor at the bottom of the pyramid if you look back at the data series over many, many years the wage growth for those at the bottom of the pyramid tends to be dis

connected from the wage growth at

the middle and the top of the pyramid purely based on level of skill and the supply demand level so I do not really see this as a dichotomy this is historical fact. We do build in construction cost inflation into our models which is a blend of the material as well as the labor cost inflation and we have found that the way we model it is quite reasonable and accurate. So far we have not been

surprised negatively but the inflations of the middle and the upper end of the pyramid of more skilled people who ultimately end up being home buyers to be a home buyer with annual income at the minimum has to be between 6 to 10 lakhs that is a very different situation from a construction worker whose monthly wages would range between Rs.15000 to Rs.25000 a month and therefore a very different parts of the pyramid .

Kushagra : Sure got it that is helpful thanks a lot and all the best.

Moderator : Thank you. Ladies and gentlemen due to time constraint we take that as the last question. I now hand the conference over to the management for their closing comments. Over to you Sir!

Anand Kumar : Thank you everyone. Feel free to reach out to me or Sushil. As we have highlighted we are in a very exciting time period where the sector continues to perform very well so if you have any further questions please feel free to reach out to me. Thank you.

Moderator : Thank you. Ladies and gentlemen on behalf of Anti que Stock Broking that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Jan 2023

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January 31, 2023

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Debt Segment – 974163, 974199, 974473,
974511 The Listing Dept.
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Dear Sir,

Sub: Q3 FY23 - Earnings Call Transcript

We are enclosing herewith a copy of the transcript of the Company's Q3 FY23 earnings conference call held on January 25, 2023. The transcript is also being uploaded on the Company's website i.e. www.lodhagroup.in under the Investors section.

This is for the information of your members and all concerned.

Thanking you,

Yours truly,

For Macrotech Developers Limited

Sanjyot Rangnekar
Company Secretary & Compliance Officer
Membership No F4154

Encl: As above

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"Macrotech Developers Limited
Q3 FY2023 Earnings Conference Call "
January 25, 2023

ANALYST : MR. BIPLAB DEBBARMA - ANTIQUE STOCK BROKING LIMITED

MANAGEMENT : MR. ABHISHEK LODHA – MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER - MACROTECH DEVELOPERS LIMITED

MR. SUSHIL KUMAR MODI – CHIEF FINANCIAL OFFICER - MACROTECH DEVELOPERS LIMITED
MR. ANAND KUMAR - HEAD INVESTOR RELATIONS - MACROTECH DEVELOPERS LIMITED
MR. AUN ABDULLAH - HEAD OF ESG INITIATIVES - MACROTECH DEVELOPERS LIMITED
MS. MAHIKA SHISHODIA - SOCIAL IMPACT LEAD - MACROTECH DEVELOPERS LIMITED
Macrotech Developers Limited
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Page 2 of 19 Moderator : Ladies and gentlemen, good day and welcome to Macrotech Developers Limited Q3 FY2023 Earnings Conference Call hosted by Antique Stock Broking Limited . As a reminder, all participants will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Biplob Debbarma from Antique Stock Broking Limited. Thank you and over to you Sir!

Biplab Debbarma : Thank you Faizan. Good afternoon everyone and welcome to the Q3 FY2023 earnings call of Macrotech Developers Limited hosted by Antique Stock Broking. Today we have with us the management of Macrotech Developers represented by Mr. Abhishek Lodha - Managing Director & CEO; Mr. Sushil Kumar Modi - CFO; and Mr. Anand Kumar - Head IR. Without further ado let me hand over the call to Mr. Lodha. Over to you Sir!

Abhishek Lodha : Good afternoon everybody. Wishing you a very Happy New Year, May 2023 be full of good health and success for you and your family. Amidst all the global uncertainty of how high inflation can get to, how high interest rates can go, how deep or how long can a recession in the developed world be, we ended yet another stable quarter in the direction of achieving a consistent countercyclical growth trajectory for our company. Worrying that interest rates are getting uncomfortably higher in India for home loan borrowers, home prices are rising up rapidly and tailwinds witnessed in the last couple of years will disappear or even turn into headwinds are coming unfounded. As a strategy we have adopted the policy of reasonable pricing and that basically means that at all times we will try and ensure that home

price growth remains below wage and salary growth. YTD price growth has been about 5% in line with our original guidance of 5% to 6% price growth for the full year and we remain completely convinced that our thesis on the benefits of keeping price growth below wage growth and expanding the market will play out strongly in the years to come. Additionally we have also supported our home buyers particularly in the affordable and mid income segments by taking on some of the burdens of the increased mortgage rates which has come at a very minimal cost to our P&L.

With all that, that we have had, it has been quite a satisfactory quarter in terms of presales with record presales of over INR 3000 Crores exactly INR 3035 Crores growing 16% year-on-year, which puts us well on track to meet our annual guidance. Equally our new project addition has been more than satisfactory, well surpassing our guidance and in the process ensuring growth in the quarters and years ahead. In spite of the significant investments in business development we reduced our debt by INR 750 Crores in this quarter while we will achieve about INR 7000 Crores of net debt by the end of fiscal 2023, we have shown that that we can continue to grow while reducing debt and this will be our theme for the next
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Page 3 of 19 fiscal too and we will continue to reduce our debt well below the limit or peak of 1x of operating cash flow and 0.5x equity debt that we set for ourselves. Given the clear visibility of debt reductions, our debt ratings, credit ratings have continued to improve leading to our borrowing costs further coming down by 80 bps to 9.7% from 10.5% at the start of the fiscal. This has to be seen in light of the 225 basis points hike by RBI in the same period. In any case the balance sheet remains in an extremely comfortable and healthy position and

only moving further in the right direction.

Revenue and EBITDA had a year -on-year drop , but that is purely because of the revenue recognition method, which forces that revenue be recognized only for the projects which are completed in this quarter which are really projects which were started maybe two -and-a-half, three years ago and the slightly lower margins were because of the fact that again Ind AS asked for cost to be recognized in line with the spend in the current quarter whereas the revenues are recognized in line with only completions in the current quarter. As discussed on earlier calls that the real KPIs of our performance are presales, the embedded EBITDA margin, new business additions, and ESG performance. The P&L revenue and EBITDA tend to be a lagging indicator of the business health.

A few highlights for your reference. As I mentioned we had our best ever Q3 presales at INR 3035 Crores growing 16% year -on-year. This is a second consecutive quarter that we have achieved INR 3000 Crores of presales showcasing the strength of the brand and actually in the calendar year 2022 we have three quarters out of four where we did more than INR 3000 Crores of presales and our total presales for the calendar year 2022 were actually over INR 12000 Crores, which is also ahead of our full year guidance of fiscal 2023 which is at INR 11500 Crores. This only evidences the strength of the brand and the rising attraction that brand Lodha carries amongst the consumer.

With the recurring strong performance in the first three quarters of the year we have already achieved presales of INR 9039 Crores, which is higher than the presales for the full year of fiscal 2022 registering therefore a 62% year -on-year growth. In line with our commitment to provide more transparency we started disclosing the profitability of our new presales done since the last quarter. We believe that this would help our stakeholders and the financial community to also get a better sense not only on the

trajectory of topline growth

but also on the underlying profitability of the same. This embedded EBITDA margin, which for this quarter is at about 31% of our presales, the same for nine months of FY2023 is at approximately 33%. The embedded EBITDA margin was achieved with nearly one third of sales coming from our joint development projects.

Over a slightly longer horizon as the benefit from the modest price increases flow through we should continue to deliver 30% plus EBITDA margin even as we hit the optimal mix of JDAs of being about 40% of our overall sales . This optimal mix of JDAs will also help us

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Page 4 of 19 achieve our goal of 20% ROE. Based on this embedded EBITDA one can derive the pro forma P&L for the quarter based on the presales and looking at the embedded EBITDA of 33% for the presales in the nine months up to fiscal 2023 and then taking into account the cost of finance as well as a very modest cost of depreciation, etc., and are assuming the tax rate at around 25% we can see that the underlying profitability of the business for the full year is likely to be in the range of about INR 1900 Crores of PAT. The collections continue to track the presales growth with a lag of about a quarter or so and came in at about INR 2682 Crores showing a growth of 26% year -on-year. We expect collections to remain robust in the current quarter , further aiding us to reduce debt . While we reduced debt by about INR 750 Crores in the last quarter, we expect to reduce debt by almost INR 1000 Crores in the current quarter.

In terms of additional update outside our core residential business on the UK front the repatriation of the money coming back from London continues at pace. In addition to INR 100 Crores which was repatriated in Q2 of the current fiscal we had approximately INR 155 Crores further repatriated in Q3 of fiscal 2023. We continue to have good visibility for the full repatriation of approximately INR 1000 Crores including the INR 155 Crores which has come in this last quarter to come through in calendar year 2023 as we had noted at the previous call.

I also wanted to bring your attention to three areas, which have the ability to contribute to value creation beyond our core residential business. We now have ready commercial assets with annual lease income potential of approximately INR 2.6 billion per annum. At a 7.5% cap rate this is over INR 30 billion of assets that we have available, which could be over time a good source of both rental income and if and when relevant also of the cash flow from the disposal.

Our green digital infra business, which is a platform in partnership with Bain Capital and Ivanhoe Cambridge CDPQ is growing well. We welcome Mr. DS Rawat as the new CEO of the platform, Mr. Rawat was CEO of Bharti Infratel for almost 10 years in his earlier roles. We expect the green digital infra business to start creating annuity income stream for us and we expect this income stream to be almost INR 3 billion per annum by fiscal 2026 and then grow it significantly further by the end of the decade.

The third element is our facility management business, which is growing steadily as the

underlying residential business is growing and we are now augmenting this facility management business with a digital services app. We expect this business to generate recurring fee income of approximately INR 1 billion per annum by fiscal 2026 and then further growing significantly to almost INR 5 billion per annum by the end of the decade.

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Page 5 of 19 Moving forward on the cost side, the construction costs have remained largely stable vis-à-vis the previous quarter, essentially now for the seven quarters between March 2021 and December 2022 construction costs have increased at an annualized rate of approximately 6%.

Just to reiterate construction cost intensity in India is quite modest as it accounts for just about a third of the sales value. In addition within this construction cost bucket almost one third of the cost is labor cost which is plentifully available in India especially when it comes to unskilled and semiskilled labor and therefore is not prone to any steep inflation. So in effect it is only the commodities which are exposed to inflation and thus manageable in the overall costs. Our higher share of ready and near ready inventory further provides us with further cushion against inflationary pressures. Overall the fact that construction cost inflation is now down to about 6% per annum is evidence of the fact that the impact of the geopolitical circumstances from last year is now starting to moderate and we hope that not only will it help in having more predictable construction cost going forward but also help in moderating the inflation in the overall economy and therefore help the rate cycle to start moving to a peak and then downwards later in this year.

In terms of the land supply we continue to see significant availability of land for us. As I mentioned at the start of the call we have added almost INR 18000 Crores or 178 billion of new projects in the nine months of this fiscal against our full year guidance of INR 150 billion. We believe that this is just an indication of the fact that not only land owners are bringing land to us but they are also convinced about the fact that success in future projects will only come from a handful of players and therefore land availability will continue to remain reasonable or good for players like us. This consolidation of supply is a healthy trend for the industry and will ensure that in the longer term the industry has disciplined supply dynamics as well as disciplined pricing.

Moving forward at this stage we do not see any amber flags on the demand environment, and my educated guess is we are close to the peak of the current interest rate cycle which is also encouraging. Almost all the parameters on our P&L and balance sheet are looking upwards and very promising. As a company, we are very focused on ESG in addition to our financial metrics, we are very proud of our continuing focus and performance on the ESG front. I am proud to inform you that we were rated as being amongst the top 1 percentile of real estate companies across the world by S&P's Global Corporate Sustainability Assessment. We also received a 5 star rating from the Global Real Estate Sustainability Benchmark GRESB and that ranked us as the third best developer in all of Asia. To dive deeper into the reasons for these recognitions and explain our future strategy in this regard today we have with us the Head of our ESG initiatives, Aun Abdullah and our Social Impact Lead Mahika Shishodia.

Before I hand over to them I just want to provide a small capital market update as well. There has been no shortage of uncertainty in year 2 as it looks like so much attention has

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Page 6 of 19 just gotten diverted towards China. In that environment we have completed yet another important milestone in our journey with respect to capital markets. This follows the numerous milestones achieved in the last two years including most importantly the listing of our company, thereafter the raise of primary capital for debt reduction and growth, and finally now meeting the last hurdle to meet the minimum public shareholding criteria of 25%. We were the first company to use the QIP methods to do an OFS. I can now safely say that we do not envisage any further equity issuance primary or secondary for quite some time now. In the process the promoter group has also paid off its entire debt obligations and freed our shareholding in Macrotech Developers from all encumbrances with the highest level of disclosure.

disclosures and corporate governance not to mention of long-term secular growth prospects. We welcome our new marquee investors in the shareholder register and we relentlessly continue on the journey to become one of the most respected corporates. In conclusion I will reiterate that this is just a second year of the 10-to-15-year housing cycle, which has started on the back of strong affordability, household income growth and consolidated supply. We are now ending the year and Q4 generally tends to be a strong

quarter and the early read of Q4 reinforces our belief of the industry is being in a structural uptrend. We are confident of achieving our twin objectives of 20% CAGR in presales and about 20% ROE over the medium term, at the same time keeping leverage well below 1 x operating cash flow and 0.5 x of our net worth. With this I now hand over to Aun and Mahika for a short brief on our ESG journey and after that Sushil and I will be available to respond to your questions. Thank you.

Aun Abdullah : Thank you Abhishek. Hello and good afternoon everyone. Today I would like to share our philosophy and performance on ESG. What we build today, will last or even outlast this century and it will see the environmental and socioeconomic transition as it actually unfolds. Being a leader we therefore shoulder a significant responsibility to do what is right because that will determine that this transition is just quick and bodes well for all. So it is clear that growth of our business will actually be shaped to a large degree on how well we are able to converge our business goals with our ability to convert these risks into long-term value creation opportunities and that is the basis of our do good do well philosophy.

Our projects are home to lakhs of residents, projects like Palava are a unique template of sustainable urbanization in all aspects including experiential to environmental to socioeconomic and we want to build upon that strength. Our environmental strategy is built on two pillars of decarbonization and resilience. You must have been aware of our 2035 operationally net zero target, which we are sure that we will achieve earlier than that. We have been able to reduce our GHG emissions by more than 50% in last five years. Today our construction stage energy use comes mostly from renewable sources. All our projects are being built as green projects and through our ambitious initiative that is Lodha Net Zero Urban Accelerator, which we have found with Rocky Mountain Institute who are a global Macrotech Developers Limited
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Page 7 of 19 think and do tank in the energy transition space. We are working on initiatives covering the entire spectrum of emissions in the built environment all the way from embodied carbons to operational carbon to even the emissions beyond our operational boundary.

We already treat 100% of waste water and use it across our projects to enhance water resilience. We not only recharge the rain water but we enable its storage and use it to lower our external water needs. We are working with experts to decipher the physical climate risks thereby gaining the ability to take the right mitigation measures in right proportions. Our social strategy is currently focused on women empowerment, upskilling and education. We have an ambitious gender diversity goal and that goes with our best people practices and our ardent focus on safety and wellbeing of people in our ecosystem. We are engaging deeply with our value chain to partner in this journey and help us in a just transition. Avoiding the risk of repetition I will let my colleague Mahika to shortly elaborate on some of our initiatives in the social domain in a minute.

Coming to governance we believe that trust and transparency is the bedrock of any enterprise. Although we have a short listed history we have set a very strong governance benchmark for o

urselves. As a company we have grown nearly 20 times in last two decades and in our view such an unprecedented growth would not have been possible without a strong governance backbone and a very tall code of conduct. In terms of our Board we have a very active diverse and independent Board that drives us in our journey. In fact we are amongst those few companies which have an Independent Director as the Chairman of the Board. Our Chairman, Mr. Mukund Chitale who also sits on the Board of L&T and is also the Chairman of the Ethics Committee of Bombay Stock Exchange. The induction of experts like Mr. Lee Polisano, Mr. Rajeesh Bakshi and Ms. Harita Gupta in last 18 months as independent directors has helped us further enhance the expertise and diversity of our Board.

I will now end with our measured ESG performance and position on various global sustainability benchmarks, which basically is a testament to our do good do well philosophy. You would have read more in our first annual integrated report last year where we detailed our systems performance and ongoing initiatives. All that track record has actually helped us perform well in these benchmarks. Last year in November, we ranked in the 99 percentile in the S&P global corporate sustainability benchmark. S&P Global CSA is the same assessment that is the basis of entry into Dow Jones Sustainability Index. While we are not in the DJSI we are proud to be performing alongside the top global companies rated through this assessment. With a 5 -star badge we are also ranked 3rd in Asia in the development benchmark in GRESB 2022. We are also participating in some more and will report as results trickle in. Our approach of participating in these benchmarks is that it helps us learn and improve, it helps us quantify our ESG and also aid in continuously enhancing our transparency. We foresee that with our strategy and the set of actions that we Macrotech Developers Limited

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Page 8 of 19 are already taking we will continue to lead this space. With this I hand over to Mahika to update on our social impact and initiatives. Over to Mahika!

Mahika Shishodia : Thank you all. Good afternoon everyone. The Lodha Group , just like for its business , has an audacious vision for its impact on society. Our focus areas in social impact are women empowerment and education. We are working on two large programs with a vision of building the prosperity and power of our nation. I will first speak about our work on women empowerment.

As you know our country has amongst the lowest female workforce participation rate at about 18%. The reality is that working women in India do two jobs, one managing the household responsibilities and other is their regular job. We observed that the largest drop in female workforce participation is after marriage or after having children. This significantly reduces the work life of women. Our country is not only paying a huge economic cost of an underutilized workforce but also a social cost by marginalizing women. To solve for this our program Unnati brings work to women rather than them traveling to work. At 20 minutes walking distance from our low cost housing developments we are providing workspaces at 75% discount to companies that can absorb at least 500 women in the vicinity into their workforce. These workspaces or Laxmi Bhavans will provide the right enabling environment for women to work consistently, productively and safely. Our aim is to create 100000 new jobs in the next five years. As part of our efforts we are mobilizing the female workforce, providing job appropriate skill training and developing daycare facilities for children. We believe that such an environment will reduce workforce attrition among females and improve work productivity. We recently kicked off our first pilot in Palava and are focusing on the BFSI, telecom, textile and food services

sector to provide

jobs to match the profiles of the first cohort of women.

The second initiative the Lodha Genius Program is in the education space. We are developing a program in partnership with leading Indian universities to help the brightest students across our country achieve their full potential . The program fills a critical gap in the education sector in India where differential needs of gifted students is often ignored. Most of them have high academic scores and it is assumed that they need no additional support. To bring out the best in these students they need to be supported academically, socio-emotionally and financially. The Lodha Genius Program will identify such students across the country and support them from 8th grade by providing academic exposure , opportunities for growth, financial support, and mentorship. The program is strongly rooted in the values of nation building and a sense of contributing back to society. Both these programs will have a huge impact on the lives of people. Let me stop here and hand it over to Sushil !

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Page 9 of 19 Sushil Kumar Modi : Thank you. Thanks Aun and thanks Mahika. With that I think we can take all your questions or queries around the performance.

Moderator : Thank you very much. We will now begin the question and answer session. The first question is from the line of Saurabh from J.P. Morgan. Please go ahead.

Saurabh : Thank you for this opportunity . My first question is you said that the impact of mortgage increases on demand is not very significant yet, but have you seen any slowdown in terms of footfall from your site or anything, your presales are still good, but in terms of footfalls have you seen any slowdown and if rates were to go to 9.25% at what point do you think the demand kind of slows down so that is the first one, the second one is essentially on slide #12 where you have kind of given this embedded EBITDA disclosure so is the overhead calculation basis the current run rate or you have taken a two-year out run rate of your overheads to get to this 32% EBITDA and third question is essentially the guidance for INR 70 billion of net debt by March 2023 that is slide #10 that is still intact right ? Thank you.

Abhishek Lodha : Your last question was not very clear could you just repeat the third question?

Saurabh : So the slide #10 so you have the INR 70 billion net debt by March 2023, we are at INR 80 billion so we are expecting about a INR 10 billion odd reduction in this quarter will that be a way to think about it ?

Abhishek Lodha : Thank you understood. So yes, in terms of what we are seeing in the demand environment and we measure it in a number of ways, we measure it in terms of incoming inquiries, we measure it in terms of footfalls, we measure it in terms of conversion rates, and whichever metric one has seen one has found that the desire for homeownership there has been no flagging of that over the last nine months in spite of the significant increase in the mortgage rates. To give you an example the total number of footfalls that we had coming into our sites in December, which again due to holi days and other things tends to not be such a

strong month was almost 10000 families walked in, and it is probably the second highest in any month of the year, so one has not seen any flagging of footfalls nor have conversion rates reduced per se, which is really reflected in the fact that we have delivered the INR 9000 odd Crores of sales in nine months. In terms of your second question around overhead costs we estimate our company's overhead costs on the basis of the project's entire lifecycle and that is taken into account when one is looking at the embedded EBITDA margin. If you look at the explanation at the bottom of slide #5 you will note that we explained that embedded EBITDA is calculated taking into

account the actual sales price that the unit is sold at and then we take into account the life cycle cost, which are all lifecycle costs including construction, overhead and so on with only finance cost obviously not deducted from the EBITDA numbers so that is taking into account lifecycle cost. In terms of your third question around debt reduction, yes, we are looking at reducing debt by approximately
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Page 10 of 19 INR 10 billion in the current quarter as you would have noted even with the significant investment in land and approvals we were able to reduce our debt by almost INR 750 Crores, 7.5 billion in the last quarter and we feel pretty good about being able to further reduce it by a slightly higher quantum in the current quarter. Not only that, I think even going forward I would like to clarify to you as well as all the others on the call that our guidance of debt at about INR 60 billion is our peak debt number which is really comes out of our limit of debt, our peak debt being 1x operating cash flow and 0.5x equity, but given the fact that we have been able to consistently show growth while reducing leverage we expect our debt to continue to reduce through fiscal 2024 and therefore being meaningfully lower than the INR 60 billion number.

Saurabh : Just one last question what will be the mix of JDA and presales for this year ?

Sushil Kumar Modi: For the quarter it was around 33%, but for the nine months it would be somewhere around 23% so perhaps for the year it should settle somewhere around 25%, 26% is what we can estimate sitting today.

Saurabh : This will go to about mid 30s longer term ?

Abhishek Lodha : Around 40% is our sort of stable state, yes, is what we expected to get.

Saurabh : Got it, thank you.

Moderator : Thank you. The next question is from the line of Kunal Lakhan from CLSA . Please go ahead.

Kunal Lakhan : Just a question on the guidance side. So we have done well on the presales, and we are likely to exceed for the full year, but on the operating cash flow side we have lagged the guidance so what is happening here, is it because of the collections are lagging or are we spending more or is it a combination of both ?

Sushil Kumar Modi : So on the cash flow actually we are reasonably tracking as you would have seen we have indicated to, so not that the cash flow we have any kind of negative, adverse performance it is just the kind of investment or the kind of business growth that is going hand-in-hand in tandem, which automatically then decides potentially from the cash flow how much the debt reduction happens so it is just a function of that and which is where we continue to remain confident that INR 1000 Crores minimum we would reduce in this running quarter.

Kunal Lakhan : Sure. Just a related question on that. The dividend policy that we had set out last year or beginning of this year said that 15% to 20% of the PAT you would pay out as dividends now for the PAT purpose would you consider the reported PAT where you have the
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Page 11 of 19 provisioning of INR 1100 Crores odd or would you consider the adjusted PAT just trying to understand that ?

Sushil Kumar Modi : No, in all phases we would be looking for an adjusted PAT taking out any extraordinary measures such as like this, but obviously the policy suggests perhaps the max that we would be considering. How much we would be considering will be a function of as is stated in the policy equally our capital structure vis-à-vis the business growth that is ongoing. So as a combination of all of these we will get to arrive at in consultation with the Board a rightful number as dividend, which when we declared in any case so that you note would be kind of paid out more like September -October because it will be more like a final dividend, so after the shareholder

rs' approval.

Kunal Lakhan : Sure that is helpful and lastly on the accounting side we say that our embedded EBITDA margin is better than the reported EBITDA because of the period costs but just trying to understand this. We say whatever is getting recorded in our P&L those projects must have

also had that period cost so if you are talking about 1.9 million square feet of deliveries against 2.3 million square feet of new launches to which the period costs have been allocated to so I am just trying to understand like so more or less over a period of time that should get netted off so is that the ways one should look at it ?

Sushil Kumar Modi : While the principle of what you are saying is absolutely correct. What has to be taken into account is the differential rate of growth. The current period costs are based on the fact that the organization is running at INR 11500 Crores plus sales run rate and equally construction and business development and all of those activities. Over a medium-term obviously the embedded EBITDA margin that we are reporting and the adjusted EBITDA which will actually be in the P&L they will converge and if you see over the last few years on an ongoing basis our quarterly numbers when it comes to adjusted EBITDA are between the 30% and 35% range so the percentage wise it will be the case but when one looks at absolute numbers because when one is looking at the period cost it is an absolute quantum which is deducted from the lower revenue which is recognized and that is what affects or that is why we say is that the P&L revenue and the P&L EBITDA are lagging indicators whereas when one looks at the presales and the embedded EBITDA one can get a much more real time picture of the performance of the business. So just so that you understand in any case our embedded EBITDA percentage that we are indicating is pretty much tracking the current performance as well as you would have seen adjusted EBITDA even for the last nine months or be it for the quarter is in the range of around 32% so pretty much on track what you are not getting effectively is a flow through of that EBITDA to the PAT which is on account of our past capital structure being tilted towards debt where the significant amount of interest got capitalized and hits the P&L included in the cost of projects, so as our trajectory on the net debt reduction continues then effectively all of that kind of completely wipe s out and which is what when you see the pro forma P&L we have

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Page 12 of 19 indicated for the current year on an average debt that we would have for this current year our interest cost, finance cost would be around INR 1000 odd Crores and we have taken the entire INR 1000 Crores in the pro forma P&L showing it coming into the P&L as is and then what should be the PBT or a PAT.

Kunal Lakhan : Sure, thanks so much and all the best.

Moderator : Thank you. The next question is from the line of Sameer Baisiwala from Morgan Stanley. Please go ahead.

Sameer Baisiwala : Thank you very much and good afternoon to everyone. Just on the new project acquisition side JDA how is the outlook for next 12 months, in the sense that is the space getting very competitive from a bidding point of view and for the deals that you have done so far what is the sort of a typical land owner, is it an industrial or if you can just share some light on that ?

Abhishek Lodha : What would I say our BD cup is flowing over as it stands right now it has not only seen in terms of the quantum that we have been able to do in nine months but also in terms of what the pipeline is and how much of deal inflow is coming through. So very clearly we see that we are quite the preferred choice especially in our focus cities of Mumbai and Pune for joint development and we are seeing a very steady pipeline there in terms of your questi

on

around who are the providers of this land.

Sameer Baisiwala : Yes.

Abhishek Lodha : Mix there are landowners, there are financial institutions who have historically been stuck with some assets, there are developers who are stressed and so it is a wide mix as it has been over the last 20 months as we have sort of added almost INR 30000 Crores plus of new projects.

Sameer Baisiwala : At any point in time are you thinking of reverting back to outright purchase of land and for Bengaluru is there any update and would JDA be the principle way of expansion over there ?

Abhishek Lodha : In terms of Bengaluru we are in what we call the seed phase. The seed phase is where we do a few projects, deliver the projects so that is really why we entered Bengaluru almost three years before we really needed to enter for growth purposes, almost all our growth up to fiscal 2026 is going to come from Mumbai and Pune, Bengaluru we are using this time to establish our brand become local, establish a strong operating structure and team and we continue to be operating with a low risk model which is JDA driven. In terms of whether we will acquire land outright the answer of course is yes as you will note in our presentation we expect our medium-term mix to be about 60% outright and 40% JDA. So obviously we are moving from a situation where we were almost 100% outright and are now slowly over the

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Page 13 of 19 next 18 odd months going to get close to the 40% JDA mark. This will also be the time

period in which we have corrected our balance sheet through a combination of capital raise and operating cash flow generation you saw last quarter and in this year over all we will reduce debt by almost INR 2500 Crores which is all organic and therefore it has been quite useful for us to use the JDA model to keep growing while we have made our balance sheet as strong as we like it to be. With the strong operating cash flow that we have close to INR 60 billion this year a higher number next year will of course give detailed guidance in our April call we expect to have the ability to of course acquire land outright the JDA will like I said be about 40% the balance being outright.

Sameer Baisiwala : Just one final question from my side. Macrotech has always been known to be more of a South Central Mumbai company so I can see on slide #22 you have 1.2 million square feet of own land and then nothing so this is all in the park project, and the second is going forward how do you plan to continue your dominant position in this micro market ?

Abhishek Lodha : We have as you rightly pointed out about 1.2 million square feet of own land and then about 1.7 million square feet of JDA land in South and Central Mumbai totaling to about 3 million square feet currently , beyond of course whatever is under construction as well as what is ready and unsold. So there is quite a significant quantum available with us if you look at the numbers we have about ready unsold of INR 37 billion and ongoing unsold of INR 70 billion so that in itself is almost a INR 110 billion that we have and in addition beyond that we have 3 million square feet and you can ascribe whatever value let us say another INR 100 billion to that. So between the two buckets that is more than INR 200 billion of inventory that we have which is a good three years plus of sales in the market so we see very good and given our strong performance in this market the marquee quality of projects that we deliver the business development pipeline also is very strong. So very clear visibility as you will already have noted for the next three to four years and very significant business development which is available for us. So we do not see any concern in terms of our ability to continue to provide high quality product to the South and Central Mumbai market.

Sameer Baisiwala : 0.9 million is a

ll in park, right ?

Abhishek Lodha : You are talking about the 0.9 million of...

Sameer Baisiwala : The own land, beyond 12 months slide #22.

Abhishek Lodha : That is our project in Prabhadevi. That is partly in Prabhadevi and partly there is another location. So park I think almost everything will be under ongoing unsold.

Sameer Baisiwala : Okay got it. Thank you.

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Page 14 of 19 Moderator : Thank you. The next question is from the line of Pritesh Sheth from Motilal Oswal. Please go ahead.

Pritesh Sheth : Thanks for the opportunity. First question on Mumbai as a market from overall macro perspective we have seen upsurge in demand in last two years I think Mumbai has been one of the best market , but now over the last probably five, six months the volumes which we have seen in terms of registration as well as the consultants ' reports have been kind of steady there has not been much growth what is your outlook on Mumbai as a market will we continue to see growth in terms of the industry volume that currently the region is clocking in and how do you see the upcoming infrastructure development helping boost further demand ?

Abhishek Lodha : Thank you that is an important question. Our view is that Mumbai is at a cusp of a breakout driven by two things one of course is the infrastructure creation which has been in the work for almost a decade now , but a number of those projects will culminate in the next 24 months and I think those are going to be really game changing for Mumbai including the Trans Harbour Link, the coastal road, several arms of the metro and a lot of many other not so prominent projects. This I think is coming at the right time for Mumbai because I think in India now we are going to see the impact of manufacturing leg of growth in addition to of course the strong services leg that India has, and as capital investment, whether under the PLI scheme or otherwise, whether led by the domestic consumption or the China Plus One Strategy all of these fructify , Mumbai is likely to be an outsized beneficiary of that through front office as well as banking. So generally we believe that Mumbai is very well poised because of these things that I mentioned. However , in our own internal assessment we remain to do our numbers on a conservative basis we expect nominal growth in the Mumbai market to be in the 10% to 11% range with a mix of about 5% to 6% in price and the balance in terms of volume so generally we are expecting Mumbai market nominal growth to be, our internal assumption is being conservative are below nominal GDP growth.

Pritesh Sheth : Just a followup on that, I think initially while we were targeting the markets like Western suburbs, Eastern suburbs, as well as Pune, Navi Mumbai was also one of the markets where we were looking for growth opportunities, but I think we have not materialized anything in

that any separate challenges that we are facing in that market and what is your additional outlook in that market ?

Abhishek Lodha : That is very good read. You are right that most of our new project additions have been in the other markets you mentioned including Western suburbs, Eastern suburbs, and Pune, in addition to the three markets of South Central Mumbai, extended Eastern suburbs and Thane where we have historically been very strong. Navi Mumbai and Eastern suburb is a joint market for us and we have opportunities available in the Navi Mumbai market, we have just found that the profitability levels there are not as strong as what we are

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Page 15 of 19 comfortable with and therefore we have been choosy in picking what to work on. We continue to evaluate opportunity but as we said in a different context we are not only chasing topline we are chasing profitable topline and therefore will always be disciplined in the kind

of projects we take up so there both the topline and the bottomline should be understandable by us.

Pritesh Sheth : Just one last question, I think you mentioned in your initial commentary that the embedded EBITDA margin even if we are at full scale contribution from JDA that is at 40% the EBITDA margin can remain at 30% kind of a range versus in presentation you have mentioned the mix probably we are calculating at 25% so just a clarification of that whether 30% can be achievable with 40% JDA contribution or I misunderstood something ?

Abhishek Lodha : We do expect that even as the contribution from JDA stabilizes around 40% that given a combination of our scale and therefore our ability to make sure that construction costs are continuing to be value engineered and our overhead costs also given the larger scale are improving plus the price growth that one is seeing in the market place which adds to margin we will be able to maintain the approximate 30% in terms of our EBITDA margins even with the 40% contribution from JDA obviously there may be a quarter where it may become 29%, in another quarter where it maybe 32% but over any meaningful period that 30% should be achievable.

Sushil Kumar Modi : Actually you can do the math straight right. The difference between the outright and the JDA typically would be somewhere around let us say 10% to 12% and if you just extrapolate to the fact that we would have 25% of JDA mix this year and even if you go to the 40% in the FY2024 that means incremental 15% on that if you take that 12% equation being paid out the differential between the two land model that net impact would be somewhere around 2% and that 2% if you then look at from a price rise standpoint, price rise being around 5%, 6% even if netted down with any construction cost inflationary impact if at all has to further play out for any conservatism you can safely see that, that will get reasonably offset with the price rise and thereby 30% in itself perhaps should not have any challenge maybe even more.

Pritesh Sheth : That is what I wanted to clarify thanks for that answer and all the best. That is it from my side.

Moderator : Thank you. The next question is from the line of Alpesh Thacker from Antique Stock Broking Limited. Please go ahead.

Alpesh Thacker : Thank you for taking my question. Sir my first question is kind of continuation from one of the previous questions that we had. So as we understand that we are in a midst of a strong housing upcycle and this comes with increased expectation of every stakeholders including Macrotech Developers Limited
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Page 16 of 19 the land owners so just want to make sure that how do we ensure that we still make reasonable returns on the projects that we get into so what is the thought process behind that and how do we ensure that we do not get into projects which are really not very profitable or meet our benchmarks ?

Abhishek Lodha : It is an important question. Two things you will have to take into consideration as you determine how land owners are thinking about the situation. Point number one is that with the steady consolidation in the industry while the quantum of land supply is the same or similar or may even get higher as prices move up the number of takers of that land are limited and therefore the negotiating leverage or negotiating power is tilted towards those who are taking the land that is one element. The other element especially in the joint development model is that the land owner continue to benefit from the upside in pricing so they need not push hard on the percentage of revenue or profit that they would get because in absolute terms as the market strengthens they will benefit from that upside too so we have not seen any circumstance or anecdotes right now where we see undue pressure. Obviously every landowner wants to make sure they get a good deal, but the good deal is

not only the

percentage of profit or revenue it also includes who is the partner, what is the transparency, how likely is the project's timeframe and price realization to be close to business plan, what is ultimately going to be the NPV, so all these factors have been taken into account by the land owners and we do not see any undue pressure on the land cost.

Alpesh Thacker : My second question is I am referring to the slide where you guys provide price inflation of different materials there we see sharp increase in lifts and elevated costs so how should one read it so what has really gone wrong there what is the reason behind that, that is it from my side?

Abhishek Lodha : I do not really know the specific answer to that nor it is my area of expertise. I can only guesstimate that given the lockdowns in China and because China tends to be a provider of both input materials as well as finished goods in the elevator space one may have seen a spike and because it is a December 2022 number you may see that up to March 2022 the impact was limited but then suddenly you saw a much bigger impact in this period up to December 2022 but we will do a deep dive and hopefully be able to give you an offline answer on that.

Alpesh Thacker : Thanks a lot for the clarification. That is it from my side.

Moderator : Thank you. The next question is from the line of Abhinav Sinha from Jefferies. Please go ahead.

Abhinav Sinha : I wanted to ask a question on the digital infra side so you have put up some numbers on slide #17 so can you just provide some clarity on the area under development and area under construction?
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Page 17 of 19 under construction what does it mean, is this what we have, let us say part of JDA where we can earn earnings, etc., so that is one, and also on this what is the cost of the Kurla land parcel, and you have also given some numbers, some targets for this business can you just elaborate that? Thank you.

Abhishek Lodha : Your first question if I understood correctly is what is the difference between area under development versus area under construction. Area under development is the total land which we have acquired and started infrastructural activities around, area under construction is where the physical construction of the box has started so that is the two so you can read it as saying that we have approximately 5.7 million square feet which is available for development and the infrastructure activities around that has started out of which 1.4 million square feet are under construction as physical boxes so that was one. In terms of the consideration for the Kurla land the exact amount was I think it is approximately INR 150 Crores we will get you with the exact figure, and I think while your line was little unclear the last question you had is what are our growth plans in this area. As you are aware the platform has been earmarked very significant amount of investment into this area we believe that warehousing and industrial are secular growth stories in India and are supply constrained and we expect to scale this platform up meaningfully in the next three years such that our share of income which is our one third share in the propco plus our fee income from managing the opco will be approximately INR 3 billion by fiscal 2026.

Abhinav Sinha : If I may ask one last question the office space at World Towers I believe it is now completed right so by when are we expecting to monetize it and will we go for say a part monetization as it leases or you would like to do it in one shot?

Abhishek Lodha : As you have noticed we have about INR 30 billion worth of office or retail assets which are ready or almost ready now including the one Lodha place office building which you mentioned. In terms of our monetization plans we do not have a clear decision yet on the form of monetization obviously we do not expect

to continue to hold it long-term on our

books our current focus is on leasing. The leasing activity has started off well, we are having a number of marquee clients including companies like Condé Nast and Gucci, who have signed on and we are focused now on leasing the building out and once the leasing activity substantially progresses we will decide on what is the best way of monetizing the asset.

Abhinav Sinha : Thank you.

Moderator : Thank you. The next question is from the line of Parvez Qazi from Nuvama. Please go ahead.

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Page 18 of 19 Parvez Qazi : My question is regarding our township businesses so what is the kind of presales that we saw from that segment in Q3 and what are the future launch pipeline in that segment? Thank you.

Abhishek Lodha : The township business is classified largely under what we call extended Eastern suburbs, so if you look at the details on slide #20 of our presentation you will note that we had about

INR 5.5 billion of presales from the extended Eastern suburbs and we obviously have very significant land holdings in our developments there. The number for the nine months so far is just under INR 17 billion and we expect that segment will grow to over INR 20, INR 22 billion or thereabouts for the full year. The launch pipeline is quite significant. For those who are in Mumbai you may have even seen an ad this morning of a new segment which is the Crown segment in Dombivli, and we continue to add in new segments like including plotting, higher end aspirational housing, the continuing mid income housing under our Casa brand then lower down more affordable housing under the Crown by Lodha brand we are doing office spaces there in terms of office sales, so we are seeing a number of different drivers on the product side. There is a lot of interesting and positive infrastructure activity in that area. The Thane -Dombivli link road is now physically complete and should be open for operations in the next three months which will make Upper Thane just a 10 -minute drive to Dombivli West station. The Nagpur -Mumbai Samruddhi Mahamarg will also touch the Upper Thane project on one side and that will make the drive from Upper Thane will basically become the gateway to Mumbai for all of Northern Maharashtra. Similarly in Palava we have seen a lot of augmentation of roads. The Airoli tunnel work it looks like it is quite a bit progress and will make Airoli a predictable 20 minutes away from Palava, which we expect to be a meaningful contributor to additional demand, and we also are seeing other activities. So overall we feel quite bullish about the reset in the townships business both helping reset in terms of pricing as well as in terms of volumes and we do expect that maybe from fiscal 2025 onwards you will see a meaningful shift upwards in the total contribution from the townships business.

Parvez Qazi : Thank you . That is it from my side.

Moderator: Thank you. The next question is from the line of Kushagra from Old Bridge Capital. Please go ahead.

Kushagra : Thanks for the opportunity. Just one question. If I look at your JDA signings launch timeline on slide #15 and if I compare this with your earlier disclosures just curious to know that majority of the timelines have sort of postponed, like for example certain projects which were about to get launched in starting FY2023 or mid of FY2023 have been sort of postponed to FY2024 , I remember one of the key differentiating factors for JDA signings, which we have highlighted are the lower launch timelines from the date of signings right so correct me if I am wrong or should we read anything over there ?

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Page 19 of 19 Abhishek Lodha : No, I think the fact is that if anything shifts by a month or two months you will see that shifting from fiscal 2023 to fiscal 2024 because

use you are in the last quarter of fiscal 2023. So that is about it actually if you look at it from our new projects launches which is probably the better way to read what we are launching and what time it is taking to get us to launch which is I think the previous slide #14 and then there is a detailed summary of that also you will continue to see that our launch activity is very robust, you will see the slide #13 that our launch activity is quite robust and that is summarized on slide 14. So really no change in how we are able to get projects to market timely, often one or two months swing will happen but when you see it in the last quarter of the year it will look like a year has shifted.

Kushagra : Yes, totally understand that. Sure, thanks and all the best.

Moderator : Thank you. Ladies and gentlemen that was the last question for today. I now hand the conference over to the management for closing comments.

Anand Kumar : Thank you everyone for joining the call. It was a pleasure to answer all your questions. Feel free to reach out to me or Sushil for any further updates. We will be happy to help you.

Thank you.

Moderator : Thank you. Ladies and gentlemen on behalf of Antique Stock Broking Limited that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Apr 2023

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April 27, 2023

BSE Limited
Scrip Code: 543287
Debt Segment – 974163, 974199, 974473, 974511

National Stock Exchange of India Limited
Trading Symbol: LODHA

Dear Sir,

Sub: Q4FY23 - Earnings Call Transcript

We are enclosing herewith a copy of the transcript of the Company's Q4FY23 earnings conference call held on April 24, 2023. The transcript is also being uploaded on the Company's website i.e. www.lodhagroup.in under the Investors section.

This is for the information of your members and all concerned.

Thanking you,

Yours faithfully,
For Macrotech Developers Limited

Sanjyot Rangnekar
Company Secretary & Compliance Officer
Membership No F4154

Encl: As above

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"Macrotech Developers Limited
Q4 FY 2023 Earnings Conference Call"
April 24, 2023

MANAGEMENT : MR. ABHISHEK LODHA – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – MACROTECH
DEVELOPERS LIMITED
MR. SUSHIL KUMAR MODI – CHIEF FINANCIAL
OFFICER – MACROTECH DEVELOPERS LIMITED
MR. PRASHANT BINDAL – CHIEF SALES OFFICER –
MACROTECH DEVELOPERS LIMITED
MR. ANAND KUMAR – HEAD, INVESTOR RELATIONS –
MACROTECH DEVELOPERS LIMITED

MODERATOR : MR. BIPLAB DEBBARMA – ANTIQUE STOCK BROKING
LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Macrotech Developers Q4 FY23 Earnings Conference Call hosted by Antique Stock Broking. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Biplab Debbarma from Antique Stock Broking Limited. Thank you and over to you.

Biplab Debbarma : Thank you, Ryan. Good afternoon, everyone. Welcome to the Q4 FY23 Earnings Call of Macrotech Developers hosted by Antique Stock Broking. Today we have with us the management of Macrotech Developers represented by Mr. Abhishek Lodha, Managing Director and CEO, Mr. Sushil Kumar Modi, CFO, Mr. Prashant Bindal, Chief Sales Officer, and Mr. Anand Kumar, Head IR. Without further ado, let me hand over the call to Mr. Lodha. Over to you, sir.

Abhishek Lodha: Good afternoon, everyone. Thank you for joining us for our Earnings Calls. I hope all of you and your families are well. Exactly two years ago, we got listed with economy in a fragile state amongst the uncertainty of the second wave of COVID. Over the last two years, we have seen the pandemic and hopefully that's now behind us. We have thereafter seen the consistent recovery in the Indian economy. We have also seen interest rates rise. And most importantly, we have seen good momentum in the housing sector in what seems to be a multi-year uptrend. We started a couple of years ago, and the long duration of which I have been highlighting from time to time.

Amidst all this global uncertainty and volatility, there has been the stability of the Indian economy driven by a development-oriented government and a prudent central bank. The Indian economy has exhibited high growth rate, contained inflation. We have an improving current account balance and strong forex reserves. This has enabled the central bank to hit the pause button on interest rates and start supporting job creation.

The balance sheets of Indian corporates as well as banks have improved significantly over the last few years and are perhaps in one of their best ever shapes. While we may not be able to decouple ourselves completely from what is happening in the globe, the overall situation is such that we should not get impacted in any significant manner from global factors. This is seen in the encouraging high frequency data, including the direct tax collection, GST, PMI, as well as IIP growth numbers.

The strong sense of growth in the economy is also translating into optimism on the job front. Let me touch upon a few factors which make me believe that robust job sentiment and wage growth outlook is likely to remain the case for the next several quarters. As per a survey conducted by Aon, a leading HR consultancy firm, India Inc. is likely to deliver salary growth of about 10%. IT hiring at the aggregate level has remained in a positive territory, though of course at a much lower level than in the years right after COVID.

This has been supported by the Global Capability Centers, GCCs, which have ramped up hiring and are continuing to expand their presence in India. Private capex in India has also started

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looking positive. And with the rollout of the PLI schemes, we have started seeing the manufacturing, which has long been a laggard in the contribution to the Indian economy, is likely to start picking up. All of the above endorses a very fundamental hypothesis that robust job creation and sustainable wage growth is likely to be the hallmarks of the Indian economy for the next several years. Employees in most

sectors remain optimistic on their job prospects, which keeps consumer confidence quite robust.

As a consequence of all of the above, we are about to enter a once in the lifetime of this country's transition, where more than 100 million new households will become home ownership capable over the next seven to 10 years. It goes to say that this level of home creation has never been seen in the free world ever. And this presents an opportunity of a size which most of us cannot even contemplate at this stage. Our performance over the last two years has to be seen in this context. It is a long cycle, likely to last several years.

And as India's largest housing developer, with a focus on attracting and retaining the best talent in the industry and developing strong processes, we believe we are best placed to capitalize on this long structural up cycle which we see ahead of us. Over the last two years, after our tepid listing, we saw good recovery, two capital raises, a primary and a secondary, significant debt repayment, strong cash flow generation, the acceleration of the process of winding down our UK exposure and good momentum and visibility in our progress.

With these achievements behind us and the confidence of a rock solid balance sheet and a strong bright future ahead, we are in a position to reward our shareholders with a one is to one bonus issue, indicative of a strong balance sheet. And we are taking the first step on the path to consistent dividend payout, reflective of good visibility on cash flows. Starting with two rupees per share this year, our aim will be to maintain this amount in absolute terms at worst and over time, we will endeavor to steadily increase the payout as our balance sheet continues to get fortified with strong cash flows.

We would like the company to continue to provide consistent growth over the rest of the decade with strong operating cash flow generation, strengthening the balance sheet every passing year and improving return metrics through our prudent capital allocation. We continue to see strong momentum in potential deals available by the way of JDAs or joint development and demand which is strong enough to keep utilizing our own existing land bank as well. There are three areas in particular that I would like you to take note of. Number one, last year, we had operating cash flow of about INR5,660 crores.

And after interest and taxes, we had capital available for growth investments, as well as for repayment for rewarding our capital providers of INR4,600 crores. Out of that INR4,600 crores, we utilize INR2,400 crores towards growth investments and INR2,200 crores plus towards reducing of debt. This ability to both invest in growth as well as deliver at the same time, we believe is unique to Lodha in the Indian real estate space and that is driven by the significant size of our operations as well as our very strong efficiency in converting land to cash through operational excellence.

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The second factor that I'd like to highlight is the fact that in FY23, our INR12,000 crores of pre-sales came from 33 contributing projects, which is set to further increase in fiscal 24. This large number of operating projects means that we are not dependent on any one location or segment for our sales and our growth, which in turn provides granularity and predictability to our business. The third factor which I'd like to highlight is the strength in our township business in which pre-sales rose by about 16% from INR1,900 crores to just under INR2,300 crores in fiscal 23.

With significant infrastructure projects, which have been long under construction now getting completed in fiscal 24 and fiscal 25, we believe that this attractive part of our business with strong underlying cash flows and margins is set for a comprehensive re-rating over the next few years. Adding all of th

is up, we see clear visibility of 20% growth in pre-sales for fiscal 24 and a nice path to INR21,000 crores of pre-sales by fiscal 26 on the back of significant growth in our core markets of Mumbai and Pune, which will be evidenced through continued business development momentum as well as new launches in these two markets. In addition, as you are aware, we are in our pilot phase in Bangalore and we expect to have two launches in the course of fiscal 24 in Bangalore.

While the operating cash flow growth for fiscal 24 is a tad lower than the pre-sales and collections growth, that is because we also want to build up a strong annuity portfolio in the direction of having sustained cash flow in case of downward cycles. We are working towards net annuity income of INR500 crores per annum by fiscal 26 and INR1,500 crores per annum by the end of the decade through three strategies. Our warehousing and industrial parks platform with Bain and Ivanhoe being number one.

Second, our facilities management business serving our large residential base. And third, creation of a selective, high-quality commercial asset portfolio. And finally, on the much maligned four-letter word called debt. We are now extremely comfortable with the capital structure of the company. We have missed the INR6,000 crores debt target for fiscal 23 by INR1,000 crores, having ended with INR7,000 crores, but that is on the back of much larger business development, i.e. INR20,000 crores actual versus INR15,000 crores of guidance and the decision not to sell certain high-quality commercial assets, both drivers of future growth and balance sheet strengthening.

In the current year, we not only intend to get our net debt below our stated ceiling, which is one times operating cash and 0.5 times equity, but in this year and in future years, we intend to continually aim to reduce debt below this ceiling with an endeavor to have the highest quality balance sheet. The underlying, as an update, on our UK business, we repatriated INR550 crores in the course of the last three quarters, and we intend to expect to repatriate another INR550 crores in the course of fiscal 24. With that, the entire repatriation from the UK will be complete and we will divest our equity ownership in the UK subsidiaries, in the UK companies, and we'll no longer have any international exposure.

As we have stated in the past, Macrotech is solely committed to making all investments in India and growing strongly within this country. As you are aware, on account of the accounting

period. However, we are also, as you are aware, reporting the embedded EBITDA of the sales done in each quarter and we have also presented the pro forma P&L for this fiscal, which will give you a true picture of the underlying cash flow generation and profitability of our business. As I mentioned earlier, on the back of our strong operational excellence and our very efficient land to cash cycle, our ROEs are now touching 16% plus for fiscal 23 and we expect to be close to 20% by fiscal 24. I will leave the details of projects, launches, growth, etcetera, for the Q&A session, but I would like to conclude my part by saying that we are in a strong momentum in residential as well as our annuity businesses. Price growth in the sector is optimal. We have got a further tailwind with peak of interest rates probably behind us. Costs are under control. Consolidation in the sector continues unabated.

Deal flow and opportunities are massive enough for us to be selective. Deal signing and launches will happen with consistency and prudence and in a summation of all of the above, I reiterate that we will have a strong balance sheet, the strongest balance sheet that we've ever had, and a consistent growth in

sales and cash flows. Given that there have been questions on sales growth on the back of the increase in mortgage rates of over 200 basis points over the last 12 months, we have our Chief Sales Officer, Prashant Bindal, to give you an update on the current environment as we continue to showcase our management bandwidth. And of course, our CFO, Sushil Modi, is also available to address any questions on the financials. I now hand over to Prashant for a quick update on sales, and then Sushil, and then we will have Q&A after that.

Prashant Bindal : Thank you. Good afternoon. In terms of the overall numbers, on the pure sales numbers, we were able to deliver a for sale number of INR11,500 crores, INR11,400 crores to be precise. And out of that, INR11,400 crores was purely driven by the fundamentals that we have been working on the ground. The two fundamentals have been what is the number of customers that visit our sites and what is our conversion ratio. So in terms of number of walk-ins, we were able to take the numbers for the first time beyond one lakh mark.

In fact, 115,000 customers visited our site in the year in 33 sites and the conversion, which was almost a 16% increase in the swing over last year, and the conversion improved from 6.8% to 7.5%. 7.5% conversion for the first time we crossed the 7% mark. So eventually, almost a 15% increase in the walk-ins and 11% increase in the conversion and the balance increase coming from the price increase that we were able to take. So that led us to almost a 34% increase in the overall business.

And in terms of consistency, and for the first time, more than 1,000 channel partners did booking for us, which is a landmark for any real estate company that more than 1,000 channel partners were able to do booking for us. In terms of the consistency of the business, we had a consistent flow that almost 33% of our business came from the ready-to-move-in business. Almost 32% of the business came from the under construction business and 32% of the business coming from the new launches. So extremely consistent business, whether from RTMI, non-RTMI, and under construction and new launches.

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And I think this gives 33 projects and the business coming from ready-to-move-in, under construction, and new launches almost consistent, gives a lot of consistency and predictability to the business. In terms of new launches, we had some very good success across the segments. The biggest success, of course, was, as you would have read in the luxury segment, in Lodha Malabar, we were able to cross INR1,000 crores mark, and the largest value deal happening in that segment. We also had very good launches in Pune, where Hinjewadi and Kharadi, both the markets, we were able to do business in excess of INR300 crores.

So all the launches and in the affordable segment, we have had a consistent walk-ins and the business. As far as the mortgage rate is concerned, yes, some change in the business movement has happened. Earlier, the absolute entry segment of 1 BHK, that has been one segment that there has been an impact of the mortgage rate, but that has been shown by the shift of movements towards the higher segments in case of 2 BHK and 3 BHK. So this is the overall idea and we hope that in the coming years, we hope to have a similar consistency of business improving in terms of walk-ins.

When we are looking at almost, we have given a guidance of 20% swing this year. We hope to have another 10 to 12% swing in the walk-ins, and another 6 to 7% swing in the conversion, leading to a 20% growth. And also, we hope to maintain the same momentum of 30 to 35%

business in ready -to-move -in, 30% business in under construction and 30% business coming from new launches. So this is the basic thing, and any questions are most welcome.

Sushil Modi: Hi, this is Sushil Modi. So I think

you all have heard around the business as a whole, how positively we are moving towards – and have moved rather in the last two years, and the trajectory going forward continues to look even more optimistic vis -à-vis whatever we have seen in the last two years and this is what you should be expecting from Lodha moving forward. The question on mortgage rates will always be there in everybody's mind, point taken, but the fact is the reality of life in terms of demand for housing is so robust, some of these perhaps are more or would continue to be on the sidelines.

As far as the right brand with the right commitment and the right quality product, when it comes to all of that, I think these things do not become of any paramount importance and which is what you heard from Prashant. Be it any of the launches that we are doing, most were in particular micro -markets where we were not there, and that is what was the basic hypothesis of our business in terms of growing, and the growth strategy. That has played out pretty well, just take Eastern Suburb where we were completely missing, we have achieved sales of around INR1,200 crores, which effectively becomes 10% of our total sales for the year.

So is Pune where our delivery was more to the tune of around INR250 odd crores, this year we have achieved INR1,200 crores there as well. So it means as we continue penetrating with more and more projects and which is what we call our supermarket strategy to ensure that we bring out product into each and every neighbourhood, to cater to the demand sitting there, because we do consider this demand is pretty much non -mobile to a reasonable extent. Every neighbourhood has a particular set of demand, which needs to be catered only by bringing in the product here.

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Just to add on beyond what Abhishek and Prashant said, in terms of margin, as you would have noticed, our EBITDA margin of the sales that we have achieved in the current year, it stood at around 32%. In the next year, as you would have noticed in our presentation for the next year, FY24, we have indicated 30%, which is basically just a function of more -and-more newer projects coming in wherein the modalities of our raw material acquisition has been under the joint development arrangement route, where typically, the margin happens to be a bit lower. But nonetheless, this is our own estimates, we feel confident to deliver 30% handle of margin on an ongoing basis even as the JDA proportion in the overall mix continues to increase.

The dividend that you all have noticed, effectively endorses and suggests the confidence we have in our, not only just the top line, but the cash flows, the strength of the cash flow that we continue to see month -after-month, quarter -after-quarter. And while on the one hand that cash flow enables us to continue reducing our debt, leave aside the threshold that we have set, which in some sense becomes more of a theoretical threshold or a cap, we continue to work towards going and creating far higher cushion vis -à-vis the threshold that we have set.

And as we see that happening on an ongoing basis, we clearly saw a merit in commencing the dividend distribution, and which is what you see this being the first year that we commence this journey.

With this, I would like to perhaps request you to open the Q&A.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question -and-answer -session. Anyone who wishes to ask a question may press star and one on their touchtone telephone. If you wish to remove yourself from the question queue, you may press star and two. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we request you to restrict to one question and one follow -up question per participant. Ladies and gentlemen, we will wait for a moment while we poll for questions. O

Your first question comes from the line of

Murtuza Arsiwala from Kotak Securities. Please go ahead. Murtuza Arsiwala, your line is unmuted. You can ask your question.

Murtuza Arsiwala: Yes. Sorry. Just wanted to sense, you talked about the annuity piece of the stream. Any color, Sushil, that you could give us on what the management business looks like in terms of size and margin and how big this could become?

Management: Murtuza, hi. I presume your question relates to the facilities management business.

Murtuza Arsiwala: Yes, the facilities management.

Abhishek Lodha: Yes. The facilities management business, as you're aware, we manage for different periods of time all the developments that we complete. We almost have now 60,000 units which we have completed and handed over to customers. We are now also starting to see a trend that even when we hand over the management of the buildings to the individual societies, people are coming back and asking us to come back and do the, and continue with the management because these are large complex buildings with systems which require particular expertise. And more

importantly, our expertise in hospitality and the ability to add value beyond just the standard property management are all being valued by consumers.

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This business generates a net margin of about 10%. We expect that this business will scale up to net income of about INR100 crores by fiscal 26. And we believe that along with the digital app that we have just started rolling out, we will scale up to a much larger number by the end of the decade. It could be as large as INR400 crores to INR500 crores of net income by the end of the decade.

Murtuza Arsiwala: Thank you. Thank you so much, Abhishek.

Abhishek Lodha: Thank you.

Moderator: Thank you. Our next question comes from the line of Pritesh Sheth from Motilal Oswal. Please go ahead.

Pritesh Sheth: Hi. Thanks for the opportunity and congrats on the FY23 performance. Firstly, just on the inquiries and customer visits plus conversions that you highlighted, how has been the trend on - I mean, throughout the year, has Q4 on an average also clocked around 30,000 customer visits and conversions being at around 7.5% or is there some difference in terms of that quarterly trend as we moved on to the end of the year?

Prashant Bindal: Thanks, Pritesh. Actually, if you see our business, the hallmark has been the consistency. Across the quarter-by-quarter, the number of walk-ins and the conversion has been more or less the same. The average for the year is 7.5%. The shift could be a 0.1% or a 0.2% here or there, but the consistency in the walk-ins and the revenue has been almost similar across the four quarters. In fact, the surprising was the quarter 2 piece because generally the quarter 2 is the weakest link, but there also the walk-ins and the percentage were almost similar across all the quarters. Not much, any differentiator, and even across categories, whether it was affordable or premium, but the consistency was there almost all across.

Pritesh Sheth: Sure. That's helpful. And secondly on the digital infra business, I think apart from the signing of the platform this year, we haven't seen much traction. So is it like building up for a very strong year, this year or if you can highlight something on digital infra where we are?

Abhishek Lodha: Pritesh, hi. I'll just add a little bit more color in terms of numbers to what Prashant just answered in terms of walk-ins. Our approximate walk-ins for Q3 were 27,000 and for Q4 it was 31,000.

So as you'd see, while it is broadly consistent from quarter-to-quarter, there was a modest pick-up in the number of walk-ins in Q4. That's the data set.

In terms of the questions on digital infrastructure, as you know, this is a platform which has been put together in the middle of last year. It

started operating from the middle of the last fiscal 23, which along with Bain Capital and Ivanhoe Cambridge. We expect a significant ramp-up in terms of the two projects which the platform already has, which is 110 acre parcel in Palava as well as in city warehousing site in Kurla. The platform is also now as a team has built-up, we have the new CEO of the business, Mr. D.S. Rawat, who used to be CEO of Bharti Infratel for a long period of time.

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So with all of those things coming in, we expect the business to grow at a higher level in the current fiscal. Overall, it's a business which has an investment period of 3.5 years to four years. And then we expect it to be a mature business within six years from the start, i.e. from June '22 to June '28 is the overall period that we're looking at making these investments and scaling up the business sufficiently enough for it to be at a point where it can go to a REIT or a similar kind of an exit.

Pritesh Sheth: So my question was apart from the platform, where are we at the sales for the large land parcel that we have on that digital infrastructure itself? I think that velocity in FY22 was much better.

We have seen a good chunk of deals. This year it was muted apart from the platform that we had. So any comments on that?

Abhishek Lodha: Yes, I think the land monetization piece that you're referring to, and sorry I did not understand your question with clarity earlier. The land monetization piece that you're referring to is something which happens for different activities from time-to-time. We've of course given the details in the quarterly presentation. And we expect to see the same level of monetization of about INR500 crores per annum coming from the land side in the current fiscal 2.

Pritesh Sheth: Sure. That's it from my side for now. I have a couple of more questions, but I'll join back the queue.

Abhishek Lodha: Thank you.

Moderator: Thank you. Our next question comes from the line of Sameer Baiswala from Morgan Stanley.

Please go ahead.

Sameer Baisiwala: Hi, good afternoon everyone, and thanks for taking me in, and thanks for a very detailed presentation. My question is regarding the cash flows for fiscal 24. If you can just highlight what would be the construction spend and what would be the money that you need to spend for new project acquisition?

Abhishek Lodha: Yes, hi Sameer. So we are contemplating our construction expenditure to be in the order of around INR4,500 -odd crores for FY24. And from a growth capex standpoint, the numbers would be somewhere around in totality, both the new projects as well as some of the projects that we have already signed up but will be coming in the current year, all combined potentially INR2,500 crores roundabout.

Sameer Baisiwala: Okay, great. And if I then connect this with the OCF guidance of 60 billion for next year, that should leave at least INR2,500 crores for your net debt reduction, is that math correct? And that actually takes you much below your the ceiling targets that you have given.

Abhishek Lodha: So Sameer, your math is definitely in the right direction. And yes, that is our endeavor is to consistently reduce debt well below the ceiling and which is the reason why we are using that term of ceiling for the debt of 0.5x of equity and 1x of operating cash flow. And we hope that we will be able to continuously go below that ceiling.

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As we saw last year, the growth opportunities are exciting and yet we were able to reduce debt significantly and we will continue to walk down the same trajectory.

Sameer Baisiwala: Okay, great. And one final from my side and that is what is the pricing outlook for fiscal 24? So I think, Prashant, what you mentioned, the footfall and the conversion imply that your total 20% growth is

going to come from there and almost no price increase. So if you can just clarify on that?

Prashant Bindal: No. Actually, as I said that if we are looking at about 20% increase in the value terms, we expect 5% to 6% increase coming from the price and the balance 14%, 15% coming from the value, from the footfalls as well as the conversion.

Sameer Baisiwala: Okay, thank you so much.

Moderator: Thank you. Our next question comes from the line of Parvez Qazi from Nuvama Group. Please go ahead.

Parvez Qazi: Hi, good afternoon and thanks for taking my question. So my question is on the township business pieces, we have seen a nice jump last year. Some part of it obviously has come from the improvement in launches. Apart from that what are some of the steps that you would have taken which would have resulted in this kind of growth and what is the outlook on this segment going ahead? Thank you.

Prashant Bindal: Hi Parvez. The township business is a core, I would say, strength of our larger business. This caters largely to the mid-income segment. We have over the last 10 years built a huge moat around this business because of the large investments made, the quality of the infrastructure created as well as the hard and soft factors which compel people to see this as by far the best location to live in when they're looking at mid-income housing in the MMR.

In terms of the drivers of the move up in this last year, I would say that it was driven by the launches as well as by the fact that there is a good sense of demand in the mid-income segment. We also brought in some new categories, for example, for sale offices as well as for sale retail. We also started plotted development in a part of our township business and all of this helped contribute to the sales.

Going forward for fiscal 24, and I would even go on a limb to say fiscal 25 and '26, we see that this segment should outperform. Our township business should outperform on the back of some very important infrastructure projects which are now getting completed. Actually, this morning itself I was at Upper Thane and saw the bridge which is connecting now Upper Thane to the Dombivali railway station which makes Upper Thane just 10 minutes away from Dombivali railway station. I saw the massive works which are progressing on the Mumbai-Nasik highway which will connect to the Nagpur Superhighway which in turn will make Upper Thane very much the entry point into Mumbai for everybody who is using the Nagpur expressway.

Similarly, I understand that the tunnel from Airoli to Pala is now almost ready and should be opening sometime in the second half of this year. And there are the metro, the tender for the metro works which will have multiple stations in and around Pala for Metro Line 12 has also

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been released by the government authorities. So there is a very significant amount of infrastructure uplift now and in the coming years which we are going to see. And we expect to

see about a 20% year -on-year growth in our township business for the foreseeable future.

Parvez Qazi : Thank you so much. That's it from my side.

Prashant Bindal : Just to add in terms of the parameters in township, we had 45,000 walk -ins happening in the township business which was almost a 13% swing in the number of walk -ins. And for the first time we touched 10% conversion in the township which is very significant. So I think these two and we had a 5%, 5.7% price increase leading to the overall business. So I think the overall fundamentals of the township business look very significant and we look forward to a 10% conversion was a very significant change because we were trying for many years and we finally touched it this year.

Parvez Qazi: Thank you, sir.

Moderator: Thank you. Our next question comes from the line of Abhinav Sinha from Jefferies. Please go ahead.

Abhinav Sinha: Hi, thanks for taking my question. Firstly on pricing, so we saw a slightly higher 8% increase this year as compared to 5%, 6% which you were posting last quarter. So is there a delta among the various geographies and what has driven this increase?

Abhishek Lodha: So, the price growth that we saw for the full year at about 8% was higher than our expectation (and guidance for around 6%. We do feel that it is a healthy price growth because it is still below wage growth. At the same time our target price growth for the coming year as Prashant mentioned will be in that 5% to 7% range so that affordability keeps getting better.

In terms of FY23 where the price growth was strongest, we saw good price growth in the ready segments, in the ready to move in inventory. We also saw good price growth in select projects which are in Pune as well as in the eastern suburbs. So overall it is not a particular segment, it is not a particular project driving that price growth. It is broad based. Yes, you would have a range. Some cases it would be around 5% to 6%, some cases it would be 9% to 10% and the overall blending at about 8% but there is not a wide divergence that we are seeing.

Abhinav Sinha: Okay, and secondly on the sales guidance front, last year you had given us some granularity on the various micro markets and geographies. Can you help us a bit, among how much can we see from the suburbs and south central? I also see Bangalore projects in pipeline this time so when are we expecting that to be launched?

Abhishek Lodha: Hi, we would prefer to give our guidance at the aggregate level and that is what we had kept last year too. We are working towards two launches in Bangalore. One should happen in the next three -odd months and the second in the second half of the year. Bangalore will contribute a modest amount to growth this year, probably in the range of INR700 crores to INR1,000 crores of sales from Bangalore and the rest of the growth is expected of course to come from Mumbai and Pune.

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In terms of Pune market, you can definitely expect to cross INR2,000 crores of sales. So out of our 14.5, if you wanted to break it down at a city level, you would see INR2,000 crores -plus from Pune, about INR700 crores to INR1,000 crores from Bangalore and the rest of it which is over INR11,500 crores coming from Mumbai.

I would like to point out that compared to fiscal 23, Mumbai was already, quite strong running at about INR10,500 crores -plus of sales. So if you look at each of the three buckets, the kind of sales growth that we are projecting and are guiding to is quite prudent and comes off a solid base of fiscal 23.

Abhinav Sinha: That's helpful. I may ask a question to Prashant sir also. Throughout last year, particularly later in the year, there was higher pricing as well as impact of higher market rate. Did you see any impact in the product which is being demanded now by the customers?

Prashant Bindal: You see, the impact that happened was that in the affordable segment, the shift was anyway moving from 1BHK to 2BHK and in the Aspirational segment from 2BHK to 3BHK. So that shift was very clearly evident because when the, so this shift was either because of the consumer behavior shift or because of the mortgage rates. The number of walk -ins specifically for 1 BHK in the affordable segment, that plumbed, that came down to some extent. And we believe that with the mortgage rates actually stabilizing in this year, the tailwinds behind us, this is one segment which we expect to grow this year.

Abhinav Sinha: Very, very helpful sir. Thanks a lot.

Moderator: Thank you. Our next question comes from the line of Mohit Agrawal from IIFL. Please go ahead.

Mohit Agrawal: Yes, thanks for the opportunity. My question is on completion. So in fiscal '23, you had 9.5 million square feet of completion

ns. And as per the presentation, next two years, it's about 6 million to 7.5 million square feet per annum. So how should we look at this, you know, and how should we look at the revenue recognition in the P&L? Could you guide a little bit on that?

Sushil Kumar Modi : So, hi, Mohit. Now, from a completion standpoint, yes, the data that you see is basically of the project that is going to get completed. But on the same side, if you see our revenue recognition, even under the current accounting mechanism, which is, on completion method, comes out of a few sources, one from completions as is, but equally is what we already have the ready inventory in incrementally. And then as we keep adding any new assets or the annuity assets that we have, if anything, on that site, the sales that takes place, be it equally coming from land. So, all of those gets added to this revenue number that we recognize. So, it's not just a number fully baked in basis, only the completion. It is a combination of a few variables all taken together that comes in.

But more importantly, perhaps, if I may add, we are equally visiting our accounting mechanics. And trying figuring out is this right and the sole method of doing the accounting. We are in discussion with our auditors too, whether there is any other way to reflect the true fundamental of the business. And whether the completion method alone is the right method or can there be possibilities of doing accounting basis more of the percentage of completion method which has used to happen in the past. So, yes, but we don't have any conclusion as yet. We are discussing,

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figuring out. But nonetheless, as I said, revenue number basis, the completion method will be a combination of a few variables and a few pillars.

Mohit Agrawal: Okay, understood. So you could be so when by when we should have clarity around whether you could be shifting to a percentage completion or not?

Sushil Kumar Modi : Nothing at this point. I just said that this is something that we are grappling with and thereby we did not had a chance as yet to discuss in detail. But that is something that we would be perhaps commencing to understand. This is basically I'm saying so because this completion method do create, confusions. And which is where the question like what you just mentioned arise at any given point of time.

Mohit Agrawal: Sure, understood. And my second question, a data point. So on the land monetization piece in Palava and the digital infrastructure segment, what is the per acre pricing that you're seeing? And has there been a pickup like we've seen a pickup in the pricing of projects? Has there been a pickup in the pricing in the last one year?

Sushil Kumar Modi : In fact, obviously, yes, price is showing an increasing trend on a quarter-on-quarter basis. We saw in this quarter, though the quantum was not big, but the transaction that took place has reached to around six crores per acre plus, though the volume was less. So, Yes, you're right. And it's pretty obvious because as the more and more mass is getting created. Now, this year, we will see a lot many things commencing operation there. One of the land that we had sold to Flyjac Logistics, they are in the advanced stage of completion of their park and thereby their tenant will move in this park. Sketchers, as you recall, has come in there and that is going to become operational in this financial year.

So thereby, numerous activities that are now going to get commenced and start are going to obviously keep boosting this price point. So, and price points for us not only on this side, but equally the demand and the price point for our residential business.

Mohit Agrawal: Sure, that's all from my side. Thanks a lot.

Moderator: Thank you. Our next question comes from the line of Prem Khurana from Anand Rathi Shares and Stockbroker. Please

go ahead.

Prem Khurana: Yes. Thank you for taking my question. I have two questions. So one was, when I look at KPIs, I am the guidance that was given for next year, we see good growth in terms of prices. And I think in terms of construction spend, the number that you gave us over the course of the call seems to be pretty increasing. But for some reason, our OCF is that around what we are guiding for next year around 6,000 versus 5,600. I mean, when I look at collections, obviously, it will be a function of two things. So one, what you sell during the year, and you will also be able to have milestone receipts from what you sold in the earlier years, right? And you've been growing. So, ideally, when our milestone payment should be higher, so why is this disconnect between the growth that we're seeing in sales and ideally, which should translate into some sort of growth in collections and construction? Why this insignificant growth in OCF? Are we missing something there?

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Abhishek Lodha: So the question of the OCF growth being lower percentage compared to the growth in presales or even in terms of cash flows is called out on slide 25 of our presentation. You can perhaps also take a look at that later. But to summarize what we've stated over there, that's driven by two factors. One is a strategic decision to own and not sell certain high-quality annuity assets which

tend to release a significant amount of free cash flow because we are fully ready and 100%, therefore, generating cash flow, and our operating cash flow.

And the second part is that as we go forward, while the quantum of a ready to move in sales will possibly remain the same or slightly go up in percentage terms the quantum of ready -to-move in the ready product sales will go down because a lot more sales are coming from new launches and under construction. And therefore, as a percentage, the ready -to-move -in units tend to release a much higher OCF. So a combination of those two factors is leading to this onetime I would say, readjustment of the OCF as a proportion of presales. And I think we should be back to a more linear equation for in subsequent years.

Prem Khurana: Sure. And second question was on the project addition that was done during the almost INR20,000 odd crores rupees. And we seem to spend almost INR1700 odd crores for these new additions and assuming there are some more payments yet to go. But even if I consider 1700, it works out to be almost 8.5% of what we've been able to add in terms of GDV. So, is this a number that we were working with or it is lower than our expectation or higher than our expectation? What ideally this number should be and given the fact that they're focusing more on GDV arrangement, where in the capital intensity ideally should be on a lower side.

Abhishek Lodha : So, the way we think about business development and business development guidance is to add sufficient land in year N minus one, which is equal to the sales that we are targeting for year end. So, by looking at our business development guidance for any year, you can actually extrapolate the sales guidance that we are likely to have in the subsequent year. As you may have noted, last year, we gave business development guidance for about INR15,000 crores. And we are now as you see, our sales guidance for fiscal '24 is at about INR14,500 crores. Logically, the reason for choosing or targeting at least INR17,500, we might do higher than that, but at least INR17,500 crores of business development in fiscal '24, and likely to have sales guidance for fiscal '25, which is, compounding at 20% from what we achieve in fiscal '24. So, that will be in that range of that INR17,000 crores, INR17,500 crores neighborhood. And that's the way in which we think about business development is to add sufficient land in a given year, which is equal to

to the likely sales in the subsequent year.

Prem Khurana: And on the cost side, the number would remain somewhat similar, I mean, 8%, 10% of the GDV that you had or?

Abhishek Lodha : Yes, so typically our JDA projects tend to have investments, which is between 5% and 10% of the GDV. And the outright lands tend to have investment, which is closer to 20% of the GDV.

So as Sushil mentioned, the total investment that we envisage this year into land is about INR2,500 crores, which includes all the new land plus any partner share for whatever land we've taken on JDA in the past years. So we do expect that the ratios for JDAs will remain in that 5% to 10% range and the ratio for outright will remain in that close to 20 % range.

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Prem Khurana: Thank you. I'm sure I'll come back in the queue. Thank you.

Moderator: Thank you. Our next question comes from the line of Kunal Lakhan from CLSA. Please go ahead.

Kunal Lakhan: Yes, hi. Good afternoon. Abhishek, in your comments, you mentioned that the guidance for EBITDA margin or outlook on EBITDA margin would be about 30%. And this will be despite the new projects contributing. I just want to understand because we have been saying that the new projects usually have 18% as PBT margin. So, just trying to reconcile that with the declining interest costs, the PBT margin should be closer to the EBITDA margin. So, just trying to add as and when the contributions from JDA projects increase, how comfortable or what will drive this 30% EBITDA margin?

Abhishek Lodha: Hi, Kunal. The question is an important one. I think a few things are at play over here. We of course underwrite our JDAs at between 18% to 20% PBT margin. In terms of the transition from EBITDA, from PBT to EBITDA, at the current levels of debt or at least what we were underwriting when we took the project, that's an addition of between 7% to 10%. So, typically the equivalent EBITDA margin will be in the high 20s for a JDA project. And it will be in the sort of high 30s for an outright project. So if you were to take say 25%, 26% for JDAs and 33% to 35% for outright, you will see that with our target mix of 60% from outright plans and 40% from JDAs.

We feel pretty comfortable of blending it at 30% or thereabouts. Actually our margins for last fiscal are at 32% and the reason for our muted guidance on the underlying EBITDA margin to 30% is exactly on account of the fact that the contribution from JDA projects is likely to be higher this year in fiscal '24 than it was in fiscal '23. And therefore that downward adjustment of approximately 200 basis points on the embedded EBITDA margin side.

Kunal Lakhan: Sure, that's helpful. Just to follow up on that, if you can share what is the contribution of JDA projects in FY23 and what are you building that in FY24?

Abhishek Lodha: So FY23, the contribution from JDAs as a percentage of sales was about 26%, 27%. And we expect that number to move up to about around 40% for or thereabouts for fiscal '24.

Kunal Lakhan: Sure, that's very helpful. Thanks a lot and all the best.

Moderator: Thank you. Our next question comes from the line of Sameer Baisiwala from Morgan Stanley. Please go ahead.

Sameer Baisiwala: Hi, thanks for the follow-up. Quick question on One Lodha Place. How is the leasing momentum over there?

Abhishek Lodha: Hi, Samir. Except for the fact that you all chose to go somewhere else, the momentum is generally good. So, we are seeing some very high quality businesses operate from there. We already have Condé Nast operating from there. We have Gucci, which is starting operations soon. We have St. Laurent, which is operating soon. We have a few law firms as well as financial

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services firm operating for that. So, generally that building is seen as amongst the best, if not the

very best office building in the city and we are getting a high quality of tenants.

Sameer Baisiwala: I think in Q4 the leasing was 0.1 million square feet. If that's right, out of 0.75 million. So, roughly about 12%, 13%. So, how much time do you think this will take to get fully leased up?

Abhishek Lodha: We expect to be, I would say, at very high levels of lease out by the end of the current fiscal. Whether that will be at 85% or 90% or 95%, that time will tell, but we'll be at fairly close to our steady state number by the end of this fiscal.

Sameer Baisiwala: And second question is on South Central Mumbai. Just, what's the outlook over here? Do you think it's a little oversupplied based on all the announced projects, etc.? Do you think there's enough and more demand there? And second is, how is your Mahalakshmi launch doing, the Solitaire project?

Abhishek Lodha: So Sameer, I think while all of us, a lot of people on this call, because we either live in or have offices in South Central Mumbai, we do sort of set in to believe or see significant supply when the announcements are made. The reality is that in South Mumbai, which is sort of the area south of Haji Ali, actually it's very, very under supplied or supply starved, especially of good quality development. So South Mumbai truly has limited, very little supply. And stuff comes up from time-to-time, but it's not huge. Central Mumbai, there is again a few announcements. There are some office announcements, a couple of residential announcements.

And we do still like the fact that our project locations as well as our product quality tends to have a very strong followership in this market. The Solitaire launch has started off well. And we continue to believe that we as the market leaders in central, south and central Mumbai will continue to have, I would say, good demand for our product.

Sameer Baisiwala: Okay. I guess Abhishek, I was referring to Haji Ali to Siddhi Vinayak, if that's the right way to demarcate it. I mean, is this area you think still has enough and more demand? And if you see south of Haji Ali, then do you think you have enough BD opportunities over there?

Abhishek Lodha: South of Haji Ali, yes. You know, BD opportunities are continuing because it's very clear, right? When the brand is as strong as ours is in this area, both whoever, land, society, whatever the development, they would like to partner with the best. And so I think we do have decent opportunity to continue to serve that market. I think in terms of your question of between Haji Ali to Siddhi Vinayak, I haven't, we've seen a couple from one of the other listed peers. But other than that, it's not, there isn't anything significant. So, I think, and these projects between acquisition to start, especially if they involve redevelopment or do take some time.

So, we feel we continue to remain constructive on this segment. No current concerns in terms of oversupply.

Sameer Baisiwala: Okay, great. Thank you so much.

Abhishek Lodha: Thank you.

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Moderator: Thank you. Our next question comes from the line of Pritesh Sheth from Motilal Oswal. Please go ahead.

Pritesh Sheth: Yes, thanks for the follow-up opportunity. Just a couple of points. In terms of business development or project additions since last two years, I think Eastern suburbs, Pune, and probably South Central Mumbai as well, we have done well. While in Western suburbs, there were I think two, three project additions. How do you see the traction there? I mean, considering that market is largely a redevelopment market, how is the opportunity there beyond redevelopment that you see? Should we expect some good additions in the future in this market as well?

Abhishek Lodha: Yes. The Pritesh the Western suburbs is a market where we see room to penetrate further and

deeper. And you can expect some

positive movement to new business development in the Western suburbs in the course of this year.

Pritesh Sheth: Will we ever be keen to do some society redevelopment in this market to, capture the market share or we don't have to necessarily get into society redevelopment, to gain market share in that?

Abhishek Lodha: See, we are agnostic when it comes to the form of how the land is as long as we have vacant land and clear title. So, quite frankly, whether society redevelopment with someone has already brought to a particular point of maturity, we're okay with that. If there is a vacant land, that's fine. If someone has a slum project, which they've cleaned up and there is the free sell portion is free. That's also fine with us. So our focus is on, as I had mentioned earlier in a different context, is on a shortest possible land to cash cycle. And for that, the right raw material, i.e. land which is clean and buildable in a reasonably quick time frame is very important for us.

Pritesh Sheth: Sure, sure. That's very helpful. And just last clarification on Bangalore, the two launches that you're pointing out is two phases of same project, right? Or are we also in sight to acquire another project in Bangalore?

Abhishek Lodha: So we're guiding to two launches at two different locations. One launch will be, of course, at the land which we've already done a joint development for. And we expect in the course of this year that we will at least do one more project. So, that are the two launches that we are guiding.

Pritesh Sheth: Sure. Thank you. That's it from my side. All the best.

Moderator: Thank you. Ladies and gentlemen, we have reached the end of the question and answer session. I would now like to hand the conference over to Mr. Anand Kumar, Head of Investor Relations, for closing comments.

Anand Kumar: Thank you, everyone, for joining the call. We remain quite positive on the industry and with the strong growth drivers present in the industry, we remain confident of achieving our medium-term guidance of 20% CAGR in sales as well as 20% ROE. Feel free to reach out to me or Sushil or the IR team for any further questions. Thank you.

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Moderator: Thank you. On behalf of Antique Stock Broking, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Call: Aug 2023

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August 2, 2023

BSE Limited
Scrip Code: 543287
Debt Segment – 974163, 974199, 974473, 974511, 974986

National Stock Exchange of India Limited
Trading Symbol: LODHA

Dear Sir,

Sub: Q1FY24 - Earnings Call Transcript

We are enclosing herewith a copy of the transcript of the Company's Q1FY24 earnings conference call held on July 28, 2023. The transcript is also being uploaded on the Company's website i.e. www.lodhagroup.in under the Investors section.

This is for the information of your members and all concerned.

Thanking you,

Yours faithfully,
For Macrotech Developers Limited

Sanjyot Rangnekar
Company Secretary & Compliance Officer
Membership No F4154

Encl: As above

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"Macrotech Developers Limited
Q1 FY '24 Earnings Conference Call "
July 28, 2023

MANAGEMENT : MR. ABHISHEK LODHA – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – MACROTECH
DEVELOPERS LIMITED
MR. SUSHIL KUMAR MODI – CHIEF FINANCIAL
OFFICER – MACROTECH DEVELOPERS LIMITED
MR. PRATEEK BHATTACHARYA – CHIEF EXECUTIVE
OFFICER , WESTERN SUBURBS & THANE –
MACROTECH DEVELOPERS LIMITED
MR. ANAND KUMAR – HEAD INVESTOR RELATIONS –
MACROTECH DEVELOPERS LIMITED

MODERATOR : MR. BIPLAB DEBBARMA – ANTIQUE STOCK BROKING

Moderator: Ladies and gentlemen, good day, and welcome to Q1 FY '24 Earnings Conference Call of Macrotech Developers Limited, hosted by Antique Stock Broking . As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Biplab Debbarma from Antique Stock Broking . Thank you, and over to you.

Biplab Debbarma: Thank you, Yas hashree . Good afternoon everyone, and welcome to the Q1 FY '24 Earnings Call of Macrotech Developers Limited, hosted by Antique Stock Broking . Today, we have with us the management of the company represented by Mr. Abhishek Lodha, Managing Director and CEO; Mr. Sushil Kumar Modi, CFO; Mr. Prateek Bhattacharya, CEO, Western Suburbs & Thane; and Mr. Anand Kumar, Head IR.

Without further ado, let me hand over the call to Mr. Lodha. Over to you, sir.

Abhishek Lodha: Good afternoon, everyone. Thank you for joining us on this earnings call. I hope all of you are doing well and keeping safe in these heavy rains that we've been having for the last few weeks.

To start off, I think it's important to get context of where India stands in terms of its overall visibility on economic growth and job creation, and then speak a little bit more in detail about how the company is taking advantage of the conditions on the ground, which continue to remain strong in terms of demand as well as availability of land for our growth.

L&T , India based largest infrastructure company , recently called for India's decadal moment, highlighting the massive transformational journey of our country. This is well supported by a prudent government policy and a capable central bank, both of which have combined it to shield the country from global volatility . Not for long, have we seen upgrades in India GDP growth rates by global multilateral agencies, and we continue to see strong momentum in economic activity.

India in all probability has seen the peak of interest rates and the Fed might have also seen its largest hike cycle ending yesterday, which further lends stability to monetary policy and may even provide tailwinds to our sector over the next 2 quarters.

Two events, one in progress and one over the next one year, however, warrant attention. As we all know, weather patterns have been erratic and India is no different. Mumbai has seen a fortnight of continuous rains and July recorded an all-time high amount of rainfall. The spatial distribution of rains is poor. And while the government will do everything it can to manage its impact, food prices can certainly disrupt economics of our nation in the short term.

We also have a number of state elections and the all-important central elections over the next 12 months. And both of these events are bound to have massive impact on the economy and the sentiment of the country and the people at large. Notwithstanding these factors, the real estate sector continues to be in strong momentum as demand for high-quality housing continues to remain very strong.

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And would like to give credit to all stakeholders of the sector who have transformed India's real estate sector into a big and more importantly, stable drivers of India's economic growth plan. As much as I read and understand about China, the property sector seems to be an Achilles heel for their economy. While in direct contrast, we can hope for the real estate sector to play a big role - probably the biggest sector's role to drive GDP growth in India over the next 10 to 15 years. Coming to the company, we have c

ontinued to witness very strong momentum in the markets

that we operate in. And the fact that one of India's largest real estate companies has returned to Mumbai is a testimony of the strong demand environment that exists in Mumbai, which contributes almost 40% of the total sales in the top 7 Indian cities.

As a company, we continue to remain confident of sustaining 20% growth in our residential segment , which will be driven by the rising contribution of the real estate sector to India GDP. This in turn is driven by the creation of new households capable of home ownership, a function of the young demographics profile and rising income. It is also a new acclaim to our industry to be able to provide quality products without raising prices extraordinarily, which erode affordability to the home buyer.

For us, as a company, there is always a little bit of toggle between growth, i.e., business development and reducing our debt. And it is a function of the enormity of opportunities that we

are seeing and capitalizing on without going over the board. Our new project addition is well ahead of our expectations, too, and the pipeline continues to remain very strong. All the same, we will keep our debt under control through the year and stick to our guidance of debt below 0.5x equity and below 1x of operating cash, whichever of the 2 is lower by the end of this fiscal year.

There is also not much we need to read into the fall in reported numbers and revenues and profits as it is completely dependent on the OCs received in this quarter and which is why the change in accounting policy that we are embarking on, which Sushil will get into detail later in the call.

On the residential side, we continue to remain optimistic on the market that we operate in, and the business in Bangalore is also beginning to steadily take shape with a launch expected in the next quarter. This launch has been delayed. We were expecting to have this launch in the current quarter, but be that as it may, we are getting there slowly but surely.

The two large townships that we have in our portfolio are also an area of optimism, driven by improving infrastructure and continued product innovation. And finally, we are also gradually building our annuity portfolio in a three parts, i.e., warehousing and industrial, facilities management and a selective portfolio of offices and retail, in order to ensure that we can have the steady annuity income with high teens ROEs to complement the scale up of our development businesses.

A word on our move from the project completion basis to revenue recognition to percentage completion basis. And while it might create some transition challenges, we will be able to demonstrate a true picture of our performance and P&L like the pro-forma P & L we have been sharing. And in the next couple of years, it should stabilize. Sushil will explain this in detail, and

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we are happy to share further information with analysts in the days to come to understand how this transition will help provide much stronger clarity and visibility on the underlying business performance.

Speaking a little bit more about the demand conditions on the ground. As we have been stating for some years, we are probably in the third year of a 15-year cycle. Our enablers of demand are measured by customer walk-ins and conversion rates, both of which remain robust. For the quarter, our walk-ins have remained at around 30,000 in spite of the fact that this is a seasonally weak quarter and with very limited new launches. And our conversion ratio continues to remain above 8% in this quarter too.

In terms of pricing, we have seen price growth of about 1% on a YTD basis for the quarter, which is in line with our goal of delivering price growth at about 6% to 7% for the year, which will ensure that we have a situation where pricing growth is be

low wage growth for the median

home buyer, and therefore, affordability keeps getting better. This, of course, is on the back of price growth of about 7% to 8% that we had last year.

Further, on the construction cost side, inflation has continued to moderate. In line with our expectation, commodity costs have continued to trend down overall. And we have now seen that the annualized inflation from March '21 to June '23 has actually gone down to an annualized rate of about 5% or even slightly lower.

In fact, the nature of construction cost inflation in India is one of the key differentiating factors of the Indian housing story versus other economies. More than 1/3 of the construction cost is labor cost, which is not prone to high levels of inflation because of the availability of surplus farm labor and the big difference in wages between at the farm and the construction side.

Additionally, this ample and hard-working labor force is available to the entire supply chain of our companies which supply to our sector. And thus, the only inflation that the construction cost witnesses is of commodity inflation. Given how global economies are shaping up and the excess capacity in the construction sector as well as the focus globally on bringing inflation down, barring any geopolitical issues, we believe that the construction cost inflation will remain quite contained in the quarters to come.

Coming to interest rates. You can clearly see the shift in trajectory. The RBI did not raise policy rates in the previous 2 policy meetings. With inflation now starting to be within the target range of the RBI and other central banks now approaching the end of their rate cycle, it is likely that this pause will remain for an extended period of time, and we can start seeing some reduction in rates in the next 3 to 4 quarters. This pause from the RBI coupled with the intense competition amongst the lenders means that there is ample availability of mortgages as well as these mortgages are available at competitive rates.

Coming to some of the operational highlights of the quarter. We achieved our best ever quarterly presales in Q1 of about INR3,353 crores, which is 17% year-on-year growth. Within this, our core residential business, i.e., excluding the sale of land to third parties grew at a much stronger

there were no significant launches at any new locations in this quarter. With launches planned at multiple new locations, including in Bangalore, which I mentioned earlier, we are fairly confident about achieving the sales guidance that we have given at the start of the fiscal.

Our presales are coming from 30 operating projects showcasing the granular and diversified nature of our presales. Typically, each project is providing about INR100 crores of presales every quarter. And this kind of diversification, we believe, is unique in Indian real estate and gives a lot more resilience to our sales and business.

The embedded EBITDA margin for the quarter stands at about 30% of our presales. This level of embedded EBITDA margin was achieved with nearly 35% of the presales being contributed by the various JDA projects. Over the longer horizon, as we benefit from price increases, we should continue to deliver 30% EBITDA margin for the current fiscal, and we then expect EBITDA margins will start rising from fiscal '26 onwards. Of course, this optimized mix of JDAs which we are now approaching our target goal of 40% of that is coming from the JDAs and 60% from own land means that our ROEs are on an upward trajectory, and we expect to be approaching our goal of 20% ROE by the end of the current fiscal or in the next year.

On the basis of the embedded EBITDA of 30% for the presales of Q1 FY '24, our PAT for the quarter should be well over

INR580 crores, implying a PAT margin of approximately 17% for the sales done in this quarter. We remain confident of delivering the presales guidance of INR14,500 crores with an embedded EBITDA of about INR4,300 crores and a pro forma PAT of about INR2,600 crores. This, we believe, is a true reflection of our business and its profitability. And as I mentioned earlier, puts us on track to achieving an ROE of close to 20%. Our collections for the quarter were at about INR2,400 crores, which should be seen in the context of the fact that our collections usually lag our presales on a cyclical basis by 3 to 4 quarters, and we expect collections to grow in the coming few months. And therefore, with a more moderate level of quarterly business development additions, we expect meaningful reduction in debt in the second half of the year and bringing our debt levels to the guidance that we have specified, once again we think 0.5x of debt or 1x of operating cash flow, whichever is lower.

In terms of business development, we added 5 new projects of approximately 7 million square feet with a GDV of INR12,000 crores across various micro markets. These include projects in the Western Suburbs of Mumbai as well as our new micro market of Alibaug as well as in Bangalore. Being able to enter a super prime location of Alibaug means that we now have a large presence in what is the equivalent of the Hamptons for Mumbai. This market is not only attractive and has great desirability, but also is starved of any Tier 1 supply. And we believe we'll, over time, become not only a second home destination but also a first home destination because of its improving connectivity as well as its very, very prestigious connotation.

We have also informed that Lodha has been declared as the winning bidder for the marquee beach facing land parcel situated at Juhu, in Western Suburbs which is owned by V Hotels Limited. We intend to do a very marquee residential development at this location once the scheme is approved by the concerned authorities. This will be, again, the planting of the Lodha

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flag in the important Juhu micro market and become another landmark development for the brand.

As noted earlier, we remain confident, given the strong start, of exceeding the business development guidance that we've given for the year. Our net debt increased by about INR190 crores to INR7,264 crores, primarily on account of the front-loaded business development investment. This marginal increase is on a significantly enlarged base of sales and business development. And as mentioned earlier, we remain on track to achieve our guidance.

We are also pleased to note the continuing improvement in our balance sheet has led to further credit rating updates by ICRA to A+ positive and India ratings to A+ stable. Our average cost of funds has declined in spite of the increasing interest rate environment and is down by about 15 basis points in this quarter to about 9.65% now.

On the ESG front, it is heartening to note that Lodha's efforts on sustainability are being increasingly recognized by various global benchmarks after receiving exceptional scores from S&P Global, GRESB and Morningstar Sustainalytics during previous quarters, Lodha has now

been included in the FTSE4Good Index series in the latest review in June 2023. .

We have recently published our second integrated report. And some of the recent achievements and highlights of the report includes 90% renewable energy share in construction activity and standing assets. We are on track to advance our net zero emission goal on Scope 1 and Scope 2 from 2027 to the end of 2024.

We are committed to achieving carbon neutrality in Scope 3 by 2050 with a short -term target of achieving a t least 50% reduction by 2030. We have, in this context, submitted the science based targets for verification to SBTi.

We secured green certification for almost 20 million square feet in fiscal '23. And in terms of our social focus, our goal of building a stronger nation is being serviced well through the launch of the Lodha Genius Program in partnership with Ashoka University and our Lodha Unnati program for empowering women continues to gather momentum.

In conclusion, let me reiterate our view that sustained job creation on the back of rising economic progress of the country will create more than 100 million homeownership capable households over the next 10 years, whereas supply is expected to be less than 10 million houses. This indeed can be India's decade and housing will play a pivotal role in India's transition to a mid -income country. We remain excited about the future opportunities and we remain committed to capitalizing on these opportunities in a disciplined manner. We are thankful to the investor community who has started recognizing the merits of Macrotech as a company, which is providing stable, consistent and predictable growth in a sector which is a necessity.

And with this, we believe that the company is well poised to continue to deliver on our guidance and commitments and create value for all concerned.

I will pause now and invite the CEO of our Western suburbs & Thane Markets, Prateek Bhattacharya, to share his perspective on those micro markets. Over to you, Prateek.

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Prateek Bhattacharya: Thank you. Good afternoon, everyone. The Western Suburbs of Mumbai are well known for their lifestyle attractiveness and the presence of bustling hubs of business. For instance, media and entertainment, we know it has the base for Bollywood. Finance, we know about the Bandra Kurla Complex, that houses India's largest stock exchange by market cap, now NSE, as well as Diamond Bourse. It's also a very big hub for aviation. It houses the city's airport and a lot of MRO industries. It's also a place which has a lot of IT, ITES and many other forms of businesses. So in general, it's quite a bustling and cosmopolitan part of the city. And from a residential real estate perspective, it actually hosts all segments of consumers. Western Suburbs, the primary market size is estimated to be between INR25,000 crores to INR30,000 crores annually, and it offers a full spectrum of possibilities. So it houses everything from sea touching villas and super luxury condos in places like Bandra and Juhu, to mass housing projects in Mira Road and everything in between.

Talking about our growth, our market share in Western suburbs, it has grown from being less than 1% 3 years ago to about 5% to 6% now. And we maintain our long -term goal to keep growing it towards our natural market share of around 20%. If we look at Western Suburbs a little bit more deeply, there are 10 -plus distinct micro market clusters within it. And we are pursuing kind of a supermarket strategy so that we can have a presence in most of these and in a way that we have array of noncompeting projects in every 2 to 4 kilometers radius.

Given our goals, our business development process is quite active. You just heard about it from our Managing Director just a little bit earlier. And in addition to 1 new launch that is planned in the upcoming festive season, we have a very active pipeline of projects that we are evaluating in all the micro market clusters within Western Suburbs. And we are planning the business development in a way that every project that we bring on board, it allows us to do an annualized presales run rate of approximately INR500 crores, this is at the current prevailing price levels. Now from an execution standpoint, what we are doing is we are deploying into Western Suburbs, the full toolkit of our experience from Thane, that's another market that I oversee where we have built and consistently maintained a very high value share despite a high

competitive intensity at least for the last two decades now.

So in Thane, we have delivered 3 world -class townships. And our Kolshet Road project is a very good example of how we created a thriving community of nearly 10,000 families in less than a decade. It's a place where residents stay in all kinds of segments of homes that span luxury to mass housing. They enjoy a vibrant high street retail, and they can walk to work in an office district with both large format and small size offices.

Talking about the organization structure, we have a completely decentralized organization for

Western Suburbs & Thane. And between these, we have about 1,000 -plus associates who are working in various areas like sales, design, construction and property management. So let me stop here and hand it over.
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Sushil Modi: Thanks Prateek for giving this phenomenal clarity around the potential that lies ahead of all of us when it comes to the micro market of Thane & Western Suburbs. I mean the phenomenal market and potentially a lot many more goals and milestones to achieve for all of us.

Coming to just giving some bit of clarity around how potentially you should be seeing our revenue going forward, considering the fact that we are going to have a revenue recognition happening in tandem, both under the POCM, which is a percentage of completion method, as well as the PCM, that is the project completion method. So the way it will work, and obviously, this has gone through the various accounting literatures and a whole a lot of deliberation with auditors and their confirmation is that whatever contracts that we entered from 1st of April this year onwards, those are the contracts which will qualify for all of our projects to be revenue be recognized or would be recognized under the POCM method.

All the contracts that was entered up till 31st March will continue to be following the old method of revenue recognition, which is PCM, the project completion method. Needless to say, all of these becomes then pro rata basis the area. So that in that sense, that brings the simplicity to the whole of the dynamics that the area pro rata is what decides the revenue recognition and thereby the corresponding back-to-back cost attached to it.

So I think broadly, the whole crux is that this is how potentially the whole dilemma that was there for all of us in terms of understanding the company's performance, while the underlying operating performance was being as you know, this year, potentially as the guided number itself speaks INR14,500 -odd crores. And our last year's audited financial performance was showing the revenue recognition more in a handle of somewhere below INR10,000 crores.

So this is where this dilemma that everybody was facing and so is our Board was also continuously facing this dilemma that your financial performance doesn't depict the operational performance and which is where the necessity to visit, revisit and kind of drill down, think through with various stalwart and come to a conclusion.

So we hope with this equation, as the projects that were there up till March '23 gets consummated, which obviously, as you know, typical gestation period for the projects is anywhere between 3 to 4 years. So as they all get completed, potentially by FY '26, where we would start seeing kind of entirety of our revenue coming under the POCM method.

But till then, we will be living with both the method of revenue recognition. What it will do thereby is that the gap between our operating performance in terms of the presales versus the revenue that is getting recognized or was getting recognized will continue to now get to see narrowing characteristic quarter after quarter and potentially year after year. And come FY '26, we feel reasonably confident that as the old projects will get completed, so that means we would be

able to broadly start tracking our operating performance in terms of our financial performance too.

So that is it from my side. I think perhaps we'll be more than happy to take as many questions or as any clarification that you would need to understand potentially how some of these will work, not that it has any rocket science, but nonetheless, if any questions, feel free. We will be
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able to give you enough clarity and sense, be it on this call or maybe separately, we can discuss along with my IR colleagues, Anand and Chintan and give you the clarity.

So with that, perhaps we can get into the Q&A, and we'd be pleased to answer all of your queries that potentially you would have to understand the company and the business far better. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. We have a first question from the line of Kunal Tayal from Bank of America.

Kunal Tayal: Sushil, I'll pose my first question on the accounting a bit. So as you transition over to this new one, has it required any changes to either your collection philosophy or contracting or any other kind of structuring in either the sales agreement or any other parts of the business?

Sushil Modi: No, from a hardcore substance standpoint, business remain as is. No difference. Obviously, perhaps Kunal may not be worthwhile to get into the technicalities of it. But just understanding from a business standpoint, be it cash flow, be it sales, be it construction, everything remains as it is.

Kunal Tayal: Got that. Abhishek, on pricing. I appreciate the philosophy of keeping it below the wage levels. Just wondering if as India sooner than later gets into a rate cut cycle, would the philosophy then be updated to look at the wage increase as well as the reduction in ownership costs from a reducing rate cycle as well? Or you want to focus squarely on the wage growth part of it?

Abhishek Lodha: That's an important and pertinent point that you bring in. We believe that the rate cycles tend to be, I would say, (a) unpredictable, and (b) there is a cyclical to them. Whereas home price growth, it functions best for the market when they are going in a uniform direction of moving up ideally at a gradual pace. If one starts baking in the interest rate cycles into the equation, then I think the level of cyclical in pricing to be higher. And therefore, while we will examine this further, our general view is to stick to the wage linkage rather than have too much linkage to the interest rate dynamic.

Moderator: We have a next question from the line of Pritesh Sheth from Motilal Oswal.

Pritesh Sheth: Firstly is on your market-wise sales that you disclosed. So if I see your existing markets, South Central Mumbai, Thane, Eastern Extended Suburbs has remained at a similar range since quite some time, maybe last 4, 5 quarters. And so has been the industry trend as well in terms of the absorption of unit that is there, right, while your large part of growth has come from the newer markets and you are doing exceedingly well on that.

When should we start seeing growth in existing markets or industry in general, what would be the trigger point since now the interest rate has also picked out, what should be the trigger point that you think that will lead to growth for the industry that you have been talking about? Yes, that's my first question.

Abhishek Lodha: So if I understand the question correctly, you're probably asking us to break down how we look at our sales growth mix. We look at our sales growth mix in 3 parts. We look at price growth

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coming in at 6% to 7%. We look at volume growth in existing projects contributing about 3% to 4%. And then we look at new projects, whether these new projects could be in any market, it could be complete

ly new market or it could be new projects in an existing market, but it's a new project, contributing about 10%.

So overall you can compare that to a supermarket business where you have this existing store sales of about 10%, like I said, 6% to 7% price, 3% to 4% volume and new store openings are contributing an additional 10%. So that's how we look at our 20% growth.

In terms of there being a new trigger points per say about when existing markets start contributing to sales, we believe that there has been good growth in all our markets, and if I think just if I take our Extended Eastern Suburbs market, we've grown from INR19 billion to INR23 billion last year and first quarter did about INR6 billion, which again puts us on trajectory given that both Q1 and Q2 tend to be weaker parts of the year. We are quite confident about delivering upwards of INR25 billion in Extended Eastern Suburbs in this fiscal.

So we don't really see that the growth is only coming from new projects or new locations, but it is coming from a mix of price growth and modest volume growth at existing projects as well as contributions from new locations.

Pritesh Sheth: Got it. So as and when new projects come up in the existing markets, we will see further growth in that markets as well.

Abhishek Lodha: Yes. Yes.

Pritesh Sheth: Okay. Got it. And second question on the land investments that we had in this quarter, around INR800 crores. If you can tell how much of that was for the projects that you have signed this quarter? And how much of that was for projects which we had earlier. I just wanted to understand what's the quantum of investment that was needed for this INR12,000 crores of acquisition this quarter?

Abhishek Lodha: So in terms of that investment, generally, we've done a deep reconciliation, and we are finding that the level of investment in our JDAs is running at about 5% of the GDV, which is at the lower end of the range that we've spoken about earlier of the investment levels being between 5% to 10% of the GDV. This quarter's spend includes about just under INR700 crores of spend on new projects. Some of those include part of this INR12,000 crores, but there are also projects where particularly, we have made investment in terms of future projects where the signing process is still being completed and that's not included in our INR12,000 crores.

So to your question, I think if you would look at that 5% to 10% range that we guide as a total peak investment on joint development projects that would be the right number to look at. And in terms of this quarter's mix, just under INR700 crores has gone to new projects, which is the INR12,000 crores that we mentioned, but also investment in some projects, which would be announced in the upcoming quarters, including the V Hotels investment.

Pritesh Sheth: Sure. That's very helpful. And none of the projects that we acquired this quarter was outright

land, right? I mean, Alibaug, INR10,000 crores is all JDA, that I understand, but the rest of the
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2, probably Bangalore also I assume it will be JDA, but Western Suburbs is outright or has been a JDA?

Abhishek Lodha: This quarter's acquisitions have largely been JDAs. And I think we continue to remain focused on growing significantly through the JDA model. There will be outright investments from time to time, but largely focused on JDAs.

Pritesh Sheth: Sure. Got it. And just one last, if I may, on Alibaug, big project, INR10,000 crores revenue potential, 6 million square feet salable potential. What are our plans? And what is the monetization time line that we are targeting for that, considering it's a large project.

Abhishek Lodha : So I would like to correct that it's multiple projects. It's a large land parcel comprising of multiple projects. We will be developing the project for various different segments with different

ent product

mix in that location. And therefore, we will be having different multiple projects in that large land parcel, which we've been able to acquire, which is an irreplaceable land parcel in our view given the land scarcity in that location.

We expect to launch that as we typically do for any new project in about 3 to 4 quarters from its acquisition. So we probably look at launch sometime in early to mid of the next fiscal. As I mentioned, we are looking at targeting both the second home and the first home market and then things which are ancillary to that which would come with some amount of retail and so on. So we expect this to be a long -term contributor of sales to the business and provide, I would say, critical addition in terms of a new market and also gives us more entry into the second home market, which other than Lodha Belmondo, we don't have exposure to right now. And allows us to have access to an audience, which is keen to get high -quality product, which is currently missing from a graded brand in that location.

Moderator: We'll take our next question from the line of Mohit Agrawal from IIFL.

Mohit Agrawal: My first question is on the Bangalore market. So you've been now there for a few quarters. If you could share your experience, how is it different from the Mumbai market, especially on business development, considering you are in a ramp -up phase. And if there are any challenges that you're facing in terms of execution or business development?

Abhishek Lodha: As we've stated and articulated in the past, whenever we enter a new city, we spend the first few years being in what we call pilot phase. During this period, our focus is building up organization capability and delivering projects, which we believe is the best way of spending and creating our brand.

So in Bangalore, this is exactly where we are. We are in pilot phase. We acquired our first project last year, which we'll be launching in the upcoming quarter. We've just acquired our second project, which we also expect to launch in the current fiscal. We expect in this pilot phase, which will last till the middle of the decade, i.e., up to FY '25, '26 that we will focus only on a handful of projects. So it's not that we are going to go into Bangalore and suddenly make a huge investment or try to do 10 projects, there's going to be a handful of projects, 3 to 5 projects, focus on delivery and only then the ramp-up once we've delivered our first project.

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In terms of our experience on the ground so far in Bangalore, we have been positively surprised on the pricing growth that we are seeing over the last 12 months and which would help us get profitability, which is higher than our initial expectations. We've also, as we had expected, are learning the curve when it comes to the ground realities of operating there, looking at the construction ecosystem, understanding the approval process. That has been all things which have been along expected lines, taking the time that they deserve to be taking.

We have been able to build a strong team, attract talent from a number of the good companies operating in the Bangalore market. And I think that's been a good upside to us that we have now started getting access to a well -trained talent pool in Bangalore, which will, in our opinion, give us good sustainability of the business in the years to come.

Mohit Agrawal: Okay . Understood. My second question is for Sushil. On the POCM revenue recognition. When does the revenue recognition start? So does it start immediately as the construction commences or the project is launched? Or will you wait for 25% kind of a threshold which was there earlier as per the CA Institute guidance?

Sushil Modi: You're right. So obviously, it doesn't start right away. It will have a few thresholds, not just construction, but there will be a few thresh

olds that will be met, which includes an agreement

need to be in place. The collections that have started. Some bit of a construction threshold has been met. So it will be a combination of few. And once that is being satisfied, that is where it will kick in. And which is why, perhaps, as you would see, while we have taken it for all the contracts starting 1st April, but it has not contributed anything significantly in this quarter. It will only perhaps start showing the results starting from the second quarter.

Mohit Agrawal: Okay. And just to understand this better, is there a number? And will that include the land cost as well? Or this is purely like a percentage of the construction's cost spend?

Sushil Modi: No, the threshold that will be there, the gatekeeper equation that will play for a project or for a sale to qualify will be a construction cost oriented. And obviously, as I said, the other parameters, including collections and all.

Mohit Agrawal: Okay. Understood. Those are my questions.

Moderator: We have a next question from the line of Abhinav Sinha from Jefferies. We've lost his connection. I'll move on to the next question from the line of Puneet from HSBC.

Puneet : Can you talk about how different would your profitability from a city like Bangalore, versus what you do in Mumbai?

Sushil Modi: We expect both in Bangalore as well as in Pune for our margins to be about 200 basis points lower compared to like -to-like segments in Mumbai. Mumbai profitability on a PBT basis is likely to be about 200 basis points higher than Bangalore or Pune.

Puneet : So if we assume 30% for Mumbai, then 28%, if that's the only gap you see despite differences.

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Sushil Modi: I was expecting more on a PAT basis, but yes, you can approximate it at the similar level for EBITDA also.

Puneet : Okay. So despite different realizations, not much of a difference in some sense.

Sushil Modi: No, I don't think there is. I think it's important to understand our mix in Mumbai. Our average sales price in Mumbai is about INR10,500 square feet on saleable and approximately INR16,000 on carpet area. So it's not that we are having realizations, which are dramatically higher in Mumbai. We have a wide presence in Mumbai. We sell homes, which are selling at INR6,000 a square feet on saleable.

Of course, we have homes selling at much higher prices, too. But we are a company which has had good exposure in operating in the mid-income segment. And therefore, I think the ability to operate profitability in Bangalore or Pune is very different for us because we know how to operate at these price points, both from a consumer perspective as well as from a construction and land cost perspective.

Puneet : Understood. This is very useful. And secondly, can you also talk a bit about getting back into annuity business versus development business because, again, those 2 businesses have different return expectations. As a developer, how do you marry into a development business as well as focusing on pure so-called low-margin annuity business?

Abhishek Lodha: I think it's a great question. I think the objective that we have is to have growing, but decently high ROE annuity income stream. And we are targeting on a blended basis, a mid-to-high-teens ROE level on our investments on the annuity business, which is not far from the 20% that we are overall seeking for the business. So we are quite mindful of the fact that while we build an annuity portfolio, it should not be ROE dilutive.

We are using 3 different strategies, which help us achieve this objective. One is our facilities management business, which is in an adjunct to our development business, being very low capex, the ROE levels in this business are quite high, margins are at about 10%. The second strategy we've taken is in the warehousing and industrial business, what

we call digital infrastructure

where we have a 1/3 equity stake as an LP in the platform, but we are also managing the platform and therefore, earning fee income from our operating platform.

At the asset level, we make ROEs, which are in the sort of mid-teens. But we are able to add about 200 to 300 basis points to that ROE on account of the fee income that we make from the platform, and therefore, we get to kind of somewhere in the higher teens on that.

Lastly, on the office and retail, we are very, very selective here. We will typically build and lease these assets and then sell them because we believe at that point in time, the ROEs move to a trajectory, which are not commensurate with our overall goals on ROE. However, there are select locations where the price growth or rental growth is expected to be much higher than what the market is underwriting currently either on account of the quality of the product or the location being very difficult to bring new supply into.

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And those are the only assets that on the office or retail side that we intend to retain. We expect to have net income of about INR500 crores from our annuity portfolio by fiscal '26 and grow that to about INR1,500 crores by fiscal '31. But in doing so, ensuring that we maintain mid-teen ROEs on the annuity part of our investments.

Puneet : So would the understanding be right when you said lease and sell versus own it. You might actually own those locations which are weakly priced now, but you expect pricing appreciation, but you might be selling the marquee assets, which are already fairly priced. Is that how one should rethink?

Abhishek Lodha : I would put it in a slightly different way. We would sell an asset when we believe that the pricing growth ahead is reflected in the exit values which are available today. So we are not driven to hold on to any asset forever on the office and retail side. Let me put it that way. We are happy to hold it for a longer period of time, which could be, as we mentioned, potentially locations which are rerating but it could also be a highly rated location where the rental resets in the subsequent cycle are likely to be much higher than what the market typically underwrite. Typically, these assets are underwritten on a 4% to 5% price growth. But if we expect higher price growth than that on the rental side, we might hold on to even a marquee asset for some time.

Puneet : Understood. This is very, very clear. Lastly, if I may, what is the specific change in the contract that you have done that has allowed you to move from PCM to POCM method?

Abhishek Lodha: See two things have to be. I'll just add in and then Sushil will, of course, add to that. I think 2 things have to be taken into account. One, the empirical evidence suggests that once the agreement is entered into, there is almost no cancellation after that. And I think that is itself the core of the shift in the methodology. In addition to that, we have made some specific changes allowing the enforcement of specific performance on these agreements, which allows us to transition as per the Ind AS guidance, and this change has been made in the last quarter only, but Sushil will further add to that.

Sushil Modi: So I think broadly, Abhishek, you covered some of the important parameters. Nonetheless, there are a few more that have happened. But the crux perhaps lies around the enforceability and which is what Abhishek covered. So yes, a number of changes, but some of the important ones, in any case, Abhishek highlighted.

Puneet : But there was still something which couldn't let you change your earlier PCM into POCM, right?

And if it is something specific which has been added now.

Sushil Modi: Yes. If the contract is status quo, then obviously, we could not have. So the contract that has already been entered I know. Obviously, we perhaps

would have the possibility if we can get those contracts amended, which is another thing and then maybe we can look at it or even think over it. But as this situation, the whole contract, yes, we could not have.

Moderator: We have our next question from the line of Abhinav Sinha from Jefferies.

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Abhinav Sinha: Sushil sir, just following up. So in Bangalore, will we follow POCM or is that under a separate radar and can't be done?

Sushil Modi: No, no, no. In Bangalore too, we will be following the same POCM.

Abhinav Sinha: Okay. So technically, this can be done across India, right?

Sushil Modi: We hope so because by now the kind of PhD perhaps we have achieved analyzing, reading a lot many literatures, consulting, discussing with lot many stalwarts, be it in the field of accounting, be it in the field of legal fraternity. So we think primarily yes, perhaps what you said is right.

Abhinav Sinha: And Abhishek, a couple of questions for you. One, on the Centaur acquisition. What are the next steps we should watch out for here? And does the substantial sort of outflow which happens here is factored in the guidance of gearing for the year?

Abhishek Lodha: Abhinav, Hi. Yes, in terms of the scheme, the scheme has been put up for approval to the concerned authorities. It'll be finalized by NCLT. Time frame of, obviously, being a judicial process is difficult to comment on, but we expect it to happen in this quarter or next quarter. Obviously, that's only our estimate. It's not a firm guidance that it will happen in this time period.

As I said, it's a judicial authority, which has to decide. And yes, we have taken all investments that we have committed to into account when we have reiterated our guidance on achieving our debt trajectory of being below 0.5x equity and below 1x of operating cash flow by the end of this fiscal.

Abhinav Sinha: Great. And lastly, you've also highlighted several large infra improvements happening near term around Palava and Upper Thane now. I understand you don't want to take aggressive price hikes on the residential side, although one can argue for that now. But on digital infra, can there be like a reset there as the infra improves quite substantially in the near term?

Abhishek Lodha: I think probably, I would like to differentiate between our digital infrastructure initiative, which is a pan-India play on industrial and warehousing in partnership with two global investors of great repute Bain Capital and Ivanhoe Cambridge versus our monetization of our surplus or excess land which is happening in Palava and Upper Thane where we have large land holdings. In terms of our land holdings in Palava and Upper Thane, I think the infrastructure, which is completing over the next 12 months will give a substantial re-rating to the location. Connectivity will dramatically improve. And then as other larger things, including the Mumbai-Nashik leg of the Mumbai Nagpur super highway and the airport in Navi, Mumbai, become operational sometime in the next, I would say, in the 12 to 24 month time frame, it will be an even further boost.

In terms of land valuations for sale to third parties for any use, it could be for warehousing, it could be for industrial parks, it could be for data centers. We do expect rerating of these locations. We have also started seeing now that we are seeing multiple players getting interested in getting data centers to our Palava location, which meets all the technical parameters and with

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land in Navi Mumbai now really getting exhausted. Palava is starting to attract that interest.

Nothing has been crystallized yet.

But when it happens, that will also be another trigger of a further upward rating in the land values because if you have multiple industries or asset classes wanting the

same land plus the data

centre land valuations tend to be much higher. In Thane, they have bought land at about INR20 crores an acre. We do expect an upward move in the land valuations, I would say, sometime in, fiscal '25.

Moderator: We have a next question from the line of Parikshit Kandpal from HDFC Securities.

Parikshit Kandpal: So this issue of RG on mother earth or the podium level. So what is your view there because the matter is in Supreme Court. So can it delay in the launch momentum for the second half, so how -- what approach you are taking there?

Prateek Bhattacharya: Our approach to regulatory matters is always the same of accepting whatever the regulatory environment is and moving further. The rulings in case of the land on Mother Earth RG are very clear. And in all our prior launches as well as the current ones, we are in compliance with that. So we do not expect any meaningful impact on our launch strategy or holdback method as project progressed on account of this regulatory change.

Parikshit Kandpal: But sir, any of those projects were on the podium level, I mean, which were in the launch pipeline and which may undergo a change?

Prateek Bhattacharya: No. I think the reality is that it's not that we have any idea of these regulatory changes, when they happen. But we, in general, given our commitment to environmentally sustainable developments like to preserve as much of mother earth as we can and not have significantly excavate out the whole site and keep the mother earth for which enables the planting of much longer-lasting variety of plantation. So because of our focus on sustainable development, there has not been an issue for us because that's already been part of our design and planning requirements for quite some time.

Parikshit Kandpal: Okay. My second question is on the Centaur, so the GDV, which you have disclosed about INR12,000 crores. So does that include the Centaur GDV? And what will be the potential the GDV from Centaur then?

Abhishek Lodha: No, it does not include the GDV from the potential acquisition of hotels. We only account GDV once we sign the definitive documents for an asset. So obviously, as you know, the V Hotels has not yet been signed up. So not something that we account for. At this stage, we will only update once the definitive documents have been put into place, we will update on the likely GDV. What I can tell you is that the development will have about upwards of 7 lakh square feet of carpet area.

Moderator: As there are no further questions, I would now like to hand the conference over to management for closing comments. Over to you.

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Anand Kumar: Thank you, everyone. In conclusion, I would say that demand conditions remain very strong, as Abhishek mentioned, with a very strong consumer desire to own a home. And in our view, this is just the third year of the 15-year long residential cycle that we have just started. So there is a long runway of growth that we would see. Please feel to reach out to me on either the operations or financial performance. Thank you, everyone. Thank you.

Moderator: Thank you. On behalf of Antique Stock Broking, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2023

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November 03, 2023

BSE Limited
Scrip Code: 543287
Debt Segment – 974163, 974199, 974473, 974511, 9749 86, 975053, 975115

National Stock Exchange of India Limited
Trading Symbol: LODHA

Dear Sirs,

Sub: Q2FY24 - Earnings Call Transcript

Ref: Intimation under Regulation 30 of SEBI (Listi ng Obligations and Disclosure Requirements)
Regulations, 2015 ('Listing Regulations')

Pursuant to Regulation 30 of the Listing Regulation s, we enclose herewith a copy of the transcript of the Company's Q2FY24 earnings conference call held on O ctober 30, 2023. The transcript is also being uploa ded on the Company's website i.e. www.lodhagroup.in under the Investors section.

We request you to take the above on record.

Thanking you,

Yours faithfully,
For Macrotech Developers Limited

Sanjyot Rangnekar
Company Secretary & Compliance Officer
Membership No F4154

Encl: As above

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"Macrotech Developers Limited
Q2 FY '2 4 Earnings Conference Call "
October 30, 202 3

MANAGEMENT : MR. ABHISHEK LODHA – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – MACROTECH
DEVELOPERS LIMITED
MR. SUSHIL KUMAR MODI – CHIEF FINANCIAL
OFFICER – MACROTECH DEVELOPERS LIMITED
MR. RAJIB DAS – PRESIDENT , EASTERN SUBURBS AND
NAVI MUMBAI – MACROTECH DEVELOPERS LIMITED
MR. ANAND KUMAR – HEAD INVESTOR RELATIONS –
MACROTECH DEVELOPERS LIMITED

MODERATOR : MR. BIPLAB DEBBARMA – ANTIQUE STOCK BROKING

Moderator: Ladies and gentlemen, good day, and welcome to Macrotech Developers Q2 FY '24 Earnings Conference Call hosted by Antique Stockbroking. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded. I now hand over the conference over to Mr. Biplab Debbarma from Antique Stock Broking. Thank you, and over to you, Mr. Debbarma.

Biplab Debbarma: Thank you, Malcolm. Good afternoon, everyone, and welcome to the Q2 FY '24 earnings call of Macrotech Developers Limited hosted by Antique Stock Broking. Today, we have with us the management of the company represented by Mr. Abhishek Lodha, Managing Director and CEO; Mr. Sushil Kumar Modi, CFO; Mr. Rajib Das, President Eastern Suburbs and Navi Mumbai; and Mr. Anand Kumar, Head IR.

Without further ado, let me hand over the call to Mr. Lodha. Over to you, sir.

Abhishek Lodha: Good afternoon, everyone. Thank you for joining us today. We are a few days from Diwali. So wishing all of you a very happy Diwali and a prosperous new year ahead. To begin with, let me share my thoughts on the broader circumstances both globally as well as on the macroeconomic side. The emergence of the new conflict in the Middle East is a source of global concern, both for humanitarian as well as economic reasons.

We pray for all those who are affected and hope that things settle down soon. In spite of the continued global turmoil, India continues to make steady economic progress in what is clearly a very volatile period otherwise. We had, after initial concerns, a very decent monsoon, and reports indicate that the food production is at a record level. And consequently, we are starting to see that food inflation has abated and is likely that it will continue to abate.

India has recently been included in JPMorgan's Emerging Market Bond Index. It is further expected that other peer indices will also follow. And consequently, significant inflows can be expected in India from the next year.

RBI in its latest monetary policy has reaffirmed the GDP growth rate of 6.5% for FY '24, making India the fastest-growing major economy in the world. The RBI also indicated that interest rates at this time have peaked. And unless there are significant black swan events, the interest rates are unlikely to go higher from where they are today.

And that gives us confidence that if things do not turn adverse in an unforeseen manner, then there is likely to be starting of the rate cut cycle sometime next year. India, of course, continues to be a beneficiary of the China Plus One trend, and manufacturing continues to gain momentum. Given the second leg of the job creation engine in addition to the strong and continuing services engine, which India has historically relied on, just as India continues its journey of being a steady ship in troubled global waters. Our focus as a company is to deliver steady growth while continuing to reduce risk. The quarter was marked by steady progress on our key goals: presales growth, debt reduction, improved ROE as well as strong performance on ESG and reputational metrics.

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In Q2, which is otherwise seasonally the weakest quarter of the year, we had our best-ever presales, which came in at about INR35.3 billion. That led to strong cash flows, and our net debt came down by INR5.4 billion, now down to INR67.3 billion. Our adjusted EBITDA margins for the quarter, on underlying pre-sales basis, the embedded EBITDA was at about 30%, which again showcased the strong continuing profitability of the company.

Our ROEs on an underlying pro forma earnings now continue to move towards the high teens. It's a very proud moment to note that the globally recognized GRESB rated us as the number one residential developer in Asia for our ESG standards. Similarly, S&P Global Corporate Sustainability Assessment rated us as number two in the world amongst real estate developers. It is indeed a very proud moment for us that an Indian company is now number one in Asia and number two in the world on globally recognized ESG indices in the real estate space. As we look at the concerns around climate change and more specifically in our major cities around air quality and pollution, it shows that it is very much possible in India that we can operate at the highest standards of ESG and still continue to deliver long-term sustainable growth.

As a business, we continue to remain on track for our annual guidance on presales, on embedded EBITDA as well as on debt reduction, and we hope that we will exceed our guidance on business development. H1, as you generally know, is a period which tends to be around 45% of the annual performance, and the second half of the year tends to be more stronger with the festive season

and generally more predictable weather patterns.

In H1, we generally plan for a lower level of activity, particularly launches due to the unpredictable nature of the monsoons, the timing of the monsoons as well as when you would have certain monsoon events. And of course, you have impact to a lesser extent of summer vacations and sometimes the inauspicious Pitru Paksh period. However, the Pitru Paksh period has moved to Q3 in this year. Thus, H2 tends to be about 55% of our overall performance for the year. And it contributes an even bigger percentage of the operating cash flow.

We are pleased to note that the new market that we entered last year, Bangalore, we plan to start our sales now with the launch of our first project in the month of November. Our journey in Bangalore, we hope and expect will follow our trajectory in Pune, early stages of focusing on building a strong brand, delivering product, understanding the local ecosystem and building the local team and thereafter scaling up in a meaningful manner as we have been able to do in Pune now.

Our business development pipeline continues to remain quite strong. As you would have already noted, we've delivered about 80% of our annual guidance already, about INR143 billion out of a guidance of INR175 billion. And we expect that this robust business development pipeline will continue, and we continue to see good deals across multiple locations, which continue to aid our supermarket strategy of being present across every 3 to 5 kilometers in the key cities that we are focused on.

During this first half of the year, our YTD price growth that is from 1st April onwards, was at about 3%, squarely in line with our guidance for the year of price growth of between 6% to 7%,

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which is 2% below the likely wage growth between 8% to 10% for white-collar workers who tend to be the home buyers.

We believe that this continued focus on strong affordability and making sure that we have nominal price growth, but at the same time, affordability does not take a hit is a very, very critical part of our strategy, and that is an important reason we believe, which will lead to long-term sustainability of the super cycle, which we expect to be 15 years of housing growth, and we are only in year 3 of that and making sure that price growth does not get too aggressive is a critical ingredient to ensuring the longevity of this cycle.

Another point that I'd like to make is that our journey to have the P&L more accurately reflect the period's underlying business performance has commenced now with the sales after 1st April 2023 being eligible for revenue recognition under

the percentage completion method.

Over the next 3 years from the start of the journey, i.e., by fiscal '27, we expect the P&L to be reflecting the underlying business performance quite well, perhaps at the most with a quarter's lag. It's important to note this year, in this quarter, revenue recognition is only about INR17 billion, whereas the presales are at INR35 billion. And yet, most of the overheads, which were incurred in this quarter had to be accounted as expenses in this quarter itself. Therefore, for the next few quarters, the best indication of our business performance are the presales and embedded EBITDA metrics that we have historically shared with you.

I'd like to focus on a few highlights of our for-sale business. We intend to have about 7 to 9 new launches over the next 6 months, about 8 million square feet worth INR12,000 crores in a variety of markets. This provides significant visibility to achieve our targeted presales growth for the year.

In terms of the new micro market, and I'm pleased to have our colleague Rajib Das with us today who leads the growing market of Eastern Suburbs of Mumbai. And he'll share his thoughts separately. But in terms of the new micro markets that we've entered over the last 2 years, let me share a few highlights.

Pune, we achieved presales of INR 1,100 crores in fiscal '23 with four operating projects. And in the first half of fiscal '24, we've already achieved INR960 crores of presales. We expect to cross INR 2000 crores of presales for the year and have strong confidence that not only will we emerge among the top three developers in Pune by the end of this fiscal, but we can further continue to strengthen that journey and double our presales over the next -- further double our presales over the next 3 to 4 years.

Similarly, both in the Eastern as well as Western Suburbs of Mumbai, we are seeing strong growth in practice. We now have five operating projects in four locations in the Eastern Suburbs. Our presales in the Eastern Suburbs, in the first half, were at over INR 800 crores compared to INR1,200 crores that was for the full year of fiscal '23.

As I already mentioned, we are now targeting our first launch in Bangalore in the month of November and hopefully a second launch in the last quarter of the year and if not in the first quarter of the next fiscal.

In terms of some select projects, I'd like to highlight how the strength of the Lodha brand are focused on high-quality product and the desirability of what we create leads to significant attraction as we start operating at new locations. At Matunga, which we launched in the fourth quarter of fiscal '23, we've already sold close to INR700 crores in less than 9 months.

In Andheri, we've sold more than 50% of the launch inventory within 9 months. In Hinjewadi again, we've sold in 7 months since launch, more than INR500 crores, which is 57% of the launch inventory. And similarly, at Kharadi, we have cumulatively sold about INR800-plus crores in just 10 months, which is about 64% of the launch inventory.

At Pune NIBM, not only have we seen great velocity, having sold more than INR 750 crores, just under 70% of the overall sales, but we also expect to see that the first towers will complete in the next calendar year. Thus, one sees that not only are the new locations contributing to sales, but also we are progressing with deliveries. And this combination of strong brands, strong sales and strong deliveries, we believe will set out the flywheel effect, which helps us expand the business, but also keep margins robust as we saw also in this quarter where the underlying EBITDA margins were at about 30%.

I'd like to highlight a little bit about the land that we own in Palava and how land values have been moving. At the time of our IPO, the estimated value of the underlying land

d. This is not the

residential land, but land that one would sell for industrial or other purposes was at about INR 2.5 crores an acre. But now we have transactions which are happening upwards of INR 5 crores per acre, and we expect that this number will further inch up north of INR 6 crores per acre.

This is the benefit, of course, of having a high-quality ecosystem, well planned infrastructure as well as the fact that consumers as those who are setting up there, warehouses and industries have recognized the benefit of being within the larger Palava ecosystem. And obviously, over time, we expect this to further grow as other asset classes come in. And hopefully, we should be crossing the INR 10 crores mark sometime over the next 24 months. And that kind of underlying value of the land will create significant free cash flow for the company.

The beneficiary of all this activity is not just the cash flow that we generate from the land, but it's also the demand that we have generated for our developments, which are located close to these industrial and warehousing developments. In spite of the substantial increase in mortgage rates, Palava continues to see strong traction from consumers.

We are also starting to upgrade and premiumize the product that we are offering so that we have a broader mix of consumers that are staying over there. And that is complementing the number of different asset classes, which are now operating in the Palava ecosystem in addition to residential, including office spaces, high street retail, multiple schools, two hospitals, which are now under development, life sciences and research, R&D facilities and so on.

We obviously see these -- the effects very clearly, you have a situation where a hospital is coming up and the doctors who are operating in the hospital want to buy a plot for a villa or build or buy a high-end apartment and so on.

So the effects of the ecosystem, we believe are quite strong. And as the infrastructure in the area completes, some of these projects have gotten elongated beyond our earlier estimates, but we expect that a number of these will now start completing, including the Airoli Katai Naka Freeway, which should reduce the travel time from Airoli down to 20 minutes in a predictable manner and to BKC in 45 minutes, which should be completing now any time in the next 6 months.

Plus, of course, the Navi Mumbai Airport, the Trans Harbor Link and the Thane Dombivli link road. So projects which will complete a little bit further in the future, but later in this decade, include the metro line number 12, which have three stations located within Palava, the Mumbai Ahmadabad Bullet Train for which construction is in full swing. And the first station after BKC is just a short drive from Palava, maybe 5 to 10 minutes drive from Palava. And generally, the overall infrastructure upgradation.

So we believe that Palava as well as Upper Thane will benefit from these dual sources of infrastructure as well as job creation, which is happening in a meaningful manner in those areas. Before we dive and I hand over to Rajib, I'd like to reiterate the fact that we continue to see strong home buying interest and momentum on the ground. We continue to see meaningful increase and improvement in conversion rates over the last 12 months. Activity is strong across

different price points. And there is a clear preference for buying branded homes, high-quality homes where quality and product and lifestyle comes first and price come second, which, of course, gives increasing branding power to us.

We believe our journey of being a steady player focusing on steady growth, predictable growth is something which will hold us in good stead. We continue to remain focused on delivering a 20% CAGR in presales and about 20% ROE, which we believe helps us deliver on the mandate

of being a steady, predictable but high-growth company.

With this, I'll pause now and hand over to Rajib for his remarks in relation to the Eastern Suburbs, which he leads. Thank you.

Rajib Das: Thank you, Abhishek. Good afternoon, everyone. The Eastern Suburbs spanning from Matunga in the south to Mulund in the north consists of at least 10-plus distinct micro markets, each with its unique characteristics. Historically, a residential area, the region has undergone a remarkable transformation in recent years, driven by substantial infrastructural development. This transformation has made it an ideal market in terms of affordability, connectivity to all major business hubs of the city and access to increasing social infrastructure. These developments are set to enhance the business and the residential desirability of the region, strengthening both volume and price growth going forward. The market offers a wide range of opportunities from mass housing to luxury condos.

The Eastern Suburbs represent a substantial primary market of about INR 200bn of sales, and it has grown at a CAGR of approximately 12% to 15% between FY '21 to '23. On the back of strong industry consolidation, desirability of our products as well as Lodha's commitment to quality and timely delivery, we have witnessed very strong growth in the market.

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Having started in the region as recent as the second half of FY '22, we achieved over INR 1200 crores of presales in FY '23, which was our first full year of operation. For the current fiscal year of FY '24, we are aiming for at least a 40% to 50% growth over the previous year, which translates to around INR 1,700 crores to INR 1,800 crores in presales. At the end of H1, we are already at INR 800 crores and are well poised to meet this target.

By the end of the year, our footprint would have increased to five to six operating projects in various locations of Eastern Suburbs such as Mulund, Powai, Vikhroli, Sion, Matunga and Bhandup. Furthermore, the robust demand for our projects and products has allowed us to increase prices by about 6% to 7% annually, which is in line with the pricing strategy of modest and digestible price increase, which is at least 200 bps below the white collar salary growth, keeping the affordability strong.

Our goal in the next few years is to expand our market share to 20%. To achieve this, we plan to add two to three projects in our region annually as per our supermarket strategy of having noncompeting projects within 3 kilometres to 5 kilometres radius to ensure the presence of our brand in each of the 10-plus distinct micro markets. We already have a robust pipeline of new opportunities, some of which are in advanced stages of discussion and these projects will be launched in the upcoming financial year.

Regarding our organizational structure, we operate with a decentralized system in which each regional CEO is responsible for managing all business parameters within their respective region. The Eastern Suburb region currently has around 200-plus associates across various departments of sales, construction, customer experience, design, marketing, strategy and property management. Given the region's accelerated growth stage, our people strategy is to create a healthy mix of experienced Lodha associates from other projects and new hires to support our continued expansion.

In conclusion, we are committed to achieving our ambitious growth targets in the Eastern Suburbs region. With our strategic approach, strong brand presence and a pipeline of exciting opportunities, we are well poised for success.

Allow me to stop over here and hand it over to Sushil.

Sushil Modi: Hi. Perhaps we can move to the Q&A. Whomever would have queries or clarification to seek. Thank you.

Moderator: Thank you very much. The first question is from the line of

Puneet Gulati from HSBC. Please go ahead.

Puneet Gulati: Yes. Thank you so much and congratulations on good numbers. Can you talk a bit about the experiences that you are having in terms of business development in cities like Bangalore, what kind of IRR are you expecting from the projects there? And how is the competitive intensity in terms of big lands?

Abhishek Lodha: Hi Puneet, look, frankly, in the scheme of things for Macrotech, as you know, Bangalore is something that we are more in the pilot stage at this point, not really looking for aggressively
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adding projects. So just from a Macrotech standpoint, perhaps it may be a bit of early to speak about.

But nonetheless, whatever at least we are doing, our IRR thresholds for typical JDA that we have always mentioned would be kind of 30% plus. We haven't seen any significant challenge as of now getting there. Yes, there are a good number of branded players already existing.

So, henceforth, it will be wrong to say competition won't be there. But equally, the sizability if you see alongside the competition, perhaps you would be able to appreciate that as we move on and as we now launch our first product sometime in this month, in the month of November, we'll get to hear how the people has received and thereby, what kind of potential that lies ahead of Macrotech going forward, be it in terms of the consumer sales and the by default getting our raw material land tie -up.

Puneet Gulati: And within Mumbai, in terms of business development, would you foc us on JDA? Are you also looking to become more aggressive in the society redevelopment projects, etcetera? Any thoughts there?

Abhishek Lodha: Puneet, frankly, from our standpoint, these dynamics of redevelopment, JDA, all these are, in some sense, less relevant. For us, all is in some sense, one and the same. What we really look forward is that, we should be looking for a land which we have the ability or that provides the ability to launch quicker, be it the redevelopment, be it JDA on a clean land. It doesn't matter. What matters is the size of the project, which delivers the certain return thresholds in absolute terms as well as on the margin terms and thereby the IRR. So long those are deliverable and it can be something that can be quickly b rought to the market, because that is what brings the returns, right? So those are the ingredients that we will typically look for.

Puneet Gulati: Correct but society redevelopment is slower to launch to market. So will that fit into your scheme of things or would you rather avoid that and go for other projects which can be quick to launch from the time you acquire?

Abhishek Lodha: No, as I said, so long quick to launch ingredient is pretty much there alongside the return threshold, we don't make any distinction .

Puneet Gulati: Understood. That's helpful. And lastly, on your FY '24 launches, are they looking broadly on track. There was pretty much nothing this quarter, right? I mean, second half looks to be heavily loaded in that ways. That's h ow one should read it ?

Abhishek Lodha: Yes. We tend to do as much as possible in the second half because especially Q2 tends to have this monsoons unpredictability. You don't want to time a launch at a weekend when monsoons throw t he city out of gear.

So we typically tend to plan it in the second half of the year. Not saying that we don't do anything in the first half of the year, but it tends to be more loaded to the second half of the year. And yes, in terms of our launch pipeline for the second half, it all looks reasonably in place. Obviously,
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the ones which are planned for March sometimes can slip to in April, but it looks to be all in place.

Puneet Gulati: Understood. That's very helpful. Thank you so much and all the best.
Abh

ishek Lodha: Thank you.

Moderator: Thank you very much. The next question is from the line of Saurabh Kumar from JPMorgan. Please go ahead, sir

Saurabh Kumar: So I had a few questions. So first is the impact of the BMC order on pollution and all. Do yo u think this impacts your construction spend at least for this quarter?

Rajib Das: Hi Saurabh, the BMC's guidelines have been around for some time. We're, I would say, largely compliant with them. There are going to be certain supply chain issues, which ha ve not yet cropped up, but there is a likelihood of certain supply chain issues cropping up. If they stop the transportation of heavy vehicles within the city in order to control the pollution -related issues. That is a contingent event if the air quality r eaches a certain threshold, which they classify as severe. So at this stage, I would say that there is no impact on our construction schedule or spend, but there is a downside risk in case the air quality crossed threshold that has been stated to be severe.

Saurabh Kumar: Okay. Understood. The second is essentially -- so you talked about this Eastern Suburbs. So we

are seeing a lot of infrastructure come up like Navi-Mumbai Airport, the Trans Harbour Link, the Airoli connectivity, which you spoke about.

So if you have to imagine, what happens, let's say, two years or three years out, would you expect, let's say, the differential in pricing between where Palava Airoli belt rates versus, let's say, the Andheri East, Goregaon, Kandivali belt to trade because the relative infrastructure is higher in Eastern Suburbs should that differential start to narrow down because the differential today is more like 3x to 4x?

Abhishek Lodha: Saurabh, so I think, we see that pricing at any location are driven by two things. One is quality of life and second is the length of commute. Palava has been very well received when it comes to the first metric, which is quality of life. Which is the reason why it enjoys a premium over other projects in the micro market. And where we expect to have substantial upside benefit coming in terms of pricing is now the length of the commute.

Length of the community is in minutes, in time count, which is how a consumer thinks about it.

So yes, over the next few years, and it is incremental, right, because you have the Airoli tunnel, for example, opening, then the Trans Harbour Link may happen to become really active maybe six months to 12 months down the line, then you have the metro train kicking in probably towards the '27, '28.

And then you have the bullet train from BKC, which is scheduled to complete in 2029, 2030 for this leg. So every one year to two years, you are going to see that the time it takes from Palava Macrotech Developers Limited

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to the main epicenters of the city is going to continue to come down. And as that happens and you combine that with quality of life, what you are saying is very, very highly likely to come through.

Saurabh Kumar: Okay. Understood, sir. And lastly, on your Pune strategy. So on Pune two things. Are you doing more JDA or are you doing more own? And secondly, like how would you say that, you are differentiated from competition because Pune has a pretty decent set of developers operating there for a long time. So you're doing large format townships, more high-end developments or just kind of more thoughts on your strategy in Pune? Thanks.

Abhishek Lodha: Pune, in terms of land acquisition, obviously, our strategy is JDA-led. Generally, our strategy is on joint-development-led because that's where our ROEs are higher. And that sort of as we get to this mix of about 40% of our sales coming from JDA, which should happen by the end of this fiscal or sometime next fiscal, then we will sort of start becoming more balanced as a mix of JDA and outright.

So that strategy sort of keeps sort of evolving in line

with market opportunities as well as how

we are looking at it at a corporate level. I would beg to differ with your point of view in terms of how our brand is perceived versus what the existing competition in Pune is. I think, the Lodha brand is perceived in a much higher light by the Pune consumer as in terms of the quality of the design, the quality of the product and the service standards.

And I would say this for both Pune and to an extent for Bangalore is that there are good players who do what I would say, mid-end product. But when you talk about product, which is lifestyle-oriented and value-added, I think Lodha has a big lead in the consumer's mind in terms of what it brings to the table.

Saurabh Kumar: Okay. Maybe I take this offline. And just one last question. Sushil, what is the total now left from UK? Is that over now? Or is there any balance left?

Sushil Modi: As I said last September that INR1,100 crores-odd was yet to -- what to come, of which INR550 crores has already come, the rest INR550 crores, we are expecting potentially in this financial year any time. But that should come this financial year. This would once for all kind of get out of the UK thing.

Saurabh Kumar: Okay. Thank you, sir.

Moderator: Thank you very much. The next question is from the line of Kunal from BOFA. Please go ahead.

Kunal Tayal: Thank you. My first question is that during the quarter, there were media articles saying that regulations and procedures a round society redevelopment could be simplified. So Abhishek, would you view that as an expansion of opportunity for more business development? Or would you also view that as potentially a lot more supply that can come into the market?

Abhishek Lodha: Our view, Kunal, is that supply and regulatory changes are areas which don't really impact the business cycle in any significant manner simply because ultimately, it's about what product does one build and who is building it and whether the consumer is comfortable with both of those.

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The simplification of society redevelopment procedures or for that matter any other easing of business environment is very welcome because it improves productivity for whoever is involved in it. We have done some society redevelopment or tenanted property redevelopment in the past. We are open to exploring it in the future, too. So it's a source of supply.

The great thing about Mumbai is that supply is always there and available in different forms. And that is what allows Mumbai to operate at a scale that it operates at much bigger than any other market in the country because the supply is available. Consumers can get what they want. And that is good for a long-term healthy market and also it reduces the incentive for excessive price growth because supply keeps coming to the market.

Kunal Tayal: Yes. Got it. Okay and then just a follow-up here is that, there are a lot of divergent data points in the market right now on how fast exactly is the MMR market growing. So what would be your assessment that on your projected bookings growth of almost 20% for the year, are you gaining market share? And the spirit of the question is, do you sense that the number of market participants are increasing because the cycle is in an established strong phase right now?

Abhishek Lodha: Our market share growing? Yes, certainly. I think we certainly believe that our market share is growing. And that has to be seen from the context, not just from the sales growth, but also from the fact that as we increase the number of locations in line with our supermarket strategy, there are unaddressed markets in the past, which we are now addressing. And therefore, automatically, share growth is happening.

The fact is that, the top five developers in Mumbai have less than 25% market share as of last year. And therefore, there is a lot of

room to grow on consolidation. There is also space for new entrants, if they so wish to enter. Now what happens to those new entrants and how they perform, time will tell. I have no view on that.

But top line as well as bottom line are areas which one has to look at closely as one enters new markets. And that's why when we enter new markets like Pune earlier, and now Bangalore, our focus is on not just top line, but also on making sure that the bottom line comes through along with that and execution comes along with that. So there is room for Mumbai to support one player or two players or three players who want to enter from outside Mumbai.

But we don't see that competitive intensity is in the manner that you are stating it because we believe that the business has moved from being a commodity to being a branded business. So it doesn't really matter, how many people are selling cellphones. There is Apple and then there is Samsung and then there is everybody else. And that's how we believe, real estate is also moving to.

Kunal Tayal: Yes. Got it. Thank you.

Moderator: Thank you very much. The next question is from the line of Pritesh Sheth from Motilal Oswal. Please go ahead.

Pritesh Sheth: Yes. Thanks for the opportunity and congrats on a very strong performance. First is in terms of micro market performance capacity, South Central had a very good quarter. It wasn't specific to Macrotech Developers Limited
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any particular project because we have been hearing certain transactions in media? Or do you see this improvement across projects because of people's preference for larger homes? And how do you see this trajectory for South Central as a market going ahead?

Abhishek Lodha: So you're right, that South Central Mumbai in the first half of the year and particularly in Q2, has done quite well. It's probably a story which is similar to other markets where you add locations, you have growth. Plus, we are seeing price growth in existing locations. And to an extent, we are seeing volume growth also in existing locations.

So this time in South Central Mumbai, you, of course, had the World Towers and Park contributing. But you also had Lodha Malabar contributing, you had Lodha Bellevue contributing. So, we see that generally the market in South Central Mumbai is very deep. We are, by far, the most desired brand in this market. And as we bring in supply, we expect to continue to see the momentum grow.

There are probably two new locations we'll add in the second half of the year within South Central Mumbai, land, of course, is already acquired and approvals are in place. So we expect that this momentum continues for some time. You can have quarterly ups and downs.

But generally, what we see across our business is out of our 20% growth, about 6%, 7% will come from price of the balance, 5%, 6% will come from volume growth in existing locations, and then 6% to 8% will come from volume from new locations. And in different measures, that's a story, which is now playing out in South Central Mumbai too.

Pritesh Sheth: But any pricing strategy in South Central Mumbai would be different from the other markets because of higher propensity to pay for the customers. So would it be different?

Abhishek Lodha: I would say is that, again, which I answered it in a different context, but I'll say it again, pricing strategy that we have is to charge a premium to competition because we believe, we deliver the best product and the best service and there is and people get the best lifestyle and have no problem in paying a premium to the market.

And that's really our pricing strategy across the board. Having said that, when it comes to price growth, we are conservative. We believe that once a project is started off and a pricing is established just because there is demand, one should not go ballistic on price increases because affordability

is a key consideration.

So our pricing strategy is pretty similar across markets. There is no exception to South Central Mumbai has a higher propensity to pay because consumers across the board want great value. Value is a combination of price combined with what product and service one is getting.

Pritesh Sheth: Sure. Got it. And second, on your JDA, it has been like 2.5 years now since you have been doing these transactions, preferably JDAs. Any change in terms of land owner expectations that you have seen during this period? And how are we tackling it, if at all?

Abhishek Lodha: We believe that the JDA pipeline and the JDA dynamics can be evidenced by the level of business development that we've done in the first half of the year. We believe that Lodha's

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attractiveness as a brand, what is attractive to the consumer or what is attractive to a lender is also attractive to the landowner, which is strong governance and great execution capability. And in that context, we continue to see a healthy pipeline. I would say the pipeline is lot bigger today than it was 18 months ago. And consequently, we can afford to be picky and choosy about what transactions we do and making sure that the margins that we target, which is 18% in Mumbai in terms of PBT and ROEs in excess of 30% on these JDAs can be delivered with room for error.

Pritesh Sheth: And just lastly, on your digital infra business, where you mentioned that pricing have increased to INR5 crores per acre now and since in last few quarters, I mean, the volumes have not been as big as what probably we have been mentioning roughly INR600 crores, INR700 crores kind of a target every year. So is pricing becoming a bit resistant now for people who are looking to buy land and probably once the infra comes up that time, we will see more volumes and transactions? Or how do you see the volume of transaction that is happening now? Is it in line with your expectation or maybe it can improve in future?

Abhishek Lodha: I would like to clarify a few things. Our digital infrastructure business is our warehousing and industrial parks business, where we develop warehousing and industrial parks initially in Palava, and then we are now doing across other locations. What you are referring to in terms of land value is Macrotech Developers selling land to third parties, which would include our digital infrastructure partners or platform also.

So I just wanted to distinguish between those two. In terms of the land sales and land momentum, as you can imagine, it's chunky. Last year, we sold 140, 100 plus acres in a single transaction to a warehousing development entity. And obviously, that takes them three or four years before they are able to fully monetize that. That's the nature of the business. We see right now that the momentum on land sales is reasonable.

You may have read about the fact that we've recently divested of a subsidiary to a company which is focused on building logistics and solutions called New Cold, which is a globally renowned cold chain logistics company. We've just announced the transaction for INR1.5 billion transaction will complete then funds should come this quarter. So we're quite in a good space when it comes to the quantum of land that we want to transact.

The piece which is not necessarily, I would say, predictable is the acquisition that the government does for its infrastructure. So in the last fiscal, there was more acquisition done by the government for its infrastructure this year, there has been lesser. It's dependent on what their priorities are and so on. So sometimes that number varies a lot. But what is sold to the market, I think, is moving quite well.

Pritesh Sheth: Sure, that's helpful. That's in from my side. All the best and Happy Diwali to you and your team in advance. Thank you.

Abhishek Lodha: Thank you.

Moderator: The next question is from the line of Abhinav Sinha from Jefferies India. Please go ahead.

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Abhinav Sinha: The first question is on cash flows. So we seem to be trending well on our guidance on net debt for the full year and you already alluded to second half being much stronger on inflows. So if there is a bit of a surplus here, what are the strategies we are looking for, how to utilize that cash flow?

Abhishek Lodha: We do expect that the debt reduction in the second half of the year will be higher. And as Sushil also mentioned, we expect to receive about INR550 crores from the U.K. in the second half of the year. So that will also help. Having said that, I think it's a net debt number.

We, of course, look at our business development opportunities on an ongoing basis. But it's possible that net debt might be slightly lower than at one point and then go up in the next quarter if it's gone below where we want to be. So that's a normal part of the business because business development opportunities or opportunities to deploy this capital don't necessarily come in the same time frame as the cash flow coming in. Obviously, while we paid out our first dividend last year, we expect to increase our return to shareholders also over time, either in the form of dividends or other means. So all of those things will be considered by the Board at the right time.

Abhinav Sinha: Sir, secondly, on the township side. So sales momentum on residential, despite the uptick you're seeing broadly and also the infra improvement, it seems to be flattish in the first half. So I mean, what will you sort of ascribe that to? And also, do you think some government intervention is needed for this segment now?

Abhishek Lodha: I think the overall performance of the extended Eastern Suburbs for the full year will see meaningful growth over last year's number. Last year, we did about INR23 billion, and we expect that number to be growing meaningfully. So we have meaningful growth when it comes to the sales performance in the extended Eastern Suburb in spite of the impact of the increase in mortgage rates.

In terms of the segment between INR30 lakhs and INR75 lakhs where the sensitivity to mortgage rates is the highest, clearly, there is some impact on demand there. And any intervention from the government which supports sort of these people who are buying their first home, starter homes, would be welcome.

We of course all read some news reports in that regard. And if that were to come through, that would be, I would say, the right thing from an economic perspective because housing not only creates an immense amount of employment, but it also creates wealth for those who own homes and therefore, to get the families onto the housing ladder as early as practical, especially when we've had this increase in interest rates for reasons which are global in nature, nothing to do with things these families have made choices on. It would be, I would say, a positive intervention if it were to come. We, of course, hope it happens, but let's see.

Abhinav Sinha: Thanks Abhishek and all the best to the team.

Abhishek Lodha: Thank you.

Moderator: As there are no further questions, I would now like to hand the conference over to Mr. Anand Kumar, Head, Investor Relations, for closing comments. Please go ahead, sir.

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Anand Kumar: Thank you, Malcolm. Thank you, Bipin. In conclusion, I would only say that I reiterate the point what Abhishek mentioned, the demand conditions on the ground remain very robust and the early read through of the festive season is quite encouraging. With this, we conclude the call.

I would like to thank all of you and wish you for all the festivals coming up. Thank you.

Moderator: Thank you very much. On behalf of Antique

Stock Broking, that concludes this conference.

Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2024

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February 01, 2024

BSE Limited
Scrip Code: 543287
Debt Segment – 974163, 974199, 974473, 974511, 974986, 975053, 975115, 975192

National Stock Exchange of India Limited
Trading Symbol: LODHA

Dear Sirs,

Sub: Q3FY24 - Earnings Call Transcript

Ref: Intimation under Regulation 30 of SEBI (Listi ng Obligations and Disclosure Requirements)
Regulations, 2015 ('Listing Regulations')

Pursuant to Regulation 30 of the Listing Regulation s, we enclose herewith a copy of the transcript of the Company's Q3FY24 earnings conference call held on J anuary 29, 2024. The transcript is also being uploa ded on the Company's website i.e. www.lodhagroup.in under the Investor Relations section.

Kindly take the above information on your records.

Thanking you,

Yours faithfully,

For Macrotech Developers Limited

Sanjyot Rangnekar
Company Secretary & Compliance Officer
Membership No F4154

Encl: As above

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MANAGEMENT : M R. ABHISHEK LODHA – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – MACROTECH
DEVELOPERS LIMITED
MR. SUSHIL KUMAR MODI – CHIEF FINANCIAL
OFFICER – MACROTECH DEVELOPERS LIMITED
MR. RAJENDRA JOSHI - CHIEF EXECUTIVE OFFICER ,
BENGALURU – MACROTECH DEVELOPERS LIMITED
MR. ANAND KUMAR – HEAD INVESTOR RELATIONS –
MACROTECH DEVELOPERS LIMITED

MODERATOR : M R. BIPLAB DEBBARMA – ANTIQUE STOCK BROKING

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Moderator: Ladies and gentlemen, good day, and welcome to Q3 F Y '24 Earnings Conference Call of Macrotech Developers Limited, hosted by an Antique Stock Broking. As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Biplab Debbarma from Antique Stock Broking. Thank you, and over to you sir.

Biplab Debbarma: Thank you, Muskan. Good morning, everyone, and welcome to the Q3 FY '24 Earnings Call of Macrotech Developers Limited, hosted by Antique Stock Broking. Today, we have with us the management of the company represented by Mr. Abhishek Lodha, Managing Director and CEO; Mr. Sushil Kumar Modi, CFO; Mr. Rajendra Joshi, CEO, Bengaluru and Mr. Anand Kumar, Head IR.

Without further ado, let me hand over the call to Mr. Lodha. Over to you, sir.

Abhishek Lodha: Thank you Biplab and good morning everyone. Thank you for joining us for our earnings call. Hope the new year has started well for all of you and you've been well.

Today on the call, we also have Mr. Rajendra Joshi, who heads our Bangalore business to share his thoughts on our recent start and successful launch in Bangalore, as well as the strategy and plan going forward. Let me first begin with sharing our perspective on the overall macroeconomic and industry situation. Global growth seems to have come out rather reasonably from the various crises of the last year, including the geopolitical issues in the Middle East and Ukraine-Russia, as well as the global inflationary scare.

With the US Fed indicating the peaking of interest rates and subsequent rate cuts during the course of the coming year, we believe that we are past the hump of interest rates for now. Containment of geopolitical skirmishes is another silver lining in an otherwise unfortunate scenario in the Middle East. Stable energy and commodity prices, despite these conflicts, have insulated global economies to a significant extent.

Global growth, while steady, remains slower than pre-COVID levels, largely led by slowing China and Europe. Within this slowing world, India remains the beacon of hope and is punching about its historic weight. The IMF estimates that India will contribute about 16% of global growth this year, which is only going to go up in the years to come.

The recent advanced GDP estimates by NSO of approximately 7.3% for FY24 are very encouraging. We have seen most agencies, including the RBI, upgrade GDP growth forecasts for the country. Slowly but steadily, India is emerging as a key spoke in the global supply chain and thus likely to attract stronger investment flows.

The revival of manufacturing in the country, in the fields of defence, electronics, manufacturing of semiconductors, etc., we believe, will create a much deeper formal job market and lead to further formalization of the economy. The equity raising by Indian corporates in the last couple

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of years also suggests the general optimism of domestic companies in the economy. Another positive development has been the inclusion of India in the JP Morgan EM Bond Index. And it is likely that India will also get included in some of the other prestigious bond indexes, e.g. the Bloomberg EM Index. Such inclusions will boost foreign capital flows and bring down cost of capital for Indian borrowers as well as enhance currency stability. Coupled with reduction in rates by global central banks, we hope to start seeing policy rates being brought down by RBI in the next 12 months.

This will help bring down

mortgage rates and boost housing demand, especially in the entry-level segments. In addition, we hope that the government will support first-time home buyers and provide a further fillip for demand in the mid-income housing segments. We believe that the industry in India is in the right place at the right time, where the political and economic environment are moving in the right direction.

As we have mentioned several times in the past, we are in years 3 or 4 of a long cycle, perhaps 15 years long, for the housing industry in India as India transitions from a low income to a mid-

income country. And as we have seen in many instances where such transitions happen, the housing cycle tends to be much longer than the normal cyclicalities that we see otherwise in development. As long as developers play it well, which means keeping price rises moderate and ensuring that home prices remain affordable for genuine home buyers and annual rises do not exceed salary rises, something that we have been saying for quite some time and are definitely practicing the same and are making every possible effort to avoid investor and speculated demand in our market.

As long as the job creation cycle, combined with reasonable price growth holds, we believe that our industry is set for a sustained period of growth. Within this, Mumbai infrastructure upgrades are now coming to fruition as several of the transformational infrastructure projects are starting to get commissioned.

We saw the commissioning of the Mumbai Trans Harbour Link also known as Atal Setu earlier this month. Similarly, we are likely to see the coastal road being started to be operationalized over the next few months. Of course, several metro lines, the Navi Mumbai Airport and other road connectivity projects such as the Airoli-Katai Freeway, the Thane-Dombivli Link Road are also starting to get delivered this year and will see substantially all delivered over the next 24 months.

Some of the game-changing projects such as the Ahmedabad Mumbai bullet train are progressing at rapid pace and is expected to be operational before the end of this decade. This will greatly enhance the capacity of the city, continue to keep Mumbai the most sought after city in the country and a household formation thus enhancing housing demand.

As the country heads towards general elections, an end outcome towards policy continuity is likely to keep India on the growth path that it has embarked upon.

Coming to the highlights of our performance for the quarter. We have continued to deliver on our KPIs, i.e., presales, embedded EBITDA with new business addition and our reputation and Macrotech Developers Limited

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ESG scores. We achieved our best-ever third quarter presales performance with INR3,410 crores of sales, which is a 12% year-on-year growth. This was achieved in a quarter which had an adverse seasonality with the auspicious Shradh period falling in October versus September in the last fiscal.

Our 9-month FY '24 presales stand at approximately INR10,300 crores, which is a growth of about 14% year-on-year, keeping us on track to deliver our presales guidance of INR14,500 crores for fiscal '24.

In terms of pricing, we have seen an overall price growth of about 4% year-to-date for the first 9 months of the fiscal. This is in line with our strategy to have price growth for the full year at about 200 basis points below the salary growth and thus target a price growth level of between 5% to 7% year-on-year and therefore, keep affordability strong and demand buoyant.

The embedded EBITDA margin for this quarter and nine months stands at about 30% for our presales. This level of embedded EBITDA was achieved with nearly 43% of presales coming from JDA projects in the 9 months of the fiscal. On a steady-state basis, we expect JDAs to contribute about 40% of our presales and therefore,

expect that our embedded EBITDA margins

will remain at 30% and hopefully increase in the coming years.

Based on the embedded EBITDA of 30% on the presales for Q3 FY '24, our pro forma PAT for the quarter is well over INR600 crores implying a PAT margin of 17% for the presales done during the quarter. We remain confident that an embedded EBITDA of approximately INR4,300 crores and a pro forma PAT of approximately INR2,600 crores will be delivered with our presales of INR14,500 crores for this fiscal, this is a true reflection of our business and its profitability in our view and is tracking well with our objective of achieving approximately 20% ROEs.

On the business development, we continue to track higher than our guidance. During the quarter, we added 3 projects having approximately 2 million square feet of saleable area with a GDV of about INR6,000 crores. With this, we have added new projects of approximately INR20,000-plus crores thus surpassing our full year guidance within the first 9 months itself. As a reminder, our full year guidance was about INR17,500 crores of new project additions.

The substantial pace of new business development showcases the attractiveness of our company to landowners leading to a burgeoning pipeline of attractive opportunities, which will enable us to ensure profitability being maintained and grown even as we scale up our business.

Our net debt for the quarter was largely stable at about INR6,750 crores in line with the fact that we have front-loaded the business development for the first 9 months. We also paid our first dividend to shareholders during the quarter. We remain on path to achieve our full year guidance of reduction of net debt to the lower of 0.5x of equity and 1x of operating cash flow.

Our average cost of funds during the quarter further came down and now stands at approximately 9.5%, which is a 10 bps reduction from the previous quarter. We added another feather in our cap by getting included in the prestigious Dow Jones Sustainability Index or DJSI by achieving
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an exceptional score in corporate sustainability assessment. We were placed third globally amongst all real estate developers.

Recently, we have become the first real estate company in the country to have our overall net zero targets validated by the SBTi, this underscores our unwavering commitment to setting new sustainability benchmarks within the space of real estate development, not just in India, but across the world.

For the quarter, our revenue from operations stood at about INR2,931 crores in line with the operational completion seen during the quarter. These are the P&L numbers, taking into account the fact that we have moved to the percentage completion method of revenue recognition for new sales done from April '23 onwards, whereas the sales done up to 31st March 2023 continue to be considered for revenue recognition under the project completion methodology.

Our adjusted EBITDA for the quarter was approximately INR1,075 crores. Our adjusted EBITDA margin was approximately 37%, and our adjusted PAT was INR568 crores. Our reported PAT continues to ramp up going forward as revenue recognition starts matching operating performance.

I am also pleased to note that we have fully completed our exit from our U.K. investments in this quarter, in line with our earlier guidance. And the entire amount that we had said that would be recovered from the U.K. we have provided this information in September of 2022. And this amount of INR1,100 crores has now been fully recovered from the U.K., including approximately INR550 crores in the last quarter.

With this, our company has fully focused back on our growth and scaling up in India. And as we have mentioned before, we will have no investments outside India whatsoever.

I would like to take this opportunity to highlight

the rapid advancement of the ecosystem in

Palava. To mention the fact that in Palava and Upper Thane, the 2 large townships on the outskirts of Navi Mumbai and Thane, respectively, your company owns approximately 600 million square feet of development potential, by far, the largest and most valuable land holding of any real estate developer in the country.

In line with some of the infrastructure projects that I mentioned earlier, we are already seeing that the corporate land market is moving up quite rapidly. In the last quarter, we saw 2 transactions, which have set benchmarks in terms of land values. We saw NewCold, which is a cold storage company and Panama Petrochem, which is a petrochemical company buying land from us to set up their facilities.

The transaction with the NewCold happened at about INR5.5 crores an acre and the transaction with Panama Petrochem happened at about INR6.5 crores an acre, thus we can see that the trajectory from 3 years ago when land was transacting below INR3 crores an acre, we are now at already at INR6.5 crores an acre and we expect that over the next 12 to 24 months, we are now going to start seeing the magic number of INR10 crores of an acre being exceeded. And this is only for the land, which is being used for industrial and warehousing purposes.

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As the infrastructure projects start getting completed, particularly the Airoli-Katai Naka Freeway, which should be operational in the 2024 and then ending on the other side of the infrastructure upgrades with the bullet train which will have its first station after BKC, almost adjacent to Palava, which will become operational in 2028.

We see that Palava will be transformationally changed and upgraded in terms of its desirability as well as its connectivity in 2024, you will see Airoli being just 20 minutes away from Palava, and by 2028, '29, you will see BKC being only 20 minutes away from Palava.

The overall development potential of this 600 million square feet of land is of an immense value, probably between USD 75 billion to USD 100 billion, just taking into account the present rates, and obviously, this will grow over time. And therefore, we can see long-term sustainability of significant growth coming from our township projects in Palava and Upper Thane over the next few years.

I would like to move forward in stating that in addition to, of course, the existing significant land that we own, the way the environment has shaped and the sector has consolidated, the number

of opportunities coming to the strongest brands like Lodha are only continuing to grow. It is a complete market at the discretion of the graded developers on the land side where we have the choice to tie up or buy the best available opportunities that provide the right return for our stakeholders.

What I can tell you is that so many of these opportunities have come across our table over the last few months. Especially in the last 6 months, we have seen various opportunities, which may have required larger investment from our side. But as we have always mentioned in the past, our focus on continued lowering of debt is the higher priority and in no manner will we breach the guidelines of 0.5x of equity and 1x of operating cash that we have set for ourselves because we believe that low leverage is essential for sustainable value creation in our industry.

Almost 3 years after listing, I am pleased to tell you that the stability and the strength of the balance sheet are not only something which are numerical terms, but provide great internal strength to the organization and allow us to focus on value creation in a sustainable and long-term manner.

We expect that the current cash flow generation from the business and the strength of the balance sheet are sufficient to allow us to grow at approximately 20% per annum for

the foreseeable

future. And we hope to keep achieving this while keeping the balance sheet in a very robust position.

Having said that, when we come across inorganic or organic opportunities, which are likely to lead to a long-term improvement in the sustainability and predictability of our presales growth, we always want to look at those opportunities very carefully. In fact, given the discipline we want to maintain on the balance sheet, it may be prudent to raise an appropriate amount of capital only when required for such very, very attractive opportunities.

In view of that and in discussion with the Board, we have sought an enabling resolution from our shareholders to raise a modest amount of equity if and as required for some highly attractive

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opportunities. I would like to reemphasize that this is only an enabling resolution, and we will raise capital only if and when the right opportunities are presented before us.

Overall, I would summarize that it has been a satisfying quarter, and we are on track to achieve our full year guidance and continue to play a meaningful role in scaling up the housing industry and making it a significant contributor and engine of India's growth.

With that, I'll now pause and hand over to Mr. Rajendra Joshi, our CEO from Bangalore to talk about how the Bangalore market is evolving for our company. Thank you.

Rajendra Joshi: Good morning, everyone. This is Rajendra Joshi, CEO of the Bangalore Operations. Before I talk about what we have done in the Bangalore market, I want to give you a preview of the size of the market and how it has grown in the last few years.

Currently it is estimated that the residential market in Bangalore is about INR60,000 crores to INR65,000 crores, growing at about 18% over the last 4 years. The market size has doubled in the last 4 to 5 years. Of the 18% growth, volume growth has been about 10% and the price growth has been about 8%. The prices have also increased substantially in the last few years, increasing by about 40% over the last 5-year period compared to about 10% in the previous 5 years.

The inventory is at its lowest at about 9 months, which is the lowest in the last 15 years. This demand has been driven largely by the IT, ITES industries and also the startup ecosystem, which is extremely strong in the Bangalore market.

This increased purchasing power from these sectors and other business sectors has led the preference for premium housing with better amenities in the Bangalore market. The share of units, which are priced over INR1.5 crores is today at about 25% compared to about 10% a few years back.

With this background, I would now talk about how we have entered the market and beginning to grow in this market. For us, Lodha, any entry in to the new market is a 2-step journey. In the initial few years, we would like to have fewer projects focused on building an empowered local team, build the brand through superior product and the customer experience delivery, build a strong ecosystem of channel partners, suppliers, contractors, et cetera, so that we grow the market, we understand the market. We understand the ecosystem here, a couple of differences, et cetera.

In Phase 2, which is after about 3 to 4 years, we intend to accelerate in this market, the way we have done in Pune. We currently have 2 projects in Bangalore, 1 in North Bangalore, next to Manyata Tech Park, a well-known tech park built by Embassy and another 1 in South Bangalore of the Thanisandra Road. Between these 2 projects, we expect GDV of over INR3,000 crores. We launched our first project next to Manyata Tech Park in North Bangalore in November of

last year and saw a very, very successful launch. In the first week end itself, we were able to sell about INR600 crores in presales, almost about over 80% of the inventory. This success, w

e
believe, is due to the trend that Lodha has built over the last few years.
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The superior product and customer experience we delivered at our Club House that we have built. The strong channel partner network, the distribution network that we have built over the year helped us in delivering this kind of launch, which is probably the first of its kind for a brand entering the Bangalore market.

In the short term, we intend to focus on the premium and the luxury segment where Lodha, we believe, has a significant strength. We believe that in the Bangalore market, we intend to build a strong organization with local capabilities in the areas of sales, construction, marketing, customer service, etcetera, so that we can build up this business in Bangalore to about INR3,000 crores run rate in the next 3 to 4 years.

This, we believe, is possible because at Lodha, we have built a specialist organization with deep capabilities in every part of the business, starting with land procurement, design, construction, sales and marketing and customer experience. We will leverage the strength to build a thriving organization, an organization which is known for its customer experience and superior product delivery, which today we believe the Bangalore market is ready for. Thank you very much.

Moderator: Thank you very much. We will now begin the question and answer session. And the first question is from the line of Kunal from Bank of America.

Kunal: Great. My first question is on the enabling clause of raising capital. Abhishek, is it fair to characterize it as this capital could be needed in case you saw growth opportunities to exceed your 20% benchmark? And that's a fit to sustain or achieve part of that?

Abhishek Lodha: As I mentioned earlier, our internal cash flows and strength of the balance sheet are sufficient to support our planned growth of approximately 20% for several years. The enabling clause is just that, an enabling resolution in case we were to see organic or inorganic opportunities, which allow us to either raise our growth rate beyond that number or give us longer visibility and sustainability of growth, i.e., a project which may be longer in its gestation, but has the right ROEs. So that would be the core reasons if we were to raise the capital at all.

Kunal: Understood. The next question is on the Palava Upper Thane land bank, given the slew of infrastructure upgrades you cited, I was just wondering if that sort of changes the monetization plan for it a little bit. Would you think that you might want to go for faster monetization of the land bank that you have there in terms of more projects or maybe even change it in favor of residential versus logistics, industrial parks?

Abhishek Lodha: Kunal, clearly, I think logistics and industrial parks is only a small part of our larger strategy in Palava and Upper Thane. It is largely a strategy which is focused around residential and development like retail and office. We do believe that with these infrastructure upgrades now making locations much closer than they used to be in terms of traveling time, we will see a larger number of projects and different kinds of segments that we will be developing in these locations.

So for example, Palava and Upper Thane have historically been mid-income housing whereas we think now that some elements of premium housing will start getting launched in these locations because the locations are now ready for that given their proximity that I said. 20

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minutes to Airoli from Palava in 2024, less than 20 minutes to Thane from Upper Thane in 2025 once the Nashik Highway is complete.

And I would say really, really amazing that 20 minutes to BKC by 2028, 2029. You can really see how fundamentally the geography of these locations is changing.

g. And within that, the high quality of development, the high quality of maintenance and upkeep and the strength of our brand will allow us to have a much broader set of segments, consumer segments wanting to buy and live at Palava and consequently scale up the pace of our development.

You may have sort of read an interview in The Economic Times a few days ago, where we expect that over the next few years, the annual run rate for sales from Palava and Upper Thane could be reaching \$1 billion of annual sales from a approximately \$300-ish million that we will be doing now. So it's clearly something that we expect a significant amount of growth to come --a significant amount through volume and some amount through price.

Kunal: Right. And then the final one, I know you don't necessarily give this number, but any color or way to think about what might be the investment component of demand in your current sales? And what that number would have been in Mumbai, let's say, 7, 8 years back?

Abhishek Lodha: Kunal, as I mentioned in my opening remarks, our focus is on having sustainable. And when we say sustainable price growth, we mean price growth, which is below wage growth. I think we've said that for the last 3 years, and you've seen in the numbers that we've worked hard to make sure that, that's what happens. We actively do not like having investor or speculative interest in our developments.

And as a consequence, we focus largely on end users. Our sense now is that the end user percentage is in the high 80s to 90% of the units that we are selling, and therefore, people buying for either long-term investment or renting is low around a 10% mark.

Moderator: The next question is from the line of Saurabh Kumar from JPMorgan.

Saurabh Kumar: Sir, 2 questions. One is on your operating cash flow, do you think the guidance for fiscal '24 will be met 1x net debt to operating cash flow? So that's the first one and what will underline that?

The second is essentially on this price growth at Palava, so effectively, if the infrastructure comes in and you see Palava get better connected, let's say, to the City Centre. And then if we look at comparable locations, like Thane, Goregaon or even Airoli. The price differential to Palava will be like very high. So you think that infrastructure, we should be now better price growth coming through in Palava or you would still want to grow price at like 3%, 4%. So that's the second one. And one small one is essentially on construction cost. Can you just highlight what would your incremental construction cost let's say in Palava and, let's say, high-end development and in South Bombay? Thank you.

Abhishek Lodha: So Saurabh, on debt as being less than equal to 1x of operating cash flow, we do believe that we will meet that guidance by the end of the current fiscal. We expect our net debt number to be just around or slightly below the INR6,000 crores mark and that will be at or below our operating cash flow for the year. We're happy to take you through the details if you'd like to do that.

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In terms of price growth at Palava, it's a nuanced answer, but I'm sure you will bear with me for a couple of minutes. We look at price growth for the like product remaining below wage growth. I think that is, I would say, almost fundamental to us. However, the overall price growth at Palava and Upper Thane will be higher because new product categories are coming in. So if you take say a mid-income housing, we will want to keep price growth at below wage growth, so that is at this 5% 7%, 8% number. However, when you get in the upper end of the mid income, then you start getting in premium, et cetera, obviously, the prices of those products are higher. And consequently, the overall price growth for locations like Palava and Upper Thane will be higher.

So I would say like

-to-like below wage growth, but overall higher in a significant manner, alluding to some of the locations like Thane, Navi Mumbai, Airoli, Goregaon, et cetera, that you mentioned, and the pricing differential between those and Palava.

And therefore, you can see why even if we were to take price growth, which is higher than wage growth, but still, we will be very, very attractive compared to these locations from a pricing perspective, and that's the reason why we think that volume growth will be a meaningful contribution to our overall growth plans over the next few years at these 2 township locations.

In terms of construction cost and those -- I'm not quite sure what metric you'd like me to mention. But yes, I think, typically, our mid-income housing construction costs are on a per square feet of saleable area, tend to be between INR3,000 to INR3,500 a square foot. You tend to be in premium housing about 20% to 25% higher than that. And of course, luxury housing is double of that.

Saurabh Kumar: Okay. Got it. And broadly in Palava, we should see price appreciation more than construction costs, so your gross margin should keep increasing.

Abhishek Lodha: Significantly, right. I think Saurabh, I think the margin widening as both the pricing as well as the volumes pick up in Palava, and the consequent value creation of, like I said, a land bank, which is by far the most valuable of any developer in the country, you definitely start seeing that happen. I'm not saying that this will happen or play out fully in just FY '25, but if you take a 3- to 5-year view, absolutely.

Saurabh Kumar: Okay. And what's the FSI, you can do in Palava max, I mean, what you permitted FAR?

Abhishek Lodha: The permitted FAR at Palava is we're taking, I would say, the conservative viewpoint is at 1.7.

Saurabh Kumar: 1.7. Okay.

Moderator: The next question is from the line of Puneet Gulati from HSBC. Please go ahead.

Puneet Gulati: Congrats on good numbers. Just continuing with Palava. How soon do you expect the momentum there to pick up? Should it be next year? Or do you still expect to wait for a couple

of years before you reach a new higher run rate?
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Abhishek Lodha: Puneet, it's an important question. I wish we could forecast that with the accuracy that you'd want us to. But yes, we will start launching the upper end of the mid-income segment as well as the premium segment in fiscal '25 itself.

I think the journey is not a 1-year journey. I think it's a 3- to 5-year journey before all of the engines fire, some fire as soon as they are launched, some take a little bit longer for people to see the proof of the pudding.

But if I say we use this term inside the company tunnel to tunnel. So the first tunnel, which is going to get completed is the Airoli-Katai tunnel. And the other tunnel, which is going to get completed is the BKC bullet train tunnel. And from tunnel to tunnel, which is from 2024 to 2028, you will see a complete, I would say, reset of this location.

Puneet Gulati: Okay. Understood. And just on your presales number of INR34.1 billion, would it be possible to break down between how much of it is attributable to the projects which were launched and the sustenance sales?

Abhishek Lodha: Puneet, let me just come back to that. I think we should be able to either give it to you in this call or come back to you offline and give it to you, but we definitely can give you that number.

Puneet Gulati: Great. And lastly, on Bangalore, thanks much for the color that you gave. If you can add incremental color on the kind of pricing premium that you've been able to command in the location that you launched compared to the peers, that will be very helpful.

Abhishek Lodha: Sure. I'll request Mr. Joshi since he was closest to the ground to give answer to that question in terms of what premium, we were able to do

at the first launch of Lodha Mirabelle compared to the existing projects in the vicinity.

Puneet Gulati: Great.

Abhishek Lodha: Mr. Joshi, would you like to comment, please?

Rajendra Joshi: Yes. So we launched Lodha Mirabelle at an average all-inclusive price of about close to INR11,000. As some of you might know, this is a brownfield project where the previous developer had completed about 6 towers. The last selling price in about 2 years back, for close to about INR6,500. The neighbouring market is in the range of about INR8,000 to INR9,000. So that's the kind of price premium we were able to get because of the location, the strength of brand Lodha and the experience that we delivered at the Club House, which we modified and we're delivering a great experience to the customers within the project and our prospective customers. All put together, I think we were able to get the kind of price premium about 20%, 25%.

Puneet Gulati: Understood. And is that something that you expect for the next Bangalore project as well?

Rajendra Joshi: We do think that we would be able to command premium over the neighboring project in our next 2 projects because we intend to focus, as I had mentioned earlier, on the premium end of the market, which is where we see a great opportunity in the Bangalore market.

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Moderator: The next question is from the line of Abhinav Sinha from Jefferies. Please go ahead.

Abhinav Sinha: This is Abhinav here. A few questions. So on the enabling resolution a bit again, can you give us some granularity on the sort of opportunities we have? Are they largely for buyouts in Mumbai or there is something else in the mixture there?

Abhishek Lodha: Hi, Abhinav. The opportunity is obviously are confidential, but I can start giving you some flavor of those. There are opportunities which are mostly, I would say, capital light in Mumbai, except for, of course, very specific locations like you're aware of the Juhu Centaur transaction, in which we are the preferred bidder and the process has advanced quite a bit.

There are other opportunities for outright acquisition in Pune where the market is now something that we are quite comfortable and believe that there is much more scaling up to do that. And as Mr. Joshi mentioned, while we have about INR3,000 crores of GDV in Bangalore, probably this year itself, we would be able to get to close to INR1,000 crores of sales in Bangalore. And then our target over 3 to 4 years is to have an annual run rate of INR3,000 crores of annual sales from Bangalore. So there would be a mix of JDA as well as own in Bangalore.

Across all the 3 cities that we are operating in. And as we have said in the past, we want to keep that healthy mix of JDA versus outright balancing the total profitability as well as the ROEs.

Abhinav Sinha: That's helpful. Sir, on pricing, now even for some of your projects like in South Bombay, and at the higher end, we are generally seeing pricing in Mumbai to be rising much faster than the

average that we are seeing. So any thoughts on that? Or is that what is also you are also observing right now?

Abhishek Lodha: I think Abhinav, the price growth anecdotes versus the numbers, the story, I would say, is in the numbers. I think anecdotally, yes. Sometimes we also witnessed that the way we calculate obviously, price growth is for the like project, so which was operating and selling in the previous fiscal, and what is the actual price growth in that project for the current fiscal on a YTD basis. Therefore, for 9 months, we have 4%. Annualized rate that is closer to about 6%. So that is really all our projects which were operating in the last fiscal and what the price growth in those has been for this fiscal.

Abhinav Sinha: Okay. And lastly, on the fourth quarter now to meet our guidance, we're looking at a INR4,200 crores pl

us sort of a number. So what are the key launches? And how are you looking to -- how confident are you for achieving this high number?

Abhishek Lodha: Abhinav, the fact is that we've done consistently about INR3,300 crores, INR3,500 crores over the last 3 quarters, and therefore, see no significant challenge in achieving our full year guidance of INR14,500 crores. We do have launches. We do have some land sale transactions. So it's going to be a mix of all of those. In terms of new launches, we have in almost 6 different markets, a total of about 11 launches. So of course, that helps.

But I think our sustenance business, and I'll go back to the point that Puneet had raised earlier. Last quarter, our total sales, about 25% were from new launches and 75% were from sustenance. So last quarter, of course, we had a few launches, but not as many as those we have this quarter.

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So just the upside from some of the new launches as well as the land sales, et cetera, should be healthy enough for us to meet our guidance.

Moderator: Thank you. The next question is from the line of Praveen Choudhary from Morgan Stanley. Please go ahead.

Praveen Choudhary: This is Praveen Choudhary. I have two simple questions. The first one is you've been very successful in Pune and now in Bangalore. I'm wondering, could you talk about next city that you want to go in or it's too early? And then the second question I have is about pricing where you got a few more questions.

But when I look at the JLL data for last quarter, that's December quarter, they were saying that Bangalore pricing was up 13%, year-over-year. I know you mentioned that ASP rising above wage is an issue. I'm just wondering are you concerned about that in Bangalore? You're also hearing similar stories in Gurgaon. Or you don't think that matters because you mentioned about your specific projects you raised very slowly.

Abhishek Lodha: In terms of the 3 cities, our approach to most of our business, including geographical expansion is a step-by-step conservative approach. We are pleased that Bangalore has started off well. In the next 3 months, we hope to have our second launch.

And as that happens, we'll start reviewing whether we start taking baby steps into a fourth city of operations. So probably something that we will think about and evaluate over the next 3 to 6 months, but don't have a definitive answer at this stage.

In terms of pricing growth, I would reiterate that for the long-term sustainability of the cycle, and this is not a cycle which should be seen through the lens of what happens in a quarter or even what happens in a fiscal year. The opportunity for us is to have this cycle run for 15-plus years. And in that context, it is absolutely imperative that price growth remains below wage growth.

I think how some of the data on price growth is calculated, of course, you all are best place to look at. But we say that if you take away mix changes, when you look at like-to-like product, segmentally like-to-like products, so mid-income to mid-income, premium to premium, luxury to luxury. It's absolutely imperative for the long-term sustainability of the business of the industry that price growth remains at the most and in our preference below wage growth because that's what India's opportunity is. It's a volume opportunity, and it only comes through when affordability remains intact.

Praveen Choudhary: Hello?

Abhishek Lodha: Can you hear me?

Praveen Choudhary: Hello?

Moderator: Yes, sir. You're connected.

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Abhishek Lodha: Yes. So Praveen just to close out my comment, I would say that in any market where there is excessive price growth after adjusting for this aspect of like-to-like versus mix change, it would be a matter of concern because like I mentioned, the

opportunity of scale up is a very long-term

15-year cycle they're only in year 4 and price growth remaining at or below wage growth is an essential condition for the sustainability of the cycle.

Praveen Choudhary: Very clear, Abhishek, and we have been very consistent on this point. And I don't have the data excluding the mix change, but I just wanted to get a feeling on the ground, maybe Rajendra can talk about it that at this point in time, at least, we are not concerned about pricing in Bangalore.

Rajendra Joshi: Hello?

Abhishek Lodha: Yes, please go ahead.

Rajendra Joshi: Yes. So I think what has happened in Bangalore, I'd like to reiterate, and I did mention that. The price growth in the market was extremely muted about 2 to 3 years back. In fact, for the year, before 2020, the prices used to be almost flat.

So the growth in price in Bangalore has to be seen in that context. According to me and many experts in the market, it is a reset that is happening in the Bangalore market, which is where we are seeing the kind of price growth that we are seeing in Bangalore. I hope that answers the question.

Praveen Choudhary: Yes. And again congratulations for having a very clear target, hitting them and being consistent in your messaging. Congratulations.

Moderator: The next question is from the line of Mohit Agrawal from IIFL.

Mohit Agrawal: Most of my questions are answered. Just 1 question on your annuity and the office and the retail portfolio, so what is the vision here? Say, by FY '30, what is the kind of rental income that you are targeting from office and retail? And what kind of investments do you plan to make from here on?

Abhishek Lodha: Thank you, Mohit, for that important question. As we've articulated in previous discussions as well as engagement with our investors, our strategy on rental income is to grow it, but do it in a manner which is not ROE dilutive. And therefore, we look at a mix of 3 strategies, which is our facilities management business along with its digital app, which is very low investment and therefore, high ROE.

Our warehousing business, warehousing and industrial park business, which is moderate ROE in the mid-teens. And then selectively, some office and retail, which we hold for duration, till we believe that the market is paying full price. That's our sort of way of looking at the streams from these businesses.

We expect that by the end of the decade, that is by March 31, we expect rental income to be close to INR15 billion on an annualized basis from these 3 asset classes. And like I mentioned to you, we overall expect a blended ROE sort of in the mid- to high teens from these assets, and
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therefore, you can sort of do an assessment of the level of investment, which will go in over the next few years to build out this base.

Mohit Agrawal: Okay. Abhishek, is it possible to give a breakdown of this INR15 billion into warehousing, office retail and the facility management numbers?

Abhishek Lodha: Of course, something which is 7-odd years out, very difficult to be precise with it. But if I can give you a broader sense of it, we expect about 25% from facilities management. We expect about 30% from the warehousing and industrial and the balance from office and retail.

Mohit Agrawal: Okay. Understood. And just 1 last clarification in your sales mix this quarter. There's been a dip in the South and Central sales. So is it just a quarter? Or do you think there is good momentum going forward?

Abhishek Lodha: See, I think, Mohit, it's important to know that different segments will react very differently to seasonality. So this year South Central had 2 aberrations, 1 Shradhh came in this quarter. And those 15 days South Central has absolutely virtually no transactions.

And then the second half of December is also for South Central, the poorest part of the

quarter-

- it is quite poor because almost everybody travels. So if you almost take out 1 month out of the transacting potential time frame for South Central, you recognize that there's just seasonality, nothing beyond that.

Mohit Agrawal: So fourth quarter, this should be back, right?

Abhishek Lodha: Yes. I mean, I think overall, you look at any YTD -- I would request you to look at assessment and we'll give this data every quarter, of course. So look at the trailing 12 months when you're looking at the strength or status of any market because that takes most of the seasonality out of the picture.

Mohit Agrawal: Sure. That helps.

Moderator: The next question is from the line of Kunal Lakhan from CLSA.

Kunal Lakhan: So on your pro forma P&L, if you can share the -- I just wanted to understand the 30% is the embedded EBITDA margin. What would be the breakup of the margin for JDA and own projects?

Abhishek Lodha: We're just looking at the data. Give us a minute please. While we dig that out in case you have any other questions, please let us know.

Kunal Lakhan: Yes. So my second question was on our collections run rate. If you look at -- if you exclude the U.K. repatriation, our collections to the sales run rate is somewhere around 67% for the 9 months. And if you look at the same run rate in FY '23, it was around 81%. So anything to read there? Or is it on account of higher sales from JDAs?

Abhishek Lodha: I don't think the JDA sales have anything to do with that ratio. The cash will flow through our P&L and our accounting. I think the run rate is partly a question of buildup of sales having
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happened over the last 12, 18 months. And therefore, it takes a little bit of time for the cash flows to come through, but nothing really to read into it. Historically, if you look at the last 8 years, our collections to sales ratio is at approximately 99% to 100%. And we pay very, very close attention to that ratio.

Kunal Lakhan: So there will be a mean reversal kind of.

Abhishek Lodha: Yes, of course. Absolutely. Absolutely.

Kunal Lakhan: Sure. And my last question was on -- you said that your value unlocking or rather appreciation at Palava would happen between, say, 2026 to 2028. Would that make you slow down on land sales until then? Or would you continue to monetize land?

Abhishek Lodha: I think given the quantum of land that we have, we expect a modest amount of land sales, both for industrial warehousing as well as for the government infrastructure projects given that the government is building infrastructure in that area to continue to happen.

So we don't expect the total realization. The quantum of land may start getting moderated as we keep more and more land towards our higher value-added uses. But given the appreciation in land's underlying value and pricing, we expect the realization from that to continue.

Kunal Lakhan: Okay. So in terms of value, it will remain like steady, but in terms of area it may come off?

Abhishek Lodha: Yes.

Kunal Lakhan: Sure. Those were my questions, if you can...

Abhishek Lodha: Yes. So coming back to the margin point, the embedded EBITDA of our JDAs is at around 20%, and the JDAs are contributing just over 40% of our presales.

Kunal Lakhan: Got it. Okay. Great.

Moderator: That was the last question, I would like to hand the conference over to Mr. Anand Kumar: from Macrotech Developers for closing comments.

Anand Kumar: Thank you, everyone, for joining the call. All insightful questions. In case you have any more queries, do reach out to me. I'm always available for you. Thank you.

Moderator: On behalf of Antique Stock Broking, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Apr 2024

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April 30, 2024

BSE Limited

Scrip Code: 543287

Debt Segment – 974163, 974199, 974473, 974511, 974986, 975053, 975115, 975192, 975560

National Stock Exchange of India Limited

Trading Symbol: LODHA

Dear Sirs,

Sub: Q4FY24 - Earnings Call Transcript

Ref: Intimation under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended ('Listing Regulations')

Pursuant to Regulation 30 of the Listing Regulations, we enclose herewith a copy of the transcript of the Company's Q4FY24 Earnings Conference Call held on April 25, 2024. The transcript is also being uploaded on the Company's website i.e. www.lodhagroup.in under the Investor Relations section.

Kindly take the above information on your record.

Thanking you,

Yours faithfully,

For Macrotech Developers Limited

Sanjyot Rangnekar

Company Secretary & Compliance Officer Membership No F4154

Encl: As above

"Macrotech Developers Limited's Q4 FY'24 Earnings Conference Call"

April 25, 2024

MANAGEMENT : M R. ABHISHEK LODHA – MANAGING DIRECTOR &
CHIEF EXECUTIVE OFFICER , MACROTECH
DEVELOPERS LIMITED
MR. SUSHIL KUMAR MODI – CHIEF FINANCIAL
OFFICER , MACROTECH DEVELOPERS LIMITED
MR. TIKAM JAIN – CHIEF EXECUTIVE OFFICER , PUNE,
MACROTECH DEVELOPERS LIMITED
MR. ANAND KUMAR – HEAD (INVESTOR RELATIONS),

MACROTECH DEVELOPERS LIMITED
MODERATOR : M R. BIPLAB DEBBARMA – ANTIQUE STOCK BROKING

Macrotech Developers Limited
April 25, 2024

Moderator: Ladies and gentlemen, good day and welcome to Macrotech Developers Q4 FY'24 Results Earning Conference Call hosted by Antique Stock Broking.

As a reminder, all participants will be in listen-only mode and there will be an opportunity for you to ask questions once the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone.

Please note that this conference is being recorded.

I now hand the conference over to Mr. Biplab Debbarma from Antique Stock Broking Limited.

Thank you and over to you, sir.

Biplab Debbarma: Thank you, Ria. Good afternoon, everyone and welcome to the Q4 FY'24 Earnings Call of Macrotech Developers Limited hosted by Antique Stock Broking.

Today, we have with us the management of the Company represented by Mr. Abhishek Lodha – Managing Director and CEO; Mr. Sushil Kumar – CFO; Mr. Tikam Jain – CEO, Pune; and Mr. Anand Kumar – Head, IR.

Without further ado, let me hand over the call to Mr. Lodha. Over to you, sir.

Abhishek Lodha: Good Afternoon everybody. A warm welcome to the call. I hope all of you are doing well.

As we end Fiscal '24 and enter Fiscal '25, this is now the fourth year of the sustained upcycle in Indian housing. As we have said several times in the past, we think that India is in the midst of a once in a life-time of the country transition from low income to mid-income which is aided by housing demand and in turn significantly enhances housing demand also. We believe that with steady wage growth, ongoing increase in economic activity as well as the plentiful availability of mortgages, combined with India's demographics and urbanization trends, the demand for housing will only continue to scale up in the years to come.

Before I get into details about the Company's performance, a little bit of overview about the industry:

Starting with the macro situation:

The Indian economy continues to perform strongly. As per various experts, wage growth for this year is likely to be between 9% and 10%. We are seeing an acceleration in private investment which is starting to happen on account of the various policies of the government, including the PLI Scheme, as well as the continued attractiveness of India for what are known as GCCs or Global Capability Centers.

While India continues to remain a beacon of economic strength in the world, obviously the global situation has been full of various challenges, including geopolitical tensions. This is a risk which is pervasive and in front of our eyes and from time-to-time it is definitely likely to have

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impact on the overall sentiment as well as the direction of several macroeconomic indicators.

However, in spite of these global risks and challenges, global growth has continued to surprise on the upside. The US continues to go from strength-to-strength and that means that overall sentiment in the globe continues to remain positive and we are seeing the US and India emerging as the two strong drivers of global growth.

Now, diving a little bit further into our Company's Performance for Fiscal '24 and our

Outlook for Fiscal '25:

Fiscal '24, our focus has always remained on our 4 core KPIs:

- Pre-sales
- Embedded margins of those Pre-sales
- New business added
- Our Brand and ESG scores

We achieved our best ever quarterly and annual pre-sales performance with Q4 sales growing impressively by 40% to about Rs.4,200-plus crores and we closed the year with pre-sales of Rs.14,500 crores, which is about 20% growth from last year.

In terms of pricing, in line with our guidance, we had an overall average price growth of approximately 5.5% for Fiscal '24. This we believe is strongly supportive of affordability because wage growth definitely has been closer to the 9-10% mark and in turn will mean that more and more

Indians can continue to buy a high-quality home from top developers like Lodha.

The embedded EBITDA margin for our business was at about 31% and this 31% has been achieved this quarter in spite of the fact that we had a higher contribution of sales with almost over one-third of our sales coming from JDA projects, which tend to be lower in terms of EBITDA margin. We are now close to the steady state mix that we expect in terms of JDA

contribution, and with this, since our margin has come in at about 31%, it shows that the underlying margin has actually grown, and we expect that even with the moderate price growth due to our operational efficiency and scaleup, we will keep seeing a modest but steady growth in margins.

Based on the embedded EBITDA of approximately 30% for the full year and 31% for the last quarter, the implied underlying PAT for our business is at about Rs.2,500 crores, about 18% of the pre-sales done during the year, and that puts us in a good position to achieve our ROE objectives of about 20%.

In terms of our business development, we added about 20,000 crores of GDV through new projects, which was higher than our guidance of 17,500 crores. Both on JDAs as well as on outright, we continue to see a steady and strong pipeline of new projects coming in.

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As you are aware, we have raised a meaningful amount of capital towards the end of the last fiscal in March and that capital will become growth fuel for us both for improvement of the bottom line as well as for strengthening our growth prospects as we invest that capital over the next six to 12 months.

As you are aware, our net debt now stands at about Rs.3,000 crores, taking into account the impact of this QIP, which is at less than 0.2 times of equity. If we were to exclude the impact of the QIP, our net debt would be at about Rs.6,000 crores, which would also be about 0.4 or less than 0.4x of equity, once again, well within our limit of 0.5x that we have set for ourselves.

The strong management of the balance sheet and the strong performance of the business have enabled us to get a further rating upgrade; we are now rated as "AA- (Stable)" by ICRA. This is the sixth rating upgrade that we have had in the last three years, probably a record for a corporate of our size.

In terms of our average cost of funds:

We are now at about 9.4%, which is down about 10 basis points during the quarter and this was prior to the impact of the QIP and the rating upgrade, and therefore, we expect to further work with our lending partners to further improve our cost of funds.

In terms of our progress on the ESG side:

We, by March '24, achieved carbon neutrality goal on Scope-1 and Scope-2 emissions, which we are very proud of because we believe that for our business to sustain in the long-term, we have to be a wholesome and responsible participant of the entire ecosystem and the environment, as well as society are two very, very important factors that we take into account in terms of how we measure our progress and our achievement.

During this quarter, we also entered into a MoU with IIT Delhi for piloting the use of Greener LC3 Concrete and another MoU with Third-Derivative, a startup incubation arm of the world's leading global thinktank for sustainable urbanization, RMI, and the partnership will look to foster innovation in the built environment. These partnerships exemplify our commitment to innovation and sustainability.

We also announced this quarter the "Women in Construction Network" under our flagship women's empowerment initiative "Unnati". This platform is to give greater opportunity for women in the real estate industry, which we believe, as we said earlier, is going to be a driver of India's economic growth and if we can enable more women to participate in it, it will be good both for women's empowerment as well as for the industry.

In terms of certain highlights during the quarter:

arter:

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We did our second successful launch in Bengaluru, both in terms of volume as well as in terms of pricing, the launches were far ahead of our underwriting, and we have now sold about 1,200 crores in just two quarters from two operating projects. This showcases the strength of brand Lodha and how well the brand is received and valued even in a market like Bangalore, where historically we have had very little presence.

Guidance for Fiscal '25:

We are guiding to pre-sales growth of a little over 20% with 17,500 crores as a pre-sales target for Fiscal '25. Within this, we expect pricing to contribute 5% to 6%, volume growth in our existing locations to contribute 4% to 5%, and the balance 10%-odd coming from new locations. During this year, we have planned launches from sites that we have already identified and have GDV about 12,000 crores. And we of course expect this number to grow in the course of the year, just like it did last year. As you may recollect, last year at the same time, we had guided to

new launches of 13,000 crores but actually we ended up achieving 18,000 crores, which showcases that in the course of the year, the launch pipeline typically tends to grow in a robust manner.

With Bengaluru now we have moved into the advanced stages of our pilot phase, we have had two successful launches. Over the next few months, we will further assess and ensure that we have all the strengths in place to scale up our business and we believe that is likely to be the case

and therefore we will start scaling up our presence in a planned conservative manner in Bangalore beyond these two projects.

I am happy to again highlight the point that our price growth for the last year was at about 5.5%, because I think it is very, very important to note that this price growth has delivered the sales of 14,500 crores and the underlying EBITDA margin of 30%. It's very important to note that there is no speculative behavior amongst the buyers in the key markets that we are operating because the price growth has remained modest. Equally, land prices have not done anything odd on account of excessive price growth, because once again the modest price growth also ensures that the growth in land prices remains modest. This, we believe are all hallmarks of a long-term cycle. And by maintaining this discipline by us and our fellow developers, we will maximize the sales over the medium-term and also equity value over the medium-term.

We are often asked questions around whether the level of competition is picking up now that you are into fourth year of a long-term cycle. Yes, certainly there are new players who have entered the Mumbai market and we welcome their presence. Our market share in Mumbai is at around 10% and the market share of the top five developers in Mumbai is still in the mid-20s. So, there is a long, long way of consolidation to go. As more high quality players come in, they will certainly benefit the market by taking over some of the lag or slack from the Tier 3 and Tier 2 developers. However, I strongly believe that the brand Lodha, the quality of our locations, the product that we build, the services that we provide, provide a very, very significant attraction for
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consumers, and therefore, we believe that our journey of growing our market share in our core markets will continue to be aided by the consolidation in the market and the market having good quality players serving a majority of the demand. So, we very much welcome the presence of better quality players in the marketplace.

In terms of construction and construction spend:

We delivered just around 8,000 units last year. This year for Fiscal '25, we are targeting a five-digit number of 10,000 or more units. Our construction spend last year at just about 3,600 crores, was lower than what we had planned for and therefore we are in a meaning

ful manner ramping up the construction spend that we are doing this year and going above 5,000 crores. As we speak, we have 20,000 or more workforce working across our different sites and with a variety of different interventions. We are seeing that we are able to keep pace with the growing scale of our sales and ensure that we are continuing to focus on delivering our products on or before time.

I would also like to highlight the fact that our growth is very granular. Now, we have almost 40 different projects contributing to our sales, which gives us a lot of predictability and also does not make us dependable or dependent on any one particular location for our sales or our growth.

As we further deepen the supermarket strategy of being present every two to four kilometers in the main city in the cities that we are present in, we continue to gain share in markets where we have historically not had presence. For example, Pune now has grown to sales of about 1,800-plus crores compared to 1,100 crores in Fiscal '23 and just 400 crores at the end of Fiscal '22. Similarly, in the eastern suburbs of Mumbai, we had sales of about 2,000 crores in Fiscal '24 compared to 1,200 crores in Fiscal '23 and virtually zero in Fiscal '22.

The one large location or very prominent in our long-term plans are Palava and Upper Thane, two very large land holdings, located in the Mumbai metropolitan region. Palava is located right at the doorsteps of Navi Mumbai and similarly Upper Thane is located right adjacent to Thane.

With a raft of significant infrastructure activities which have been in the works over the last few years, we are now starting to see that these two locations are transitioning from being affordable housings and mid-income housing locations to also now having attraction for a variety of different asset classes including premium housing, retail, MSME offices and so on. One reflection of this is the land pricing at which land is now transacting for industrial purpose. When we did our IPO three years ago, it was at about Rs.2.5 crores an acre and now we did a transaction in last fiscal at over Rs.6 crores an acre. And at this stage we are in advanced stages of a transaction which will be likely to be at over Rs.10 crores an acre. So, that has been the trajectory of just land pricing and that too for industrial use.

As these infrastructure projects complete, you will start seeing that Palava will be just 20-minutes' drive from Airoli, which is the IT hub of the Mumbai region, and from 45 minutes today, and similarly, Upper Thane will become just 10 minutes from the Dombivli West Railway Station and a 15-minute drive into the heart of Thane Viviana Mall.

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Over the next few years, we will see further infrastructure upgrades, including the opening of the Navi Mumbai Airport, which will be only 35 to 40 minutes from Palava and eventually in the later part of this decade, the start of the Bullet Train project, which will make a meaningful difference because after BKC, the first stop will be at Palava getting people door-to-door from

Palava to BKC in 15 to 20 minutes which would be just fantastic.

And if you look at the pricing at locations which are so much better connected to the two core job hubs, IT in Airoli and financial services in BKC, you can see how Palava is going to transition from being a location for mid-income housing to being a location for premium as well as mid-income housing as well as other ancillary asset classes, such as office, retail and so on.

I am sure that some of you are aware that Jupiter Hospital, the listed hospital Company, is building its largest hospital facility in the country at Palava on land which we have given or sold to them.

So, this is showing the transition that is happening in Palava and I expect over the next five years that the caterpillar will turn into a beautiful butterfly and we expect significant ramp up in

sales

in Palava and Upper Thane, moving from about 2,200 crores for the year ending March '24 to going all the way up to about 8,000 crores per annum for the year ending March 31.

And as a cumulative consequence of this continued trajectory, we expect that cumulative sales in Palava and Upper Thane over the next three decades would be in the range of about US\$175 billion, and our EBITDA margins will also grow as the mix changes towards having a good presence of premium housing.

All in all, we believe that as a Company, our focus on consistent, predictable and profitable growth is a strategy which is going to deliver long-term results. We are lucky to have very long-term visibility through our land bank in various parts, but particularly in Palava and Upper Thane, which makes us the real estate Company with the largest and most productive land bank in the country.

In addition to that, our ability to generate significant operating cash flow; we generated 57 billion of operating cash for Fiscal '24 and are guiding to about 65 billion for Fiscal '25. This operating cash flow combined with our low leverage gives us the ability to scale up whenever the opportunities present themselves, and at the same time our development platform allows us to scale up in a profitable manner because we have the brand and the execution capability to take advantage of the market demand and get both the pricing and volume benefit. All of this is being done by taking cognizance of maintaining very low leverage. We have learnt our lessons from the past and we will continue to make sure that our leverage remains well below the ceiling of 0.5x of net debt-to-equity that we have set for ourselves.

With this, I will now pause and request Mr. Tikam Jain – our CEO for the Pune business, who has admirably grown the Pune business over the last few years to come in and give an overview of that part of our business.

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Thank you.

Tikam Jain: Thank you, Abhishek ji, and good afternoon to all. Let me give you some overview about the Pune development.

So, Pune is a very resilient and permanent residential market which has seen significant growth on the back of IT and manufacturing sectors, generating a lot of employment. It is also an education hub with presence of high quality talent, making it an attractive location for corporate

to set up or expand their enterprise in the city. All these factors have led to become it to 50,000 crores residential real estate market, which is further expected to grow at the bare minimum 10% to 12% annually.

Historically, it has been a deeply fragmented market with hundreds of small players by locality. It is only in last few years that branded players have started emerging and their shares are still small but growing. Lodha achieved pre-sales of nearly 1,800 crores in this financial year of '24 in Pune.

We enter any new city in two phases. First phase being the seed phase in which we do fewer number of projects and focus on building our local team, understand the local market, approval processes, and want to build our brand. Once the brand and team are set, we expand rapidly. We have successfully implemented this strategy in Pune. We entered the city in the middle of last decade with our first project, Lodha Belmondo at the outskirts of the city. The project was received very well. It helped us in establishing our brand in Pune and help Pune residents to understand what Lodha stands for. Subsequently, post-COVID, we hit the expansion stage and from 200 crores sales in financial year '21 from one project, today, we have achieved around 1,800 crores from our seven projects.

We have not only created the record of significant scale up in the city in a short period of time, but also established ourselves as a most premium brand in the city by selling the most expensive apartment in the city. This is really the true reflection of the

strength of our brand. Customers

are attracted to Lodha in Pune due to the brand and what we have delivered in Pune and Mumbai.

The lifestyle upgrade that our homes provide in addition to reliable delivery promise or other reasons customers have trusted us, we hope to continue to deliver on the trust.

Currently we have a project in East, West, South and Central Pune, where we are developing

around 90 lakhs sq.ft. including the planned launches. We are looking to add more projects in other parts of the city and have discussion in various stages. We are already in top five in the city from the pre-sales point of view and it clearly shows that we are on track for becoming the

#1 developer in Pune in the next four to five years. We aim to double our pre-sales in about two to three years and eventually have 12% to 15% market share by end of the decade.

Our growth strategy is driven by going deep in the market that is present across the city. Just like MMR, in order to grow on sustainable basis, we have adopted our micro market-based supermarket strategy as Abhishek ji has spoken recently. Just like supermarket, in order to get the demand of location, we need to be present in the location or catchment area, thus in each

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micro market of Pune, we will open our supermarket store equivalent, that is our project in non-competing manner and get our deserved market share in the city.

Pune organization has grown in size and capability over the past few years. Our Pune team has grown from just 80 to 450 people in few years. We have built local capability across all the functions including customer care, business development, design, construction, etc. At one point

in time we were adding one new person a day to team. We have been able to hire, train and retain top talent across the board and have emerged as a go-to-organization to work for Pune as well.

With this, I would stop here and hand it over to Abhishek. Thank you.

Abhishek Lodha: Thank you, Tikam ji for your detailed comments.

I would only like to add and complement the Lodha team in Pune on the fact that for the year-ending March '24 we have achieved market share in Pune of about 5%, which is a major milestone in our journey to getting to about 15% market share by the end of the decade and that shows that as Mr. Jain mentioned that our scale up is now in the rapid mode and we will expect to significantly grow in Pune in the years to come.

Thank you.

Moderator: We will now begin the question-and-answer session. The first question is from the line of Kunal Lakhan from CLSA. Please go ahead.

Kunal Lakhan: My first question is on your Slide #6, which is the guidance for FY'25. Now, when we look at the FY'25 guidance of 0.5x debt-to-equity cap, I am just trying to understand this when we are targeting for next year considering our current liquidity of about 3,000-odd crores from the fundraise and the OCF generation expectation of about 6,500 crores for the next year. Firstly, two parts to my question. Where do we see the debt levels in absolute terms by March '25? And secondly, how much do we plan to spend on business development in FY'25?

Abhishek Lodha: Kunal, hi. The question that you've raised obviously as you know we have an articulated debt ceiling of 0.5 times equity and that is what we stated as our guidance that we will consistently remain below that. It doesn't mean that we will get up to that, it's a ceiling, it is not a target. In terms of where we expect debt to be at the end of the fiscal, obviously, it will be dependent on growth opportunities. But given the cash on hand that we have, plus the operating cash flow of the business, we suspect it will be close to 5,000 crores of net debt at the end of the fiscal, and we expect to invest in the range of about 4,000-odd crores for new business development, plus continue to support the existing projects in terms of business development s

pend also.

Kunal Lakhan: So, 4,000 crores will include both new as well as supporting the existing?

Abhishek Lodha: No, 3,500 to 4,000 crores will probably be purely new. Incrementally it will be existing, because if you look at the operating cash flow of about 65 billion, after interest and taxes that number

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will be close to 50 billion. So, that 50 billion plus the increase in debt of let's say 20 billion is 70 billion. So, we are looking at spending about half of that on new projects and the balance to be available for other uses including supporting existing projects.

Kunal Lakhan: So, close to 70 billion will be the total spend on new business developments?

Abhishek Lodha: New business development about 35 to 40 billion.

Kunal Lakhan: Secondly, you said in your comments that the peak mix of JDAs in the pre-sales is now there, almost one-third of our pre-sales, that's like the peak levels. So, would it be safe to assume that going ahead the new acquisitions that you'll be doing, would be more skewed towards owned land versus JDAs?

Abhishek Lodha: I think Kunal, your question probably has the answer also. As we have said, our target mix is 60% owned land and 40% from JDAs. You know that we own a very large amount of owned land. Therefore for to maintain this 60:40 mix is likely that the incremental GDP addition will be perhaps 50% from JDAs and 50% from owned land.

Kunal Lakhan: My last question is on our guidance for FY'25 for pre-sales of 175 billion. How much would you expect from Pune? And since we don't have any Bangalore project, how should we look at Bangalore in FY'25?

Abhishek Lodha: So, between Bangalore and Pune, we would conservatively be aiming to do about 40 billion and we will see if we can further exceed that.

Moderator: Next question is from the line of Praveen Choudhary from Morgan Stanley. Please go ahead.

Praveen Choudhary: I have one or two questions. The first one is about margin. Would you be able to share the margin in Bangalore from the pre-sales of 12 billion? And the reason I am asking this question is to understand in the early stage maybe the margin is lower than the overall Company level. So, just to understand how much business development cost went in and when would we get back to similar margin as we have like 30%, 31%? The second question I had was, you mentioned that there's no speculative activity in most of the markets. So, Mumbai and Pune sounds about right.

But some of the data that we saw suggested that Bangalore property prices have gone up by a meaningful number, that's definitely not 5.5% again based on some data that I saw. So, would love to get your sense of 5.5% versus maybe 15% that we are seeing in Bangalore and how are you seeing that affordability in Bangalore?

Abhishek Lodha: Hi and thank you for those questions. In terms of the margin in Bangalore, we were at about 28% for the sales that we have done so far. So, slightly lower than our overall blend at 30%, 31%, but not significantly lower. And we do our underwriting in order to work towards that blend of margin that we target. And therefore obviously sometimes you will have gaps especially in the early stages of any project because the pricing at the early stage is lower and margin goes up as the project progresses. But generally, we try not to have too much deviation from the

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overall blend. Obviously, owned land and JDA projects have different margin profiles, but we try to maintain consistency across different cities, 200 basis points here or there, but broadly we try to maintain consistency. In terms of the price growth number of 5.5%, the way we measure price growth is for the project ought to have existed in the last year as well as in this year for us to be able to do a price comparison on what the price growth has been. For any project which is launched in this

year, that becomes the starting point of the data from a measurement of price growth perspective. So, in terms of your point that whether price growth in Bangalore has been stronger than 5.5%, I am sure it has been. However, I do believe that Bangalore in general has good supply. Demand has been very solid. And at least in the sales that we have done in the first two projects, we have seen that most of the sales have happened to end users. People are buying for themselves. There's nobody buying bulk units to trade later. So, that's really our sense of what happened in the Bangalore market, but obviously we have only two projects in Bangalore.

So, our understanding of the Bangalore market is definitely not as robust as some other people. Praveen Choudhary: Palava land is clearly very valuable as time progresses and you have spent some time in explaining that. I understand the big picture of long-term potential, but in the near-term, if I were to think about how much land you are planning to sell every year, or even contract sales from Palava, let's say, FY'25 or FY'26, would you have some guidance for us?

Abhishek Lodha: In terms of land sales, we are targeting about \$50 million, about 400 crores to 500 crores a year of money from land sales, some years will be stronger and some years will be weaker. But that kind of is sort of the level at which we are sort of transacting land and therefore as land values go up, the quantum of land that we will transact or sell will sort of probably become lesser. In terms of our sales expectation from Palava as well as in Upper Than e, the two large land holdings that we have and we measure that data together, we did about 2,200 crores of pre-sales for Fiscal '24. We definitely expect that to grow much faster than the rest of the Company, because the infrastructure-related upgrades are now largely in place. So, we would be looking for at least 30% growth, if not more in this fiscal. I don't have an outlook for Fiscal '26, but I would not be surprised if the growth in Fiscal '26 was also around that kind of a level.

Moderator: Next question is from the line of Pritesh Sheth from Motilal Oswal. Please go ahead.

Pritesh Sheth: First question is on the capital raise that you have done and the deployment of it and that leading to additional growth to the Company. So, you guided for little over 20% kind of growth. When do you think that this capital raise can transpire into 20%-plus kind of growth, not marginally, but a bigger delta in terms of growth? And do you see any upside risk in this guidance that you have given because of the new project addition that you will do throughout the year and that can lead to additional kind of pre-sales?

Abhishek Lodha: You have been following our Company for a few years and I am sure you know that we tend to be modest or conservative in how we look at the outlook, because things can often go in various directions which are unplanned or unknown, and we must rather focus on like we said earlier predictable growth rather than lumpy or choppy growth. In terms of the deployment of the

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capital, ultimately, the most important thing for us is to make sure that the capital generates ROE and therefore this capital raise is not ROE-dilutive. We expect that the capital will get fully deployed in the course of this current fiscal year and we expect the ROE levels to be back to our target levels of close to 20%

by Fiscal '26. There will be some dilution impact in Fiscal '25 because obviously the capital takes some time to get deployed and start contributing to earnings. I think in the early part of the capital deployment cycle which has started now, you will start seeing benefit to profitability. So, we have guided to 31% embedded EBITDA margin for Fiscal '25 compared to 30% for Fiscal '24, which itself is partly coming from the fact that we are able to use this capital to improve

our profitability at the EBITDA level and then further improve our profitability by the reduction in finance costs, overall having a good impact on profitability. As the new projects get acquired, it will take about nine to 12 months after acquisition for those projects to start getting to the launch phase and therefore the impact on growth you will see more likely in Fiscal '26, not in Fiscal '25, but as I mentioned earlier, the way we think about it is to put this capital to productive use, which is making sure that our ROEs come back to where we want them to be close to 20%, and at the same time it is within our paradigm of predictable and profitable growth.

Pritesh Sheth: In terms of the kind of deals that we are getting to evaluate, has the characteristic changed with deals largely coming from outright land rather than in JDAs or our strategy with this kind of capital that we have, will tilt more towards outright because that obviously helps us generate better margins and eventually better ROE. So, what would be our focus that way?

Abhishek Lodha: So, as I mentioned in response to an earlier point, we expect going forward our new GDV additions to be about 50% from JDAs and about equivalent amount from outright lands so that our overall mix of 60% of sales coming from outright and 40% from JDAs can be achieved. I do want to point out that the JDAs tend to have lower absolute profitability but quite high ROE and the outright tend to have higher absolute profitability but lower ROE. So, I just wanted to sort of highlight the fact that there is that inherent trade-off in the two models.

Pritesh Sheth: And the kind of deals that we are getting are a mix of both JDA as well as outright?

Abhishek Lodha: Yes, yes, which is the reason why I am saying it's likely to be close to that half-and-half mark, I think one has to appreciate the fact that JDAs and outright are both models which exist in the marketplace and have existed for a long period of time. It's not only a function of some particular post-COVID or post-IL&FS phenomena. JDAs continue to exist, because ultimately land owners have different financial profiles and also given the fact that most developers would like to be prudent in their balance sheet and maintain moderate levels of debt, the larger land pieces often are better monetized through JDA. So, JDA opportunities will continue to remain available in our view.

Pritesh Sheth: And lastly on Palava, do you see FY'25 as an inflection point with the kind of growth you are expecting in the residential segment there or there is more growth which can be captured once
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everything in terms of infrastructure that we are talking about, let's say developed or this 25%, 30% kind of growth is the number that we are anyways eyeing for?

Abhishek Lodha: So, as we mentioned, we are looking at, at least and I use the word at least 30% growth this fiscal. We hope that we can in Fiscal '26 also maintain that level. I think the next five years are all going to be additive in terms of the growth I would say enablers or drivers. And I think you really see Palava in full bloom, as I mentioned earlier, moving from a caterpillar to a butterfly over the next five-year period and the Airoli tunnel, the airport, the bullet train, the Metro-12 line, the Vasai-Alibaug multimodal corridor, all of this over the next five years is going to be very, very real. So, I think 30% growth is probably just the start of this process, not the peak of this process.

Moderator: Next question is from the line of Abhinav Sinha from Jefferies India. Please go ahead.

Abhinav Sinha: Just to start with Palava itself. So, you started your comments by hinting at some premium products or at least on the housing side. So, when can we expect this launch and what are the price points we are looking at?

Abhishek Lodha: We started doing premium product in Palava. It's

about 8%, 10% of the sales mix in Palava and

Upper Thane currently where we are doing standalone bungalows and total value including land and construction cost between 4 to 10 crores per unit already and they have done exceedingly well. The first multi-storied or apartment building which is of the premium category is getting launched this quarter. The price points are likely to be close to Rs.10,000 a square feet. As you know, the average price point in Palava right now for the current product mix is more in the Rs.6,000, 6,500 handle. So, it's almost a 50% premium to that level. It will be between Rs.9,000 to Rs.10,000 a square foot to start off and then go up. So, it will average about Rs.10,000 a square foot on saleable area and that launch we expect this quarter.

Abhinav Sinha: Just secondly on Slide #15, where you put out a pipeline for FY'25, just wanted to check if South-Central also has the Alibaug project this year or it's a FY'26 project?

Abhishek Lodha: Yes, we expect South Central to have the Alibaug project for this fiscal.

Abhinav Sinha: And that will be like a weekend destination sort of a project that you're creating?

Abhishek Lodha: I think it is a very, very unique parcel of land and the fact that the Alibaug is seen as the Hamptons

or the new equivalent of Hamptons for the Mumbai region. It's at a very, very high level of demand and it's never really had the quality of development that we intend to do over there. So, yes, Alibaug connectivity is very decent right now. You can get there in about 20-30 minutes from South Mumbai from a combination of taking the speedboat and then taking 5-10 minutes to get to the site, it takes about 5-7 minutes by car from the Alibaug jetty to our site. So, it's very, very accessible. You have a new bridge which is getting completed maybe in two or three years' time, which will also make the road connectivity not through South Mumbai but through other parts of Mumbai, very strong. So, while it is clearly predominantly a second home or weekend destination I know a lot of Mumbaikars who are now starting to think about living in Alibaug for not just two nights a week, but more like four, five nights a week and it really is dependent on whether the rest of the infrastructure is in place, healthcare and so on. And we expect that this development of ours will fill in several of those infra gaps. So, we don't only see it as a second home destination.

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destination I know a lot of Mumbaikars who are now starting to think about living in Alibaug for not just two nights a week, but more like four, five nights a week and it really is dependent on whether the rest of the infrastructure is in place, healthcare and so on. And we expect that this development of ours will fill in several of those infra gaps. So, we don't only see it as a second home destination.

Moderator: Next question is from the line of Siddharth Bhattacharya from Authum Investment & Infrastructure Limited. Please go ahead.

S Bhattacharya: For the last six or seven quarters, we are seeing that the value share of ultra-luxury units and luxury units have gone up significantly in the overall mix. How do we see that as a trend and how does it affect, if you could give some perspective?

Abhishek Lodha: Yes, I think you're correct in saying that luxury sales have been quite strong over the last few quarters. I would also add to that that affordable housing has been hit by the increase in interest rates and we hope that the government's announcement in the budget to bring in a scheme to help first-time home buyers will come in after the election and will help the first-time home buyers and affordable home buyers to get on to the housing ladder. Having said that, I think luxury housing is really a reflection of India's aspiration and India's wealth creation. And therefore, as long as India's job cycle and investment cycle continues to scale up, luxury housing will also do well. Luxury is something that people use very loosely, but the real luxury which is doing well is truly, truly absolute grade A+ location, grade A+ product and grade A+ developer bringing in complete grade-A lifestyle. So, I think one has to be careful while reading into what people call luxury, because everybody likes to call a lot of things luxury.

S Bhattacharya

: Secondly, with the new airport sort of coming up, do you think that the development in the Konkan side will be much faster compared to other areas of the suburbs?

Abhishek Lodha: See, the Konkan area is not a suburb of Mumbai. It's very, very large and significant sort of part of the state of Maharashtra and has many strengths. It also needs a lot of investment and a lot of infrastructure. I don't see the airport or for that matter, the MTHL immediately changes much, because it takes a lot to make a place attractive to live and you need connectivity, which is starting to come in, you need airports, which is again it will be operational soon, you need social infrastructure, high quality education, high quality healthcare, good retail. In a place like Palava, it's taken a decade to put all of that together. So, we do expect that, yes, there will be development in the area, but it is not going to fundamentally change the dynamics of how the Mumbai region or the larger Mumbai region is operating.

Moderator: Next question is from the line of Mohit Agrawal from IIFL. Please go ahead.

Mohit Agrawal: First question is how are you looking at deployment of capital towards annuity assets, specifically commercial office space? And with in that, how are you seeing office demand shaping up at Palava now that you have a large residential base there?

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Abhishek Lodha: So, we as a business are not focused on office development. Our focus is largely around housing. We do some strata office development, and our annuity strategy revolves around three pegs; one is our facilities management business along with this digital layer; second is our warehousing and industrial parks business; and the third is very selective office, specifically, we will do it in some places which have other strategic reasons like Palava and our retail portfolio which is one mall and several other high street retail locations. So, Palava, we expect office demand to pick up. We now have HDFC Bank Training Center completing. Soon, we have a pharma Company, Encube setting up its own R&D center. We have one office building which is now going to be ready this year and we are going to start leasing it out. We already have presence of the back offices from various banks including Axis and HDFC bank. So, yes, we have a variety of different mixes on the commercial office side and we do expect that over the next two, three years, and the bullet train connectivity to BKC becomes more real, this could become a preferred location for financial services back office in addition to any other classes which are more driven by the existing talent or the fact that this is a great location for people to live and work close to each other.

Mohit Agrawal: Secondly, how has been the progress on the Green Digital Infra JV? Any news in terms of

acquiring land parcels there?

Abhishek Lodha: So, the progress on the warehousing industrial platform with Bain and Ivanhoe Cambridge, we have two assets which are under development currently. One of those assets is actually about to become operational. Construction is almost complete. We are still in the process of acquiring land. The ramp up has been slower than what we would have liked it to be. We expect some land parcels to close this quarter and then we will take it from there. But right now, we are only at two locations in that platform. We of course have a Morgan Stanley Park, which is a separate one.

Mohit Agrawal: Two locations. One would be Palava and the other would be?

Abhishek Lodha: Second is in Kurla.

Moderator: Ladies and gentlemen, that was the last question of the day. I now hand the conference over to Mr. Anand Kumar, Head, Investor Relations of Macrotech Developers for closing comments. Over to you, sir.

Anand Kumar: Thank you, everyone for joining the call. Please feel free to connect in case you have any additional queries.

ies.

Moderator: On behalf of Antique stockbroking, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2024

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August 06, 2024

BSE Limited

Scrip Code: 543287

Debt Segment – 974163, 974199, 974473, 974511, 9749 86, 975053, 975115, 975192, 975560

National Stock Exchange of India Limited

Trading Symbol: LODHA

Dear Sirs,

Sub: Q1FY25 - Earnings Call Transcript

Ref: Intimation under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended ('Listing Regulations')

Pursuant to Regulation 30 of the Listing Regulations, we enclose herewith a copy of the transcript of the Company's Q1FY25 Earnings Conference Call held on July 31, 2024. The transcript is also being uploaded on the Company's website i.e. www.lodhagroup.in under the Investor Relations section.

Kindly take the above information on your record.

Thanking you,

Yours faithfully,

For Macrotech Developers Limited

Sanjyot Rangnekar

Company Secretary & Compliance Officer

Membership No F4154

Encl: As above

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"Macrotech Developers Q1FY25 Earnings Conference Call"

July 31, 2024

MANAGEMENT : M R. ABHISHEK LODHA – MANAGING DIRECTOR & CHIEF
EXECUTIVE OFFICER , MACROTECH DEVELOPERS
LIMITED

MR. SUSHIL KUMAR MODI - CHIEF FINANCIAL OFFICER ,
MACROTECH DEVELOPERS LIMITED

MR. PRASHANT BINDAL - CHIEF SALES OFFICER ,
MACROTECH DEVELOPERS LIMITED

MR. ANAND KUMAR - HEAD IR, MACROTECH

DEVELOPERS LIMITED

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Moderator: Ladies and Gentlemen, Good Day and Welcome to Macrotech Developers Q1 FY'25 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anand Kumar – Head (IR) at Macrotech Developers. Thank you. And over to you, sir.

Anand Kumar: Thank you. Good morning, everyone. Welcome to Macrotech's Q1 FY'25 Earnings Conference Call. We have with us Mr. Abhishek Lodha – M.D. and CEO, Mr. Sushil Kumar Modi – CFO and Mr. Prashant Bindal – Chief Sales Officer of the Company.

I would now like to invite Mr. Lodha to make his Opening Remarks. Over to you, Abhishek.

Abhishek Lodha: Thank you, Anand. Good morning to everybody and thank you for joining us today. I hope all of you are well.

It's been a very interesting quarter in India. I would start by commenting on how one looks at the overall macro-outlook in India as well as across the globe and what it means for our business and then get into the details about how the business is evolving and where we see things progressing in the course of the next few quarters.

I think this quarter with the largest ever democratic exercise of the General Elections in India now having been concluded, has been a reinforcement of the long-term vision and desire of the Indian population to progress on the path of economic development through a strong Government. This in effect is a decision and a vote of continuity. The Government in turn after its election in June, has focused on continuing to deepen the strength of the Indian economy. The budget, which was presented last week, is another step in that direction with an increasing focus on job creation by supporting of the MSMEs, which are the big backbone of the Indian economy, and to support skilling as well as job creation for the youth. Both these steps we believe are very positive and as they are implemented will support the broad-basing of the economic growth story in India.

The Government has also decided to further support consumption through a moderation of the tax rate for those earning up to Rs.15 lakhs per annum. This once again is supportive of the lower mid income and mid income taxpayers and puts more money into their hands to meet their day-to-day expenses and enables an improvement in their quality of consumption.

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There has been a lot of talk about the changes in the structure of the long-term capital gains. From the perspective of the real estate industry and more particularly, the primary sales of real estate, we think that this change is significant net positive.

In terms of new home buyers, it reduces the long-term capital gains tax rate and brings it down to 12.5% in line with other financial instruments and makes real estate a competitive option for people to look at from a perspective of diversifying their investments and maximizing their returns.

In terms of those who already own homes and will be looking at exiting those homes, there will be potentially a higher rate of long-term capital gains on account of the removal of the indexation benefit. And that in turn means that those who are seeking to minimize their tax outflows, will reinvest a larger proportion of their gains in buying their further homes or new homes which investment is exempt from long-term capital gains.

Therefore, from both the perspective of those who are buying new homes as well as those who are reselling their existing homes and buying further property, in terms of the primary real estate market this change is

net long-term capital gains not only makes the economy more efficient, but it is also net positive for the primary real estate developers. We also believe that the lower rate of tax in general is positive because it reduces the transaction costs, encourages better ebb & flow and a better rate of transactions in the market. This leads to further value discovery in the market. So, all in all, we believe that this change is a positive, though there will be a certain transitory pain of adjusting to this new regime.

We are further intrigued by the fact that the budget has reintroduced the incentives for first time home buyer for the lower income sections of society. We believe that it is extremely important that people get onto the home buying ladder as soon as possible. With the significant increase in rental across the country, it is seen now that while rentals might look attractive in the short-term, in the medium-term, rentals are unlikely to create wealth for the middle class and therefore buying a home as soon

as possible is the best possible option, not just from the perspective of creating wealth, but also giving stability and respectability to the family. The reintroduction of the credit linked subsidy scheme is therefore a significant positive.

Furthermore, as global inflation is now coming more and more under control, and we have already seen rate cuts by some of the leading central banks, particularly in Europe and now we are also expecting the Federal Reserve in the US to cut rates later in the year. This in turn will also mean that there is likely to be a moderation in interest rates in India which will also be supportive of the entry level home buyers who have been hit hard by the increase in interest rates in the aftermath of the inflation spike post-COVID.

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So, all in all, we believe that over the next 12 months support to entry level housing, i.e., homes which are priced between 30,00,000 and 75,00,000 will bring the demand in that segment on par with the demand in the rest of the housing market which has continued to remain quite robust. Today, we have with us our Chief Sales Officer, Mr. Prashant Bindal, who will speak further on that topic.

Moving further away from the macro and getting more into how we see our business evolving, we believe that our performance this quarter is in line with our model of having sustainable, predictable growth on the back of a granular well-diversified base of projects.

We continue to act on our guidance around predictable growth, predictable price rise and continued business development, while keeping leverage very conservative, well below our ceiling of 0.5 times debt-to-equity.

I am pleased to inform you that we delivered our best ever for Q1 pre-sales at Rs 4,030 crores, which is 20% YoY growth. This is in spite of the fact that this quarter was hit by the general elections, which had an impact on the number of available days for selling as well as the focus of the population, plus the fact that the summer this year was quite severe with severe temperatures in many parts of the country which also affected our footfalls to an extent. In spite of that, we delivered our best ever Q1 performance, which speaks volumes about the underlying nature of our business and the predictability which we believe is quite rare in a real estate business.

The pre-sales performance was supported in a significant manner by our performance in Pune where we had sales of about Rs 10 billion in Q1, which is about 50% of our pre-sales in all of last fiscal year, and this sets us up well to become amongst the top one or two players in Pune over the next couple of years.

Our embedded EBITDA margin for the quarter was at about 33%, which is higher than our guidance for the full year at about 31%. And this was in spite of the fact that 43% of the pre-sales for

this

quarter came from our JDA projects, which tend to have a lower EBITDA margin though they have a higher ROE.

As I mentioned earlier, we delivered predictable price growth in line with our overall guidance of having price growth below wage growth. We are guiding to about 5% to 7% year-on-year price growth for the full year, and in the first quarter, the price growth was about 2%.

As you are aware, our revenue recognition is based on project completion for the sales which were done prior to 31st March 2023 and thereafter we have started moving towards the percentage completion methodology of revenue recognition.

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For this quarter, our PAT is well over Rs 800 crores, which is at about 21% of the pre-sales done for the quarter.

In terms of business development, we added three new projects this year this quarter with the GDV of about Rs 11,000 crores, therefore that is more than 50% of our full year guidance has already been delivered in the Q1 itself.

This sustained pace of business development, which we have seen right from our IPO over the last three years, shows the attractiveness of brand Lodha for the joint development, outright model as well as the significant pipeline of business development opportunities that we see in Mumbai, Pune, and Bangalore, the three markets that we are currently operating in.

In spite of the significant level of business development plus a significant ramp up in construction spend in this quarter, our net debt stood at Rs 4,300 crores, which is 0.24 times of equity. This is really an exemplification of the fact that our business delivers strong underlying cash flows, and as we continue to ramp up our investment in construction, we will see in the second-half of the year significant acceleration in the free cash flow generation and operating cash flow generation for the company. This consistent performance, robustness in the business fundamentals, and strong balance sheet has resulted in a credit upgrade to AA Minus with a Positive Outlook by CRISIL which once again showcases how our performance is being viewed by external shareholders.

In line with the same our average cost of funds for the quarter came down to about 9.1%, down by almost 30 basis points for the year.

We continue to focus not just on the business performance, but in line with our philosophy of "Do Good, Do Well." We continue to make significant progress on our ESG initiatives too. This year we had the second batch of the Lodha Genius Program, which is a partnership with the Ashoka University and the Second Cohort welcome almost 200 students from 26 states out of a pool of over 3,000 applicants. The program was very sought after and well received, and we had top profile faculty not just from India but across the world, coming in and guiding these bright minds in developing their skills, particularly in the STEM area, but also inculcating a spirit of national and societal service in them.

During the quarter, we were also recognized as the Top #1 Real Estate Company by Great Place to Work.

We were ranked #64 amongst 2,000 companies across all sectors in the country, and the only real estate company amongst the top-100.

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We believe that the latter part of the year, the next three quarters present a great opportunity for our business to continue to scale up in line with our previous guidance. We have a very robust pipeline of business development opportunities. We have a strong pipeline of new launches in the second half of the year. As I mentioned earlier, with the ramp up of construction spend, we will also see an acceleration in operating cash flow generation in line with our guidance of operating cash flow of approximately INR65 billion for the full year.

We are also approaching the end of our pilot phase in Bangalore. As

you may remember, we had said

that in the pilot phase, we will focus on developing our local operating team, understanding local nuances and making sure that our execution is in line with our brand promise of delivering the world's finest developments.

With the launches of the two projects last fiscal year in Bangalore, both of them are very well received and we are very comfortable with the sales, the on-ground sales situation and setup that we have in Bangalore.

On the construction side:

We are also making good progress and we expect in the next one or two quarters, we will conclude our pilot phase in Bangalore. We have also started studying which new city will be considered by us for the next piloting an entry. We are currently considering a couple of cities and expect to make a decision on the next city that we will do our pilot in the latter half of this current fiscal year.

Now, I'd also like to highlight our extended Eastern Suburbs:

The township projects of Palava and Upper Thane. As you may be aware, there is a significant amount of infrastructure upgradation work which is now approaching completion in this location.

We expect the Airoli-Katai freeway to be operational in the second-half of this fiscal year and next year we expect the Navi Mumbai Airport to start to become operational and be fully operational in 2026 and thereafter in the latter part of the decade, we will have the bullet train which connects BKC to Ahmedabad, and the first stop after BKC will be at Palava.

With this, we aim to develop the premium housing market in Palava in addition to the current focus on mid-income housing. And that strategy has now consciously being implemented over the second-half of the last fiscal year and in this quarter. In this transition, we are focusing on certain types of product and are reducing our focus on certain other types of product. And we expect that for the full year, we will deliver about 20% growth in Palava and Upper Thane in line with our medium-term guidance of growing sales in Palava and Upper Thane from Rs 2,300 crores for Fiscal '24 to Rs 8,000 crores by the end of the decade, which is a CAGR of about 20%.

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We believe that Palava and Upper Thane provide an amazing opportunity to create a new urban center for the Mumbai region and a standard of how urbanization should be done in India and become an example for the entire country.

We are pleased to inform you that HDFC Bank, India's largest private bank, has recently opened its residential training center. It's an iconic building where they have the capacity to train about 300 employees at the time. That center was recently inaugurated by the Managing Director of HDFC Bank, and we are very pleased that they have made such a large and substantial investment in Palava and built a building of truly global standards.

We also have the Jupiter Hospital Group, now constructing its largest facility in the country in Palava, which is a 400-bed facility, and there is also a second hospital under construction.

So, overall the level of activity in Palava and Upper Thane is gradually and significantly increasing.

The warehousing and industrial parks are also shaping up well. And we expect that this part of the business will contribute significantly to value creation in the course of the coming years and will deliver strong sales and underlying EBITDA performance.

To conclude my comments, now I will just highlight the key aspects of the P&L:

As I mentioned earlier, we are now having revenue recognition on a project completion methodology for sales done up to 31st March '23 and thereafter for sales done after that date, we are following the percentage completion methodology for revenue recognition.

Basis this methodology, our revenue for the quarter came in at about Rs. 2,847 crores, which is 76% YoY growth, our adjusted EBITDA

was about Rs.959 crores and our PAT for the quarter was about

Rs.476 crores, tripling on a like-to-like basis over the previous period. Of course, as I've highlighted in the past, the P&L for this year as well as the next two years is not a very accurate reflection of our underlying performance but will become much more closer to our underlying performance as we fully migrate to the percentage completion methodology of revenue recognition. In the interim period, we would request everybody to focus on our pre-sales and the embedded EBITDA of those pre-sales as better proxy of our performance and an indication of what is happening in the marketplace.

With these remarks, I now hand it over to our Chief Sales Officer – Mr. Prashant Bindal, who is joining us on this call to speak about our sales momentum and the on-ground demand conditions.

Over to you, Prashant. Thank you.

Prashant Bindal: Thank you, Abhishek.

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As Abhishek mentioned, on the ground, we are witnessing a very continued strength in the housing demand from the end users. And within that, the demand for the quality product from branded developers is even stronger. And this is across the geographies and across the segments. And as Abhishek pointed out, our biggest strength is our predictability and our consistency. We promised 20% growth for the full year in our full year guidance and in our Q1, we already delivered Rs 4,030 crores, which was in excess of 20% growth, and also a second consecutive quarter of more than Rs 4,000 crores. So, that shows both the consistency as well as the predictability that we were talking about.

And the strength in the business is coming in large, uniform across mid-income, premium as well as the luxury segment. And within all these segments, we see a very consistent, continuous premiumization trend that is happening, for example, even in aspirational segment, the consumers are moving from 2BHK to 3BHK and in the premium segment from 3BHK to 4BHK.

And Lodha, by virtue of being present across all segments, coupled with a very strong brand pull, is a big beneficiary of that industry dynamic. As you are very well aware that we are very granular in approach when it comes to pre-sales and do not excessively depend on any particular segment, be it location or any one launch or any geography. Our pre-sales have come mainly through nearly 40 different projects spread across micro markets and segments. And this gives us enough data in terms of what kind of consumers are coming, how many consumers are coming, what kind of conversion is happening to give us a very basis to give the confidence on the strength of the demand and how we operate across all these segments.

The competition in our market remains benign and rational as it is largely led by consumer affinity towards the stronger and trusted brands. There is a great desire of consumers to buy a Lodha property and we have seen that across the new geographies that we have come in, whether it be in Pune or Bangalore and even in Bombay in MMR as we go across other geographies.

The consolidation in the industry is another very important trend. By some estimates in the market of MMR, the contribution of the branded player, the large player is still 25% to 30%. And in our view this number could easily reach to 40% to 45% by the end of the decade, as the weaker player with no brands keep exiting the space. This will keep the industry structure good for the branded developers like us and very good for the consumers because the consumer expectation is a great quality product and product on time. And for that you need resources, you need expertise, you need that operational strength. And I think Lodha as a developer, we provide everything on that regard. Another highlight of this quarter for us has been that we crossed Rs 1,000 crores of pre-sales from

Pune, where we only started expanding less than three years back. Abhishek pointed out the pilot that we are doing in Bangalore. We started this pilot of expanding in Pune about three years back. And within three years, from less than Rs 250 crores sales in FY'21, we have achieved Rs 1,000 crores

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business in a single quarter and that shows how our sales machinery works in the expansion stage.

We clearly see ourselves achieving over Rs 3,000 crores of sales from Pune this year and become among the top three players in the city and potentially we hope to be the largest player in the coming two to three years in Pune.

We have significantly scaled up our sales team in Pune as well as boosted our network of channel partners in the city. We have more than 500 channel partners that we have engaged in Pune. Just to give an idea, we have nearly 4,500 channel partners that we engage in MMR, and we have already reached 500 channel partners in Pune. So, Pune just provides us the template to grow in the newer cities and which we hope to replicate in Bangalore over the next few years. We clearly see that 25% of our pre-sales is now being contributed to the new geographies, that is excluding MMR and that makes us even more diversified and a more consistent and a predictable player. So, as you know, we have guided to grow our pre-sales by 20% for the full year and achieve Rs 17,500 crores, we can look at a growth mainly coming from three different elements; 6% to 7% coming from pricing, 3 to 4% to be delivered by volume growth at the same location and 10% to 15% to be delivered by adding of new locations. So, in this way we need to add five more projects on the base of the 40 projects that we have had last year. So, you will see that by the end of the year, we have about 45 projects in the system and a few launches coming up mainly in the second-half and which gives us a significant portion of pre-sales. So, this gives us the confidence that whatever guidance that we have given for Rs 17,500 crores, we are fairly confident that by the end of the year we should be there.

Thank you. We can now open the Q&A queue.

Moderator: We will now begin the question-and-answer session. The first question is from the line of Kunal Tayal from Bank of America. Please go ahead.

Kunal Tayal: Abhishek, my first question is on the diversification strategy. If I could ask what have been your sort of key observations from the Bangalore pilot and does it lead you to a conclusion that geographical diversification is absolutely worthy, and what are some of the typical risks that need to be actively managed as part of the strategy?

Abhishek Lodha: Hi, Kunal, great question. Our learnings from the Bangalore pilot is that investing in building the local operating team, having a strong leadership and inculcating the same culture that we have centrally, are all very important parts of the long-term sustainability from an internal perspective. From a more market perspective, we believe that the consolidation in the industry and the desire for a higher quality of life are integral to the Indian consumer. Given the state of urban infrastructure where you live makes a big difference to how you live. And therefore, given Lodha's track record in not only creating some of the world's finest developments, but also managing them well and actively maintaining hospitality standards which are significantly sought after by consumers and therefore our brand has a significant pull factor even in markets where we have earlier not operated in. Having

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said that, we believe that the slow and steady strategy is the right strategy for us. We do not want to go into too many markets. We are very comfortable. As we discussed earlier that the three markets that we are operating in right now

we, which is Mumbai and Pune and potentially scaling up in Bangalore

once we come to conclusion on the pilot by the later this year, will be a significant support to our goal of long-term pre-sales growth of 20%. We will of course look at more pilots in the coming years, but we do not see that we need to be in many, many cities to deliver on our growth plans.

Kunal Tayal: And then just a quick follow up on the rest of FY' 25. How are you thinking about business development for the remainder of nine months? I know you said in your opening comments that the pipeline is generally strong. And then just on the matter of detail part of it, are you breaking out how much could land sales contribute to the annual target?

Abhishek Lodha: Hi, Kunal. Once again, great question. But in terms of business development, yes, the pipeline is quite robust. Last year, we over-delivered on our business development goals and we continue to maintain our guidance for this year. The pipeline is actually quite strong. So, there is no reason why we shouldn't be able to or even somewhat exceed our guidance. In terms of our overall sales mix, we don't break it out by segment as where we said those will keep varying from quarter-to-quarter and year-to-year overall in terms of what we provide guidance on is our overall sales, pre-sales and the embedded EBITDA of those pre-sales.

Moderator: The next question is from the line of Puneet from HSBC. Please go ahead.

Puneet: My first question is if you can talk a bit about the business development that you did in this quarter, was it more of the nature of JV, JDS owned, how do you intend to approach this getting into the rest of Fiscal '25 and how are you thinking about the redevelopment opportunity in Mumbai and your role there?

Abhishek Lodha: Hi, thank you for that question. In terms of business development, we continue to look at both joint development as well as outright opportunities. We are focused on making sure that we deliver on our ROE targets while ensuring that our levels remain very conservative, and within those two constraints we look at both of those strategies, and it varies from quarter-to-quarter because sometimes things will culminate in one quarter, sometimes they will go over to the next quarter. So, I don't think the

quarterly number on the breakup between the two is important. But over the medium term, we like to have our sales come at approximately 60% from the owned lands and 40% from the joint development lands and we think that we will be able to deliver that for this year and also going forward.

Puneet: And the Rs 18 billion that you spent on the growth and development, would it be fair to say that that is attributable to Rs 111 billion of GDV or would you need to pay more for that as well?

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Abhishek Lodha: Sorry, I couldn't understand your question clearly. Could you please repeat that?

Puneet: Sorry. So, in your cash flow statement, there is a Rs 18 billion investment with respect to the GDV. Does it relate to the Rs 111 billion GDV that you added, do you need to pay more beyond this Rs 18 billion for the GDV that you added to your books?

Abhishek Lodha: So, I was saying that out Rs 18 billion is not entirely attributable only to the Rs 111 billion of new GDV added for business development. It is largely attributable to that, but obviously we also have payouts done to our joint development partners from projects which we have taken earlier and other related expenses. So, it's not a one-to-one correlation. And for the projects that we have added this quarter, we will of course have further spent also in the time to come, not that the entire spend has already been done.

Puneet: And can you also comment a bit upon what you are seeing in terms of pricing growth in Mumbai market? I know you've been very calibrated about how you want

to take that price increase. But are

you seeing any signs of exhaustion or in your projects, at least you've been able to take those regulated price increase frequently?

Abhishek Lodha: I am sure you observed. Our price growth for the first quarter was at about 2% and we do think that the steady price growth phenomena allow you to keep compounding that price rather than do spiky price growth and then not be able to do much for some time thereafter. We see that price growth momentum at a reasonable pace is still very much there because at these price growth levels, you get affordability growing year-on-year. So, there is no push back on that. So, at this stage we see that our ability to deliver on this price growth level sort of in the mid to high single digits continues to remain there.

Moderator: The next question is from the line of Abhinav Sinha from Jefferies India. Please go ahead.

Abhinav Sinha: Abhishek, I just wanted to ask on Palava. I think in the townships last quarter, I think you've given a 30% sales growth target, but now you are talking about 20% for the current year. So, has something changed there?

Abhishek Lodha: Good question. I think in the opening of the Airoli-Katai tunnel, it looks like it will happen only in Q3 or perhaps even at the start of Q4. We were earlier expecting it to be in the first half of the year. So, to that extent, there will be a slight impact, but in line with as you would have noticed, our overall 20% CAGR is what we will need to deliver in order to get to Rs 8,000 crores of sales by the end of the decade and that continues to persist. Sometimes you will have this sort of quarter of variance on certain external factors, but overall, there is no change in the trajectory and actually we are quite pleased with over the last six to nine months as we brought in some of our premium products that has been received quite well in those locations. And therefore, we believe that our strategy of adding

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premium to the mix in addition to mid income housing will help deliver on this 20% steady compounding at Palava.

Abhinav Sinha: The premium product that we have bought in versus the one that we are also talking about, can you sort of give some details of where they are and what's the pricing looking like?

Abhishek Lodha: So, the premium product that we are launching in Palava now is pricing at about Rs.15,000 to Rs.16,000 per square feet of carpet area which is 50%-plus premium to the pricing for the mid income product. We have launched one product what was known as Phase-I of Palava overlooking the golf course. The next product that we are intending to launch in that segment will be overlooking a large riverfront park, which will happen in the second-half of the year. We're looking at locations which are premium locations within Palava and Upper Thane which has great natural ecosystem in addition to the overall physical infrastructure that we have created, and we are seeing good traction. Earlier, we had launched the villas which are plotted lands which were sold by us and then we had the buyers construct the villas and that has also done very, very well. So, if we bring in a steady stream of high-quality product, differentiated product in terms of its amenities and sizing as well as location, there is already good demand for it, and in the second-half of the year, as the Airoli-Katai tunnel opens up, we expect that demand to fructify into stronger sales.

Abhinav Sinha: Sir, secondly is on the retail. You detailed a pipeline this time in presentation on slide #20. So, a) can you describe where is this high street retail located and b), any timeline for this?

Abhishek Lodha: You've picked up an important point of our strategy around annuity income. As you know, we are targeting an annuity income of about Rs.5 billion per annum by Fiscal '26 so that

that we can cover all

our interest costs from annuity income. The highest retail locations which are shown on Slide #20 are under construction right now and will be ready in Fiscal '26 and partly before that and partly maybe in Fiscal '27, but with the sort of average of Fiscal '26, all of this is already under construction across the various residential sites that we have. We take parts of those locations and convert which are sort of having good prominent road frontage and are doing high street retail development there.

Abhinav Sinha: Maybe one question is for Mr. Bindal as well. Just wanted to ask if you know you can help us with the recent trends on footfalls and the conversions at the site?

Prashant Bindal: See, in Q1, we had almost 24,000 walk-ins happening. But the most interesting part was that our conversion was almost 8.2%. If we compare it with over the quarter-to-quarter, just to give an idea, last year the same quarter the conversion was about 7.3%. 7.3% to 8.2% may look innocuous but it's a 12% swing and that has played a very, very important role in our overall growth of about 20%. This conversion has been a consistent growth. Imagine it moved from 7.3 in Q1 last year to 7.4, 7.6, 7.8 and now it has finally crossed the 8% mark. I think this is a very, very healthy trend. And this kind of conversion, if you believe, although the 10% is the Holy Grail, hopefully if we continue with

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this trend in next 18 to 24 months, we hope to be as close to 10% mark. But the first goal is if we can take it from 8% to 9%, I think that itself will be a very, very healthy trend. So, that's a very positive sense. Because we keep on analyzing the consumer behavior, the shift within the premium segment, that's what I mentioned in my call also that moving from 2BHK to 3BHK, 3BHK to 4BHK, because that is what the consumer trend is very clearly showing. So, if we're able to understand the consumer behavior very quickly and in terms of diversification of the geographies also perhaps we go into very detail into the consumer behavior what is required in terms of say for example just to give an idea in Bombay, the size of the kitchen was very important, in Bangalore, the size of the living room becomes very important and in Pune, most of the consumers are working couples. So, these kind of details when we get into and prepare a design accordingly, and source accordingly, that plays a very important role in the overall conversion and walk-in.

Moderator: The next question is from the line of Kunal Lakhan from CLSA. Please go ahead.

Kunal Lakhan: My first question was on the Palava premiumization strategy. Just trying to understand the thought process there because we do feel that the falling interest rates or declining interest rates would benefit mid-income category, and also this in conjunction with say the Government announcement of spending about Rs.2.2 trillion towards like urban households. I am assuming that the CLSS scheme till the time it was operational would have benefited some place like Palava. Just moving away from, say, mid-income to getting a little more premium, it sounds a little counterintuitive.

Abhishek Lodha: Hi! Yes. I think if the strategy was to move away from mid-income towards premium, it would definitely be I would say not only counterintuitive but also would not make as much sense. Our strategy is slightly different, and I will try to articulate it a little better. Our strategy is to add premium product in addition to our mid-income segment. It is not replacing our mid-income segment, it is additive, it is taking advantage of the improvement in infrastructure in the country. Our strategy is to add premium product to our existing mid-income strategy. We do believe that our entry level mid-income product is to our compact 2BHK product will benefit significantly from

the reintroduction of

the CLSS Scheme, as well as from the reduction in interest rates, which we think are likely over the next six to 12 months. Having said that, the premium strategy is really a play on the infrastructure that we have created and the quality of life that we have created in Palava and benefits from the infrastructure of connectivity, which is coming through at that location. This I can say is similar to the evolution of Gurgaon, for the NCR, which earlier started off as a lower mid-income and then a mid-income location and over time has become a premium location, driven by the same factors of good connectivity, job creation as well as high quality of life. So, we see that we will be playing both in the mid-income segment as well as the premium segment. If the question specifically raised to our strategy to moderate our presence in the Crown segment, that really has to do with the fact that we believe that our entry level product is best served by taking advantage of the compact 2BHK and higher rather than having the very small 1BHK product, and that is a conscious call in terms of the kind of mix of consumers that we expect would be best to be living in Palava.

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Kunal Lakhan: My second question was on our cash flows this quarter. Your cash flow from operations was slightly lower this quarter. If you can give some drivers behind that and how should we look at this number

going ahead considering our guidance of Rs. 6,500 crores for the year?

Abhishek Lodha: Yes, I think that's a pertinent observation. The cash flow for the quarter was lower or is lower than the average that you would see out of the Rs 65 billion on a quarterly basis. On account of the fact that it's a cycle, we have ramped up construction spend significantly and generally the first quarter of the year tends to be slightly lower on collections because there's summer vacations and people travel a bit. So, all of those factors come into account. Even generally if you take a look at historical periods, our operating cash flow tends to be significantly loaded towards the second-half of the year and we expect the same trend to continue for this year. So, the first half of the year will be lower on operating cash flow, the second-half of the year will be higher on operating cash flow, but we remain on track for the guidance of about Rs 65 billion of operating cash flow that we gave at the start of the fiscal.

Kunal Lakhan: One kind of an historical question, like in the past, I am just highlighting the illustration that you've given in your presentation about like the LTCG impact. We have seen that in the past, like if the pricing growth has been kind of tepid, the new regime would be adverse in terms of taxation for the customers. And with the with the 6-7% kind of a pricing growth that we expect annually, would this regime be beneficial overall for the Mumbai market or this would impact demand in some way?

Abhishek Lodha: We of course take into account the fact that the removal of the indexation benefits means that the nature of taxation has changed. We also believe that consumers, when they are buying homes, are looking at homes as end users who are looking to buy for the long-term and are not really driven doing this token of tax considerations. Having said that, the fact that the tax rate is now in line with all other financial assets, makes real estate, I would say, as an attractive asset. The total return as you would see from our slide 4 generated from real estate is close to 9%, 10% on a post-tax basis, which is much higher than any other asset class which has fixed income or low capital risk characteristics. So, all in all, we believe that the new regime as I mentioned in my remarks, is beneficial for primary sellers on account of the fact that it is lower over the sort of rate of taxation,

even though indexation

benefits have gone away, plus, the fact that those who are reselling homes will reinvest a higher proportion of their accrued gains to minimize their tax liability. So, generally we see no adverse impact from these long-term capital gains and there will be some winners and some losers, but on an overall net basis, it's a net positive in our case.

Kunal Lakhan: Just to follow up on that, how many of our customers are generally upgrading or selling their existing homes and then buying into our projects, any percentage would we have?

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Abhishek Lodha: We know what percentage of the first-time home buyers, but whether they are selling their existing home or whether they are keeping their existing home and buying a home with us is not a data point that we have.

Moderator: The next question is from the line of Pritesh Sheth from Motilal Oswal. Please go ahead.

Pritesh Sheth: Just a question related to our legacy strong markets like the South and Central and Thane. Palava, we discussed in detail. But for these two markets, the growth last year was around 10%, 12%, right? Do you think now these markets are kind of saturating in terms of contribution and for the market share gain won't be possible in these micro markets considering our position there or you still think that there are, certain pockets in which we don't have projects and we can grow further and gain the market share to contribute 20% growth from these markets as well?

Abhishek Lodha: Hi, Pritesh. Thank you for that insightful question. In terms of South-Central Mumbai, as you know it's a very large geographical market and there are pockets where we will start actually being present and continue to remain present at our new pockets where we are gaining presence or adding projects, and there are of course some pockets where we are completing projects and therefore will have lesser presence for the short-term while we look at replenishing the land. But overall, at the level of the market, we do believe there are opportunities to grow and expand and the market will provide a decent level of growth going forward. Obviously, some of the newer markets provide a much higher level of growth or the markets where we have had lesser presence or are underpenetrated, provide a much higher level of growth. But we do expect that South Central Mumbai will continue to remain a positive growth market for us on the back of the market, expanding our brand positioning in the market, plus the opportunity to add some new locations. In terms of the Thane market, once again, it's a market which is wide, it's broad, it's a market where there is a high degree of competitive intensity. We have largely been present historically in the northern part of the Thane market, which is the north of the Ghodbunder and have had very little presence in the southern part of the Thane market and we do see some opportunity as we add projects in the southern market, we add a certain part of the Thane market, we added two projects last year to gain some growth there. So, Thane as the market once again we see that we are not fully penetrated and there will be some growth coming from that.

Pritesh Sheth: In terms of Pune, we had a strong quarter. Would you consider it as just one-off because we had a great launch there or we can actually look at this Rs 4,000 crores kind of a run rate on annualized

basis this year itself?

Abhishek Lodha: As we have said in many different contexts, we don't read so much into one quarter. Ours is a diversified granular business. We can't take the number for one quarter and extrapolate it into four for the full year. Having said that, we expect meaningful growth in Pune this year. We did under Rs 2,000 crores of sales last year and we do expect that that number will get closer to Rs 3,000 crores

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for the full year. So, our expectation is closer to Rs 3,000 crores, not Rs 4000 crores for Pune for this fiscal.

Pritesh Sheth: And one last is on the embedded EBITDA margin performance. So, in this quarter was 33%, last quarter, which was 31%, while our guidance for the full year FY'25 is still 31%. So, again it was just more to do with the mix of sales during the quarter, which led to the embedded EBITDA margins or we should see this improvement going ahead and eventually it would flow down in your guidance as well?

Abhishek Lodha: As I said, reading too much into one quarter would not be prudent, but yes, there is some upward positive bias towards the embedded EBITDA margin. We want to sort of see how that pans out over the next quarter or so before we sort of start seeing how that would reflect in our long-term guidance. But yes, I think while the mix of sales has had a contribution to make, but even add this about 6%, 7% price growth, we see that EBITDA margins move up modestly, and we do think that in the course of the decade, we can move from the low-30s towards the mid-30s in terms of our underlying EBITDA margins.

Moderator: The next question is from the line of Parikshit Khandpal from HDFC Securities. Please go ahead.

P Khandpal: Abhishek, earlier in the call, you spoke about adding new locations. You are evaluating a couple of new locations. Just wanted to understand which part of India you are looking at and what kind of potential sales you are looking to do from these locations in the next three to five years?

Abhishek Lodha: In terms of our evaluation, as I mentioned in my remarks, we are approaching the end of our pilot phase in Bangalore and we are hopeful that in the course of this fiscal year, we'll be able to confirm that our pilot has successfully concluded and we are now at a stage where we feel comfortable in the Bangalore market to expand our presence there. In line with that, we are also studying any new markets, new cities that we can start a pilot process, because that process for us is a six to 12 months study process and then a three-to-four-year pilot process. So, it's a fairly long process that we follow before we make substantial commitments in any new city. Having said that, we are currently exploring a couple of cities and hope that in the course of this year we'll be able to conclude on any of those cities we want to start our pilot in. Over the next three years, we don't expect this new city to contribute any significant amounts in terms of our overall pre-sales. Pilot phase by definition is an exploratory phase and therefore we don't expect any substantial contribution from the new cities. For the next three years, you should focus on Mumbai, Pune and Bangalore as the drivers of our performance and growth.

P Khandpal: Second question is on capital allocation. So, given that we have a mix of JDA and outright which we have laid out, but in case if we get say a large opportunity where the big cheque has to be written, so say 2,000 or 3,000 crore cheque, maybe a 10-year kind of a project, so how flexible or open we

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are, what quantum do you think can go in large writing large cheque given we have a strong balance sheet now?

Abhishek Lodha: While we consciously work towards a strong balance sheet, we are also very prudent in terms of our capital allocation and risk appetite. As I mentioned and Prashant also mentioned, our focus is on diversified granular growth rather than just having from one chunky growth and we like to cap any single location exposure to about 5% of our network in general, in exceptional cases it may be slightly higher, maybe 6-7%. But we are really not in a position where we want to go out and allocate huge amounts of capital to single location.

P Khandpal: Single location

or you mean a single project, I mean, could it be a single land?

Abhishek Lodha: I should have said, single project.

Moderator: Ladies and gentlemen, that was the last question for today. We have reached the end of the question-and-answer session. I would now like to hand the conference over to Mr. Anand Kumar for closing comments.

Anand Kumar: Thank you, everyone for joining the call today. I hope we have been able to answer all your questions. If you have any further questions or would like to have any additional information, we would be happy to be of assistance. Feel free to reach out to the IR team for the same. And on behalf of

Macrotech, I once again thank you for taking the time to join us today. Thank you.

Moderator: On behalf of Macrotech Developers, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Oct 2024

Macrotech Developers Limited: Lodha Excelus , NM Joshi Marg, Mahalaxmi, Mumbai 400 011 , India
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October 30, 2024

BSE Limited
Scrip Code: 543287
Debt Segment – 9745111, 974986, 975115, 975192, 975560

National Stock Exchange of India Limited
Trading Symbol: LODHA

Dear Sirs,

Sub: Q2FY25 - Earnings Call Transcript

Ref: Intimation under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 , as amended ('Listing Regulations')

Pursuant to Regulation 30 of the Listing Regulations, we enclose herewith a copy of the transcript of the Company's Q 2FY25 Earnings Conference Call held on October 28, 2024 . The transcript is also being uploaded on the Company's website i.e. www.lodhagroup.com under the Investor Relations section.

Kindly take the above information on your record.

Thanking you,
Yours faithfully ,

For Macrotech Developers Limited

Sanjyot Rangnekar
Company Secretary & Compliance Officer
Membership No F4154
Encl: As above

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"Macrotech Developers Limited
Q2 FY'25 Earnings Conference Call"
October 28, 2024

MANAGEMENT : M R. ABHISHEK LODHA – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER ;
MR. SUSHIL KUMAR MODI – CHIEF FINANCIAL
OFFICER ;
SHAISHAV DHARIA – CHIEF EXECUTIVE OFFICER
(EXTENDED EASTERN SUBURBS & RENTAL ASSETS);
MR. ANAND KUMAR – HEAD OF INVESTOR RELATIONS

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Moderator: Ladies and gentlemen, good day, and welcome to Macrotech Developers Q2 FY'25 Earnings

Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anand Kumar, Head of Investor Relations. Thank you, and over to you, sir.

Anand Kumar: Thank you. Good afternoon, everyone. Welcome to Macrotech Developers Q2 FY'25 Results Conference Call. We have with us Mr. Abhishek Lodha, MD and CEO; Mr. Sushil Kumar Modi, CFO; and Mr. Shaishav Dharia, Whole-Time Director and CEO for our Annuity Business & Extended Eastern Suburbs.

I would now like to invite Abhishek to make his opening remarks. Over to you, Abhishek. Abhishek Lodha: Thank you, Anand. Welcome, everyone, and good afternoon to you. Wishing you a very Happy Diwali and a prosperous New Year ahead. May Samvat 2081 bring good health, happiness and prosperity for you and your family members.

Starting with a little bit of an overview of the industry and macro situation. As we are well aware, global political climate and geopolitical tension continues to remain at a high. However, we are seeing the start of the easing cycle in relation to monetary policy, which has been in tightening mode for the past 3 years.

This in our view, over the medium term, will also lead to moderation of interest rates in India and support housing, particularly the interest-sensitive sector of homes at the mid-level and entry level, i.e., homes less than INR 1 crore, which has been hit as the interest rates have gone up over the last 18-24 months.

In terms of the domestic front, India had a good monsoon, for which we are thankful. And there was the general elections, which have already taken place, and India now continues to move forward in its political and economic trajectory. We've seen some softening in high-frequency data such as IIP and GST collections on account of the pre-election related slowdown in spending but all in all, we remain in a positive mode in the Indian economy. With the festive season now underway, we see sentiments improving and we hope that the economy will continue moving forward in line with what the RBI has estimated, i.e., 7% or higher GDP growth rate, both for the current fiscal as well as for the next fiscal. All in all, we believe that the Indian macro presents a positive outlook for the housing industry, which is now in year 4 of its positive cycle, which started in late 2020.

Coming to the highlights of our performance in this quarter, as you're aware, Q2 generally tends to be quite a weak quarter because of the heavy amount of monsoon-related uncertainties, especially in the city of Mumbai, where we predominantly have significant operations. Plus, we end up having the inauspicious Pitru Paksha or Shradhh period in this quarter on most occasions.

It was in Q2 in this fiscal compared to Q3 in the last fiscal. In spite of that, we had our best-ever quarterly sales performance in this Q2, with sales of just under INR 43 billion, which was up

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21% on a Y-o-Y basis. And with this, we have cumulatively achieved over INR 83 billion of sales for the first half of the fiscal, which is almost 48% of our annual pre-sales guidance. We have historically observed that the first half tends to be between 45% to 48% of the pre-sales for the full year, so we are already at the upper end of the range that we've seen in the past. This, of course, is in spite of the fact that on account of the impact of the elections in the first quarter, there had been a slowdown in approvals.

Is.

But in spite of that, the company's wide base of projects, the fact that a large percentage of our sales continues to come from ongoing projects compared to new launches alone, has ensured that we are able to deliver consistent sales in spite of the backdrop, which was less than supportive in terms of the seasonality as well as the election impact.

In terms of our embedded EBITDA margin, I'm pleased to inform you that our embedded EBITDA margin for this quarter came in at 34%. And this is despite the fact that 38% of our presales for this quarter came in from JDA projects. So clearly, compared to our estimated full year guidance of around 31%, we are seeing higher profitability on account of the operating leverage that is kicking in as we scale up our business.

In terms of price growth, we continued our disciplined pricing strategy. And the total price growth for the first half of the year is at about 3% YTD, which is in line with our guidance for 6% to 7% price growth for the full year, which was 200 basis points or thereabouts lower than the expected annual increase in income.

We believe that this kind of price growth not only helps the market to remain sustainable and because of improving affordability, but it also gives the consumer good confidence that buying real estate is not a speculative activity but a long-term investment, which will keep compounding

over the medium term.

Based on our embedded EBITDA margin of about 34%, our pro forma PAT for the quarter is at about INR 940 crores, which is about 22% of our pro forma sales for this quarter. With this being the case, if we were to convert it on to ROE on a pro forma basis, we are now well on track to achieve our ROE objective of 20% in spite of the enhanced capital base due to the equity raise in the last quarter of fiscal '24.

I am also pleased to inform you that our pilot phase in Bangalore has now been concluded successfully. As you are aware, when we entered Bangalore in mid-2021, we had mentioned that we would be in pilot phase for 2-3 years during which, we will focus on building a strong local operating team, understanding local operating nuances and making sure that we can showcase our delivery to consumers. We are pleased that in a period of a little over 2 years, we have achieved most of those objectives with a strong local operating team under leadership of our CEO, Mr. Rajendra Joshi, and supported by strong functional heads of sales, construction and business development. The team strength continues to grow and has now reached 125 people. We are also pleased that we have been able to now understand and develop good relationships in the construction ecosystem in Bangalore, and now construction is also progressing at the pace that is desirable.

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You are already aware of the fact that we had strong start to sales of the 2 projects in the last fiscal. And therefore, now we conclude that our pilot phase is over, and we will now be moving into growth phase in Bangalore. In line with this, we have now added 2 projects with cumulative GDV of about INR 38 billion, one in North Bangalore and the other in an East Bangalore.

With this, our available inventory in Bangalore is now up to about INR 60 billion, and the BD pipeline also continues to remain quite strong and provides us good visibility for scaling up in Bangalore over the next 2 to 3 years.

Moving forward, in terms of our business development, we added, in the last quarter, about INR 55 billion of new projects across 4 different locations. And with this, we have now achieved more than 75% of our full year guidance. This substantial pace of business development showcases the attractiveness of Lodha to the landowners, and we continue to see a strong business development pipeline going forward, too.

At the end of Q2, our net debt stood at about INR 49 billion, which is 0.27x of equity

, well below

our ceiling of 0.5x net debt to equity. This is in spite of the accelerated business development, which we did in the first half. And in the second half, we expect that our operating cash flows will increase significantly, and our pace of business development will moderate.

I would highlight another achievement in terms of our average cost of funds. This quarter, we ended with an average cost of funds of about 8.9% compared to 9.1% at the end of the last quarter, a further reduction of 20 bps and the first time that our average cost of funds has fallen below 9%. Given our ratings and the business performance, we expect that we will continue to work hard on further lowering our cost of funds and hope to continue to see improvement, particularly whilst the interest rate in India also start getting lower as it is happening now globally.

I am pleased to inform you on the ESG side that Lodha achieved an outstanding score of 80 out of 100 in the S&P Global Corporate Sustainability Assessment, ranking us as the 5th most sustainable company in real estate globally. We're also pleased to inform you that Lodha has retained its position as the sectoral global leader in theGRESB rating for 2024.

Both of these give us great satisfaction because not only are we growing the business in terms of our revenues and profitability, but I submit that we are also growing our business in terms of our reputation and our impact on society and the environment.

Moving forward, I would like to highlight an important development this quarter in terms of what is happening in the extended eastern suburbs, i.e., Palava and Upper Thane, where we have significant large holdings of about 4,500 acres. As we had mentioned in the last call, Palava and Upper Thane are going through a transition at this stage, moving from being lower mid-income locations to move to becoming upper mid-income locations and also, in select cases, premium residential locations.

However, it's even more heartening that a variety of different asset classes are now starting to kick in, in a meaningful manner at Palava. We've historically, of course, been residential led.

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Over time, we've developed a modest amount of retail. And over the last 3 to 4 years, we developed industrial and warehousing income streams from Palava.

At this stage, for the first time, we have closed a transaction with a global hyperscale data center player in Palava, where approximately 40 acres of land has been transacted at INR 12 crore an acre. This transaction has now been concluded. It concluded in the month of October in terms of the cash flow being received.

Thus, for those who have been tracking the company since our IPO, you will note that the value of land was about INR 2.5 crore an acre when we listed in 2021. And now 3.5 years later, we have already concluded our transaction at INR 12 crore an acre, a growth of almost 5x. I would further want to share with you that we now have live, ongoing discussions valuing the land at INR 20 crore an acre.

Now the land at Palava being valuable and usable for a variety of different uses, residential - midrise development, residential - low-rise development, i.e., bungalows and townhouses, industrial and warehousing, of course support functions like retail and office and now data centers is a tremendous boost to the value creation and monetization of the land.

If and when the transaction at INR 20 crore an acre concludes, I would submit that the 4,500 acres, even at non-residential valuation, would itself be worth INR 90,000 crores in terms of the present value of the land. This was not even fathomable to even to us even 12 months ago and shows that with having high-quality land bank with good governance and good infrastructure, the value creation can continue to surprise on the upside.

The next point that I want to mention is our rent

al income growth. We had mentioned that we

would be aiming to have INR 15 billion of annual rental income by the end of the decade and INR 5 billion by fiscal'26. INR 5 billion would cover all our interest costs and, in effect, make our development business have no need to support the debt servicing i.e., effectively debt free, the development part of our business. And by fiscal 2031, the amount would be much, much larger, well beyond the needs to service our debt.

I'm pleased to inform you that we now have visibility of about INR 1,200 crores of annual rental income from our annuity assets that we already own and are under development for fiscal'31. Obviously, we have almost 7 years to go, and this will continue to grow. And therefore, there is great visibility of the fact that INR 15 billion is highly likely to be delivered.

And I'm also pleased with the fact that the yield on cost on our rental assets is quite positive and high teens or even better. And that showcases the fact that we are able to create value across different asset classes. While we continue to remain and remain a focused residential player, this long-term addition of recurring rental income will further derisk our business and also aid our underlying EBITDA margins and profitability in due course.

Lastly, I would like to conclude my remarks with the highlights of the P&L. As you are aware, we have started transitioning towards the percentage of completion (POCM) methodology for revenue recognition for sales done after April 2023. All prior period sales continue to be recognized on the completion methodology.

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During this transition period, both the methodologies will concurrently be going on, and hopefully in fiscal '27, we would have fully transitioned. In terms of our P&L, our revenue from operations for the quarter came in at about INR 26 billion, about up 50% Y-o-Y. Our adjusted EBITDA came in at about INR 10 billion, up about 74% Y-o-Y.

Our adjusted EBITDA for the quarter was about 36%. And therefore, it is important to correlate this with the increase in EBITDA on a pro forma P&L and also note that we are seeing the EBITDA grow even on a reported basis. Our quarterly PAT came in at about INR 425 crores, up more than doubling in this period.

Before I hand over to Shaishav Dharia, the CEO of our annuity businesses, who has also led this data center transaction and also heads our extended eastern suburbs market, I would like to share with you an announcement from the promoter group & promoter family.

The promoter family has decided to transfer about 1/5

th of the shareholding of Macrotech to the

Lodha Philanthropy Foundation, a non-profit Section 8 company, which is obliged to use all its income solely for national and social upliftment activities. The foundation will largely use the dividend income from MDL to fund its activities.

The foundation will be a stable long-term shareholder of the company. The foundation has undertaken not to sell any shares of Macrotech till March 2026, i.e., there is a lock-in till March 2026. And even thereafter, the foundation has undertaken not to sell more than 0.5% of MDL's equity in any financial year.

With this, the ownership of MDL is now substantially lying with the foundation, and we hope that MDL success will enable more and more resources to be available for national upliftment, much as, is the case with the Tata Group.

Thank you. And with this, I'll hand over to Shaishav. Shaishav Dharia: Good afternoon, everyone, and thank you, Abhishek. So just building on what Abhishek had said, I want to make 3 points, the first being a little more details around this data center transaction. Globally, the data center business is growing at about 25%. Asia Pacific today, there's about 10 gigawatts of installed capacity. But in India, we are still at less than 1 gigawatt. With the

explosion in data and AI, this demand is going to increase significantly in India over the next decade. But all the cloud companies, the operators face the key challenges: one, requiring land, which is much larger and scalable because the size of each setup for any one company has grown by 4 to 6x what was happening in the last few years. Second, to keep this scalability in mind, they require the land, but equally, power, water, fiber connectivity and other infrastructure, which is at world-class level. And lastly, the commitment of the park to sustainability is very important because the data center business has a slightly negative perception as huge consumers of power. Work in Palava for setting up -- for making the location data center acceptable has been going on for over 5 years now. And it took us almost 15 months in our diligence process with one of the world's leading hyperscalers to get approved as a location, and the first phase of the

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transaction was for 40 acres at INR 12 crores per acre. And as Abhishek said, we're now in talks at INR 20 crores per acre with other major players in the data center business. Two important things to note in this. This is now a recurring business and not a one-off land monetization activity. Equally, we have the option now to build the data center and also create an annuity model and rent to companies who are not only wanting to own land. So this will add to the larger rental asset income stream, which is our vision for 2031. So this links to the second part around the getting to the INR 1,500 crore target by 2031. So as Abhishek said, we are well on our way with INR 1,100 crores already identified. The data center opportunity to create rental asset streams plus new projects continues to allow us to grow from this INR 1,100 crores to INR 1,500 crores. And so across offices, retail, the green digital infrastructure business and the digital infrastructure business including facility management, we are well on our way to creating this annuity stream. I think lastly, when we now reflect back on the Palava story, we are in this important transition phase right now where, over the last couple of years, we've been moving from just a low and mid-income development to mid-income to aspirational high-end development. As infrastructure continues to improve over the next 3 to 5 years, Palava will definitely have the ability to replicate what Gurgaon is today, which took almost 25-30 years, and we'll be able to achieve it much faster because we already have a lot of the inherent elements out there. With infrastructure and the scale-up more towards aspirational high-end homes and also a mix of the entire economic ecosystem, as Abhishek talked about i.e., retail, warehousing, offices, now data center, this entire location can truly become that integrated city, and that's what's exciting for us over the next 3 to 5 years. So let me stop out there. Just building on what Abhishek had already started.

Anand Kumar: Thank you, Shaishav. We can now open the floor for Q&A.

Moderator: Our first question is from the line of Pritesh Sheth from Axis Capital.

Pritesh Sheth: Firstly, on the volume numbers for this quarter and first half, we are seeing a bit tepid. Probably as per the calculation, roughly we are down by 20% on Y-o-Y, while large part of the growth that we saw in the first half was growth going ahead? And how much more can the realization growth contribute in terms of the overall presales growth? That's my first question.

Abhishek Lodha: Pritesh, I think you observed rightly that the volume growth has moderated. And that is part of our communicated strategy, as I mentioned to you, of in the extended eastern suburbs moving away from the very lower mid-income entry-level housing more towards the upper mid-inc

ome
and premium housing.

For us, this targeted mix change will obviously lead to higher realizations and lower volume for some time. And I would say likely on a sustainable basis that these will get reset. Probably a new base will be established by the middle of next calendar year. And then one can start looking

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at that going forward. So yes, we do see that volumes are moderating due to our stated strategy

at the very entry level, and that's where volume play a much bigger role. And therefore, on a cumulative basis, you will see a moderation in the volumes.

Pritesh Sheth: Sure. That's helpful. And in line with that strategy, on I think Palava, where we are in terms of launching our luxury project there, last quarter's call, you stated Q4 or second half is the timeline. Where are we on that timeline?

Abhishek Lodha: Yes. So I would say is that Palava, as I said, there is a variety of things which are happening. There will be an upper mid-income launch in Q4. There will be a premium launch in Q3. There is already a luxury project has been launched earlier this year. And we then expect to do all of these categories on and scale that up.

I think the opening of the Airoli-Katai link, which has been delayed, is something beyond our control, but it will have some kind of a.. I would say, it would have a significant positive impact whenever it opens up most likely in the first quarter of the next calendar year, i.e., calendar year

2025 1st quarter. So we expect all of these launches plus this opening of the link to have -- to contribute to the more -- a bigger share of sales coming from upper mid-income and higher segments.

Pritesh Sheth: Yes. Sure. And this quarter, and I suppose the sales that we had on the land side with the data center player was part of the extended eastern suburbs presales that we have indicated. If I exclude that, then we were at roughly INR 200 crores, INR 250 crores presales on the residential sales. What's the outlook going ahead here?

I mean large part of the growth will be reliant on the premium segmentation that we are looking to do there? Or this quarter was just an aberration from the affordable mid-income, which have been our conventional segment there, and probably, we will see that recovery going ahead as well?

Abhishek Lodha: Pritesh, the numbers are broadly correct, a little bit off, but broadly correct. But having said that, I think we are, as we've discussed in earlier calls, too, in a planned transition away from the very entry-level housing and more towards the upper end of the mid-income and beyond. As a consequence of that, as we mentioned, we will be moving from a tilt of about 85% to 90% of our sales coming from lower mid-income and entry-level housing to that moving to 50%, obviously, over a period of 3 years.

What does that mean in terms of your direct question? It means that this quarter was an aberration. It was an expected aberration, again, partly driven by the fact that the monsoon tends to affect that segment quite a bit. They don't typically have their own transportation. And so typically, Q2 has some impact, partly also with the fact that we didn't plan or do any launches this quarter.

So overall, if you were to look at the sales numbers for Palava, just excluding anything to do with the data center, we are in spite of the transition plus the delay in the opening of the Airoli tunnel, we feel good about the fact that we will match or exceed last year's number. And then

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obviously, the impact of the Airoli tunnel plus the data center will be further positive beyond that.

Pritesh Sheth: Sure. Got it. And then one last, since Maharashtra, as a state, is going for election, how much of risk we have in terms of launches, etc? And I know, I mean, we are not too much launch dependent. We have enough in

ventory. But just from industry-level perspective, do you see some slowdown in terms of launch activity, considering generally, there is some delays in terms of approvals postelection, et cetera? So what's your outlook there?

Abhishek Lodha: No real outlook, right? These things are truly unknown and not possible to have an outlook on. The way we deal with it is to make sure that our -- we plan our launches around this period in advance, which we have done. And generally, because of our business model, which is not so heavily launch reliant, we are able to deal with these 1 or 2 month related of slowdown in decision-making with reasonable comfort. Sometimes, it has an impact but not a huge impact. So ideally no outlook, right? This is 2 months around the national elections and 2 months around the state elections once every 5 years. So it's 4 months out of 60 months. It's not really meaningful. It just happens in Maharashtra that it tends to come in the same year each time. So for 4 years, nothing happens, and then 1 year, it happens twice. So you see an exaggerated impact, but it's okay.

Moderator: Our next question is from the line of Puneet Gulati from HSBC.

Puneet Gulati: Congrats on good performance. My first question is, you talked about Bangalore moving from pilot stage to main stage. What does it really mean? I mean how would your capital commitments and pace of execution change? What should we think of in terms of future launches and sales guidance?

Abhishek Lodha: Thank you for that question. So in terms of moving from pilot phase to growth phase, as you know, we expect to move from our present market share of between 2% to 3% of sales in Bangalore for last fiscal when we did about INR 14 billion of sales, to move to more to 15% of

the Bangalore market by the end of the decade.

So what that implies is we're hoping to gain about 2 percentage points of share on average each year. So we would expect probably this year to be higher than last year in terms of presales. So we would want to be somewhat higher, but it's come in the middle of the year. So we won't get the full 2% impact.

So hopefully, we closed this year, let's say, somewhere around INR 18 billion to INR 20 billion of presales, and from there onwards, one hopes to add about 1.5% to 2% of market share each year in Bangalore from fiscal '26 onwards.

Puneet Gulati: Understood. So that means your business development activity and all would kind of double from what you did last time?

Abhishek Lodha: Double from what we did last time when you say which year are you referring to?

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Puneet Gulati: The previous FY '23, for example.

Abhishek Lodha: Yes, yes. FY '23, we only had 2 projects which we don't did as pilots. So obviously, for FY '23 and FY '24 were very muted from a business development perspective.

But what I would say is that overall, the way to look at our business development is our stated business development targets, which tend to be in line with the projected sales for the next fiscal.

And then to look at our net debt guidance, which is to remain well below 0.5x net debt to equity.

So for us, those would be probably easier ways to understand what our business development will look like.

Puneet Gulati: Understood. And secondly, on your data center business, I also see there is a huge balance investment you planned out for almost INR 24 billion. So, what all do you intend to do in data center, just provide the buildings or actually provide the data center services as well with MEP, etc?

Abhishek Lodha: So, as it stands right now, the information that you see on our digital infrastructure only relates to our warehousing and industrial parks. Right now, there is no rental model of data center built into it. So that is something that will come up in the next fiscal onwards.

We are just learning the data center business currently. The first

park is going to start

construction maybe in 6 to 9 months' time, and we'll learn. So that will come later along the way.

Right now, this is all warehousing and industrial. We have 2 parks in Mumbai, 1 in Chennai and 1 which we are hoping to close in the NCR in this quarter.

So that's really the investment. We've also bought out the stake of CDPQ in the business, and therefore, our economic interest has grown from 1/3 to 2/3.

Puneet Gulati: So I'm referring to Slide 19, where you talked about INR 24.17 billion balance investment in digital infrastructure. So that's...

Abhishek Lodha: Yes. So that is the industrial and warehousing part of our digital infrastructure initiative because right now, we are not doing any data centers for rent. The transaction we've done is where we've sold land to a global hyperscale player to build their own data center. They will be building their own data center. We might help them with the building.

Puneet Gulati: Understood. And thirdly, if you can comment on your experience in approvals in Mumbai, Pune and Bangalore, any slowness you are seeing or any change in the stance there?

Abhishek Lodha: No, I think it's all predictable. I think for us, approvals in Bangalore take longer because we are new there. So any new player in the market probably has to add 3 to 6 months beyond what a conventional local player would need, but other than that, I think approvals are pretty standard.

Moderator: Our next question is from the line of Abhinav Sinha from Jefferies India.

Abhinav Sinha: Congrats on strong numbers for the quarter. Sir, question to Shaishav on the data center part.

When you're talking about the sustainable sales in this location, so what is the sort of opportunity we are looking at?

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Shaishav Dharia: I'm sorry, could you repeat that?

Abhinav Sinha: So on data center, you said that the sale of land here could be a sustainable business model. So what is the opportunity we are looking at?

Shaishav Dharia: So the opportunity is quite significant over the next decade. The demand is growing in India or in a location like Mumbai, in particular, at probably 40%, 50% annually. We can have a significant share in this now having got established as a location, which has the right infrastructure, it has the right connectivity, all the strict requirements that hyperscalers or cloud companies require. So we can clearly see this as a very predictive, as a recurring model, both on the land side and potentially in the future on building and leasing out these data center buildings.

Abhinav Sinha: And Shaishav, will the realizations be higher for this land which you sell to data center versus the normal digital infra stock warehousing bit?

Shaishav Dharia: Absolutely, right? I think because the criteria for approving a location for data center is so high, we've been working on this for 5 years, and this one diligence transaction took 15 months. So it's not that anyone who has land or some access means they can become a data center. So consequently and also scalability, as I said, right? Before, people were setting up a data center park of 50 megawatts. Now they look at 200 megawatts. So you need scalable land. So consequently, the realization will only keep increasing. And as we said, the next transaction that we are again in discussion now is looking at INR 20 crores per acre.

So, INR 2.5 crores becoming INR 12 crores becoming INR 20 crores, clearly, data center has far greater value. But we look at it as an ecosystem. Everything is not only about one asset class. There are different lands with different purposes and a different objective function. So we look to maximize on all the economic creators.

Abhinav Sinha: Abhishek, just a question on the strong sort of sales we have seen in South Central and Western geography. So which projects are moving? And is the upper end i.e., the absolute

top end doing far better than the other segments?

Abhishek Lodha: We are seeing sales across, I would say, all parts of our premium as well as luxury business. Luxury sales are doing well, yes, but they continue to remain a modest part of our overall sales. So we are not a company where 50% or, even for that matter, 30% of sales are coming from the luxury category.

The premium segment is doing well. The for-sale offices are doing well. So we are seeing, across the board, this strength in sales from in the premium as well as the luxury category.

Moderator: Our next question is from the line of Kunal Tayal from Bank of America.

Kunal Tayal: Abhishek, I wanted to follow up with 1 or 2 more questions on the data center business. Firstly, I think at a big-picture level, of course, I understand that both power and location, which has access to sea cables, is very important here. But other than that, if you could just highlight a few factors that worked in your favor towards clinching this particular deal?

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And the associated question is, it's great to hear that you're now looking at the capital values going up from INR 12.5 crores towards INR 20 crores. Should we think of this as now that you have the first data center and probably a line of sight to more, it aids in more accretion of certain kind of infrastructure or other sort of pluses to that land parcel that were not visible to prospective buyers earlier?

Abhishek Lodha: Yes. So I'll request Shaishav to answer the first part of the question, which is a little bit more around the competitive advantages that we have in Palava for data centers. And then I'll come to the second part of your question. So I'll just hand it over to Shaishav for the first part.

Shaishav Dharia: If you look at the data center business, I think Mumbai is always going to remain as the most attractive location because of its location, access to the deep sea cables etc. But Mumbai also has the challenge of trying to find land, which is scalable, has the right power infrastructure, the cable networks to ensure that the latency parameters are met and the right water supply, along with basically locations that can also help data center companies be sustainable.

The industry attracts a lot of negative thought. Palava, because of its strategic location in terms of where it is relative to the deep sea cables, the road infrastructure, the power supply network out there, what we've done around water and recycling.

And lastly, it being co-located with other infrastructure helps a lot. So the plan we were talking to has been looking for this large land and primarily catering to the future of AI. AI demand is going to make the requirements go up by 3x to 5x compared to what was happening before. So they've been looking for 3 years in Mumbai, could never find scalable land.

And then we've been in touch with them for a while. They came to us, did all the technical due diligence, did all their testing and found it to be as good a location in Mumbai as anything else. So this is now the competitive advantage of getting approved as a location, which meets all the technical parameters, has the scalability and, more importantly, the ecosystem for this setup to happen linked to the larger other economic activities. So that's why it's become a competitive advantage.

And lastly, because of our own capability in construction and development, they want to look at us as the -- as an option for developing their building itself because they feel we can do it far faster than them doing it on their own. So the ability to be a land provider with infrastructure, with master planning and the developer, all of this becomes now truly Palava's competitive advantage.

I'll let Abhishek answer the next one.

Abhishek Lodha: So Kunal, in terms of what this does from a business and value accretion or unlock perspective

ctive,

the first thing to note is this is not a replacement for any existing use of land. This is a fast tracking of the use of land, right? What revenue we will make or what margins we'll make from the residential we will make. What we'll make from the office and retail, we will make. What we'll make from the industrial, we will make. And we will probably slow down on warehousing because no longer are the value supporting warehousing.

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But this is a completely new category, which even 12 months ago, while Shaishav and team have been working on it, 12 months ago, there was very little light at the end of the tunnel. And now we have a transaction at INR 12 crore an acre. And as you know, the first transaction to establish a location is always at a discount, which is the reason why the true value discovery of maybe close to INR 20 crores an acre is likely to happen, we hope, over the next 2 to 3 quarters. We think that the data center business, given the overall scale up in AI, if NVIDIA can be valued at what it is valued at, clearly, the world believes that AI is going to scale up in a very, very large way. And I would say that in a very small manner, the data center part of Palava is really a proxy to the AI scale-up and the data scale-up in India.

So we see this as a completely new category. Not only does it sort of help monetize the land faster at very good values, but it is all incremental. Overall, I think realization from residential and realization from data centers, not immediately, but I think over the next 2 to 3 years, might start converging.

Kunal Tayal: I understand. Okay. Good to know. And just one quick follow-up on the residential side of the business, Abhishek, if you could sort of share your views on what trends you are seeing around land prices in Mumbai. And is any of that sort of posing any bit of challenge to a 6% to 7% pricing escalation for yourself or still all within comfortable levels?

Abhishek Lodha: Kunal, I think if you look at the pricing growth and if you look at the margins, I think that will answer the question for you. The fact that our BD is running well ahead of any plan, more than 75% done in 2 quarters, the fact that margins are expanding and the fact that we have still held firm on our stated strategy around price growth will tell you as a combination that the calculus is working quite decently. We are not seeing land prices doing anything funny. We obviously don't compete at the very small projects. We don't want to operate in those projects, which are less than INR 100 million of GDV. So that's where probably you get some heating up and you have all this sort of intensively competitive redevelopment, which we have consciously stayed out of.

But when it is projects of any scale, I think the market is pretty efficient right now in terms of what margin it is leaving on the table, keeping in line the fact that price growth is a reasonable and one which improves affordability rather than highly speculative double-digit price growth.

Moderator: Our next question is from the line of Praveen Choudhary from Morgan Stanley.

Praveen Choudhary: Abhishek, congratulations on your announcement of the foundation. That's very generous. I have 2 questions. The first one is on Page 19 of the presentation, where you mentioned FY '31, you're hoping to get INR 12 billion of rental income. Would you be able to provide some kind of guidance by slightly near term, let's say, FY '27 of the same rental income?

The second question is related to data centers, which obviously is very exciting for everybody.

We just want to understand your long-term strategy here. It seems like initially you will sell land and then you will build the bare shell and rent it. Would you go all the way in terms of becoming data center technologically more advanced, building colocations so that you can capture a higher

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percentage of the value chain in this one? Or you just want to be the landlord and let someone else take care of technical part of it?

And connected to that one, you mentioned you have 4,500 acres in Palava. What part of that land are you earmarking for data centers over time?

Abhishek Lodha: Yes. Thank you, Praveen, and thank you for your compliments on the foundation. We think that as businesses, it's very important for us to know that we exist in a nation and a society. And we are duty bound to use our success to make our society better off. So we hope that we can do our bit in this manner. Coming to the questions that you had. In terms of our projection of income for fiscal '27, we

have given a projection for fiscal '26, where we hope to end at a run rate of about INR 5 billion. So that will not be the full year number, but the run rate at the end of the year should be at around

INR 5 billion. And therefore, for fiscal '27, you will have that INR 5 billion plus something more. So you can say close to INR 6 billion for fiscal '27. Although I don't have an accurate current projection for fiscal '27, I have one for fiscal '26.

In terms of the data center business, we currently foresee ourselves as the infrastructure

providers. We provide the land. We provide the approvals. We help with the construction. Over time, we migrate into owning the bare shell and renting it out to the players. We haven't quite frankly understood the value chain beyond that or understood whether it makes sense for us to play in it or not.

Historically, we've been quite conservative in focusing on what we do well. We know that the built infrastructure, we have a clear and significant competitive advantage. So we feel very comfortable playing there. Anything beyond that is generally not our piece of cake, but as we learn this business, we will evaluate.

In terms of our 4,500 acres of land at Palava, 2 points I'd like to make. One, we do replenish a big chunk of the land that we use in a year. So it's not that the 4,500 acres is some fixed number, and it will keep diminishing as we use it up. So to that limited extent, it is an annuity. It's a perpetual income stream. The second point is that we haven't specifically earmarked any space that will only be used for data centers because all our land is multi use. We don't have to use it for data center. We don't have to use it for residential. We can use it as is best suited to the needs of the development of Palava City. So I think we expect that around 50 acres of land per annum should be used towards data center. But who knows? Over time, that could even further move around.

Moderator: Ladies and gentlemen, as there are no further questions, I would now like to hand the conference over to Mr. Anand Kumar, Head of Investor Relations, for closing comments.

Anand Kumar: Thank you, everyone, for joining the call today. I hope we have been able to answer all your questions. If you have any further questions or would like any information, we'd be happy to be of assistance. Feel free to contact with the IR team or me. On behalf of management, I once again thank you for taking time to join us today and wish you a very Happy Diwali. Thank you.

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Moderator: On behalf of Macrotech Developers Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jan 2025

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January 30, 2025

BSE Limited Scrip Code: 543287
Debt Segment – 974511, 974986, 975115, 975192, 975560, 976262

National Stock Exchange of India Limited
Trading Symbol: LODHA

Dear Sirs,

Sub: Q3FY25 - Earnings Call Transcript

Ref: Intimation under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended ('Listing Regulations')

Pursuant to Regulation 30 of the Listing Regulations, we enclose herewith a copy of the transcript of the Company's Q3FY25 Earnings Conference Call held on January 27, 2025. The transcript is also being uploaded on the Company's website i.e. www.lodhagroup.com under the Investor Relations section.

Kindly take the above information on your record.

Thanking you,

Yours faithfully,
For Macrotech Developers Limited

Sanjyot Rangnekar
Company Secretary & Compliance Officer Membership No F4154
Encl: As above

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"Macrotech Developers Limited
Q3 FY '25 Earnings Conference Call"
January 27, 2025

MANAGEMENT : M R. ABHISHEK LODHA – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – MACROTECH
DEVELOPERS LIMITED
MR. SUSHIL KUMAR MODI –EXECUTIVE DIRECTOR ,
FINANCE – MACROTECH DEVELOPERS LIMITED
MS. RAUNIKA MALHOTRA – WHOLE -TIME DIRECTOR
AND PRESIDENT , BRAND AND MARKETING –
MACROTECH DEVELOPERS LIMITED
M R. SANJAY CHAUHAN - CHIEF FINANCIAL OFFICER –
MACROTECH DEVELOPERS LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY '25 Earnings Conference Call of Macrotech Developers Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phones. Please note that this conference is being recorded. I now hand the conference over to Mr. Anand Kumar, Head of Investor Relations. Thank you, and over to you, sir.

Anand Kumar: Welcome to Macrotech Developers Q3 FY '25 Results Conference Call. We have with us Mr. Abhishek Lodha, MD and CEO; Mr. Sushil Kumar Modi, Whole-Time Director and ED Finance; Ms. Raunika Malhotra, Whole-time Director and President, Brand and Marketing; and Mr. Sanjay Chauhan, CFO.

I would now like to invite Abhishek to make his opening remarks. Over to you, Abhishek.

Abhishek Lodha: Thank you, Anand, and welcome everybody to our earnings call. I hope all of you are well. Let me start with an update on the management side. Sushil Modi, who has been our CFO for just under 5 years, has now been elevated to a Whole-Time Director of the company and will assume a new and larger role. Mr. Sanjay Chauhan, who was Deputy CFO, has now been elevated as a part of a planned transition to the CFO of the company. We wish both of them the very best as they take on these important roles to take the company forward.

In terms of a broad macro backdrop of our economy as well as the industry, the global geopolitics and the impact of the global geopolitics on various factors is well known to everyone. On the domestic side, while this year has seen some moderation in growth, we believe that the good news is that it continues to remain in healthy territory.

Given that the early diagnosis that this may have been caused by tighter monetary and fiscal conditions as well as the strong macro base for India, we remain hopeful that there will be policy measures, which will lead to a quick turnaround and pickup in growth. We continue to keenly observe some of the high-frequency data, which, in our view, should start to see improvement.

Moderator: Ladies and gentlemen, the management is back on the line. Over to you, sir.

Abhishek Lodha: Apologies for that. Continuing on my commentary around the macro situation. We believe that FY '25 GDP growth will be around the 6.5% mark. While this is lower than earlier estimates, this continues to keep India as a beacon of growth in the globe. At the same time, given this slowdown as well as other factors, we believe that monetary easing will be quite likely in fiscal '26.

This will also provide the middle class with much needed respite. We also believe that the union budget, which is coming up at the end of this week, will also attempt to kickstart the consumption engine once again, thereby boosting growth, especially in the mid-income segments.

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We are also enthused by the green shoots visible as far as hiring in IT companies is concerned. And we believe that both the Indian majors as well as the GCCs will continue to create significant jobs, which is reflected in the fact that net office leasing in the top 7 cities in 2024 is expected to be significantly higher than it was in the previous year.

All this makes us confident of good growth being delivered at the economy level, which will in turn translate into job creation and continue to fuel demand for housing, which we believe is in the midst of a long-term 15-year cycle, and the short-term cyclical factors are unlikely in any manner to derail the long-term story.

In terms of our company's performance, we continue to deliver well on our core KPIs of pre-sales, embedd

ed margins, business development as well as our ESG and brand scores. We are -

- in terms of sharing some highlights now, we achieved our best ever quarterly pre-sales of about INR4,507 crores, which was up about 32% Y-o-Y.

On an aggregate basis, at the end of third quarters, we've delivered sales of about INR12,800 crores, showing a 25% Y-o-Y growth, and this puts us in a strong position to deliver on our full year guidance of INR17,500 crores, for which we have to do approximately INR4,700 crores of sales in the last quarter, very much in line with what we did in the third quarter.

The predictability and consistency of our business model is showcased by the fact that this was our fourth consecutive quarter of achieving more than INR4,000 crores of pre-sales. The embedded EBITDA for this quarter came in at about 35%. And for the 9-month period, it is at about 34%.

This level of EBITDA is despite the fact that JDAs have contributed about 35% of the pre-sales

for the first 9 months. In terms of pricing, we have so far seen a YTD price growth of about 4%, very much in line with our full year guidance of between 5% to 7% growth, which is going to keep price growth at 200 to 300 basis points be low wage growth and therefore keep affordability better.

Our pro forma PAT for the quarter, basis the embedded EBITDA margin of 35%, is well over INR1,000 crores, implying a PAT margin of about 23%, basis the pre-sales done for the quarter. This, just to highlight, is not the reported PAT number, but the underlying pro forma PAT number. While the pre-sales growth for the quarter has been about 32%, our pro forma PAT has grown by almost 70% due to both operating as well as financial leverage. This is a true reflection of the business and its profitability in my view and is tracking well to achieve our objective of 20% ROE on a sustainable basis.

As far as new business development is concerned, we added another project in Bangalore, our fifth, and this had a GDV of about INR28 billion. With this, and as we have already informed that we have now concluded our pilot phase in Bangalore and are now in the growth phase, we expect that Bangalore will start contributing to our pre-sales growth in a meaningful manner from next fiscal onwards.

So far, we've added about 8 new projects in this financial year, in the first 9 months, with a GDV of about INR195 billion, which is more than 90% of our full year guidance. We also added about
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33 acres of land for our digital in frastructure business in NCR this quarter. We also entered into agreement with our JV partners to further increase our stake in the digital infrastructure platform, which is in line with our calibrated strategy of growing our annuity income and making sure that our development business and its balance sheet is as low risk as can be.

In spite of the significant investment in the first 9 months in business development, both for sale business as well as for digital infrastructure, our net debt in this quarter came down by almost INR600 crores, about 15% reduction in net debt, and our net debt stands at about INR4,300 crores at the end of Q3, which is about 0.22x net debt to equity, well below our ceiling of 0.5x.

Our average cost of funds continues to trend downwards and ended at an exit rate of about 8.8%, down about 10 bps for the quarter. On the back of the strong operating and financial performance, ICRA revised our credit rating outlook to positive, establishing our rating at AA- with a positive outlook.

In terms of our continued focus on ESG, we retained our prestigious position in the Dow Jones Sustainability Index, ranking amongst the only 3 real estate companies from the emerging markets to be included. The World Benchmarki ng Alliance recognized Lodha's transformative role by ranking the company third globally and first in India amongst the 300 most influential compa

nies shaping urban environments across multiple sectors, such as construction, energy, transport, waste and water management.

Sustainalytics has assessed Lodha to be in the low-risk category as far as ESG risks are concerned. Elaborating further, we had collections of just under INR4,300 crores for this quarter, which was up 65% YoY. We, in the first 9 months, have now crossed INR10,000 crores of collections, which is up 30% YoY. We had a few new launches in the first 9 months, including in various locations in the Western Suburbs, Eastern Suburbs, Palava and Pune.

You will continue to see more new launches in the rest of the year and in the fiscal '26, which is in line with our approach of having granular diversified base of sales, both across segments as well as across locations, which gives us much more visibility and predictability in relation to our businesses, performance and forward guidance.

Our new micro markets continue to contribute positively to growth, and we are now starting to see the Western Suburbs of Mumbai contributing in the same standard that earlier the Eastern Suburbs of Mumbai and Pune had contributed starting from small bases.

In highlighting the performance of the Western Suburbs, I'd like to note that we've already achieved about INR2,200 crores of pre-sales in the first 9 months from the Western Suburbs compared to full year pre-sales of about INR1,050 crores in fiscal '24. The attraction of the brand Lodha is visible from the performance of some of our newly launched projects in the Western Suburbs, example in Juhu, where we've recently launched and sold more than INR1,000 crores as well as in Borivali, where we recently la unched and sold just under INR500 crores.

With this, I would like to interpret from the perspective of our micro market-led supermarket strategy, where we want to be present every 3 to 5 kilometers within the cities that we are
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operating and make sure that the consumer always has the choice of buying into a Lodha product

and upgrading their lifestyle.

Moving forward and doing a little bit of a deep dive into our townships, which are Palava and Upper Thane, where we have significant land holdings and we are poised for significant value unlock in the years to come. As you do well know, Palava is moving from being a peripheral suburb to become a very well-connected core suburb.

And before the end of this decade, we will see Palava being connected in a manner that few could imagine a few years ago. With the completion of the Navi Mumbai Airport, the Airoli-Katai Freeway, which should be opening in the next 3 months. The tunnel part of it is now complete after a long delay, the operationalization of the bullet train, which will make Palava the immediate next station after BKC.

And in addition to that, we are seeing various other road projects plus the Metro 12 and Metro 14 works now progressing, which will all have stations within Palava. Similarly, we have seen the completion of the Thane-Dombivli link road for Upper Thane, and we are now hoping that in the next few months, we will have the completion of the Mumbai -Nagpur Highway that stretch from Nashik to Mumbai, which has been pending and which will provide significant improvement in connectivity for Upper Thane.

All of this infrastructure growth, of course, is leading to significant value creation for your company. I am pleased to note that in this quarter, we have concluded a transaction with a global hyperscale data center operator for about INR21 crores per acre. This is significantly higher than the first data center transaction that we did earlier in this fiscal year, which was at approximately INR12 crores to INR13 crores an acre.

You can just take a slightly longer-term view that land prices in Palava have moved up 8x in the last 4 years from about INR2.5 crores an acre to now INR21 crores an acre

. And if you were to

just apply this multiple to our overall undeveloped land holdings of over 4,000 acres, you can see the extent of value, which is lying before us and obviously, with the artificial intelligence and data revolutions just being in their initial phases, there is a long, long leg of value creation further ahead of us.

In addition to this, as the infrastructure has been improving, we have been widening the mix of product in Palava in addition to the entry-level mid-income residential, we now have upper-end residential with a new launch of an aspirational project late in this quarter. We've also launched a luxury project as well as a premium project all of these at price points, which are significantly above the earlier price points in Palava of between INR40 lakhs to INR1 crores, and we now actually have a range which is spanning from INR50 lakhs to INR8 crores, which can, over time, lead to significant upward sales trajectory in Palava as all these segments start contributing to sales rather than being focused only on the lower mid-income segment.

Obviously, with the land already paid for as we generate higher prices from our product, the EBITDA margins from Palava are expected to continue to grow. Overall, today, the price gap between Palava and the main suburbs of Mumbai is anywhere from 2 to 4 times and this will

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narrow in the years to come. And we expect that by the end of this decade, our townships will be contributing more than INR8,000 crores of annual pre-sales with EBITDA margins approaching 50% or even perhaps better.

Now an update on our digital infrastructure vertical, where we bought out the stake from Ivanhoe Cambridge earlier in the fiscal year and have also agreed terms to buy out the stake of Bain Capital. We have, in this quarter, further leased about 300,000 square feet, taking the overall leased area to about 2 million square feet. The list of impressive clients in our parks include Skechers, DP World, DHL, Mitsui and Schlumberger and many other such marquee names, showcasing not just the fact that we are growing our digital infrastructure business, but we're also establishing meaningful relationships with large corporates.

This, in turn, is also helping us create jobs in the areas that these parks are being set up, which is in line with our focus on do good, do well. And we hope that this will lead to a positive cycle of people working in a more committed manner in these parks and, in turn, attracting better companies to set up over here and which in turn leads to higher wages for the people working there.

In terms of our P&L, I would like to highlight that from April 2023 onwards, we have moved to the percentage completion method of revenue recognition. However, sales done prior to April 2023 continue to follow the project completion methodology of revenue recognition. This dual mode of revenue recognition will probably continue for the next 18 to 24 months. And then by the end of the fiscal year '27, we expect to be fully migrated to the percentage completion method of revenue recognition, which then will allow the P&L to reflect the operating performance of the company, perhaps with a lag of no more than 1 quarter.

In terms of the performance for this year, our revenue from operations came in at about INR4,084 crores, which is 39% year-on-year growth. Our adjusted EBITDA for the quarter was

INR1,587 crores with 48% year-on-year growth. Our adjusted EBITDA margins in this case were just under 39%. And this is an important point to note, as indicated earlier, that our EBITDA margins are gradually increasing, both on a pro forma as well as on a reported basis. Our quarterly PAT was about INR946 crores, growing about 66% as financial leverage plays out. It would not be out of the way to point out that, obviously, since some of the projects are still on the

project completion methodology of revenue recognition, the P&L is a less accurate reflection of our performance, and we continue to ask all of you to look at our presales and the embedded EBITDA of those presales as you track our performance.

Before I hand over to our Head of Brand and Marketing, Raunika Malhotra, I would like to share an important announcement from the Lodha Philanthropic Foundation, LPF, which is a significant shareholder of our company. As I had mentioned on the last call, the foundation uses all its income solely towards social and national upliftment causes and is focused on helping India become a developed nation by 2047.

We are pleased now that, in line with the original plan, there is a very, very high-quality Board of Advisers, who is now guiding the Lodha Philanthropy Foundation, comprising of some of Macrotech Developers Limited
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India's most esteemed professionals and intellectual, and this has set the foundation up to significantly scale its activities over the next 18 months.

The foundation has chosen 3 key focus areas: 1. Education and innovation excellence for India's most capable minds; 2. Environment; and 3. Indian culture. We hope that the foundation with its significant efforts will make a positive and meaningful contribution to a holistic and sustainable development of our country not just focus on GDP per capita, but also ensuring that our environment thrives just as the economy thrives and our people feel happy as may be measured through metrics like the World Happiness Index.

I lastly would like to update in terms of the recent news reports around our trademark infringement and passing off dispute that has been filed by our company against The House of Abhinandan Lodha. First and foremost, this is a very painful matter for me personally because Abhinandan Lodha is my younger brother. I have always wished him very well. And I hope that even going forward, he continues to be successful in all fields that he operates in, including real estate.

Our focus as a company right now is to ensure that our consumers are not confused in any manner with respect to the fact that they are dealing with which company. And Lodha, the company, which has over 40 years, built a strong brand on the back of track record of delivery and performance and integrity, should not be confused with any other brand, whether belonging to Abhinandan Lodha or any other third party.

This is the basic fundamental of the dispute. It is a matter which is before the Bombay High Court and it can take a few months or even longer to get resolved. In any event, it has no ongoing impact on our operational performance because we, as a company, continue to focus on delivering value for our consumers and having the highest standards of governance, which will ensure that value creation is fully delivered.

At the same time, this trademark dispute was important to protect the rights of our shareholders, which include some of the world's most well-reputed investors as well as one of India's largest charities. And in that effect, we believe that the company should protect this brand, and we will do all that it takes to protect our trademark and our brand in this instance or in any other instance.

Thank you. I now hand over to our Head of Brand and Marketing, Raunika Malhotra.

Raunika Malhotra: Good afternoon, everyone. At Lodha, our purpose is clear and profound, to do good and do well. This purpose drives every aspect of our business from creating exceptional developments that make our customers' lives beautiful, to making a positive impact on the communities and society we serve. Our brand represents more than just premium and luxury real estate. It is a powerful force that aligns directly with our purpose and our values. We believe a strong brand is a critical business driver for growth. It creates trust, fuel, desirability and stands for

what it believes in.

So how do we create a strong brand? We do this by not only harnessing the power of our product, which is great design, superior quality and exceptional service, but also creating environments that are aspirational, thoughtful and reflective of a life well lived. As you're all aware, India is witnessing a generational shift in consumer aspirations. The modern Indian homebuyer sees their
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home not just as a necessity for stability and security, but as a reflection of their ambitions, identity, success and future, which creates growing desire for better living standards and luxurious experiences in their homes.

We are focused on building a brand that resonates to this consumer across different segments.

A person that celebrates progress wants growth, works to fulfill their aspirations and seeks upliftment for a luxurious and meaningful life. So some of our examples from our projects to help you understand our key differentiators are: Our developments are designed with intention and care from landscape built around 150-year-old banyan trees to towers being precisely oriented for maximum light and breeze.

We do our own predictive analysis beyond the 100-year flood line to ensure that the impact of climatic changes is taken in our planning and our projects last for generations to come with lower risks. Our city Palava is master planned to ensure that everything you need daily is 5-minute

walk, weekly is a 10-minute walk, and fortnightly is a 15-minute walk away. We make sure we use the best construction methodologies, material and processes to ensure our homes are durable as they are beautiful.

Whether it is opting for highest and most premium grade corrosion-resistant stainless steel or ensuring that the towers of World Tower have been constructed with a slight tilt to help them withstand the wind pressure. We do this time and again across our developments. We go beyond offering homes and amenities. Our in-house luxury hospitality team ensures every resident experiences care and warmth. Whether it is surprising pet parents with curated gifts for their pets or surprising residents on their special occasions, we try and enrich their lives through attention to the smallest detail.

Our measure of success is simple, happy residents. But we all need metrics. So we track top of mind scores for top funnel awareness, consideration scores and NPS for consumer lifetime value.

In the recent Kantar Brand 2024 study, our brand is India's top 100 most valuable brands, where they have valued our brand at USD1.8 billion. Our focus remains on amplifying and strengthening the brand by driving increased brand desirability to enhance our brand pool and

standardizing and elevating our Lodha experiences. We are confident that with these measures, we will continue to lead the industry we define luxury living and create extraordinary value for our customers and stakeholders. Thank you.

Abhishek Lodha: We can now open the Q&A session.

Moderator: Thank you. The first question is from the line of Pritesh Sheth from Axis Capital. Please go ahead.

Pritesh Sheth: Congrats on great results. First is on the demand itself since Abhishek, you highlighted about some slowness in terms of macro. I mean, how are you seeing the trends in the residential market, while obviously, I think this quarter number was good. But if you break it down on a monthly trend, anything to note there? And particularly now July -- sorry, now with January also almost at the end, are you seeing some signs of any slowdown in terms of inquiries, conversions, etcetera, if you can highlight?

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Abhishek Lodha: Pritesh, thank you. It's a very important question. The way we, of course, read all the data around demand slowdown in the broader urban economy. I'm not talking about real estate which

has a lot of

interest. We note the commentary from some of the consumer goods companies in this regard.

We also have noted the GDP data, etcetera, which is clearly this year lesser than it was last year.

Having said all of that, we have not seen any slowdown in residential demand. Not just in the last quarter, but also in the first 4 weeks of January, demand has been quite robust. We believe that this is attributable to 2 facts: One, the fact that the consumer base for real estate, obviously, is not the entire urban middle class, but a subset of it. And that subset, which are probably people who may have annual household income of maybe INR10 lakhs and higher, they still, I believe, continue to do well, and that is really what is keeping the real estate demand robust.

The second part of the equation, which is important to know that consumers have become increasingly more focused on buying high-quality homes, which comes from a select group of well-reputed and branded developers. And whatever growth rate that you might want to positively ascribe to the small group of 5, 7 maximum 10 developers, there is no way that the large-scale developers get anywhere close to meeting the demand that is there for their product.

And therefore, even if there is a market slowdown in real estate, which happens going forward, I do believe that the branded players will remain in fairly good position, not that they don't get affected, but they remain in very good position. It's also important to note in the first 9 months of this fiscal year, Maharashtra has had 2 election cycles.

We've also had a situation where the environmental clearance processes have been changed due to an order of the NGT. And in spite of this, which obviously has had an impact on launches,

our sales performance is what it is, as you've seen, 25% up year-on-year, which partly shows that the business model matters.

The fact that we are not a launch-driven company, the fact that we have a large and diversified base of projects, which delivers and contribute to our sales, allows us even when we have these kinds of situations, which can happen from time to time to have more predictability in our business. Thank you.

Pritesh Sheth: Interesting. Second question is on the land transactions that we have been doing since last couple of quarters, both going to data centers operators. In general, through your conversation, have you come across what kind of capacity that they are looking to build in whatever like 40, 45 acres or 20, 25 acres, they are undertaking from us? And from the scope perspective, how big this data center AI opportunity can be for us so as to get a good value of our land parcel that we own in Palava, Upper Thane?

Abhishek Lodha: Pritesh, the way the data center operators look at their capacities that they measure it in terms of their power consumption, which is approximately about 5 megawatts per acre. So, their power consumption is coming in at about 5 megawatts per acre. And so, on a 40, 45-acre piece, they will need about 200 megawatts of power. In terms of the sizing of the opportunity, I think we have a situation right now, where we are -- if we wanted to do all the transactions, which people
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want us to do or are seeking to do with us right now, we would be booked out for the next 3 years.

So just like you have a situation where AI chips are in short supply, you also have a significant situation where the land for data centers is not very easily available. In terms of the scale of this opportunity, given the infrastructure and the land and various other things, we do think that this is a sustainable opportunity to monetize maybe 60 to 80 acres a year for several years into the future.

Pritesh Sheth: Got it. Very helpful again. And just lastly, just trying to get a sense on the mix of business development that we have done this year. So all

most INR19,000, INR20,000 crores of GDV that

we have added, what would be our share of revenue in that? I mean, just to get a sense of mix, I know, I mean, from a margin perspective, how we should look at, but just getting a sense in terms of mix.

Abhishek Lodha: Pritesh, as you well know, 100% of the revenue comes to us. Whatever has been paid out to the landowner is paid out as a cost of project or cost of land. And therefore, that's really -- there is no sort of cannibalization or multiple to be applied to this INR19,500 crores of number in terms of what will be the revenue flowing through our books in the years to come from these lands.

In terms of the margins, as you know, with our current mix, which is at about 35% JDA, the EBITDA margin is for the first 9 months at about 34%. And as you know, our long-term mix target is about 40% from JDA. So that will also tell you that we are very much around the number that we expect to be from JDA over the medium term and our EBITDA margins are at the number that they are in the mid-30s now.

Moderator: The next question is from the line of Kunal from Bank of America.

Kunal: Abhishek, my question is also around the Palava land transaction. So second time this year, you've closed a deal. Are we now at a stage where we can start thinking of this as an ongoing contributor to your bookings profile versus being opportunistic? And then just in addition to that, I know with Pritesh, you were mentioning 60 to 80 acres a year. Is that all around data centers? Or are there different kind of deals, opportunities in the pipe as well?

Abhishek Lodha: Kunal, thanks for your questions. Yes, we do think that the land monetization in Palava has now moved to being a regular contributor of sales. There may -- because of the chunky size of the transaction, it may not be a quarterly phenomenon, but it is definitely now can be seen as an annual phenomenon.

And therefore, I sort of alluded to Pritesh's question that we can estimate it to be in this range of 60 to 80 acres per annum. In terms of the 60 to 80 acres per annum, which is largely data center but I will not say that it is 100% data center, but it is, I would say, you could take that at least 3/4 of that number is towards data centers.

Moderator: The next question is from the line of Murtuza Arsiwalla from Kotak Securities.

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Murtuza Arsiwalla: Abhishek, sorry, but one more question on Palava. I know the previous 2 participants have also asked on Palava. But Palava is a large 4,000 acre sort of land development. And we've done well so far in terms of how things are shaping up. But do you have a larger -- can you outline a larger

sort of vision in terms of a master layout plan, a timing in terms of how soon this 4,000 acres or it's still stage-wise as you sort of progress you can see what to do with the residual land? Or is there -- are you at a stage where you can see how much of this is fully developed and a time line that you could potentially put to it? Or it's still going to happen in phase-wise manner?

Abhishek Lodha: Murtuza, planning and design are outcomes of business strategy. We're generally taking into account how the market evolves, how consumer need is evolving and so on. We'll typically plan out anywhere between 5 to 8 years, and that's what we do at all points in time. Having said that, we have very clear assessment of what the medium-term potential of Palava is and we put two markers in the ground, INR8,000 crores of sales from the Palava and Upper Thane township by the end of this decade. And total sales over by -- in the next 30 years, which would approach at current price upward of USD150 billion.

Both of these are things, which have been done taking into account the land that we have, the extent of the demand that is available and a steady growth rate of approximately 20% per annum in terms of our sales and a higher

growth rate, of course, in terms of the profitability because as land prices increase -- sorry, as product prices increase, the margin will only grow up. We, of course, we're very happy to take you through both the master planning, which is at a zoning level for the long term, and a detailed master planning is available for the sort of short and medium term, if that was to be of interest.

Murtuza Arsiwalla: And just in terms of more near term, the infrastructure development of Palava, which is again important for the sort of evolution of Palava, any color you can give -- the Airoli-Katai Naka I think is the first of the infrastructure projects. So in the near term, which are the key sort of infrastructure developments and what stage they are at so that we get better sort of visibility?

Abhishek Lodha: Yes. Murtuza, I had alluded to in my remarks, but I'll repeat now that the Airoli tunnel should be open in the next 3 to 4 months -- the connector should be open in the next 3 to 4 months because the tunnel, which was the bottleneck, has now been completed. That is physically completed, we have verified that. So next 3 to 4 months for that, which will itself be a big step up for Palava. Then we have the Navi Mumbai International Airport, which is about 30-ish minutes drive from Palava, becoming operation for commercial flights, I think, in the next 12-ish months. Thereafter, we will have Metro Line number 12 and Metro Line number 14 becoming operational in 2028 or thereabouts and then the bullet train in 2029.

There are various other road projects, which include the widening of the road, which goes from our Palava Phase 2 up to Taloja MIDC, which has been converted from 2 lane to 6 lane. Work is already underway. There is a new connector road connecting this MIDC road all the way back to Navi Mumbai, which is also -- work has commenced.

This all should be completed over the next 2 to 3 years. We have the Mumbai Multimodal Corridor connecting Virar to Alibaug, which also goes through Palava. It is one of the projects, Macrotech Developers Limited
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which the Honorable Chief Minister has put in terms of his 100-day action plan. So we should soon hear about what time line that is going to happen.

I mean I can only tell you is that the quantum of our infrastructure development, which is happening around Palava and Upper Thane is unimaginable. And I can tell you with a fair degree of confidence, you can -- I can always be wrong by 6 to 12 months. But just broadly, the locations are just transforming in a manner, which almost nobody can imagine and are moving from being peripheral suburbs to becoming core suburbs.

Moderator: The next question is from the line of Parvez Qazi from Nuvama Group.

Parvez Qazi: Congratulations for the great set of numbers. So my question is regarding the shift in our strategy towards slightly higher in the segment. I think in the previous quarter call you had alluded that may be going ahead, we will progressively move towards having 50% of our sales coming from the slightly higher end segment.

Now I mean, in economy or in real estate, we do talk about the K-shaped curve, which is happening in India. Now real estate, considering it's a long gestation business, how confident we are that this kind of strategy will work over the next 4 to 5 years, particularly when we are taking into account the business development that we are doing?

Abhishek Lodha: Parvez, thank you for your question. Perhaps 2 different parts, or maybe I would like to sort of respond to your question in 2 parts. One that in terms of what we're doing in our townships, yes, historically, we've primarily been focused on the entry-level mid-income housing, which are homes between INR40 lakhs to perhaps just over a INR1 crores and that is now becoming much, much wider. That segment between INR40 lakhs to a INR1.5 crores will continue to be served, but we will

have a lot more between INR1.5 crores up to INR8 crores in Palava and Upper Thane.

This does not in any manner, reduce what we are doing in the entry-level mid-income, but it only means that with the infrastructure upgrades and the quality of life upgrades that we are putting into Palava and Upper Thane, we are getting demand now from people who are at much higher price points and perhaps 3 to 5 years ago would not have considered spending a good part of their life in Palava. So that's really additive rather than being supplanting the lower mid-income demand. As a company at a broader level, we continue to be focused on having a broad mix of sales across segments. We don't like segmental concentration. We don't like geographic concentration. And around 60% of our sales will continue to come from mid-income housing. So that doesn't really -- there is no change in that strategy.

Moderator: The next question is from the line of Abhinav Sinha from Jefferies India.

Abhinav Sinha: Just wanted to check on Palava. It seems that if we take out the data center transaction, we still have seen a good jump in sales on a Q-o-Q basis. Now how much of this is driven by the premium launches?

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Abhishek Lodha: Abhinav, the mix of sales of -- we had about INR500 crores of sales in the townships other than the land transaction. And out of that, about INR100 crores of sales was from our premium and luxury portfolio, and the balance of INR400 came from, I would say, lower mid-income and upper mid-income, what we call our CASA and ASPI segments, respectively.

Abhinav Sinha: And what is the pricing at the upper end here versus the standard product?

Abhishek Lodha: So for the very top of the segment, we are approaching just under INR20,000 a square foot on carpet area, which is just under double of that for the entry-level CASA product.

Abhinav Sinha: Okay. Secondly, on the cash flow front, so we had a good quarter in 3Q, and I'm assuming roughly similar, we should see in 4Q. But broadly, on the gearing side, where do you see the net gearing?

Moderator: Mr. Abhinav Sinha, please unmute your line in case if you muted it because you're not audible.

Abhishek Lodha: No, we can hear.

Abhinav Sinha: Sorry. I will just complete my question then. So in context of the good cash flow that we are seeing, where do you see the gearing level settling by, say, March '25 and even if you can provide some heads-up for March '26?

Abhishek Lodha: We'll, of course, provide a detailed guidance for the coming fiscal year at the time of our annual results in April. But for now, I think you can very safely assume that our debt on a broader level is at a stable to downward trajectory. There will be quarterly shifts based on opportunities and so on. But really, the company generating more than sufficient cash flow to finance its growth.

Abhinav Sinha: Okay. And sir, finally, referring to the launch slide, which is Slide #9. Can you provide some clarity to the launches that we are expecting in maybe the Southern and Central micro market and the Eastern one?

Abhishek Lodha: So the launches that are planned for the rest of this fiscal year. We have a launch in Alibaug. We have a launch, which is part of the South Central bucket. We have launch in Vikhroli, which is part of the Eastern Suburbs. We have a launch in -- which is a new phase of an existing project, then we have large aspirational launch in Palava, which is under the extended Eastern Suburbs Head. So those are sort of the 4 launches. We all have a new launch in Pune. We also hope to have a new launch in Bangalore.

Moderator: The next question is from the line of Kalpit from EFG Asset Management.

Kalpit: Congratulations on a great quarter. So I have 2 questions. The first one is on the pricing growth, which is about 3%, 4% for this year, right? And generally, we have guided towards like 5% to 10% ki

nd of pricing growth. So -- and it looks like the prices that are lower than what it's been in the Mumbai market, generally high single digit to double-digit growth. So what are the reasons

for that? That's my first question. And secondly, could you share some color on what is the end user versus investor, speculator mix?

Anand Kumar: Sorry, your voice is not clear.

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Abhishek Lodha: Kalpit, could you repeat the second question please.

Kalpit: Yes. Is it better? So my second question is basically on -- could you share some color on the mix of end users versus investors that speculate the kind of demand, particularly within Mumbai?

And what this mix was, say, now versus a year back? Has that changed?

Abhishek Lodha: Yes. Kalpit, in terms of our price growth, this is calculated on a YTD basis from the start of the fiscal year. So the number that you see at the end of 3 quarters obviously has one more quarter of growth into it when you look at it against our full year guidance of between 5% to 7%. And

therefore, it is in line with our guidance of 5% to 7%.

If you trail back to our quarterly presentations at the end of the first quarter and the second quarter, you'd see that at the end of the first quarter, it was under 2%, at the end of the second quarter, it was more around 3%, and now it's at 4%. So it's an additive number through the course of the year. So we are on track for the 5% to 6% number, which we had estimated at the start of the year. And we haven't really seen any change or softness in the pricing trajectory.

In terms of your question about investor versus end-user demand in MMR, at least for us, the demand in MMR is almost entirely end user. As you know, Lodha does not allow any flipping or resale of units, which is very different from many other developers in other parts of the country. None of our units can be sold before completion and that itself incentivizes people to buy for their own use, not to flip. And we have occupancy generally being upwards of 80% by the end of 1.5 years after we hand over possession, which also is another indicator of the fact that most people are buying only for their end use.

And the third metric we target is the percentage of resale. So once we exclude the first 18 months after the handover of the project, at which time, you do have some resales, the resale rate comes down to between 2% to 3%, which again shows that people are buying for the long term and you only have the normal trading, which happened as people change homes once every 15 to 20 years.

Kalpiti: And just one follow-up. So what -- the pricing growth is lower than the pricing growth for the market, right? And are you -- like why is that? And does that kind of concern you?

Abhishek Lodha: No, we are concerned with pricing growth. If we can deliver margin growth with lower pricing growth, fantastic for us and great for the consumer. I think pricing growth for the market as a whole, that's a metric which we find difficult to have very good data on, but we feel quite good that the pricing in Mumbai is largely set by us being by far the largest developer. And we are well within a short range of whatever the market eventually ends up doing. But it's more us leading and the market following than the other way around.

Moderator: The next question is from the line of Akash. Please go ahead.

Akash: Sir, congrats on the great results. My question was on the embedded EBITDA margin. So I think we reported very strong margins at 35%. My first question was that how much upside do we have on these embedded EBITDA margins, considering that land prices have been fairly high?

And with the revenue intensity, how much further upside do we have on these margins?

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Abhishek Lodha: Akash, it's a question which only time will answer. We do think that over course of the next few

years, we can move our margins from the early 30s to where now it's moving more towards the mid-30s. But by the end of the decade, we should be close to the high 30s is what we expect to be, and that's not really based on the fact that we have some very significant pricing growth. We take very conservative price growth assumptions. This has got to do with operating and financial leverage kicking in and the brand strengthening, which gives us more pricing power.

Akash: And sir, how are we looking at land prices right now? How are you looking at it?

Abhishek Lodha: The land prices are always a function of the sales price growth and the construction cost growth because ultimately, it is a net value, which is left over, taking into account the sales price and the construction cost. So in markets like Mumbai, Pune, where sales price growth has been moderate, land price growth has also been moderate, and we are able to make sure that our underwriting, which is fairly conservative is delivering on our internal targets, which we've shared in our other investor presentations of the ROE levels as well as the PBT levels that we see from both outright as well as JDA developments.

And we will happily walk away from a transaction if it is not in line with those metrics because overall, ultimately, whatever mix of projects we do, we are aiming to make sure that we deliver that 20% ROE. However, in some other markets in the country where pricing growth has been quite significant, for example, NCR, obviously, land prices have increased significantly because construction costs have not grown at the pace at which the sales price has grown. So obviously, it means that the net land value goes up and that's why land prices have gone up.

Akash: Understood. And sir, one final question from my side is that have you made any changes to our payment plans for the customers in order to incentivize sales?

Abhishek Lodha: No. When we launch, we typically have some payment plan, which is more time based and thereafter we generally move to a construction-based payment schedule. And I would say that, that's the case across more than 90% of our projects that we are on that mix at launch time based and then construction based.

Moderator: Last question is from the line of Puneet Gulati from HSBC.

Puneet Gulati: Congrats on great numbers. My first question is we've seen a nice healthy pickup in the collections without the increase in construction cost. Can you give some sense on whether the collection would continue? Or

is there some large amount which got recorded in this quarter?

Abhishek Lodha: Yes. I think we typically believe that collections lag sales by about 12 to 18 months because as construction sort of matches up. We do believe that we are going to ramp up construction spend in the course of this quarter and the next few quarters because that in turn fuels further collections. So that will happen.

Having said that, this run rate of about INR4,000 crores of quarterly collections is what on a sales number of about INR17,000 crores is probably something likely to be on average true over the next 5 quarters, you will see some ups and downs because it's not a specific quarterly thing.

But yes, on average, over the next 5 quarters, you will see numbers in this range.

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Puneet Gulati: Right. And in terms of newer markets, so you've got Pune and Bangalore both out of the experiment stage. And are you evaluating any other market beyond these?

Abhishek Lodha: Yes, we are. We, of course, have a lot of growth opportunity in Pune and Bangalore in addition to our continued scaling up in Mumbai. So there's already a lot that we can do there and are focused on doing that because the whole point of the pilot is to move to scale up the hard work of a pilot should lead to a rapid scale up, which is what we have seen in Pune, our sales hav

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gone from INR300 crores at end of fiscal '21 to almost touching now INR2,500 crores by the end of this fiscal is what we expect.

And we expect that Bangalore will also do similar kind of growth, 5-7x over the next 3 to 4 years from the base that we will end up at the end of fiscal '25. Having said that, yes, we have informed earlier that we are exploring some new markets. And we do hope that we will conclude the market in which we want to start our next pilot in the next 3 to 4 months.

Puneet Gulati: Can you talk about which are these markets?

Abhishek Lodha: At this stage, that's confidential, but obviously, you are very well informed. There are only so many big markets in India that we are not part of. So you all will, of course, have a good guess.

Puneet Gulati: Okay. Great. And lastly, if you can give a number for gross cash and how much of this cash is locked in their RERA account?

Abhishek Lodha: Our cash is around INR3,300-odd crores. So, the gross debt becomes more like INR7,500 crores.

Puneet Gulati: And how much of it is RERA cash?

Abhishek Lodha: RERA cash would not be anything significant, really.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Anand Kumar for the closing comments.

Anand Kumar Thank you, everyone, for joining the call. I hope we have been able to answer all your questions.

If you have any further questions or would like any information, we'll be happy to be of assistance. Please feel free to contact the IR team on behalf of management. And once again, thank you all for joining the call today. Thank you.

Moderator: Thank you, ladies and gentlemen. On behalf of Macrotech Developers Limited, that concludes this conference. You may now disconnect your lines.

Call: Apr 2025

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April 30, 2025

BSE Limited
Scrip Code: 543287
Debt Segment – 975115, 975192, 975560, 976262

National Stock Exchange of India Limited
Trading Symbol: LODHA

Dear Sirs,

Sub: Q4FY25 - Earnings Call Transcript

Ref: Intimation under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended ('Listing Regulations')

Pursuant to Regulation 30 of the Listing Regulations, we enclose herewith a copy of the transcript of the Company's Q4FY25 Earnings Conference Call held on April 25, 2025. The transcript is also being uploaded on the Company's website i.e. www.lodhagroup.com under the Investor Relations section.

Kindly take the above information on your record.

Thanking you,

Yours faithfully,

For Macrotech Developers Limited

Sanjyot Rangnekar
Company Secretary & Compliance Officer
Membership No F4154

Encl: As above

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"Macrotech Developers Limited
Q4 FY '25 Earnings Conference Call "
April 25, 2025

MANAGEMENT : MR. ABHISHEK LODHA – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – MACROTECH
DEVELOPERS LIMITED
MR. SUSHIL KUMAR MODI – WHOLE -TIME DIRECTOR
– MACROTECH DEVELOPERS LIMITED
MR. SANJAY CHAUHAN – CHIEF FINANCIAL OFFICER
– MACROTECH DEVELOPERS LIMITED
MR. PRASHANT BINDAL – CHIEF SALES OFFICER–
MACROTECH DEVELOPERS LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Q4 FY '25 Earnings Conference Call of Macrotech Developers Limited. As a reminder, all participant lines will remain in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phones. Please note that this conference is being recorded. I now hand the conference over to Mr. Chintan Parikh from Investor Relations. Thank you, and over to you, Chintan.

Chintan Parikh: Good afternoon, everyone. Welcome to Macrotech Developers' Q4 FY '25 Results Conference Call. Today, we have with us Mr. Abhishek Lodha, MD and CEO; Mr. Sushil Kumar Modi, Executive Director of Finance; Mr. Sanjay Chauhan, Chief Financial Officer; Mr. Prashant Bindal, Chief Sales Officer.

I would now like to invite Abhishek to make his opening remarks. Over to you, Abhishek.

Abhishek Lodha: Thank you, Chintan. Good afternoon, everyone. At the outset, on behalf of the Lodha Group, we express our deepest and heartfelt condolences to the families of the victims of the terrible tragedy, which has occurred earlier in the Belgaum and Kashmir. Our hearts go out to the family. And as a company and as a nation, we wholeheartedly stand behind these families and the leadership of our nation, as we speak with the tragedy and the causes and people are led to this tragedy.

The world today continues to remain difficult, and uncertain plays with geopolitics continue to have various ups and downs. The impact of the policy changes of the last few months have been perceived and felt in terms of uncertainty growing, and this resulted in impacts on the equity markets. Having said that, in India, we have a situation where India will likely be a net beneficiary of the changes in the global economic conditions.

And we are also in the medium and short term, now in a situation where inflation is completely and visibly under control and the monetary policy is becoming more supportive. The Reserve Bank has already cut interest rates by 50 basis points, and we expect further cuts in the course of the year. The Indian economy likely grew by about 6.5% in FY '25. It is, of course, lower than where it was in FY '24, but continues to be one of the fastest -growing economies in the world.

And with this ongoing support on the monetary side, not just in terms of interest rates, but also certain regulatory changes and more available liquidity, we expect that overtime we'll continue to remain decent in...

Moderator: Abhishek sir, I'm sorry to interrupt you, but your audio is not coming in clear. Ladies and gentlemen, we have lost the line of Abhishek sir. Please stay connected while I re-join them.

Ladies and gentlemen, we have Abhishek sir reconnected. Abhishek sir, please proceed.

Abhishek Lodha: Yes, my apologies for that. So I was stating that in terms of the growth outlook in India, it continues to remain positive and will be further supported by the RBI's policies, including with the cut in interest rates, more plentiful liquidity and various other regulatory changes. In the Macrotech Developers Limited

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context, we also have to look at the union budget of '25 -'26, which was supportive of urban consumption and was supportive of middle -class households in the country by having a significant tax cut for those who earn up to INR25 lakhs.

As a consequence of the interest rate cuts, we expect there to be a significant uplift in the purchasing power for the mid -income housing segment. And this segment, whose growth has been slower over the last 3 years compared to the other parts of the housing market, we expect will be a source of growth over the next 12 to

24 months and consequently offset any weakness which might happen in other parts of the housing market.

Thus, we remain reasonably comfortable with the overall macro -outlook. And subject to any geopolitical surprises, we expect to be able to continue on the profitable growth trajectory, which we have been on for the past few years. In terms of the highlights of this past quarter, we achieved our highest -ever quarterly presales, which came in at about INR48.1 billion. And for the full year, that came in at about INR176 billion, which is a 21% growth, just ahead of our guidance of 20% growth.

The consistency and predictability of our business model is showcased by the fact that this was the fifth consecutive quarter of achieving INR40 billion or more of presales, which we believe underlines the fact that our business, by being diversified, presents a predictability which very few other companies in our sector can present.

Our focus on making sure that our growth comes with strong profitability is underlined by the fact that our embedded EBITDA margin for the quarter was at about 32% and for the full year at about 33%, which is ahead of our full year guidance of approximately 30%. And this level of EBITDA has come in where the joint developments have contributed about 40% of our presales, which is in line with our long-term strategy. And therefore, the dilutive effect of JDAs, which normally have higher IRRs but lower margins, is already built into this EBITDA situation. In terms of per -square -foot pricing, we had price growth of approximately 4% for fiscal '25 for like-to-like projects, which is somewhat lower than our guidance of 5% to 6%. But when seen in the context of the slowdown in the economy, we chose to make sure that we protect profitability and overall sales rather than just focused purely on a price growth objective. In terms of new business development, we added 2 more projects in the quarter, thus adding about INR4,300 crores of GDV, and our full year addition was 10 projects with about INR237 billion of GDV, ahead of our full year guidance of INR210 billion of GDV. We also made substantial investments in our annuity business in the course of the year, which I will talk through a little later in these remarks.

In spite of these substantial investments, both in business development as well as in annuity income, our net debt further reduced during the quarter on the back of our strong collections and strong operating cash flow. And our net debt at the end of the fiscal year stood at INR39.9 billion, which is 0.2x net debt to equity, well below our ceiling of 0.5x.

I'm also pleased to inform that during the course of the quarter, we received further upgrades in our credit rating, and we are now rated at AA, which is one of the highest credit ratings in the

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industry. And as a consequence, our cost of funds now continues to reduce and was at 8.7% at the end of the last quarter.

In terms of other metrics, our collections continued to grow robustly and were at INR44.4 billion for this quarter and INR144.9 billion for the full year, which is a 29% year -on-year growth.

During the course of the year, we've had new launches of about INR137 billion. We, of course, have a very clear and visible pipeline of launches for the coming fiscal also. It's important to highlight that only 30% of our sales for the fiscal year '25 came from new launches, which once again underlines the depth and predictability of our model, which allows us not to rely on big launches for our sales.

And even when launches move around due to various reasons, the predictability of our sales continues to come through. Also, the lower reliance on sales, in our view, gives us the ability to deliver higher margins because we are not forced to price aggressively at the time of the launch because we are confident about

selling through the life cycle of the project.

In terms of our steady growth, which is led by our micro market strategy of having presence every 2 to 5 kilometres in the various micro markets that we operate in and also having presence in all the micro markets of the cities that we are present in, i.e., Mumbai, Pune and now in an increasing basis, Bangalore, we continue to see the benefit of this super -market strategy across the different micro markets.

As an example, in the western suburbs of Mumbai, we achieved presales of INR25 billion in FY '25 as compared to INR10 billion in FY '24, which is a growth of over 140%. So similarly, in Pune, we have now grown sales to about INR25 billion from last year's performance of INR18 billion, which is again significant growth of about 40%.

In Bangalore, as we have informed earlier, we have concluded our pilot phase successfully. And we are now at a stage where the growth phase is starting to take off. We are expecting to have 5 or more projects operational in Bangalore in the course of the current fiscal year.

And therefore, Bangalore will also start contributing in a significant way to our growth in this year and the years to come. Having now successfully moved into growth phase in Bangalore, we expect in the course of fiscal '26 to start the pilot in one more city, which, of course, will take 2 to 3 years before it moves into growth phase.

Moving forward now and an update on our 2 large township projects of Palava and Upper Thane, where we have significant landholdings with development potential of over 600 million square feet. We have, over the last few years, seen a significant investment in infrastructure in that area. And that infrastructure is now starting to become operational.

The Mulund -Airoli -Palava freeway, which will reduce the travel time from Palava to Airoli down to 20 minutes and from Palava to Mumbai to 25 minutes, i.e., from Palava to the Eastern Express Highway in Mumbai near Mulund to 25 minutes, is expected to be operational in the current fiscal.

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There has been a delay in its operationalization on account of certain technical issues of tunnel collapsing, but that has all been now resolved. And we've shared the latest pictures of the project in our investor deck. And we expect that this piece of connectivity will play a transformational role to Palava's overall perception by the end of the current fiscal year.

We also have the Navi Mumbai International Airport, which is expected to become operational this year. And gradually, it will also start reshaping Palava from being a peripheral suburb to being a core suburb on account of its proximity, both to the main employment hubs in Mumbai as well as to the airport.

Last but not the least, the bullet train project, which will enable Palava to be a one-stop, 10-minute connection from BKC, is also progressing ahead at full speed and is expected to be operational before the end of this decade. There are, of course, various other projects, including the metro train and various other road projects, including the Virar-Alibaug Multimodal corridor, etcetera, which will mean that Palava will, on an ongoing basis, continue to become more and more easier to access.

And as a consequence, we have already started to see the benefit in terms of the land prices, the land prices for the data center. Last year, we achieved a price of INR21 crores per acre from a global hyperscale data center operator, and we expect this to further move up in this year. As you may have noted from earlier calls, we have a very significant ecosystem now coming together for data centers in the Palava context with availability of power for a very large set of data centers as well as the fact that some of the top global players are already setting up their data centers there.

And we expect a significant

unlock of value from this segment in this year as well as in the years

to come. And overall, with 4,000-plus acres of land with us, the value unlock will only continue to unfold through data center, residential and various other levers. On the residential side, we have, over the last 12 months, made a conscious move to move away from the lower mid-income housing and more towards the mid-income housing as well as the premium housing.

And with the launch of various new neighbourhoods, including Lodha Opulis as well as Lodha Hanging Gardens and Lodha Golfview, we are seeing significant price improvement of between 10% to 40% compared to the existing mid-income neighbourhoods. And we are seeing good acceptability of homes priced even upwards of INR2.5 crores at Palava. And we expect that this segment will continue to contribute to Palava's overall upliftment as a location, but also contribute towards higher sales and improved margins in the years to come.

As a consequence, we continue to remain positive on Palava and on the back of my earlier remarks on the benefit of income tax cuts and interest rate cuts on mid-income housing, Palava and Upper Thane are expected to become significant drivers of the company's growth. And we expect these 2 locations to deliver INR8,000 crores of sales by the end of the decade with EBITDA margins approaching 50%.

Lastly, as we speak, we are continuing to grow our annuity business. This is through our significant focus on digital infrastructure, which is warehousing and industrial space, where we

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have now a leased area of over 2.1 million square feet with occupiers such as Skechers, DP World, DHL, Mitsui, Schlumberger and others. And these players are coming to us because they believe we are the best quality operator in this segment, and they are creating good quality jobs for the neighbourhood. So, it's a virtuous cycle of positive economic impact from the development of these warehouses and industrial parks.

We've also acquired 33 acres of land in NCR and 45 acres in Chennai to expand this business. And this is in tune with our overall broader strategy of achieving INR15 billion of annuity income by FY '31. I'm pleased to note that we ended this year at about INR2.5 billion of annuity income, and we expect that number to further grow to close to INR4 billion run rate by the end of fiscal '26.

Let me now come to our financials. As you are aware, we have adopted a progressive method of accounting for all presales done from April '23 onwards, whereas prior period presales for April '23 continue to be recognized on the project completion method. This transition is progressing well. And as we have indicated earlier, by the end of fiscal '27, we expect our P&L to reflect our operating performance very closely, perhaps with a lag of 1 quarter.

In terms of our P&L for the full year, revenue came in at INR13,768 crores, which is a growth of 33%. The adjusted EBITDA for the full year came in at INR4,970 crores, which is over 35%.

And we also had the full year PAT coming in at INR2,774 crores, which is 72% higher than last

year.

The guidance for FY '26, we continue to believe that we have a good supportive environment in front of us when it comes to the real estate market for the top brands. And we are of the view that with that, we can continue to deliver on our model of predictable, sustainable growth of 20% in terms of presales and make sure that we do so while taking very moderate risk and continue to deliver strong underlying profitability.

In line with this vision, we expect to deliver INR21,000 crores of presales for this year of fiscal '26. This, of course, assumes that the geopolitical environment will be stable and there are no huge negative surprises compared to where we are today. We also expect to have underlying EBITDA margins of about 33%

for these presales, thus delivering EBITDA of over INR6,500 crores for the full year.

In terms of operating cash flow, we expect to generate over INR7,500 crores of operating cash flow. And in terms of net debt, we expect to be well below our ceiling of 0.5x debt equity. In terms of business development, we are guiding to INR25,000 crores of new GDV addition. With that, let me now hand over to my colleague, Prashant Bindal, our Chief Sales Officer, to speak about our sales strategy and the on-ground demand scenario. Thank you.

Prashant Bindal: Hello. Good morning. I'm Prashant Bindal here. So, as we have explained earlier, our focus over the years has been to work on our distribution, to increase our channel partner base and to bring the walk-ins to our site and how to convert those walk-ins to actual business. Over the last 3 years, our focus has been to bring right quality of customers and improving the conversion of

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customers coming to our site. In year '24-'25, we had 88,000 customers coming to our site, leading to almost 7,000 bookings.

And for the first time, we reached the much-desired conversion rate of 8%. Just to give you an idea, 3 years back, we had a conversion rate of about 6.5%, which we have been increasing significantly from 6.5% to 7% to 7.5% and this year to almost 8%. So, this is against 7.5% conversion in '23-'24.

Our average value per conversion also reached a very good number of INR2.3 crores, which is again a very healthy sign as compared to INR1.7 crores last year. So, our constant endeavour is to increase in conversion and the increasing value per conversion. So, this is by constant focus on Lodha as a brand and the product we offer and the services and amenities we provide.

For '25-'26, we hope to take the walk-ins from 88,000 to about 93,000, so it's about almost 6% increase in the walk-ins, and the conversion from 8% to 8.5%. So hopefully, like Abhishek talked about getting an increase of 20% in presales next year, we hope to get about 6% increase in walk-ins, about 6% increase from price increase and about 6% to 7% increase in conversion. So, all the 3 combined together, we hope to deliver about 20% growth to take the business to INR21,000 crores.

In distribution also, our consistent focus has been to build long-term relationship with our channel partners and by showing them great opportunity by our superior conversion rate of the customers coming to our site. In year '24-'25, we had a channel network of more than 3,000 channel partners who operated with us, out of which, almost 1,800 channel partners did business with us, which means which were paid brokerage by Lodha.

So, the number of channel partners operating with us who actually did business was 1,800, which I think from an overall distribution perspective is one of the largest channel partner base across any organization.

In Mumbai, we always had the strength as far as distribution is concerned. We have built a very effective distribution channel partner system of over 500 channel partners in our newer cities of Pune and Bangalore. As we get into new launches into these cities of Pune and Bangalore, we hope to take this channel partner past the 750 mark and the 1,000 mark in coming 2 years. So, these are in terms of our walk-ins and in terms of our distribution.

This is our overall aspect and for our business we have tried to keep it as balanced as possible.

Our affordable segments contribute to about 20% of the business. Our aspirational business contributing to 50% of the business to 40%, another 20% coming from premium and 10% from luxury. So, we have kept that balance across the categories. So, we are very well aware in terms of where the opportunities are, and we keep the balance in terms of the category-wise.

Similarly, we

have gotten 8 zones, and our zone-wise business is also the minimum is INR2,000 crores, maximum is INR2,500 crores. So, we try to keep the balance in terms of whether the geography is concerned, whether the category is concerned. And also, in terms of having the contribution coming from a day to move-in and under construction and new launches, we try to

keep that balance so that the business is consistent, predictable and the risk is minimized.
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So, in terms of quarter also, we maintained the percentage to more than 8%. And hopefully, we'll continue to have a contribution. Next year, we are looking at 8.6% conversion, and we hope to maintain this conversion quarter -after-quarter to have a consistent business.

Chintan Parikh: We can open the floor for Q&A.

Moderator: The first question comes from the line of Ajay Nandanwar from Blue Argon Capital.

Ajay Nandanwar: I have a couple of questions. One is your EBITDA margins, how are the margins in Mumbai South and Central versus rest of your business? Can you give a qualitative comparison of the 2?

Sushil Modi: Sorry, we couldn't hear you, can repeat the question, please?

Ajay Nandanwar: Absolutely. So, I just wanted to get a qualitative comparison of your EBITDA margins in South and Central Mumbai versus the rest of the portfolio.

Sushil Modi: So, see, our margins generally that we work across segments, be it the mid -income, premium or luxury and, to that extent, kind of across Mumbai, generally tend to be hovering around 30% handle. Obviously, from project to individual project to project, it can always vary some bit here and there. But generally, we work for 30% handle across.

Ajay Nandanwar: Yes, sir. Got it. One more question, sir. You obviously had very strong presales growth as well this year, and congratulations on that. If you could help understand what's the mix of presales, if you could break it down to launch, under construction, completed projects, what's the mix of the presales? And perhaps if you look at it differently, then that will be fine too, but just if you could give a breakup of that?

Sushil Modi: Sure. So, I think Abhishek in his remarks did cover that. Our business is more and more granular in terms of delivering on a predictable basis. And thereby, we less and less rely on launches. New launches contributed to our sales to the extent of 25% to 30%, the rest was more sustained sales across the portfolio. In terms of ready and under construction, I think the ready RTMI inventory sales contributed around 20%.

Ajay Nandanwar: Got it. Fantastic. Sir, another question on your -- this is the last question, I promise. On your presales growth versus your net cash collection growth, and the presales growth over the last 3 years has been at most 100% from INR90 billion to INR176 billion, but your net cash collection has gone up from INR77 billion to INR130 billion. So, when would you see net cash collection catch up with your presale's growth?

Sanjay Chauhan: So generally, our collection typically lags by a year in terms of presales that we achieve. So, you will typically see this correlation working, where the current year collection was around INR144 billion. And as you know that our last year sales was around INR145 billion. So effectively, with a lag of 1 year, generally it will fall in place.

And that is the strength of our business, that our presales converts into hard cash and which is what enables us to deliver a strong operating cash flow and which is what then enables us to

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keep our capital structure pretty conservative and which is where, as you noted, that our net debt to equity stands at 0.2.

Moderator: We take the next question from the line of Kunal from Bank of America.

Kunal: Abhishek, first up, I wanted to follow up on the

comment you had around pricing. Could you

elaborate on what is it that you saw in the market on account of which it came in at 4%? And also, I think the assumption has it going back to 6%. So, it seems like whatever those forces were seem to have normalized for now.

Abhishek Lodha: I think the reality of last year was that there was slower economic growth in the country than what we expected at the start of the year. And therefore, we decided to be conservative when it comes to our price growth strategy because ultimately, we aren't focused specifically on a price growth outcome. We are specifically focused on a profitability outcome and, obviously, the overall level of presales.

So just taking into account the slowdown in the economy that one saw on the back of the capex slowdown plus the certain banking and regulatory slowdown, we just decided to take a more conservative approach to price growth. We do feel that in the Indian economy, the capex cycle has restarted back up. The government spending has started.

And as I mentioned in my call, we are also getting more supportive policy from the Central Bank. And as a consequence, our medium -term strategy of price growth at about 2% below wage growth, we believe this is quite reasonable, and we should be able to deliver around that number

for the full year.

Kunal: Got that. And then the second question is on the launch value that you have planned for F Y '26, which is a very healthy number. Just that on an absolute basis, this is still lower than the bookings you are expecting for the year. So, is that part of a conscious decision because the absolute inventory you have in the system is still quite large, so that sort of helps you optimize the return matrices?

Or would you say that over a period of time, the launch pipeline has to match up to your bookings plan for the coming year?

Abhishek Lodha: No, I don't think there is any correlation between the launch pipeline and the bookings plan. On the contrary, we look at the total supply in the system, which is what is unsold, which is ready and unsold or under construction and unsold as well as, of course, what you know, launch and is unsold. As Sushil mentioned in response to the previous query, for us, last year, the mix was about 30% from the launches, about 50% from under construction and about 20% from what was ready.

And I think that's really the, I would say, the differentiator of our organization that we can consistently sell week after week across all our projects and, therefore, deliver much more robust margin and also de-risking because if there is any external shock, it gives us more ability to adjust pricing as we saw in the aftermath of the Ukraine crisis when inflation went higher.

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So, we don't really see any need to have launches equivalent to sales. On the contrary, the total supply in the system should be about 3x of the sales that we are targeting, and that's how we look at it, 2.5 to 3x of the sales that we are targeting.

Moderator : The next question comes from the line of Puneet from HSBC.

Puneet: Abhishek, can you also talk a bit about the breakup of your sales from Palava, how much of it is now coming from premium segment and how much is it still mid-income segment? And what are the pricing points at which you categorize those?

Abhishek Lodha: Sure. So, for this year, for the full year, about 20% of our sales came in from the upper mid-income and higher segments. So, the price points for these are units which are trading at over INR1.5 crores; and then, of course, the segment below INR1.5 crores. So that's kind of the cut-off that we are following when it comes to determining what is upper mid-income and above and what's below that, low and mid-income.

Puneet: And is there a deliberate effort to increase that proportion from next year, both for Palava a

nd

Thane?

Abhishek Lodha: For Palava and Upper Thane, yes, we believe it will first be led by Palava because the infrastructure in Palava is quite getting robust quite quickly, and Upper Thane will follow. But as we stated in an earlier discussion on our townships, we expect that by the end of the decade, about 50% of presales will be coming from this upper mid-income and premium segments. It doesn't mean that there is any reduction in the lower mid-income or entry mid-income segment. It just means that this additional category will contribute to sales, which allows these 2 locations to significantly grow in sales to about INR8,000 crores by the end of the decade.

Puneet: And to move in to that segment, would you need to invest significantly on infrastructure or ecosystem development from your side? Or are you largely relying on connectivity benefits to flow through?

Abhishek Lodha: I think we've already done those investments. We have built a township to be one which can, over time, progress to becoming a more premium location compared to a sort of lower mid-income location. We did always have the strategic view of Palava and how it would evolve through the various phases that Gurgaon has evolved through. And therefore, our investment in infrastructure, creating the social infrastructure, the hard infrastructure, the quality of management and service has been in line with that.

So, while, of course, there is a continuous improvement journey, we do not expect to make any significant incremental investments beyond what is the norm in this upgrade cycle. It's really got to now the only missing link in the upgrade cycle is connectivity. And with the airport operating this year and the Mulund-Airoli-Palava freeway also becoming operational this fiscal '26, we expect that the cycle will strengthen when it comes to higher-income buyers wanting to reside at Palava given all its other benefits.

Moderator: The next question comes from the line of Pritesh Sheth from Axis Capital.

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Pritesh Sheth: So first, just on this 20% growth guidance, can you, I mean, just provide your thoughts on how individual micro markets will behave in next year? Like how this 20% growth is coming, is it like largely Pune, Bangalore dependent? Or we are also expecting MMR market also to grow?

So, some breakup of this 20% growth?

Abhishek Lodha: While we don't have sort of that kind of a breakup because as Prashant was mentioning, we have projects which perform ahead of expectations. We have projects which perform below expectations. But at a more broader level, we are able to deliver on our growth because our model is so diversified and granular and so based on ongoing sales.

Having said that, to your specific question, of the approximately INR3,500 -odd crores of incremental sales that we would expect this year from the current base of INR17,500 crores to INR21,000 crores, we expect that Mumbai would contribute approximately INR1,000 crores to INR1,500 crores out of that. And the other 2 markets would contribute in equal measure, half and half.

Pritesh Sheth: Got it. That's helpful. So, I mean, Pune, we don't have enough in terms of inventory. And I think launch-wise also, we are lesser in terms of what we did this year versus what we'll do next year.

So, is it that some of the projects are in pipeline and hoping to get added during the course of first half and eventually we'll be able to launch in second half? That's how we think about Pune's growth next year?

Abhishek Lodha: Our sales projections are done with a fair amount of detailed underwriting, and we typically avoid looking at new project additions in the year. They sometimes do happen. I'm not saying they don't happen, and they will sometimes make up for something which doesn't work out elsewhere.

But as it stands right now, we have about INR4,5

00 -odd crores of unsold inventory in the ongoing projects in Pune and then future phases of those projects as well as new lines. We expect to add another INR7,000 -odd crores of new launches, not the full INR7,000 crores being launched this year, but that's the supply available. Part of it will be launched this year.

So, we feel quite good about the fact that Pune can scale up from about INR2,500 crores currently to somewhere around INR3,500 crores or so the following year.

Pritesh Sheth: Sure. Got it. That's clear. Second question is on Palava. So, I think if I exclude the data center land sales that we did, we are looking at INR1,800 -odd crores of pure residential sales.

Obviously, I don't want to like segregate it, but just from the residential perspective, do you think now we are at the inflection point and with all those premium launches or upper-middle income kind of launches that we wanted to do has been done with.

Now from next year onwards, we should see a good growth trajectory? And how do you see this residential segment of Palava contributing over next 2 to 3 years?

Abhishek Lodha: Yes, it's a very pertinent question. And we do expect that for the current year, we expect that Palava residential sales will grow quite well. And while we don't break it up into the 2 different

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buckets, but of Palava residential versus others, we do think that, that will grow quite well, 20% or more.

And for fiscal '27, we expect even more solid growth because by that time, we'll get the first full year benefit of the Mulund-Airoli-Palava freeway.

So that will be fully felt in fiscal '27, only partly felt in fiscal '26. But yes, in spite of that time, we expect Palava Extended Eastern Suburbs presales to perform quite solidly for this coming fiscal.

Moderator: We take the next question from the line of Akash Gupta from Nomura Research.

Akash Gupta: My question is that how are you seeing the change in the real estate demand, especially for Grade A developers and taking that the stock market has also corrected a lot? So, are you seeing any negative signs of demand or any red flags, particularly related to Grade A developers?

Abhishek Lodha: I think the question should first be sort of seen in the context of the performance and data that we are seeing from what you would refer to as Grade A developers. I think you would note that most of the Grade A developers have had very strong and high-quality presales. And we think that that's really a reflection and, I would say, signpost answering your question.

We think there is a trifecta of consolidation at play. It's consolidation on the consumer side, it's consolidation on the lender side and it's consolidation on the landowner side. All 3 are very clear that they only want to work with a handful of developers as purchasers or as partners or sellers or lenders or whatever it may be. And that, I think, is very clear that consolidation has a long, long way to go, and it will continue to play out for a long, long period of time. To day, we are nowhere close to the end of the consolidation cycle.

And therefore, the other part is that even assuming for a moment that there is some demand slowdown in certain segments, I think it will be segmental demand slowdown, if at all, not across

the board. Because last 3 years, for example, even though there was broad growth, mid-income was not doing well. So, I think that kind of cyclicalities will inevitably happen. And that's the reason why, as a company, we like operating across all the segments rather than being concentrated on any one segment.

But even within that slowdown, you will see that the Tier 1 developers will be least affected or not affected because the slowdown inevitably affects the weaker hands. And on a balance, actually, it benefits the bigger developers because you see more beneficial terms in the land

market also. So overall, we feel that the consolidation story is a long-term one. And therefore,

the Tier 1 developers have, I would say, a lot of opportunity to continue to deliver sustained growth.

Akash Gupta: Got it. And sir, just one more question. So, we have been continuously showing this 20% kind of growth. Do you think that this high base effect will come in anytime soon? Or like on a longer-term basis, we can continue to expect this 20% kind of growth of presales?

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Abhishek Lodha: I think that it's really a question of the business model and how do you build it up. Is this really a spurt? Or is it a setup of increasing the strength of the organization, increasing the depth of the distribution, increasing the width of the number of locations and number of projects? And therefore, where are the sales coming from?

I think it's important to note that no one location of the company contributes more than 10% of our sales. It's important to note that we have almost 40 different operating projects, each contributing to sales. So really, the model that we put together on the real estate side is quite unique in terms of its granularity and diversification, both across locations as well as across segments. We do mid-income as much as we do luxury, of course, and we do premium too. So that's the reason why we believe that this growth is an additive growth more similar to a consumer goods business that as you increase distribution, as you strengthen brand, as you increase your number of products, your growth can be sustained rather than one which has been dependent on high price growth, you would have noted on the contrary that we've taken very modest price growth, and nor is it dependent on a superstar project.

So, we believe strongly in the predictability of our growth and, therefore, have given the guidance we have. Of course, geopolitics, if something goes terribly wrong, the guidance may go off by a bit. But other than that factor, we feel quite good about it.

Moderator: Ladies and gentlemen, that was the end of the question-and-answer session. I now hand the conference over to Mr. Aayush Raghuvanshi for closing comments.

Management: Thank you, everyone, for joining the call. I hope we have been able to answer all your questions. If you have any further questions or need any information, you may connect with our Investor Relations team. Once again, thank you all for joining the call today. Thank you.

Moderator: Thank you. On behalf of Macrotech Developers Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2025

August 1, 2025

BSE Limited

Scrip Code: 543287

Debt Segment – 975115, 975192, 975560, 976262, 9767 64,976895, 976923

National Stock Exchange of India Limited

Trading Symbol: LODHA

Dear Sirs,

Sub: Q1FY26 - Earnings Call Transcript

Ref: Intimation under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended ('Listing Regulations')

Pursuant to Regulation 30 of the Listing Regulations, we enclose herewith a copy of the transcript of the Company's Q1FY26 Earnings Conference Call held on July 28, 2025. The transcript is also being uploaded on the Company's website i.e. www.lodhagroup.com under the Investor Relations section.

Kindly take the above information on your record.

Thanking you,

Yours faithfully,

Lodha Developers Limited

(Formerly known as Macrotech Developers Limited)

Sanjyot Rangnekar

Company Secretary & Compliance Officer

Membership No F4154

Encl: As above

"Lodha Developers Limited Q1FY 26 Earnings
Conference Call "

July 28, 2025

MANAGEMENT : MR. ABHISHEK LODHA – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER , LODHA DEVELOPERS LIMITED
MR. SUSHIL KUMAR MODI – EXECUTIVE DIRECTOR , FINANCE ,
LODHA DEVELOPERS LIMITED
MR. SANJAY CHAUHAN – CHIEF FINANCIAL OFFICER , LODHA
DEVELOPERS LIMITED
MR. RAJENDRA JOSHI – CHIEF EXECUTIVE OFFICER , BENGALURU ,

Moderator: Ladies and gentlemen, good day, and welcome to Lodha Developers Limited Post Results Conference Call to discuss the Q1 FY '26 Earnings.

As a reminder, all participants' lines will be in a listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*", then "0" on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Chintan Parikh. Thank you, and over to you, sir.

Chintan Parikh : Thank you, Avirat . And good afternoon, everyone. Welcome to Lodha Developers Q1 FY '26 Conference Call.

Today, we have with us Mr. Abhishek Lodha, MD and CEO; Mr. Sushil Kumar Modi, Executive Director, Finance; Mr. Sanjay Chauhan, Chief Financial Officer; Mr. Rajendra Joshi, CEO, Bengaluru.

I would now like to invite Abhishek to make his opening remarks. Over to you, Abhishek.

Abhishek Lodha: Thank you, Chintan. Good afternoon, everyone . And welcome to our Q1 earnings call.

Before we dive into the business update, I want to take a moment to pay tribute to the brave Indian soldiers who served the country during the recent war with Pakistan. Their courage, commitment and sacrifice in protecting our nation's sovereignty and ensuring the safety of millions is something we deeply honor and respect. On behalf of the entire leadership team and the company, we salute their service and stand in solidarity with their families. The Lodha Foundation is working with the families of these martyrs to strengthen their future and ensure that they feel that the rest of the nation is completely behind them.

Let me begin with a brief overview of the overall macroeconomic and industry situation. On the back of the increase in government CapEx spending as well as the monetary easing that the RBI has undertaken, the GDP forecast for the year continues to remain resilient at around 6.5%. Inflation remains within our comfort zone, and we hope that it will further improve given the quality of this monsoon.

On the interest rate front, we continue to see a downward trajectory. As a consequence, as is normally seen in such rate cut cycles, we see it as being strongly favorable for homebuyers and the home buying industry. Combined further with the taxation benefits that have been given for t

he middle-income households earning up to Rs. 25 lakhs per annum, this will further boost the purchasing power of these households and spur home demand as well as broader consumption.

We continue to believe that the Indian real estate sector is in the early stages of a long up cycle with favorable macroeconomic indicators, strong urbanization and improving affordability. At

Lodha, our focus continues to remain on delivering high-quality developments, strengthening our brand, unlocking value from our land bank and maintaining industry-leading cash flows and return metrics.

I am sure that the recent news headlines from some of the lenders as well as some of the IT companies might raise concerns about the resilience and strength of the demand. I would like to mention that we have so far continued to see actually a strengthening of demand. We measure the health of our business through various metrics, but most particularly the non-launch weekly sales. And even now in the month of July, which is typically not a very strong month given the monsoon and other factors, we continue to see weekly sales, around Rs. 275 crores, Rs. 280 crores per week, which is much higher than the same period last year and tells us that there is good, strong on-ground demand across different segments, and there is a continued strengthening in the mid-income demand based on the factors that I had highlighted earlier.

Coming to the highlights of this quarter. The 1st Quarter presales grew by about 10%, which was in line with our business plan, but moderately affected by the two weeks of geopolitical tension in May 2025. However, this does not affect our growth outlook for the year, and we expect H1 to be about 40% to 45% with an upward bias towards the 45% number of the AOP and the balance in H2, driven by the significant launches planned for H2, including from the business development added in Q1, the benefit of the interest rate cuts and income tax cuts stimulating mid-income demand, and the clearing of the approval bottlenecks.

As some of you may be aware, environmental clearances have not been considered in many parts of the country since August 2024 due to the NGT order asking the center to consider these clearances and the center not yet having the bandwidth to do so. The matter is now expected to be decided by the Supreme Court in this quarter, and that will further enable us to scale up our supply and comfortably achieve our overall presales as well as operating cash flow guidance. As a business, we continue to remain focused on predictable and disciplined

growth.

Our net debt to equity will have small increases and thereafter moderations from time to time. But at all times, we will remain substantially below our ceiling of 0.5x net debt to equity. As I have mentioned earlier, we continue to see improvement in our non-launch weekly sales rate, and we expect this number to touch Rs. 300 crores a year by the end of this FY from Rs. 250 crores a year in FY '25. This sort of continued regular sales makes our business very, very different from most of our peers, and this predictability gives us significant confidence in how we perceive business in the times to come.

We expect to enter Delhi NCR in the next 12 months and hope to launch in fiscal 2027.

As you are aware, this will be a pilot stage where we will focus on gradually growing while we build our local team and strengthen our operating and sales capability. With this entry, we will

be operating in four of the largest real estate markets in the country, covering about two-third of the total residential sales. We will, of course, provide more details once the overall entry strategy and the first project land acquisition is completed.

The last point which I would like to underline in terms of an overview is that while there may be concerns about the strength of

overall demand in urban India, it is important to note that

the sales of the top five real estate developers who are focused on quality and consumer service, thereby having strong brands are constrained by supply and not by demand. We strongly believe that this is a unique position for the real estate market that the top developers have almost a complete inability to satiate their demand and any short-term aberration in the demand side is unlikely to impact their sales.

The second point is being that real estate sales are driven largely by households with annual income greater than Rs. 1 million per annum. The strength of job and wealth creation for the upper middle class and higher income segments continues to remain quite strong.

The third point, this environment of low interest rates and low inflation is probably the best ever for real estate. When interest rates went up three years ago, it had a negative impact on demand. And as this retraces, we expect it to provide a positive fillip to demand.

Lastly, we believe that the real estate growth will lead the demand revival in urban India, and this cycle will be visible in the next 12 months. The real estate multiplier to economic activity is the highest of any sector as it leads to job creation across the entire supply chain as well as wealth creation for homeowners.

Speaking about our KPIs, the presales, embedded margin of these presales, business development, ESG and brand scores for the 1st Quarter. We achieved our best ever 1st Quarter presales performance, which was at Rs. 44.5 billion, growing 10% year-on-year. As I mentioned earlier, we are in line to deliver our overall guidance for the full year. Having delivered Rs. 40 billion plus sales consecutively now for six quarters, we are now headed towards establishing a new base of Rs. 50 billion of quarterly presales, which should be the average number throughout the course of the full year this year.

The embedded EBITDA margin for this quarter came in at about 33%. This level of embedded EBITDA margin has been achieved with the JDA contribution to sales of about 38% of presales, in line with our long-term guidance. We saw price growth of approximately 2% in Q1 FY '26 on a like-to-like basis, which is in line with our strategy to have price growth at around 6%, which is below wage growth, and therefore keeps affordability getting better each year.

Based on an embedded EBITDA margin of 33% on the presales for Q1 FY '26, our pro forma PAT for the quarter is at about Rs. 9.5 billion, implying a PAT margin of about 21% on the presales

done during this quarter. We are very much in line with our overall objective of 20% ROE on an underlying basis, which we have already achieved in fiscal '25 too.

As far as new business development is concerned, we added five projects in this quarter across Mumbai, Pune as well as Bangalore with a combined GDV of about Rs. 227 billion, which is more than 90% of the business development guidance for the full year. I am happy to share that out of this, we have added about Rs. 84 billion in Bangalore, which is more than what we had added in the full year last year in Bangalore. This shows that landowners are now starting to see in Bangalore what others have seen in Mumbai and Pune, the strength of the Lodha brand, and the increasing desire to collaborate with Lodha for the development of their land holdings. This gives us confidence and strength that our growth phase in Bangalore will be well supported with land availability.

At the end of the quarter, our net debt stood at Rs. 50.8 billion, which is 0.24x net debt to equity, well below our ceiling of 0.5x. This is despite significant investments towards annuity income as well as accelerated business development which we have done in the 1st Quarter. As we mentioned earlier as well, our debt levels are likely to

go up in the first half of the fiscal year due to greater activity on business development and moderate in the second half of the year. Our average cost of funds on the debt stood at 8.3%, down about 40 bps for the quarter. On our focus of Do Good, Do Well on the ESG side, we believe that sustainable growth is a collective duty, and we are dedicated to nation building through impactful long-term initiatives. The Lodha Foundation prioritizes education, environment and human development with programs which are long term and deliver at depth. In the coming quarter, the foundation will launch one of its flagship initiatives, the Lodha Mathematical Sciences Institute. The Institute seeks to advance India's legacy of analytical thought through cutting-edge research across all areas of mathematics and applied mathematics. The Institute will pursue both foundational inquiry as well as real-world solutions to 21st century challenges. The Lodha Genius program welcomed its third batch with a cohort of about 300 students selected from about 7,000 applicants across India for a month-long program in June 2025, and this will be followed by a continued learning module through the rest of the year. On the environmental side, we now manage about 60 million-plus square feet of green certified portfolio and advance our low-carbon strategy with renewable PPAs exceeding 10 megawatts, aligned with SBTi's targets. Innovations like nature-based cooling at Palava and UrjaAnk for household energy analysis reflects our comprehensive approach. Recognized by GRESB, DJSI, FTSE4Good and the World Benchmarking Index, we strive to build a sustainable developed India through our various initiatives, and ensuring that this

development is not just economic but also environmental as well as around personal happiness and satisfaction.

On some of the other performance metrics, our collections for the quarter grew by 7% on a year-on-year basis and came in at just under Rs. 29 billion. We launched projects with an estimated GDV of about Rs. 83 billion. On the back of the business development that we have done in the 1st Quarter, our launch pipeline for the full year now stands at about Rs. 250 billion with the balance being launched in the balance three quarters of the year with a heavier emphasis on H2.

In terms of our expansion and diversification across different cities, our strategy of entering a new city with a pilot phase thereafter followed by growth phase is panning out reasonably well as it has done in Pune in the past and is now scaling up in Bangalore. We believe that the top few developers will be present in the top few cities of the country and the depth of their presence will improve the quality of the market as well as enable the consumer to get the best quality product irrespective of the city that they are living in.

The strength and success of the developers will be driven by their processes and operational capability and the ability to attract and retain talent, and we believe that Lodha has an exceptional advantage in that area. This is evidenced by the growth in Pune, the scaling up of our team as well as the fact that this quarter the growth in Bangalore and the scaling of the team there and also reflected in the strength with which Bangalore contributed to the presales in this last quarter.

In terms of our townships in the extended Eastern suburbs, we had about Rs. 5 billion of sales for data center and there were strong residential sales. At a broader level, we see that mid-income sales are strengthening across the various different markets that we see typical mid-income demand coming through, and that is heartening for us given the fact that luxury and premium sales anyway continue to perform well.

On specific updates on Palava, the infrastructure progress continues to remain strong. As you know, Pa

lava will see the delivery of several transformative infrastructure projects over the next few years, including the Mulund-Airoli-Palava Freeway, the Navi-Mumbai International Airport as well as the bullet train. The Mulund-Airoli Freeway is progressing well and we expect it to be significantly operational in this fiscal year. We also note that the Navi Mumbai Airport is expected to start becoming operational for commercial flights this calendar year. And both of these are quite positive for Palava's perspective.

By the end of this decade, Palava will transform from being a peripheral suburb of Mumbai to a core suburb. And the bullet train connectivity, which will make Palava less than 20 minutes from BKC before the end of the decade will, of course, be a landmark transformation.

Of course, there are other projects, including the 100-meter wide multimodal called out from Virar to Alibaug as well as the two metro lines which are passing through Palava. Thus, all in all, the infrastructure benefits to Palava continue to remain quite strong and are now visible on the horizon.

To enhance the value of the residential development in Palava, we are consciously premiumizing the location. Last fiscal, we launched three neighborhoods, Lodha Golfview, Lodha Hanging Gardens and Lodha Opulis, which are at a premium to the existing lower mid-income neighborhoods.

This quarter, we launched a new villa neighborhood in Palava with ticket sizes of Rs. 5 crores and higher for the land and the villa, which also received a good response and takes us a step further in our journey to premiumize Palava. The premium segment contribution in Palava for FY '25 stood at 20%, and this will keep growing towards 50% by the end of the decade, contributing both to a new segment of sales as well as higher blended margins.

Today, there is a significant gap in pricing between any core suburbs of Mumbai compared to Palava. And as this infrastructure plays out and we continue to invest towards build-out of the internal infrastructure as well as quality of life, we expect that Palava will deliver Rs. 80 billion of annual sales by the end of the decade with EBITDA margins approaching 50%.

Lastly, an update on our warehousing and industrial leasing vertical. There has been strong leasing traction with further leasing of about 0.2 million square feet in this quarter to marquee names like Tesla as well as DP World, taking the overall leased area in this portfolio to 2.3 million square feet. We now have an impressive list of clients including Skechers, DP World, DHL, Mitsui operating in our parks. This is not only adding recurring income, but also creating jobs which benefit in various ways, including the local communities.

The industrial and warehousing ecosystem in Palava has emerged now as a preferred destination for warehousing as well as light industrial spaces for high-quality companies. This quarter, we are increasing our stake in the digital infrastructure platform in line with our strategy to grow our annuity income to Rs. 15 billion by the end of the decade. And against this, we already have visibility for just under Rs. 12 billion from the existing assets.

Before I conclude, an overview on the P&L. As you may recollect, we have adopted the progressive percentage completion methodology for accounting of all presales done from April '23. For sales done prior to April '23, the project completion methodology continues to be in existence. We are now in the midst of the transition period, and we expect this transition to be fully complete by the end of fiscal '27.

In terms of the numbers, our revenue from operations came in at just under Rs. 35 billion with a year-on-year growth of about 23%. The adjusted EBITDA for the quarter was Rs. 12 billion, growing at about 25%. The adjusted EBITDA margin was at about 34.4%.

This is an important point to note because the equivalent number in Q1 FY '25 was 33.7%, which shows that our margins continue to grow on a reported basis as well as on an embedded basis. Our quarterly PAT came in at about Rs. 6.8 billion, growing 42% year-on-year, and our operating cash flow was at about Rs. 9.5 billion, growing about 50% year-on-year.

With these updates, I will now request my colleague, Shri Rajendra Joshi, CEO of the Bangalore business, to speak to you about our Bangalore growth phase. Thank you, and over to you, Rajendra ji.

Rajendra Joshi: Thank you, sir. Good afternoon, everyone. I would spend a few minutes talking about the Bangalore market.

The total residential real estate market in Bangalore is estimated to be about Rs. 80,000 crores to Rs. 85,000 crores, growing at about 19% to 20% CAGR since 2021. The growth has been driven both by volume and price, with prices increasing by 10% to 15% in the recent past. Supply, however, has not kept pace. And as a result, the inventory overhang is declining, is currently at about 12 months, and it has been at the same level for the last three years.

This growth has been driven largely by the salaries of customers essentially from three sectors. First, the IT where Bangalore has been a base for large MNCs and Indian companies like the likes of Google, Microsoft, Wipro, Infosys, etc.

Second, startups, both late-stage and well-funded early Stage 1s and those in consumer tech like the Swiggy, Ola, Razorpay, etc. Many of these startups also have gone the IPO route, and that benefit has trickled down in terms of real estate purchase.

Third, the global capability centers or the GCCs, which have driven the office space absorption in Bangalore have also been a large contributor to the growth of real estate in Bangalore in the residential space. Overall, the market is growing in the higher end of the spectrum with the units about Rs. 2 crores having contributed to about 40% in the last year's sales. This clearly indicates premiumization of the market towards the higher end.

Looking ahead, we feel strong job creation, sustained investor confidence in the start-up ecosystem and many ongoing infrastructure developments such as the upcoming North Bangalore Metro Line, the satellite town Ring Road are expected to be key catalysts for the continued residential growth in the city.

Now coming to our journey in Bengaluru. We launched our first project in Bangalore, Lodha Mirabelle, located next to the Manyata Business Park in North Bangalore in November '23.

Since then, our journey in the city has been marked by strong momentum and rapid growth. Over the last two financial years, which we consider as our pilot phase, we recorded a cumulative sales of over Rs. 1,900 crores. As we transition into our growth phase in the coming years, we see a huge opportunity to be a significant player in the premium segment at scale.

During the pilot phase, our focus was largely on laying a strong foundation on two key pillars ;

the people and the brand. Talking about the people, building a high-caliber core team in Bangalore, combining the expertise of seasoned Lodha associates from Mumbai and Pune with new talent from the Bangalore market was our focus. This blend of internal experience and local market knowledge, supported by continued guidance from our head office has enabled the new hires to quickly align with the Lodha way of working, ensuring smooth and consistent execution across the value chain.

Second, on the brand side, establishing Lodha as a premium brand in Bangalore, both through the strength of our product and the quality of our customer experience was another focus area. A key strategic decision during this phase was to build and showcase the clubhouse in our first project at Lodha Mirabelle even before the project launch. This served as a live dem

onstration

of the quality Lodha brings to its developments and is now viewed as one of the finest clubhouses in the city.

Additionally, we have placed strong emphasis on delivering a superior customer experience at our sales galleries, creating service standards that are unheard of in the Bangalore market. This has led to a positive word of mouth, both in the market and has reinforced our premium positioning.

In addition, two factors, I believe, have helped us scale rapidly. One, we have built a team of subject matter experts in each functional area, be it design, marketing, procurement over a period of time at our head office in Mumbai. This team helps the regional teams to absorb the Lodha way of working rapidly and supports the rapid scale up. Two, our internal systems that are built on a strong foundation of processes and policies help us in moving up rapidly in a new location.

These together have not only helped in Bangalore scaling up, but I believe will help us in any future expansion in any new market that we enter. Thanks to our focus on product and our customer experience, brand Lodha has been received positively in the Bangalore market. Both customers and landowners now recognize us as a trusted premium developer. This positive perception has also enabled us to expand our footprint, as Mr. Lodha was mentioning, going from two projects in FY '24 to five in the last financial year.

The new projects include two in the new high-growth Southeast corridor of Bangalore and a large 70-acre project in North Bangalore, which has a top line of over Rs. 10,000 crores over its project life cycle. As we scale, our strategic focus remains on premium and luxury development. We continue to actively evaluate land parcels that align with these criteria to maintain a healthy project pipeline. The high-growth north, east and southeast corridors of Bengaluru remain our priority, and we continue to explore opportunities closer to the heart of the city for a luxury development.

From a people standpoint, we have scaled up significantly. From a team of about 100 associates in the beginning of FY '25, we are over 200-plus as of today across various functions. We expect this number to double over the next 12 months, in line with our growth expectations. As always, we will continue to leverage support from our head office, as I had mentioned earlier, while depending on the strong core team in Bangalore to lead and deliver this next phase of expansion in the growth phase in Bangalore.

Thank you very much.

Chintan Parikh: Thank you, Joshi ji. Avirat, we can open the floor for Q&A.

Moderator: Thank you. We will now begin the question-and-answer session. The first question is from the line of Puneet from HSBC. Please go ahead.

Puneet Gulati: Yes. Hi. Good afternoon. My first question is, if you can comment a bit more on the pricing front in the current market. What kind of growth are you seeing? You talked about a 2% like-for-like here, are you likely to see similar growth as last year? Or do you think the pricing trajectory has changed a bit?

Abhishek Lodha: Hi. Puneet. We shared our outlook for price growth at the end of the last fiscal, and we continue to maintain that our price growth will be in that range of 5% to 6%, which is somewhat higher than last year.

Puneet Gulati: Understood. And secondly, on the land sales pipeline, do you have a decent pipeline for you to ensure that land sales continue on a year-on-year basis? Or you think it can be very, very one-off kind?

Abhishek Lodha: Puneet, we think that the land that we are selling for specific users, including data centers as well as industrial, is a recurring and predictable part of our business. The land which is acquired by the government sometimes for infrastructure projects, that obviously is unpredictable and one-off. But what we are doing for data centers, industrial use or such us

es is something which

we see good pipeline of, and we see that as a predictable part of our business.

Puneet Gulati: That's it, sir. Thank you so much. And all the best.

Moderator: Thank you. The next question is from the line of Abhinav Sinha from Jefferies India. Please go

ahead.

Abhinav Sinha: Hi. Thanks for taking my questions. A couple of them. So one on the sales growth, I understand that second half is going to be much stronger. So, which are the markets where you see this contributing, because we think Bangalore already off to a very strong start? So that's one. And second question is on Bangalore. Within that, how you are differentiating on product because we already see a lot of strong developers out there?

Abhishek Lodha: Abhinav, thank you for your question. So across the different micro markets within Mumbai, Pune and Bangalore that we operate in, we believe that the sales growth is spread quite well across the board. There is not any one particular launch or one particular project that we are dependent on delivering our overall growth to about Rs. 210 billion, and that's how we like it. We see good demand as well as the availability of our supply in South Central Mumbai. We see, as we have discussed earlier in this call, a significant scale up in Bangalore. And we see continuation of the positive momentum in Pune.

Our townships business is trending well because of the overall infrastructure benefit we have as well as the pickup in mid-income demand aided by the factors that we discussed. This full year will not see too much benefit on the infrastructure side because the Palava-Airoli-Mulund freeway will only be operational towards the end of this fiscal year. But even in spite of that, there is a good momentum there. So it's quite broad-based in our view, with no one particular outlier.

Abhinav Sinha: Okay. And sir, second question on the Bangalore side, if you can help. So my question is that how you are differentiating on the product itself? I mean, are you looking to have more of smaller ticket size, larger ticket size? Anything between that?

Abhishek Lodha: Abhinav, I do not think that we are needing to differentiate in a way which is driven by some size of unit. I think our differentiation lies in our product detailing, our design of the product, both inside the unit and outside, and our overall package of product as well as service, which together is what people see in our brand. Bangalore obviously has some very good developers, and they continue to do well. But I think there is a space above them for the quality of product that we do. As we have shown in the pilot phase that the market is willing to pay the premium for it, and there is good velocity associated with it.

We tend to focus on homes between Rs. 1 crores to Rs. 5 crores with a particular emphasis on homes between Rs. 1 crores to Rs. 3 crores, but with higher per square feet price. As Joshi ji was mentioning, we are now in the process of launching one of our larger developments in Bangalore, which will be spread over 70 acres and offer products in an upmarket manner with a very convenient location close to the airport as well as a lot of good social infrastructure. So that, I think, will really augment what North Bangalore has seen in terms of quality of development. So really, our focus, and that's not a Bangalore thing, across the board is on doing sort of the best quality product and marrying that with our high service standards to deliver a superior living experience to our consumers.

Abhinav Sinha: Sir, just one last question, if I can quickly ask. Slide 57 of the presentation where you have the cost inflation. So, I believe this number was higher in the March quarter, so basically you are saying costs have come down on a Q-o-Q basis?

Abhishek Lodha: Sushil, would you like to comment on that?

Sushil Kumar Modi: Yes, Abhinav, that's right.

In the composition, it's a function of numerous items in the composition, right? So while there are a few items which end up seeing a hike, but there are equally offsetting numerous items which end up offsetting. So on the whole, if you see, it has slightly come down. This is the composition of the total overall construction cost.

Abhinav Sinha: Okay. And this seems to be holding as a trend or you will see some change here?

Sushil Kumar Modi: Frankly, obviously, commodities, we all know that commodities goes up and down, numerous nuances are always there. If the U.S. exports on the steel side gets restricted with the duties on board, but there lies a potential that perhaps domestically prices may go down further. But nonetheless, the important point is, on the whole we continue to see, without really specifically talking about a single composition or a constituent of the cost, that on a CAGR basis the cost continues to be reasonably controlled in terms of the inflation. The impact is generally on a CAGR basis end up in being less than 3%.

Abhinav Sinha: Okay, sir. Great. Thank you.

Moderator: Thank you. The next question is from the line of Akash Gupta from Nomura. Please go ahead.

Akash Gupta: Hi, sir. Thank you for taking my question. Sir, my first question was in respect with your strategy in Delhi. So, could you give us some understanding as to what kind of business developments are you planning to do there? And are you planning to do any launch there?

Abhishek Lodha: The Delhi NCR is an important market for us to get into. We obviously, as we have done in Pune and Bangalore, will only enter in a gradual manner. We will be starting off with a pilot phase with a moderate number of projects and a moderate level of investment with a view to understand better how the market operates and how we build out the supply chain for

operations as well as sales.

Our focus in this period is, first and foremost, on building our local operating team. We expect that we will conclude one or more land transactions either on a joint development basis or otherwise in the course of this financial year and hope to launch in the next financial year. But obviously, at this stage, the details are limited. We will provide a more detailed update once the first land transaction is concluded.

Akash Gupta: Got it, sir. Sir, my next question was with respect to your Bangalore strategy. So, there are some news with respect to IT slowdown. Obviously, you have done very well in Bangalore. But do you think this IT slowdown story playing out and then impacting your Bangalore sales? So like how are we trying to hedge ourselves against that?

Abhishek Lodha: I would like to use this question to emphasize that an economy is a sum of various different sectors performing in different ways. When IT was growing at 20%, 25%, 30% did not mean that real estate sales were growing at the same level because obviously, there is a composition effect. And vice versa, if some particular sector, for example, IT is going to have a slowdown

for whatever reason, we are not experts in that field. It does not really take away from the fact that India is a broad-based granular economy. As a company, we have set ourselves not to be over-focused or over-exposed to any one sector or for that matter, any city or location. And that broad-based strategy, we believe, allows us to have the predictable growth that we have been talking about.

So obviously, we watch all of this with focus and try to understand better. But as I was mentioning in my initial remarks, the fact is that in the month of July we are averaging, for non-launch sales, about Rs. 275 crores a week. Now that really gives you a sense, if you take that at Rs. 275 crores number moving towards Rs. 300 crores in the course of the next six months, you are talking about Rs. 15,000-plus crores of sales coming just from our non-launch o

n a steady

week-on-week basis. And that really is the differentiation and strength of our business. And we believe that the Indian economy overall is quite resilient. The GCC numbers continue to add up. While you are seeing some slowdown in the IT companies, the GCCs are now probably employing 2 million or more people and that's only growing.

So something goes up, something goes down. But if we are the most sought-after brand, if we have the operating breadth as well as the locational breadth, we think we are able to capture more and more of the demand. Ultimately, you have to note that we are selling 7,000 homes a year, which is just in unit terms a little over 1% of overall volume in the country, and in value terms probably 2%, 2.5% of overall value of residential sales in the country. So there's a long, long way to go before we penetrate in any significant manner. And that allows us to deal with these sort of ups and downs of some parts of the economy quite reasonably.

I think the big picture is that real estate in India is at the start of a very long terms up cycle as India moves from low income to mid-income. There may be some days or some months or some quarters which are weaker. But that's the broad direction. And as our investors who we generally see as long term, we hope that as long as we are performing on the ground, the aberrations are not really coloring their perception of the big opportunity that housing in India, particularly from the top three to five brands offer.

Akash Gupta: Got it, sir. And sir, one final question from my side. So basically, this quarter we had launches of roughly Rs. 83 billion, which is quite strong in the sense that we had Rs. 30 billion of launches in the 1st Quarter of last financial year. But our presales growth rate was just 10%. So, should we think that the sell-through was not strong enough or the reason was mainly because of the geopolitical tensions in the first two weeks of the quarter?

Abhishek Lodha: Obviously, we have not seen anything outside our projections panning out on the ground. And as I mentioned, July also continues to remain quite solid. So we are not seeing anything which we would not have otherwise seen. If you take those two weeks and you multiply it by the weekly non-launch rate, that's about Rs. 400 crores, Rs. 500 crores of lost sales. We will make it up in the course of the year. But if you were to just look at it at a quarterly basis, that's a difference between 10% and 20% growth for the quarter.

Akash Gupta: Got it. Very clear, sir. Thank you so much and best of luck.

Moderator: Thank you. The next question is from the line of Kunal from Bank of America. Please go ahead.

Kunal Tayal: Hi. Thank you. Abhishek, I wanted to follow up or better understand a couple of your opening comments. The first one was, you were talking about revival in urban growth being led by real estate as we look forward into next year. So, is this sort of more predicated on your view that supply was facing bottlenecks and that should sort of normalize from here? Or was it more to do with the fact that as the benefits of lower rates and inflation start to percolate down, that would boost sales?

Abhishek Lodha: Kunal, I think that environmental bottleneck which we are seeing is highly likely to get resolved this quarter. So obviously, whatever negative drag that has had on supply will get addressed.

But I think the broader point is that we had a slowdown last year, the factors you all understand

better than we do. And we are coming out of that slowdown through, we have had improvement in fiscal spend, we are getting more supportive monetary policy. And in this kind of rate reduction environment, typically real estate demand picks up, and that's what we are starting to see initial signs of in the mid-income segment. And hopefully, in the second half of the year, we will see some good

meaningful numbers coming out of it.

But when you multiply or sort of add that on to the fact that real estate has such a strong multiplier to the economy, both in terms of direct employment, supply chain employment and equity wealth creation plus homeowner wealth creation, it's understandable; and I would say, something which one can foresee that as real estate picks up, it will have a positive impact and therefore, raise overall economic growth.

Kunal Tayal: Got it. Understand. And then the other one was this interesting metric which you gave us weekly non-launch sales. Abhishek, that trending up. Does it apply just at a company level? Or if you were to isolate just for the Mumbai trend maybe, do you think it would hold for the city as well? I am wondering if this reflects your market share gains in cities outside of Mumbai or improving demand within the city itself.

Abhishek Lodha: Kunal, we have not broken it up that way. Since you mentioned it, we will also look at it that way, but we only look at it at the company level. But I can tell you that sales within Mumbai are performing quite well. So if your question was that our sales from Pune and Bangalore making good for some fall in Mumbai, the answer is no. Mumbai is also performing quite well.

Kunal Tayal: Right, very clear. All right, thank you.

Moderator: Thank you. The next question is from the line of Parvez Qazi from Nuvama Group. Please go ahead.

Parvez Akhtar Qazi: Hi. Good afternoon. And thanks for taking my question. So my question is regarding your comment about you seeing an improvement in demand in the mid-income segment. It would

be great if you could provide some color. I mean, by what do you measure in terms of improving demand, is it in terms of improving footfalls or conversion rate, etc.? And the second part of the question is, I mean, let's say, over the next one to two years as we see more rate cuts, do we see the proportion of mid-income segment in our overall presales increasing? And will there be any impact on our profitability margins because of this, either on the upside or downside?

Abhishek Lodha: Hi, Parvez. Thank you for your questions. What I mentioned was that we are seeing the initial signs of a pickup in mid-income demand, obviously, it's very early and it will more be in H2 that we will get more real data. But what we are seeing so far is that we have seen higher conversion rates, particularly in June and July, starting to come through as the mortgage rates have settled down. Still very early days, so I cannot give you a huge amount of color beyond that, but we are starting to see that.

In terms of what it does to our margins, I think our margins overall across the company tend to be around the early mid-30s number. There is not a significant variation by segment. Obviously, the cash margin in Palava and Upper Thane, the extended Eastern suburbs is higher because of the fact that the land is all bought historically, so we may see some benefit in cash margins. And I think over a medium term, over a two, three-year term, we will also see some uptrend in overall margins because obviously, Palava margins are, as the mix is changing, also moving higher. So, generally on the margin side, as we have spoken even earlier, we see some upside each year going forward, partly driven by operational efficiency, partly driven by the up cycle out of the infrastructure and other factors in Palava.

Parvez Akhtar Qazi: Sure. Thanks and all the best.

Moderator: Thank you. The next question is from the line of Pritesh Sheth Axis Capital. Please go ahead.

Pritesh Sheth: Thanks for the opportunity. Firstly, on the BD. So we have almost completed our full year target, it obviously shows some confidence on the market. What's driving your confidence on demand? Is it market itself growing? Because since last one year we have seen volumes at the industry level

mostly flattening out, so are you hoping that this will now grow? Or as you said, because of supply constraint its ability of top five, 10 brands to create enough supply and take a share of that demand that is driving confidence, yes?

Abhishek Lodha: So, I think there are a few questions within your question. Do we remain confident about the overall nature of the demand? The answer is yes. As you can see from the performance of the key developers last year, it's a very strong year. If you look at the numbers for this quarter, very strong. So there is no reason why there should be any concerns about demand, especially for the top five developers. I will reemphasize this point that the sales of the top five developers are supply constrained, not demand constrained due to various factors, including the fact that consumers really want to upgrade their quality of life in a low-risk manner, and that's what the top five developers offer. So that's one.

Second, I think in terms of a lot of reporting around the fact that volumes have been flat last

year. Let's be clear that you cannot look across the entire real estate spectrum and treat it with one aggregate number of overall volume. Obviously, there is a shift within the segments, and we have seen that the affordable housing segment has degrown and there has been growth in the other segments. So the affordable housing segment, which tends to offer the higher volume of units, because that has degrown, there's been a fall in the number of units there. But the rest of the segments have actually made good, which has been why their unit growth has been flat, but value growth has been significant.

So it's really telling you where the growth is coming from. And I think it's important to do the analysis in value terms rather than just in unit terms because that's what you would do in most other categories. In terms of how we see things going forward, we continue to see strength in the premium and luxury segments over the next 12 months. And we, as I mentioned earlier, we expect that in H2 there will be a pickup in the mid-income segment. We really do not operate in the affordable housing segment. So I have no comment on that specific segment. Pritesh Sheth: Sure. That's helpful. And on Bangalore, the large project that we signed this quarter, 70 acre. Firstly, I wanted to know whether it's a JDA or an outright. If JDA, I mean, there are a lot of incumbent developers eyeing for that market. Where is the preference for Lodha coming in, in terms of what our brand brings to the table? If you can highlight on that, yes.

Abhishek Lodha: The project is in two parts, about one-fourth of it is an outright purchase and the balance three-fourth is a joint development. The reason for the Lodha preference, we believe, is the same as it is in the other cities. It is about the brand execution capability, the pricing and the velocity at which we can sell, and the transparency at which we operate with our landowner partners and their confidence that we will generate the highest NPV and it will actually get delivered to them.

It's really about an operating style, which gives a lot of confidence to landowners. And as Joshi was mentioning, as we have over the last two to three years scaled up in Bangalore, what was known in Mumbai and is getting more known in Pune is also now starting to get recognized in Bangalore that working with Lodha is a good experience for the landowner and working with Lodha leads to a fairly good economic value creation for the landowner.

Pritesh Sheth: Sure. And just last, North Bangalore is also prominent for plotted development. Will we be doing plotted developments in this land parcel or it's more of group housing and high-rise towers that we are looking at?

Abhishek Lodha: No, this is a very prominent location. Plotted development obviously happens quite in Bangalore, but that's happening

further away. Plotted development is a category which also we might consider going forward. But this is not a location for plotted development. It's a very attractive location and very well located, proximity to the airport, proximity to the various tech hubs and a lot of good social infrastructure.

Pritesh Sheth: Sure. Thank you. That's it from my side and all the best.

Moderator: Thank you. The next question is from the line of Ashish Mendhekar from JPMorgan. Please go ahead.

Ashish Mendhekar: Partly, the question is answered regarding Delhi NCR market, but have you zeroed down on the micro market which you see opportunity in? And any particular ticket sizes that you are targeting?

Abhishek Lodha: Ashish, no, we do not have that level of detail right now. I think we are looking across the Delhi NCR to make sure that locations which fit with our brand's premium positioning. And at the same time, have attractive dynamics when it comes to supply-demand and also profitability for us. So, we are looking across the board, and we will be able to provide a little bit more specific detail once the first land transaction is concluded. I think at this stage it's just a directional thing that, yes, we expect to be entering in the NCR in the next 12 months.

Ashish Mendhekar: Okay. Understood. Thank you.

Moderator: Thank you. The next question is from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.

Parikshit Kandpal: Yes, hi Abhishek. My first question is on the launch pipeline for the rest of the year. So if I see total Rs. 13,300 crores is there on the new launches. And out of this, Rs. 10,000 crores is from MMR and Pune. So, in terms of NGT issue, so how will this get impacted if there is a delay in the judgment from the courts?

Abhishek Lodha: Yes. Pune is unaffected by the environmental clearance. Pimpri-Chinchwad and Pune were affected, but that has already been clarified and those approvals are now progressing without any hitch since the last, I think, about six to eight weeks. In Mumbai, I think the total value, which is affected potentially by these environmental constraints is at about Rs. 3,000 crores to Rs. 4,000 crores of launches for the year. So that's the value which we expect will get unlocked for being open to launch in the second half of the year, but that's the one which is currently impacted by these.

Parikshit Kandpal: Okay. The second question is on the total presales for the quarter of Rs. 4,450 crores. So out of that, how much was the contribution from the new launches of Rs. 8,300 crores?

Abhishek Lodha: Sushil or Sanjay, can you assist with that response, please?

Sanjay Chauhan: Yes, around Rs. 1,500 -odd crores was coming from the new launches.

Parikshit Kandpal: I mean, so the impact was largely on account of the May issue or because it seems to be a very slow conversion of sales in presales?

Abhishek Lodha: No, we do not see it as being slow. Our business model is not this heavy launch, let's sell everything in one go model, which puts a lot of pressure on profitability. Our business model tends to be to sell about 40% of what we launch in the first 12 months. And therefore, if we have launched Rs. 8,000 crores, we would expect to sell about Rs. 3,000 -odd crores in the first 12 months from launches. This has been an average of 45 days from launch, so we find that it's very much in line.

I think you will have to appreciate that our business model to that extent is quite different from some of the other developers who tend to benefit or want bigger launches. We like selling our product over time. We like making sure that consumers are fully appreciative of our product. And we like to make sure that we are pricing ourselves for strong profitability. So this is very much in line with our standard expectations around launch.

Parikshit Kandpal: Sure. Thank you.

Moderator: Thank you

. As there are no further questions from the participants, I now hand the conference over to Mr. Ayush Raghuvanshi for closing comments.

Ayush Raghuvanshi: Thank you, everyone, for joining the call today. I hope we have been able to answer all your questions. If you have any further questions or need any information, you may connect with the investor relations team. Once again, thank you all for joining the call today.

Moderator: Thank you. On behalf of Lodha Developers Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Call: Nov 2025

November 4, 2025

BSE Limited

Scrip Code: 543287

Debt Segment – 975192, 976262, 976764, 976923, 9768 95, 977163

National Stock Exchange of India Limited

Debt Segment

Trading Symbol: LODHA

Dear Sirs,

Sub: Q2FY26 - Earnings Call Transcript

Ref: Intimation under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended ('Listing Regulations')

Pursuant to Regulation 30 of the Listing Regulations, we enclose herewith a copy of the transcript of the Company's Q2FY26 Earnings Conference Call held on October 31, 2025. The transcript is also being uploaded on the Company's website i.e. www.lodhagroup.com under the Investor Relations section.

Kindly take the above information on your record.

Thanking you,

Yours faithfully,

For Lodha Developers Limited

(Formerly known as Macrotech Developers Limited)

Sanjyot Rangnekar

Company Secretary & Compliance Officer

Membership No. F4154

Encl: as above

"Lodha Developers Limited

Q2 FY'26 Post Results Conference Call"

October 31, 2025

MANAGEMENT : MR. ABHISHEK LODHA – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – LODHA DEVELOPERS LIMITED

MR. SUSHIL KUMAR MODI – EXECUTIVE DIRECTOR , FINANCE – LODHA DEVELOPERS LIMITED

MR. SANJAY CHAUHAN – CHIEF FINANCIAL OFFICER – LODHA DEVELOPERS LIMITED

MR. TIKAM JAIN – CHIEF EXECUTIVE OFFICER , PUNE – LODHA DEVELOPERS LIMITED

MR. CHINTAN PARIKH – CO-HEAD OF INVESTOR RELATIONS – LODHA DEVELOPERS LIMITED

MR. AAYUSH RAGHUVANSHI – CO-HEAD OF INVESTOR RELATIONS –

Moderator: Ladies and gentlemen, good day, and welcome to Lodha Developers Limited 2Q FY '26 Post Results Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Chintan Parikh, Co-Head of Investor Relations. Thank you, and over to you, Mr. Parikh.

Chintan Parikh: Thank you, Renju, and good afternoon, everyone. Welcome to Lodha Developers Q2 FY '26 conference call. Today, we have with us Mr. Abhishek Lodha, MD and CEO; Mr. Sushil Kumar Modi, Executive Director, Finance; Mr. Sanjay Chauhan, CFO; and Mr. Tikam Jain, CEO, Pune.

I would now like to invite Abhishek to make his opening remarks. Over to you, Abhishek.

Abhishek Lodha: Good afternoon, everyone. Thank you for joining us for our Q2 earnings call. I hope all of you had a great Diwali celebration and wishing you all the very best for the upcoming festivities and the new year.

Before we dive into company-specific updates, I would like to start with a few comments on the larger macroeconomic environment. In the last quarter, the Indian government took the proactive step of GST rationalization, which, in our view, has already started benefiting the larger consumer sentiment in the country.

On the monetary side, the Central Bank has already delivered a 50 bps rate cut earlier this year. And with the Federal Reserve having commenced its rate cut cycle and rate cut earlier this week. We expect that we will have further benefits of reduced interest rates in the country and thereby incentivize the consumer on to further go ahead with their demand.

Overall, in the country today, we see a positive mood and a direction of travel towards an economy which is resilient and strong in spite of the challenges, which have been seen earlier in the year on account of the friction between India and the U.S. on the trade front. We now expect that, that will be resolved in the near term as has been indicated by the leaders of the

various countries, and that would provide an additional fillip to domestic growth.

In this context, RBI has already revised its GDP growth forecast to about 6.8% from 6.5% earlier, which is noteworthy. We still believe that India's medium-term aspirations on GDP growth is to be higher than these levels of 6% to 7% and our sector, the real estate sector -- we expect that the real estate sector will play a positive contribution to the further scale-up of economic growth in the country.

We have been positively enthused by the steps that the Indian government has taken not just on the fiscal side as well as the monetary policy side over the last 12 months.

But generally, the direction of travel when it comes to improving ease of doing business and encouraging investment. This, we believe, is a very positive sign and augurs well for long-term creation of jobs and wealth in the country.

One factor to, of course, mention is the artificial intelligence revolution, which, over the last 12 to 18 months has gotten increasingly bigger and now one sees a much bigger impact of it starting to play through across the world. While it will lead to changes in the structure of work, it is likely to lead to a significant improvement in productivity and will thereafter in our opinion, provide significant opportunities for agile companies to grow and take advantage of this once in a lifetime change that artificial intelligence is going to bring to our world.

We also believe that this presents an opportunity for India to put itself at the forefront of a global change and make sure that we are making the right investments, whether it comes in the basic building blocks of artificial intelligence, including data centers or looking at value-added services to help

individuals and corporate transition into the new world where artificial intelligence will play an increasingly important role, especially in tasks which are predictable and simple.

And also, to look at significant value-added activities, such as looking at Gen AI and various other applications. So, there is a lot to do, and we think that the economy will have these new legs of productivity in the years to come.

Now coming to our highlights for the quarter. I'm first and foremost, most pleased to inform that we were selected and ranked as one of the top 1,000 most trustworthy companies in the world by the renowned Newsweek magazine. We were the only Indian real estate company in the list and once amongst only 18 real estate developers from across the world who have been

included in this list. As an organization, we play a huge amount of focus on building deep long-term stakeholder relations and this recognition by Newsweek is usually important to us.

In terms of our business performance, we achieved our best ever second quarter presales with presales of INR45.7 billion, which was up 7% year-on-year. With this, our H1 sales stand at about INR90 billion, which is 43% of our full year guidance. And that keeps us on track to deliver our full year presales guidance of INR210 Billion.

Having delivered more than INR40 billion of presales consecutively for the last 7 quarters, we are now expected to move up towards the run rate in the high 50s or low 60s and that would be a significant step-up for our business as we scale up on the back of the strong business development as well as the fact that the environmental clearance issues which had held back approvals in Mumbai City for the last 12 months were cleared in August.

The embedded EBITDA margins for this quarter were at about 32%. This is with the JDA contributing just under 50% of presales, which is higher than our targeted mix of 40% and that shows the resilience of our business that even with a higher contribution from JDA sales, we have the attractive EBITDA margins that we've delivered.

On the price growth, in line with our guidance at the start of the year, we've delivered about 3% price growth for the first half of the year, which puts us on track to deliver about 5% to 6% price growth for the full year, in line with our strategy to keep price growth at below the wage growth and make sure that affordability keeps improving, and therefore, we keep seeing a strengthening of the cycle.

Based on the embedded EBITDA margin of 32%, our pro forma PAT for the quarter is at about INR9.3 billion, implying a PAT margin of 20.3%, and once again, enabling us to deliver the ROE of 20% or thereabouts, which we had already on an underlying basis delivered in fiscal '25.

As far as business development is concerned, we added a new location in MMR this quarter with a GDV of INR23 billion. With this, in the first half itself, we delivered our full year business development guidance of INR250 billion. And therefore, it is quite likely that we will outperform on our full year BD guidance given the significant number of attractive opportunities, which are in the pipeline.

These significant opportunities further indicate that the consolidation in the industry continues to remain robust, not only on the demand side or the consumer side, but also on the supply side, there is an increasing awareness both from capital providers as well as landowners that they only want to partner with the best run, best governed and the strongest brands.

At the end of the quarter, our net debt stood at INR53.7 billion, which is at about 0.25x equity, well below our ceiling of 0.5x. Our overall cost of debt fell by 30 basis points to about 8% at the end of Q2. In terms of the business development for this quarter, I'm most excited to speak to you about the significant opportunity that is now emerging in the field of data center and the larger AI space for our organization.

As you may be aware, about 2 years ago, we started the process of putting together a data center park at Palava and we now have already 2 anchor customers, Amazon Web Services, AWS, as well as STT. In the course of the last quarter, we entered into an MOU with the government of Maharashtra under the Green Digital Infrastructure policy on the basis of which the government of Maharashtra is giving significant incentives to those companies or operators who will be setting up their data centers in this park.

The total benefits to -- or the overall park, which is spread across about 400 acres will be to the tune of over \$1 billion (for ~400 MW capacity) or even higher under this policy. The government of India, of course, has published and circulated its draft of their data center policy. We expect that when this draft is finalized, there will be significant further benefits for the operators who will operate data centers in India, specifically in this park and will lead to a greater amount of interest for the park.

However, beyond the ongoing land sales, the last land sales happened at a value of about INR0.21 billion per acre.

And now with these 2 new policies of the green data center of the government of Maharashtra and the central government draft, our land values are further moving north to closer to \$ 0.3 billion per acre, which will put the value of the existing balance land out of the total of about 400 acres, which has been earmarked for the data center at about INR100 billion.

And we expect that for the next few years, we'll continue to do some amount of third-party land sales to strengthen the ecosystem of data centers and artificial intelligence at Palava. But what's even a lot more exciting is the fact

that over the last 2 years, our teams have been able to put together the most comprehensive infrastructure package that is available to any data center in India and perhaps amongst the very best in the world.

And with the land, the

he permits, the water and the power in place, we are one of the best placed travel-ready locations in the world and can get from start to operationalization in less than 24 months. In terms of the infrastructure, we have almost 3 gigawatts of power availability coming through 5 different EHV lines. We have access to green power. We have access to over 100 MLD of recycled water, which reduces power consumption and costs, and we have very good fiber optic connectivity.

This is augmented by the fact that we have one of the lowest building costs for data centers in the world coming in at about \$6 million to \$7 million per megawatt compared to \$10 million to \$12 million per megawatt, which is currently the cost in the U.S. and Europe. Our power costs are very competitive at between \$0.07 to \$0.08 per kilowatt hour. And we now have the technology in place to deliver a power utilization efficiency of about 1.2 to 1.3, a PUE of 1.2 to 1.3. All these together giving one of the lowest costs in the world. In addition to that, Mumbai is India's largest hub. Almost 50% of India's data center capacity is in Mumbai. And that's on account of the fact that the undersea cable landings are based in Mumbai, and they provide some very good connectivity to different parts of the world, the current latency, which is a time taken for the transmission of data to Europe is at about 140 milliseconds to 150 milliseconds, but that can be further reduced to about 120 milliseconds with investment.

And similar to the U.S., it's currently routed through Europe and has a latency of about 220 milliseconds to 240 milliseconds, but that can be further reduced to about 170 milliseconds. This reduction in latency over time will lead to an increasing attractiveness of India as a location given the lower cost as well as the scalability to do a variety of different activities, for example, AI training workloads to be done in India.

We now have a dedicated team working to capture what else can we do beyond providing the land and the infrastructure, which obviously is usually value additive. But what else can we do beyond that? We are exploring partnerships with entities having strong AI knowledge or network. And we are also looking at models, for example, power shell. To give you an example, a

powered shell can generate an annualized PAT of approximately INR1 billion per megawatt -- sorry, INR0.1 billion a megawatt per annum.

And that kind of upside compared to the land value is very much visible when we look at the fact that each acre of land, which is currently transacting perhaps can transact at about INR0.3 billion per acre, but can accommodate 8 to 10 megawatts of IT power capacity.

And therefore, when one looks at the valuation and the cash flows that can be generated by moving to these higher value-added activities like powered shell, there is a huge, huge opportunity for our organization, given the fact that we already own the land, the power is in place as well as all the other supported policies, the power, the water are all in place, and it gives us a very attractive

entry point to look at what is going to become a key part of the modern world, of the 21st century world's operating infrastructure.

And as India sort of takes a bigger step in the artificial intelligence world, we at Lodha are committed to playing our important and rightful role in this transition and providing world-class infrastructure for use both within India and outside. Moving forward, in terms of our updates, we are now on the townships, our Palava and Upper Thane townships, we are seeing the light in terms of the operationalization of some of the key infrastructure. The Palava -Airoli -Mulund freeway is now very much approaching completion and should be operational next quarter, which will be a huge value leg up for Palava, given the fact that prices in Palava are less than half of those in Airoli.

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And this connectivity will bring a huge new catchment as well as higher prices within the Palava ecosystem. Similarly, we are seeing good progress in the bullet train connectivity from Mumbai to Ahmedabad in which the first station after BKC is at Palava and that should be operational in 2028 or 2029.

And that will make Palava just a 10 -minute train ride from BKC, which would be a fantastic further step -up in connectivity. In addition to that, we have the metro work progressing very rapidly, and we should see operationalization perhaps by 2028. And we also have road connectivity, including the Virar Alibaug Multimodal Corridor which passes through the site now starting to gain traction.

So, all in all, Palava's transition from a lower mid -income location to upper mid -income and premium location is progressing on track, and we should start seeing the benefits of the connectivity from the next fiscal which in addition to

the significant value creation opportunities in the data path also will present a significant step -up for our company in terms of value unlock as well as sales and margin growth starting from next fiscal.

On the same mode of scaling up, we are seeing continued strength of performance in the 2 cities beyond our home market of Pune that we are operating in. As you know, we operate in Pune and Bangalore. Our standard model of starting in a new city is to do a pilot phase, which is the first 2 to 3 years where we invest in building the local team, understanding the local ecosystem, verifying the fact that we can have the same kind of resilience and strength of delivery as well as profitability, and then we scale up.

We are very pleased that our scale up in Bangalore as well as in Pune are continuing strongly. This year, we expect to have about 30% or slightly higher than that of our presales coming from these 2 cities, which is a fantastic position from the fact that when we did our IPO about 4.5 years ago, our total sales from non -Mumbai markets was only 3%. So , we've gone up about 10x in the last 4 years, and that gives an indication of the strength of the brand, and the scalability of our business.

And as we now further move over in 2026 to starting our pilot in NCR, we hope that by covering these 4 major metros, Mumbai, Pune and Bangalore already and the pilot in NCR, we will see a long runway of growth which enables our company to continue to deliver on its medium -term strategy of having the approximately 2 0% annual growth and 20% ROE. Later in this call, we will have my colleague, Mr. Tikam Jain, who is the CEO for Pune, giving you an overview of how the business is progressing there.

Before I conclude, I'll sort of just read through the financial performance for the quarter. Our revenues from operations came in at INR38 billion was up about 45% year -on-year. Our adjusted EBITDA for the quarter was about INR13 billion, growing about 37% year -on-year with an EBITDA margin of about 34.4%.

I'm sure you'll note that our adjusted EBITDA margin is at or above our embedded EBITDA margin that we shared with you every quarter, which shows the conservativeness of how we estimate our embedded EBITDA as well as the fact that the company continues to deliver on converting its sales into profitable margin.

Our PAT for the quarter came in at just under INR8 billion, which was up about 87% year -on-year, and our operating cash flow was about INR14.7 billion. With this, I conclude my remarks, I'll be available for questions after my colleague, Tikam Jain gives you his overview. Mr. Jain, over to you now. Thank you.

Tikam Jain: Thank you, Abhishekji, and good afternoon, everyone. Pune continues to be

one of the most resilient and balanced residential market in India. While IT remains an important driver, the city's demand base today is as far more diversified with automobile manufacturing, defense, education and GCC sectors

all contributing strongly.

This diversification has helped the market grow steadily in recent years. And now estimated at more than INR60,000 crores. Inventory level is also healthy in the market at about a year. The market is becoming more selective with demand gravitating towards larger, well-planned homes and branded developers like us.

Over the past 3 years, we have scaled up meaningfully in Pune from about INR200 crores of presales in financial year '21 to nearly INR2,500 crores in financial year '25. In the first half of financial '26 alone, we have achieved about INR1,400 crores, keeping us on track for our annual targets. Our footprint has expanded to 11 operating projects across all key corridors of the city.

Our focus has been on building a strong organization, the Pune team has grown both in size as well as the capacity, and we have built depth across sales, design, construction, business development and customer service. As a result, we are now the second largest developer in Pune and are confident of becoming the largest within the next 2 years.

For the remainder of this year, we have planned new launches in Pune East and West along with the subsequent phases of our existing projects, we continue to evaluate additional opportunities across the city. We continue to maintain a premium pricing to our peers but one that customers find value and due to our superior designs, quality and unique living experience that Lodha offers.

With delivery of multiple towers and projects slated to start in the coming 12 months, I'm confident people will be able to experience Lodha living. This will further strengthen our brand in Pune. Overall, Pune is a deep end user-led market, and Lodha's growth here remains strong, disciplined and sustainable. Thank you, and over to you, Abhishek, again.

Abhishek Lodha: We can open the Q&A, please.

Moderator: Thank you. The first question comes from the line of Puneet with HSBC. Please go ahead.

Puneet: Congrats on good performance. My first question is on your data center plan. Would you be building speculative products there? Or would you largely build after it is leased out? Or is there an identified data center player.

Abhishek Lodha: Puneet, thank you for the question. As I mentioned in the remarks, we are very enthused by the scale of the opportunity in data centers, given the compelling cost economics as well as the scalability that we see.

Having said that, as I mentioned to you, we now have a dedicated team working to make sure that we put together a business plan to capitalize on this opportunity beyond the land sales and that business plan is currently underway. I hope that when we have our next quarterly update in January, we would be able to give you a much deeper dive into the business plan in this respect.

At this stage, we don't yet have a view on what would be the nature of doing the powered shell, would that only be on a BTS basis or would that be on a speculative basis or perhaps a combination of both of those.

As we've done in other asset classes like warehousing and industrial parks, we tend to go out and sense the market demand, build deep relationships with the consumers of in the space. And then make sure that the investment risk is aligned with the overall demand, but we hope to give you a more specific insight when we speak again in the next quarter.

Puneet: Understood. We'll wait for that. And in your mind, between the data center opportunity and the residential in Palava, which one is giving better return on investment?

Abhishek Lodha: Again, I think it's not that these are not opportunities in the alternative. I think the fact that we have this very high quality and significant land located in such a strategic location with a huge amount of infrastructure build-out and no constraint for us in terms of having to use land in on

or the other is a truly

unique position that we have. And I think we can capitalize and scale up on both those levers. I think the residential scale-up is well underway.

The locations are the part of the overall land that are earmarked for residential are very different from that, for what we've done for data center and allied users, for out of our approximately 4,000 plus acres, only about 400 acres is earmarked for data center. Obviously, this can be further scaled up if the situation would so warrant. But right now, it's only 400 acres, which is earmarked for data center.

And we see that the data center opportunity is additive beyond our residential growth. Our residential growth plans continue to remain at pace. And therefore, whatever comes from data center additionally over time, other than the land sales will be incremental. Just to give you -- and this is very early stage. But if you were to just do a very basic calculation, we have 3 gigawatts of power capacity, which would mean about 2.5 gigawatts of IT powered or IT capacity. And out of that, if you were to just do 10%, i.e., 250 megawatts of IT capacity as powered shell, the annualized PAT from that could be INR2,500 crores or thereabouts. It will, of course, take a few years to get there. But that is the scale of the opportunity. And this is, like I said, additive to and in addition to all the other business that we are doing right now.

Puneet: Understood. That's very clear. And when I look at your average realization trend. It seems to be trending down over the last few quarters. Is it a deliberate strategy to move more towards a mid-income product instead of one being luxury premium...?

Abhishek Lodha: As we've always maintained, we like to maintain a diversified and granular sales mix. We broadly have about 50% of our sales coming from the mid-income segment, which obviously, as you mentioned, is sort of lower in price point. We have about 12% to 15% coming from the luxury segment and the balance coming from the premium segment.

So that's how our business mix is and that's what we like it to be because we don't really want to take a view that only luxury will perform or only mid-income will perform. What we are seeing this year is that mid-income has started picking up on the back of the support from the government, whether it comes in terms of interest rate cuts or income tax cuts or so on. And therefore, perhaps the average blend may shift this year slightly compared to last year. But overall, as we've shared on a like-to-like product, our price growth is at about 3%. And from a mix perspective, because we operate across all these 3

segments, probably the only large developer, which operates across these 3 segments, we may have periodic variations in the average price.

Puneet: Understood. That's very helpful. And last question, if I may. You talked about your NCR strategy. Would you like to outline whether you're going towards Gurugram or Noida or both?

Abhishek Lodha: At this stage, our initial focus is most likely to be in Gurugram, but it does not mean that we do not look at any other part of the NCR, but it's quite likely that we will perhaps start off on the Gurugram side of the NCR.

Moderator: The next question comes from the line of Pritesh Sheth with Axis Capital.

Pritesh Sheth: Seasons greeting to you and everyone on your team. First question is on the weekly sales number that you have put out, roughly INR30 million, if I'm not wrong, per week. How do you see this number trending in second half of this year or later part of the second half whether we generally see improving trend? Or it likely remains similar. Do we expect the bulk of the heavy lifting apart from the non-launch sales will happen from launches that we have lined up in second half? So, your thoughts on that?

Abhishek Lodha: Pritesh, thank you for your question. Just to correct the

numbers, its INR3

billion of non-launch sales. This number is something which we put out because we think it gives a good sense of the run rate and how things are progressing through the year. If you were to take this number and do a multiplication basically last year's full sales, would more or less now come this year from non-launch sales.

This number was obviously lower at the start of the year. It's trending upwards, and we expect it to further trend upwards in the course of the balance part of this fiscal, which really is just a sense of the strength of our brand and the fact that on an ongoing basis every week without doing a big activation or launch. We have consumers walking in, interested in buying and making the decision to buy, which is really why because they are buying on the basis of product and they're buying on the basis of reputation rather than on the basis of an

offer. So that's the position on the non-launch weekly sales. In terms of the second half of the year, out of our estimated sales of approximately INR12,000 crores or INR120 billion, which is expected in the second half of the year. We expect that somewhere between 70 to INR75

billion will come from the non-launch sales and the balance INR40 billion to INR45 billion from launch sales.

Pritesh Sheth: And on this power shell opportunity, if I'm correct, you're looking at least 250 megawatts of development through power shell by yourself. What kind of capex that we think we would have to spend to build? So much, obviously, over a period of time, but just in terms of economics, if you have some initial read through, how much we tend to spend on per megawatt basis? And how probably we'll look to fund this capex, yes.

Abhishek Lodha: Pritesh, it's an important question, but perhaps one which we'll best answer when we speak again in a quarter's time.

As we indicated, just to give you a very early stage numbers because I want to share with you what we know, but caveat it with the fact that we are still deep diving, so we don't have yet a firm answer is that the cost will be between \$6 million to \$7 million per megawatt to build out the power shell.

And that, if you were to say, build out on average 50 megawatts a year, that would translate to somewhere between USD 300 million to USD 350 million of total capex and assuming the fact that you would have about 2/3 debt, 1/3 equity issue is about \$100 million of equity in the balance through debt.

Now obviously, whether we put in the equity, it's very likely that we will get in some partners with us who know the AI space and network in a deeper and better manner than we do at this stage because that's been our trend. We understand an industry gradually and make sure that we have good partnerships to take us through our learning curve.

So, we are evaluating all of those things. But I think what's important from our perspective is that if and I'm not saying we will build 250 megawatts or not, we're not saying we'll minimum build that or not. We're just exploratory, we are just sort of finalizing right now. But if we were to build 250 megawatts, that is, like I said, it's an annualized PAT of maybe INR2,500 crores or higher at today's rates. So that's really telling you how scalable the opportunity is and how significant it could become.

Pritesh Sheth: Sure. You said \$6 million to \$7 million per megawatt. Is that number right? \$6 million to \$7 million?

Abhishek Lodha: USD6 million to USD7 million per megawatt.

Pritesh Sheth: Okay, U.S. dollar.

Abhishek Lodha: INR50 crores to INR60 crores per megawatt.

Pritesh Sheth: Makes sense. So, a PAT yield of roughly 20%.

Abhishek Lodha: It could be slightly within that range, slightly lower than 20%, I would think, but yes, in that range.

Pritesh Sheth: And one last on the Palava residential side, now that this infrastructure is

-- the

key tunnel is getting completed in next quarter or so, what to look forward to from our side in terms of the product offering over next couple of quarters that one needs to follow whether that's happening or not. So just on launches or product offering, et cetera.

Abhishek Lodha: Yes. So, Pritesh, I think in our view, because this tunnel was supposed to be opened maybe 6 to 9 months ago, we have already brought into the market the products that we think will benefit from this connectivity. So, we had the launch of Lodha Opulis at the end of last fiscal. We've launched a new villa project recently.

We've had now 5 sales in our Golf View development, which are close to \$1 million each of apartments. So all of this product is already out there, which we think is a good position to be because the product is already under construction, sales are already happening.

What we expect to see is there'll be some further launches, including at Opulis over the next 12 months. But we also, in our opinion, see much greater traction, much greater contribution to the overall sales mix as a percentage and in absolute terms from these premium category products.

So overall, what I would expect to see in the next fiscal is significant ramp-up in both overall sales because the mid-income will also perform better, but we

would think that the premium will have an outsized benefit, so higher sales coming through from Palava and also an improvement in margins because obviously, these premium segment sales are at a higher margin.

To add to that point, we also expect that the Thane to sort of Bhiwandi connection of the Mumbai -Nashik Highway is also now approaching completion, should be completed either next quarter or definitely before the

next monsoon. And that will also have an equal positive effect on Upper Thane.

So, I would say that cumulatively, our extended Eastern suburbs business should start becoming a significant step -up starting from the next quarter.

Pritesh Sheth: Any number you want to put for this Palava residential out of this INR120 billion of expected presales in second half, how much you are building internally from Palava residential?

Abhishek Lodha: No, I don't have a specific number to give. I don't think that any of the infrastructure will benefit Palava in this fiscal, it will be for next fiscal.

Moderator: Next question comes from the line of Kunal Lakhan with CLSA.

Kunal Lakhan: My question is again on Palava monetization, especially for the residential bit.

So I get it, some of these infrastructure development projects will obviously drive the demand. But on a long -term strategy basis, right, some of the developments that we're doing in terms of, say, data centers, industrial parks and warehousing.

I'm not sure whether employment in these segments would be driving the demand for Palava, especially the fact that we are making it more premium as well as luxury kind of development, data center anyway, it's less human -intensive as such?

So just wanted to understand your long -term strategy in terms of like, of course, relying on the infrastructure development, at the same time, like creating captive demand in Palava in terms of more office development, creating a more social infrastructure, such as retail, hotels and all of that?

Abhishek Lodha: So Kunal, thank you for that question. We see Palava as a location which benefits significantly from its proximity to Mumbai's critical job hubs. In spite of the lack of connectivity so far, the Mahape job hub has played a key role in addition to the Kalyan, Dombivli area in terms of the demand and the scale -up in Palava so far, where we are now close to 250,000 individuals living, just under 50,000 families, which is an amazingly large scale up over the course of the last few years.

The connectivity to Airoli and Mulund will further make -- the way we look at it is what a

re the jobs within a 30 -minute driving distance from Palava . Because that's really ultimately the most convenient location to live in, given its quality of infrastructure, quality of social life as well as schools, health care and so on.

So, what this connectivity is doing is that it is making almost all of Mumbai's key job hubs within that very attractive distance from Palava.

So, like I said, Airoli and Mulund will be within that 30 -minute driving distance next quarter, BKC will be door -to-door less than that time before the end of the decade. And that really makes Palava very, very convenient from our perspective of people working anywhere but living in Palava.

Having said that, we continue to see the fact that now companies are relocating their value -added work activities in Palava . We have Encube pharma having set up their large -scale R&D setup in Palava, and that is already operational. They've built a fantastic facility there. We now have one more large pharma company set up one of its sorts of subsidiary. They've just taken space to set up their subsidiary offices. We've completed one speculative office building of about 400,000 square feet, which we are now starting to lease.

And with this infrastructure connectivity improving, we start seeing that more of these jobs will start coming into Palava. Obviously, other than the jobs, we have 7 operating schools . Jupiter hospital will be operational with 400 -plus beds, their largest facility in the country next quarter. We have world -class sports and a lot of high -quality retail already within Palava.

So we really have put in the building blocks of all these elements already in place. And I think the jobs within Palava are important, but equally the jobs within 30 minutes of Palava are important, and the connectivity is going to benefit both the jobs within Palava because obviously, if it's better connected, it makes sense for people to be locating their offices there, but also the overall fact that Airoli, Mulund and then in a few years, BKC will be very well connected

to Palava.

Kunal Lakhan: Second question was on the business development side. If you look at last year, we acquired projects worth INR237 billion of GDV and our land spend stood at about INR63 billion. In the first half, we have acquired about INR250 billion worth of GDV and the land spend is about INR26 billion, INR27 billion there. So just wanted to understand kind of projects that we have acquired, are there more JDAs here? Or we would see some spill over of land spend happening in second half and subsequent quarters? Just to understand like what kind of land spend we are doing and what kind of projects that we're acquiring?

Abhishek Lodha: Yes. I think that's an important and valid question. Our land spend comprises of the spend, which is done at the time of the acquisition of the land and then also, of course, takes into account any future obligations towards the aligned and approvals related to that land, which come in over a period of time. So obviously, over time, there will be further incremental expense towards this header as the projects move to their phases of development.

In case of JDA, it's a more forward based cash outflow and in case of owned land, it's more front-loaded. In terms of the mix of land that we've acquired in the first half, yes, there has been a higher proportion, if you may, of JDAs. But that's just -- it's not a shift in any strategy.

It just happens to be the nature of the developments of the transactions which have concluded in the first half of the year. You may have read that in October, we acquired a land in Bangalore through the takeover of entity, which is an outright acquisition. So, it just happened to be in the -- October rather than in September. So, you'll start seeing a slightly different mix in this quarter.

Moderator: Thank you. Mr. Lakhan. Please re-join the qu

ueue for more questions. Next

question comes from the line of Abhinav Sinha with Jefferies.

Abhinav Sinha: Abhishek, so 2 questions. Firstly, on the Palava data center land transaction side. So, you mentioned that we're looking at the land pricing move up to about INR300 million per acre. So, this will be like the follow-on phases for the current 2 anchors or are you expecting the new anchors to pay this amount?

Abhishek Lodha: We expect fresh transactions to be closer to the INR0.3 billion or INR300 million per acre number. So what's already agreed or what's already finalized will obviously be at the levels that they have already been finalized.

Abhinav Sinha: And my second question actually is on the sales velocity and it appears that we are a little more launch dependent now or maybe it's perhaps just how this year is pacing out to be. But do you think we go back to being much more even and less launch dependent like we were, say, in the previous 2 years?

Abhishek Lodha: Abhinav, last year, our contribution to sales from newly launched projects was in the mid -30s. And this year also our contribution to sales from the newly launched projects will be around that number. So I don't think that there has been any change in the fact that all just somewhere around 2/3 of our sales come from our projects which are already ongoing as of the start of the fiscal year.

It's just that we've had a very specific circumstance this year where the environmental clearance was blocked for the - preceding 12 months up to the end of Q2. And therefore, you've had more of a bunching. So we are talking about the fact that more sales will happen in H2 because more of the launches have gone into H2.

But overall, the best metric to be looked at is that what percentage of the sales for the fiscal are coming from projects which we're already ongoing at the start of the fiscal and what are coming from those which have been launched during the fiscal, and I think our numbers will be sort of in the early to mid -30s for both last fiscal as well as this fiscal and that's what we expect it to be in future years. And I think that's a very different ratio from most of our peer listed companies where that ratio tends to be much higher.

Moderator: Next question comes from the line of Akash Gupta with Nomura.

Akash Gupta: Sir, just one question from my side. Just your thought on the real estate cycle. The real estate demand has been, I think, quite resilient. And I think better than what many investors were thinking. So where do you think where we are in the cycle right now? And then what are you thinking about on the footfalls and conversions side?

And now that we're also reaching like INR3 billion weekly non-launch sales,

and that's higher than the INR2.5 billion to INR2.7 billion numbers that we saw like roughly 3 to 6 months back. So do you think that this cycle right now is a lot more resilient than the previous cycles?

Abhishek Lodha: Akash, it's a big question. One question, of course, we can have a long conversation over. But in summary, our view which we've been expressing for a few years is that the Indian housing side, India is going through a once in a lifetime transition from low income to mid income. And such transitions, wherever they've happened in large economies in the world, have always we have always witnessed a very long real estate cycle when this transition happens typically in the order of 15 to 20 years.

We think India is also going to have a cycle which is that long. We are only in the year 4 or 5 out of that very long cycle. It doesn't mean that we never have a bad year. We can, of course, have a bad year. But from a more structural perspective, this is a much longer cycle because the level of demand that India needs to produce to meet its housing needs.

It's going to be a long, long time before the supply side can catch up. I think that the

real estate cycle has not even gotten started, it will only get started when GDP per capita crosses \$4,000, \$4,500.

So, we're still a few years before real estate really takes off. This is, I would say - the plane is on the runway. It's not even gotten to its kind of take-off phase, it's just sort of moving along on the runway. That's how we think the cycle is. Yes, sometimes there will be a situation, there will be a backup on the runway. The plane will have to pause for a few minutes or it might be a few quarters in this context. We have many years ahead on the cycle in our view.

Akash Gupta: And sir, just one question on the launches. Last time, our launches were more phased out through the year. Now they have bunched up towards the second half. So is this mostly due to the Thane, because the Thane launch got pushed to the second half. Is that the only reason?

Abhishek Lodha: No, I don't think there is any specificity of the Thane launch. The reason is what we've articulated earlier, that the environmental clearance process for Mumbai. It was a nationwide order, but it most impacted Mumbai, was basically stalled for almost a year from last August to this August, and that's led to most of our Mumbai launches getting pushed out. And that's the reason why the second half is heavier on launches than has usually been the case where we also prefer a much broader and more spread-out system, and we hope that we'll be back to that from next fiscal.

Moderator: Next question comes from the line of Gaurav Khandelwal with JPMorgan.

Gaurav Khandelwal: I wanted to understand the embedded EBITDA margins better. So when you think in terms of new projects, what is the calculation for embedded EBITDA margins on your own project versus compared to JDA project? That's the first part. And then the second part is, eventually over time, if we diversify away from MMR, will these embedded EBITDA margins start to come down? Those are my questions.

Abhishek Lodha: First let me explain how embedded EBITDA is calculated each quarter. It is the actual sales price of that quarter. So, there is no projection in that number. And then taking into account the actual land cost, which is known, the actual approval costs, which are known, the sales and marketing cost, which are pretty steady as a percentage of sales for us. And the only projection in that is the construction cost.

And the construction costs, we have a fair amount of contingency built into our construction cost estimates. And therefore, the actual EBITDA in our P&L tends to be higher than the embedded EBITDA. You're right that Mumbai is India's most profitable market, it is also India's deepest, largest market in revenue term, but also, it's the most profitable market.

And we do see that margins in Mumbai are about 10% better. So, if margins in Mumbai are x, margins in the rest of the country are probably 0.9x. So, Mumbai margins in Mumbai are about 10% higher than those in Pune or Bangalore.

In terms of your question on this current contribution, this current quarter performance of about 32% of embedded EBITDA, our own land had an embedded EBITDA of about 37%, 38% and the JDA, the joint development Project had a contribution of about 27%. That typically is the delta, about a 10 - percentage delta between the embedded EBITDA margin of owned versus JDAs.

Moderator: Next question comes from the line of Biplab Debbarma with Antique Stock Broking.

Biplab Debbarma: So, I have just one question. How do you view the residential prospects of Palava city once full-scale infrastructure, including, say, bullet train and all the upcoming road infra becomes operational? Given significant supply concentration in Palava, do you think that this demand for Palava will be coming from the shift of demand from Thane, Mumbai, Navi Mumbai or will it primarily capture peripheral demand?

I mean I'm just wondering, like

is it a family contemplating to buy an apartment in Thane and Ghatkopar or South Mumbai would find Palava at 30 mins or say people in Kalyan, Boisar or Panvel would find Palava at 30 mins distance, once all this happens? That's my question.

Abhishek Lodha: Thanks, Biplab, for your question. Our view is that Palava and Upper Thane will attract demand from across the larger Mumbai Metro region as these connectivity points come in as I described in response to an earlier question, consumers are most comfortable traveling about 30 minutes from their place of work to home. And that gives a huge opportunity for Palava as this connectivity brings more and more places within that travel distance. We expect that we will see in the near term a buyer from the Airoli, Mulund belt gravitate towards Palava and from Thane gravitates towards upper Thane as the 2 pieces of connectivity become operational in the next quarter or

thereabouts. And so, you should see a big benefit upside of that in the number for the upcoming fiscal '27.

And then as further connectivity comes through the metro rail, which connects you to greater parts of Kalyan and Navi Mumbai will start seeing that benefit, then the bullet train from BKC, which will make a huge difference because there is so much work that is being created in the BKC area.

And what we understand is that the Maharashtra government is going to have great connectivity to the bullet train station in BKC from the rest of Mumbai. So you'll have the metro getting there, you'll have road getting there. And so Palava in that sense, it's not only going to get connected to BKC, but will get connected to the larger South and Central Mumbai part also because of the importance of the bullet train. So, we expect that demand will come from across Mumbai to Palava and Upper Thane.

And to give context. For example, the scale of the housing market in Mumbai by the end of the decade, will be roughly about INR235,000 crores and we expect sales in Palava and Upper Thane by the end of the decade to be in the range of about INR8,000 crores. So it's about a 3.5% market share of the larger Mumbai market that we expect Palava and Upper Thane to have.

And I think we find that to be quite achievable given the connectivity, but combined with the product quality and the quality of life whether it's all the factors I mentioned earlier or the better air quality, the green cover, social infrastructure, health care, schools, everything.

So, if people get great quality of living at prices which are better than that in the other suburb, and they don't have to travel long distances to get to work. We think it's a really compelling value proposition. To contrast it, Gurgaon is probably right now more than 50% of the NCR market and we are telling you that at the end of the decade, Palava and Upper Thane will be 3.5% of the MMR market. So, you can see the scale of the opportunity versus where we currently are projecting things to be.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. We have reached the end of question-and-answer session. I would now like to hand the conference over to Aayush Raghuvanshi, Co-Head of Investor Relations for closing comments.

Aayush Raghuvanshi: Thank you, everyone, for joining the call. I hope we've been able to answer all your questions. If you have any further questions or need any clarifications, you may connect with the Investor Relations team. Once again, thank you all for joining.

Moderator: Thank you. On behalf of Lodha Developers Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Feb 2026

February 3, 2026

BSE Limited

Scrip Code: 543287

Debt Segment – 976262, 976764, 976895, 976923, 977163, 977293

National Stock Exchange of India Limited

Debt Segment

Trading Symbol: LODHA

Dear Sirs,

Sub: Q3FY26 - Earnings Call Transcript

Ref: Intimation under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended ('Listing Regulations')

Pursuant to Regulation 30 of the Listing Regulations, we enclose herewith a copy of the transcript of the Company's Q3FY26 Earnings Conference Call held on January 29, 2026. The transcript is also being uploaded on the Company's website i.e. www.lodhagroup.com under the Investor Relations section.

Kindly take the above information on your record.

Thanking you,

Yours faithfully,

For Lodha Developers Limited

(Formerly known as Macrotech Developers Limited)

Sanjyot Rangnekar

Company Secretary & Compliance Officer

Membership No. F4154

Encl: as above

"Lodha Developers Limited

Q3 FY 2026 Post Results Conference Call"

January 29, 2026

Management: Mr. Abhishek Lodha : Managing Director and Chief Executive Officer – Lodha Developers Limited

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Mr. Sanjay Chauhan : Chief Financial Officer – Lodha Developers Limited

Mr. Shaishav Dharia: Whole time director and Chief Executive Officer - Extended Eastern Suburbs, Thane & Annuity Assets – Lodha Developers Limited

Mr. Chintan Parikh – Co-Head of Investor Relations – Lodha Developers Limited

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Moderator: Ladies and gentlemen, good afternoon, and welcome to the Lodha Developers Q3 FY '26 Earnings Conference Call. As a reminder, all participant lines will remain in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing star then zero on your touchtone telephone. Please note that this conference is being recorded. I will now hand the conference over to Mr. Chintan Parikh, Co -Head of Investor Relations, for opening remarks. Thank you, and over to you.

Chintan Parikh: Thank you, Ryan, and good afternoon, everyone. Welcome to Lodha Developers Q3 FY '26 Conference Call. Today, we have with us Mr. Abhishek Lodha, MD and CEO; Mr. Sushil Kumar Modi, Executive Director, Finance; Mr. Sanjay Chauhan, CFO; and Mr. Shaishav Dharia, Whole -Time Director and CEO for Extended Eastern Suburbs, Thane, and Annuity Assets.

Now I would like to invite Abhishek to make his opening remarks. Over to you, Abhishek.

Abhishek Lodha: Thank you, Chintan. Good afternoon, everyone. Wishing all of you a very Happy New Year. Thank you for joining us today. Before I get into company - specific overview, a quick context of where we are in terms of the Indian economy and the industry.

Over the last few months, we've seen a clear focus from the Indian Government to improve the economic outlook. Whether it is with the GST cuts or many other measures, including the recently signed trade deal with the EU, the Indian government is focused on ensuring higher levels of economic growth and job creation in our country.

This is an important and positive development, both for the larger economy as well as, in particular, the real estate sector. This is reflected, of course, in terms of the GDP growth numbers that we've seen from India in the course of the last few quarters and also the outlook that various important institutions are suggesting for India's GDP growth going forward.

A modest area of concern is the fact that inflation is quite low, and therefore, nominal GDP growth has been much lower

than in previous years. However, we believe that as the overall economic momentum picks up, demand impulses will also strengthen in the economy and inflation will find a reasonable level going forward.

We look forward to the union budget, which will happen this weekend, and are hopeful that there will be further impetus given to India's growth journey. In context of the housing market in India, we continue to see, in the markets that we are predominantly operating in, i.e., Mumbai, Pune and Bangalore, that the demand from end users for good quality product from the top brand continues to remain robust.

We see that the economic activity in terms of job creation as well as likely wage growth for the upcoming fiscal year is also likely to remain quite strong.

Overall, while there are some challenges of being in the fifth year of a growth spurt in the real estate market, we find that the overall outlook continues to remain constructive.

Now coming to the highlights of the quarter from the company's perspective. We achieved our best ever quarterly presales performance in this quarter with INR 56 billion, growing more than 25% year -on-year. With this, our 9 -month pre-sales stands at about INR 146 billion, which is 70% of our full year guidance, and we remain on track to deliver our presales guidance of INR 210 billion for the year.

It is important to highlight that this is the first time that the company has crossed INR 50 billion in quarterly pre -sales and also highlight that the performance in Q1, Q2 and Q3 has been the best ever for those respective quarters, and that

shows the underlying strength of the brand as well as of the markets that we are operating in.

The embedded EBITDA margin for the quarter was approximately 32%. This has been achieved in spite of very modest contribution from land sales in this quarter, which reflects the strong underlying profitability of the business.

So far, for the 9 months of the fiscal year, we've delivered 4% price growth on a YTD basis, and we are on track to deliver the 5% to 6% price growth for the full year, which is in line with our strategy to have disciplined price growth below wage growth and to keep making sure that affordability is strong and getting better.

Based on the embedded EBITDA margin, our pro forma PAT for the quarter is approximately INR 12 billion, and that implies a PAT margin of approximately 21% and an ROE of approximately 20% on a TTM basis, very much in line with our medium-term outlook of approximately 20% ROE.

I would like to highlight that this quarter, we added about INR 340 billion worth of GDV through business development of new projects, including 2 projects in our pilot phase in NCR. With this, we are approximately reaching almost INR 600 billion of GDV added this year, and that gives us significant long-term visibility of growth.

Our overall pipeline of projects which we can develop in the next 5 years is now approaching more than INR 2 lakh crores and this is in addition to the significant land bank that would be developed post 5 years in Palava and Upper Thane.

This gives us not just visibility of where growth will come from and the fact that the growth is visible across the different markets, but it also gives us the ability to significantly improve our cash generation over the next few years, because the incremental land investment that we may need to do may be much more modest.

Our performance in this business development suggests and underscores the ongoing consolidation within the sector, not just on the demand side, but also on the supply side, especially in terms of joint development. Landowners today are far more discerning in their choice of partners, prioritizing transparency, integrity, execution capability and speed of monetization.

In spite of this very significant investment in business development land, our net debt stood at about INR 61.

7 billion, which is 0.28x equity, well below our ceiling of 0.5x. Our average cost of funds for the quarter stood at approximately 7.9%, down 10 bps for the quarter.

For this quarter, I'd also like to reflect on our expansion into the NCR, the National Capital Region of Delhi, Gurgaon, Noida and surrounding areas. As we've noted in the past, our entry into any new market follows a 2-step process. The first stage being the pilot stage, wherein we focus on starting a limited number of projects ideally on a capital-light joint development model, learning about the marketplace, building a strong independent team on the ground and showcasing the product differentiation and service differentiation that are the hallmarks of the Lodha way of real estate.

Once we are able to do this and establish that the market is right for us, both from a brand as well as a profitability perspective, we can then scale up in what we call growth phase. We saw this in Bangalore over the last 3 years, wherein we were in pilot phase for approximately 2.5 years.

And now in the first year of growth phase, we expect that full year sales from Bangalore will be in excess of INR 25 billion, and that showcases how scale-up can happen pretty quickly in a new market once we lay the initial grounds in the pilot phase.

Since the pilot phase in Bangalore has been completed and now, we are in growth phase, we are now starting the pilot phase in NCR. We have signed up 2 locations with a total GDV of about INR 33 billion, and we expect to start the sales of this project over the next 12 months. With this, we are able to reach about 80% of the home sales by value by being in the 4 markets of the Mumbai Metropolitan region, Bangalore, Pune and NCR.

As we scale up and the business continues to perform well, we equally continue to remain focused on the Do-Good part of our Do Good, Do Well philosophy. We, in this quarter, made a number of contributions in further giving back to society through the Lodha Foundation. We have intensified our

decarbonization efforts across the board, including materials, energy and design.

We hosted in this quarter a steel decarbonization convening in collaboration with RMI India and BMTPC to mobilize a buyer's coalition and assess market readiness for low -carbon steel. In parallel, we launched a pilot program to evaluate battery energy storage systems aimed at maximizing the efficiency and reliability of our renewable energy power supply.

We published a comparative study on embodied carbon across building heights, establishing a critical benchmark to inform low -carbon choices in the Indian real estate sector. This quarter, we were once again ranked amongst the top 100 Great Places to Work in the nation with more than 2,000 companies participating, and this was the highest ranking amongst the real estate companies.

Under our Lodha Genius initiative, we launched a new collaboration with IISER in Pune, which again focuses on identifying strong talent, especially around STEM, and grooming them to achieve their fullest potential. For 75 slots, there were more than 2,000 applicants, which showcases the desirability of this program that has been built up over the last 3 years.

Through our Unnati Program, we continue to partner with the most needy families across the communities that we operate in, and more than 2,000 families currently receive support under the Unnati Program to improve their livelihood.

The Lodha Mathematical and Sciences Institute successfully concluded its inaugural thematic program with more than 50 researchers from across the world. The program was led by Fields Medalist, Dr. Manjul Bhargava, and the institute is led by Dr. Kumar Murthy, who was formerly the Director of the Fields Institute.

Finally, we now manage over 60 million square feet of green certified buildings and have renewable PPAs exceeding 10 megawatts. In terms of

additional

performance updates, our collections for the quarter came in at about INR 35.6 billion, which is down by 17%. This reflects the fact that in the same quarter last year, we had significant proceeds from sale of land.

And therefore, we had higher collections in the last quarter. We remain focused now to further significantly improve our collections profile, and you are likely to see a significant pickup in collections over the next 12 months. In this quarter, we launched new projects with estimated GDV of about INR96 billion and have a strong launch profile of over INR120 billion of launches for Q4.

I'd like to now highlight about our large landholding, what we call our Extended Eastern Suburbs portfolio of the townships at Palava and Upper Thane, which represent a key strand of value creation for our organization. The infrastructure connectivity at both these locations is now approaching full completion, and we expect operationalization of the Palava -Airoli -Mulund Freeway to happen in the next 3 to 4 months.

And similarly, the Mumbai -Nashik Highway, which connects Upper Thane, the last leg of that will also likely to be operational in the next 4 to 5 months. With this, we see a significant upgradation in the connectivity profile of these locations. And given the other strengths of the quality of development, social infrastructure and various other measures, we expect that the next 12 to 18 months will see significant uptick in both perception as well as sales in Palava and Upper Thane.

The recent inauguration of the Navi Mumbai International Airport will be another reason why Palava will further move up in the context of Mumbai's most desirable suburbs. The bullet train project, which connects Palava to

BKC, is rapidly progressing, and we expect that the connectivity from BKC to Palava, a single stop, will be less than 20 minutes before the end of this decade once the bullet train is operational.

In context of these infrastructure upgrades and the large landholding of about 4,000 acres that we hold in these locations, we have been focusing on the residential side on consciously premiumising the location. We have launched various projects, including landed villas as well as mid -rises and high -rises,

which are at a price premium of up to 50% compared to the existing mid-income locations.

And we expect this upper mid-income and premium segment to contribute almost 50% of sales in Palava by the end of the decade compared to about 20% in fiscal '25, which will both lead to expansion in value, but also expansion in the underlying margins. At Palava, we continue to progress in a significant manner on building one of India's largest and most significant data center parks.

With almost 400 acres of land and about 3 gigawatts of power earmarked for it, arrangement and MOU with the government of Maharashtra under its green data center policy, which leads to significant benefits for occupiers in this location, and given the overall demand growth for high-quality data centers, especially in the Mumbai region, which is the financial services hub of the country, and also hosts most of the large corporates, we find that demand for data centers is growing and accelerating.

We already have 2 anchor customers, Amazon Web Services, AWS, as well as STT, which is a Temasek subsidiary, who are progressing work on their data centers at this location. We expect that we will have additional colo or hyperscaler players sign up for this location in the course of the next 12 to 18 months.

Additionally, as part of our strategy, we also expect that we will be starting construction of build-to-suit boxes for end users and have that to generate long-term rental income for our company in the years to come.

In terms of the underlying land value, while the last transaction for the data center land happened at about INR 21 crores per acre, we now expect that

land values will move up in a gradual but consistent manner. And over the next 3-odd years, we expect the number to be reaching as high as INR 50 crores to INR 60 crores per acre.

My colleague, Shaishav Dharia, will provide more detailed overview of this opportunity later in this call. Before I conclude, I'll just highlight, we have, since April 2023, been on the percentage completion methodology of revenue recognition, and we expect over the next 12 months that we would have fully transitioned to the percentage completion methodology of revenue recognition. In terms of our performance for this quarter, our revenue from operations came in at about INR 46.6 billion, which is a growth of approximately 29% year-on-year. This excludes any impact of the lumpy land sales which happened in Q3 of fiscal '25. Our adjusted EBITDA came in at INR 14.9 billion, which is a growth of approximately 23%. The adjusted EBITDA was approximately 32% for the quarter and the PAT for the quarter was approximately INR 9.5 billion. In terms of our guidance for the rest of the fiscal, as I mentioned earlier, we remain on track to achieve our guidance of approximately INR 210 billion of presales for the full year with an embedded EBITDA margin of approximately 33%, and therefore an ROE on a pro forma basis of approximately 20%. We've already met and well exceeded our business development targets for the year. And therefore, that gives us a lot more bargaining power as we evaluate other opportunities, and also gives us the opportunity to further strengthen our balance sheet in the next few quarters. And on net debt, we, of course, continue to remain very disciplined to remain well below our ceiling of 0.5x net debt to equity, and we are hopeful that we will further moderate this ratio in the coming few quarters.

With this, I now hand over to my colleague, Shaishav Dharia, Whole-Time Director and CEO of our Extended Eastern Suburbs business and the Annuity Assets, to speak about the data center opportunity in greater detail. Thank you.

Shaishav Dharia: Thanks, Abhishek. Can everyone hear me?

Moderator: Yes, please go ahead.

Shaishav Dharia: Yes. So, I think as Abhishek said, this has become a very significant opportunity for us. We had started work, as we've described earlier, almost 5 years ago to where we have reached today, where we earmarked 400 acres of land with approvals already in place, and believe based on all the work and effort we've been able to put in, we have probably the most reliable infrastructure for an AI data center in the country today.

Around 3 critical elements: One, land with approvals. Second is the most reliable power network. Most locations struggle with power or the quality of

power. Here, the ability to provide 3 gigawatts of power from 5 different circuits, it's probably the only such location in the country, providing significant reliability, almost at a Tier 4 DC level, which is the highest in the world. Thirdly, a critical element of a data center is how do you get sufficient amount of water for the cooling towers, which cannot be potable.

We have advanced progress to secure almost 100 million litres of water from a nearby industrial park, which dramatically reduces the cost and improves efficiency of cooling for any AI data center. And lastly, more than 5 optic fibre routes, which can scale up to potentially 10. So, all of this has made this infrastructure of the data center park amongst the most reliable.

Last year, in September, we signed the Green DC Park MoU with the State of Maharashtra, which gave us significant benefits. Based on the progress we were making and in alignment with the vision of the state, we were comfortable to expand it, as Abhishek explained, from INR 30,000 crores to an incremental INR 100,000 crores.

So totally INR 130,000 crores between Lodha and all the clients and their own equipment within the

data center park. But with this, we obviously got significant fiscal and monetary benefits that Abhishek talked about. So potentially, clients today can see a capex reduction in setting up a data center by up to 15%.

So, if you take what we call a turnkey data center, which is basically a powered building with just the cooling towers and the chillers, forget the chips and the servers, what globally costs about \$8 million to \$12 million per megawatt, we can probably now in Palava get it down all the way to \$6 million.

Secondly, the operating cost, which is primarily driven by electricity, because of this MoU and the Green DC policy, we can reduce operating costs by up to 30% for clients. And more importantly, they can now source 90% of their power from green renewable sources.

So, the 2 negatives of a data center's not being environmentally friendly, both in water as well as in power, we've taken care of. More importantly, power cost can be approximately \$0.06 per kilowatt compared to \$0.10 to \$0.12 per kilowatt currently in the U.S.

A lot of this was actually after we signed our first 2 clients, Amazon Web Services and Singapore Telecom. So of course, because of all of this, we started seeing even more significant demand both for, what Abhishek said, land, powered land, or a build-to-suit solution, because in many cases clients want to accelerate their development.

And we believe getting up to that INR50 crores to INR60 crores per acre over the next 3 years is very much possible on the land side, and creating a very sizable business through the powered shells on rent can be another significant income creator for us.

So let me stop there and see if there are further questions.

Moderator: Sir, should we begin with the Q&A session?

Abhishek Lodha: Yes.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question-and-answer session. We take the first question from the line of Akash Gupta from Nomura.

Akash Gupta: Congratulations on a great performance. Sir, my question is primarily related to your thoughts around the demand in Mumbai. How are you seeing the footfalls and conversions right now? And has that view changed from the beginning of the year when we were thinking about footfalls and conversions?

That's my first question.

Abhishek Lodha: Akash, thanks for your question. In terms of where we see the demand environment in Mumbai and in terms of footfalls and conversions, let me sort of split demand into its 2 component portions, because I think your question is related to both, which is supply as well as demand. On the demand side, we see footfalls and conversions remaining steady through the course of the last few quarters and in line with what we would have expected at the start of the year.

On the reasoning for it, because one hears about the fact that there is, in pockets of Mumbai, lots of redevelopment happening and therefore, the fact that oversupply could be happening in pockets. I think it really is underlining the fact that our sales performance as well as these walk-ins and conversions are all driven by the strength of the brand and the execution capability to deliver good quality product on time.

We believe that while there are pockets of oversupply in Mumbai, the demand for the kind of product that we do and the lifestyle standards that we offer is really strong. And we expect that this consolidation in the marketplace of the better -quality product and the best brands winning out is likely to continue.

Akash Gupta: Okay. So, my second question was on the growth expectation for the next 2 years. We have done very strong BD of roughly INR 600 billion along with an inventory of roughly INR 450 billion. Is it reasonable to expect a similar level of growth rate or roughly 20% CAGR over the next 2 years, similar to the past year?

Abhishek Lodha: Ryan, can you hear the question? At our end, we are see

ing the voice
breaking.

Moderator: Akash, I would request you to please join back the queue as your audio is not clear to the management.

Akash Gupta: Understood. Thank you.

Moderator: We take the next question from the line of Puneet Gulati from HSBC.

Puneet Gulati: My first question is, if you can talk a bit about how are you thinking about potential construction -related issues given that everybody is ramping up construction and there is noise around slowness in construction activity. What are you doing in terms of technology or any new construction methodologies that you're looking to employ?

Abhishek Lodha: Puneet, that's an important question and one which we are very much focused on. While technologies, the use of not just construction technologies, but also digital technologies as well as also use of AI are all kinds of things that one does, it really fundamentally goes down to having a base of vendors and contractors who are aligned to support your growth plans, because you have good strong relationships with them, and their willingness and ability to pay the labour force the fair wages.

These are the 2 areas where most of our focus is on and that enables us to make sure that we are delivering our projects within the time lines as we have specified in our agreement, sometimes with delay of a few months, but always very close to the time line stated in the agreement.

So, we measure our success in terms of the percentage of units which are delivered within 6 months of our agreement stated time line, and we are able to do a very, very high percentage in that time line, which really is the end proof of the construction capabilities.

Puneet Gulati: Okay. That's helpful. And secondly, in your opening comments, you talked about increase in collections into the next few quarters. Can you talk a bit about what's really changing, which will allow you to increase the pace of collections?

Abhishek Lodha: Yes. I think the sales momentum for this year, as you know, has been sort of more concentrated in the second half. And as a consequence, the overall collections for the full year will be lower than our initial estimate, because obviously, the collections follow a cycle from when the sales is done.

I think the combination of the sales step -up this year, but more importantly, the significant focus that we put on construction starting from on improving our construction efficiency will drive the pickup in sales. In the last 9 to 12 months, we had a significant impact from the environmental clearance issues, which held up the construction, affecting our collections.

With that issue now having been closed and resolved, we are quite focused on making sure that we make up for some of that lost time and therefore, also the collections step up as the construction speeds up.

Puneet Gulati: Okay. That's very helpful. And lastly, on your Palava and Upper Thane, you talked about potential 4,000 acres, of which you now want to allocate 400 acres for data center. Would it be fair to assume the rest is now for residential? Or do you also have plans for warehouses and office space there?

Abhishek Lodha: So Puneet, we have land which is zoned for multiple uses therefore, we allocate basis the market's demand and the best value use. Currently, the 2 best value use are residential, including ancillaries. So residential includes things like retail or health care or even office space, which we all sort of see as urbanization, which is residential led. And the second significant use case is data center. So those are the 2 that we are most focused on.

Other than the warehousing part, which is already under development, we

don't expect to do more warehousing at this location, just given the underlying land values are not supportive of warehousing at this location.

Moderator: We take the next question from the line of Kunal Tayal from Bank of America.

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Kunal Tayal: A couple of questions from me. First one, Abhishek, an often -asked question these days has been that as you're looking at some cool off in the pace of price increase in the sector, but the land values have probably stayed stubborn...

Moderator: Kunal, are you there?

Kunal Tayal: Am I audible now?

Moderator: Yes, please go ahead.

Kunal Tayal: Okay. Great. So just to repeat my first question, Abhishek, and this has been an often -asked question, we have seen that as the pricing trajectory in the sector has faded some bit and land prices have arguably stayed stubborn, could the next set of project s that are being signed up have lower profitability versus the last 3 years?

So, do you see any growth in that sort of an assumption? And second associated question is, is it comfortable to assume that your intended pricing strategy of 4 to 5 years should continue into the next few years as well?

Abhishek Lodha: Kunal, very important questions regarding the industry's economics. As we've often stated, our focus has been on having modest price growth below wage growth. And therefore, this 5%, 6%, 7% price growth level, that is a deceleration for many other of our p eers, is really the price growth that we've targeted and have delivered over the last few years.

In terms of the value and the profitability of land, we, on the contrary, believe that given the land business development that we've already done and the very disciplined model of underwriting for land that we follow, which is driven by our target return metrics, not driven by trying to aggregate GDV or anything like that, we actually believe that going forward, the land market will turn more favourable to us given our scale, our balance sheet as well as our ability to command a premium in the marketplace.

So obviously, as the market was getting sort of good for everybody in '23 and '24 and part of '25, you had a lot more competition for land. We maintained our discipline. We did what we had to do, but always at the margins that we target. And now as some o f this froth sort of is let off, we'll probably get more opportunity in land.

Having said that, our focus will remain on generating higher cash flow and even further strengthening our balance sheet, because we, as I mentioned in my remarks, are sitting on very significant available supply, almost INR 2 lakh crores of GDV available for us to sell in the next 5 years.

Moderator: We take the next question from the line of Abhinav Sinha.

Abhinav Sinha: Abhishek, first question on business development. We have seen a big spurt this year. So how do you plan next year? Or are you looking to moderate the pace?

Abhishek Lodha: Abhinav, as I alluded in some of my earlier responses, we have front -loaded business development, and that will give us the opportunity to be more profit focused when we do newer business development. And hopefully, that is margin enhancing. The other side of the same coin is, we probably are not going to spend as much money on business development in the next 24 months as we've done in the last 24 months. And therefore, hopefully, we are further strengthening our balance sheet over this per iod.

Abhinav Sinha: Okay. Secondly, a question to Shaishav. Shaishav, on the data center side, so when you're talking about power shell or turnkey, will you wait for a client signing before you start work here, or we are looking to start work immediately? And what is the cost ing going to look like?

Shaishav Dharia: Yes. I think we would basically be looking at discussion with clients because ultimately, the specifications are quite specific to a client. So , we would be pursuing that route before we start the build -to-suits.

Second is on the costing, again, it's very client dependent. But what's, I think, important is, India in general is competitive on the capital side, but with the MoU signed and the benefits, the ab

ility is to ensure that the overall cost reduction comes down by 15%.

So, as I said, our turnkey today with the benefits can come down to maybe \$6 million per megawatt, which is much lower than what used to be our global standards of \$8 million to \$12 million per megawatt.

Abhishek Lodha: Our model is focused on building the power shells on a BTS basis, and the cost for the power shell will approximately be at about INR 3 million per megawatt, including the land value.

Abhinav Sinha: Okay. That's very helpful. And maybe...

Moderator: Abhinav, I would request you to please join back the queue for follow-up questions. We take the next question from the line of Murtuza Arsiwala from Kotak Mahindra.

Murtuza Arsiwala: Just 2 questions on my side. The base year, which is FY '25, had a lot of land sales that also bumped up the collections. We've not seen the same kind of traction at least in the 9 months on land sales. Is there anything that could be in the offing in the fourth quarter, or maybe this is not the year which you have the bumper land sales?

Also on the collections, the drop, is it largely attributable to the base quarter having a lot of land sales? Or is there some moderation in execution this quarter, because of which maybe milestones were not reached? Anything to read on that in that direction? Or it is just we are comparing the year-on-year where there was a lot of land collections and this year, there's just not?

Abhishek Lodha: Murtuza, in terms of whether we'll have significant land sales in this quarter or not, very difficult for us to forecast that. There are ongoing transactions and discussions in relation to land sales. But when they will fructify, we'll only know when it happens. So maybe this quarter, maybe next quarter, unknown.

In terms of the causes why the Q3 collections are 17% lower on a Y-o-Y basis, the land sales component is one significant component of that. And the second is what I had mentioned earlier that the environmental clearances for the stalled locations only started coming through towards mid-November and onwards.

So, restarting construction, remobilizing labour and then getting the construction done and raising the demand, that all is a cycle; So, we lost on a few locations on account of that. But that's behind us now, so it's fine.

Murtuza Arsiwala: Just as a follow-up, there is a remark in your presentation on the OCF guidance. Is there still a chance that you could meet it? Or you think you'd probably be more around the INR 70 billion mark as opposed to the INR 77 billion previously? Could you play catch up in fourth quarter or...

Abhishek Lodha: Murtuza, at this time, we think that it is the INR 70 billion that we are looking to. Like I mentioned, some of the delays on account of the environmental clearance and some other factors have pushed things out by 4 to 6 months. So that has some impact on the OCF generation. So we will probably be at the INR 70 billion plus/minus 5% number, not the INR 77 billion.

Moderator: We take the next question from the line of Pritesh Sheth from Axis Capital.

Pritesh Sheth: Yes, a couple of questions. So first one on how do you read this quarter's performance, because most of the sales came from, I would say, a couple of projects concentrated in one market, which is not generally how we obviously operate. It's more driven by sustenance and regular sales across markets. So first one on that.

And second, on the business development side, while we had a good year, but again, most of the projects are concentrated in South Central. Was it just a conscious effort to build that pipeline? Or we are probably looking directionally towards where demand is stronger and hence, focusing on those markets. So, your thoughts on that, yes?

Abhishek Lodha: Pritesh, in terms of our sales mix, as I've mentioned in previous calls, we look at 2 metrics, the sales coming from

from our non-launch weekly sales and then, of course, those coming from launches. Our non-launch weekly sales at about INR 3 billion per week were quite consistent throughout the quarter, except for the last 10 days, where because of Christmas, things slowed down.

And that was distributed, of course, widely. The launches that we did in this quarter were more focused in South Central Mumbai, and therefore, the residual value beyond that INR 36 billion, INR 37 billion came largely from the launches in South Central Mumbai.

In terms of your question on business development, obviously, we look closely

at where we find the pockets of demand combined with the margins that we target. And that combination influences the transactions that happened. Obviously, there is some element of what closes in a given quarter in these numbers. So, I won't read too much into it. But yes, we are sort of widely distributed in terms of our available supply of land and product to construct across a large swath of the market.

Pritesh Sheth: Sure. And just one last, if you can elaborate this large project that we have signed up this quarter, almost INR 20,000 crores, 2 million square feet, INR1 lakh per square feet kind of a rate on the saleable area. So just you can put some thoughts on what the project is about?

Abhishek Lodha: Yes. So Pritesh, I think there is some misunderstanding in terms of your assessment of the value being INR 1 lakh a square foot on saleable. It is over the life cycle, INR 1 lakh a square foot on carpet area, not on saleable. And the location of that project is at Worli next to 360 and Beaumont.

Pritesh Sheth: Sure. In presentation, it was mentioned 2 million square feet saleable area and INR 21,000 crores. No worries, I'll get that clarification separately.

Moderator: We take the next question from the line of Parikshit Kandpal from HDFC Securities.

Parikshit Kandpal: Congratulations on a decent quarter. So, my question is, are you seeing any signs of elongation in the sales cycle? I mean you did mention that footfalls continue to remain consistent. So, any colour on the clients taking some more time to decide closure, or the pace continues to remain same?

Abhishek Lodha: Parikshit, the answer, I think the same similar question was asked in a different mode. So, so far, we've seen that conversion rates, which is really a different way of measuring the duration to convert, have remained pretty steady. So, we haven't yet seen that there is any downward pressure on that.

Parikshit Kandpal: Okay. And second one is on the embedded margin. So, we have seen a substantial jump in commodity prices of late. So, any colour on your historical embedded margins? Do you see any pressure on cost side, which may result in margin contraction as these projects come for revenue recognition?

Abhishek Lodha: So far, the increase in commodity prices, and we publish the data pretty regularly about the overall construction cost base that we have, the increases primarily around copper and silver have very little impact. We have very little sensitivity to those two categories in our overall construction costs.

Probably less than 1% of our construction cost is exposed to both of those elements. So, while the key commodities that sort of our costs are driven by, including steel and cement, have been quite reasonable. So, we haven't yet seen any reason to worry that our construction cost estimates will overshoot what we budgeted.

We, in fact, have significant contingencies in our budget and more often than not end up having some of that contingency left over, which is margin positive. But at this stage, no, nothing that is causing us to worry about a pressure on our budgeted costs.

Moderator: We take the next question from the line of Parvez Qazi from Nuvama.

Parvez Qazi: So, 2 questions from my side. First is, what was the contribution of launches to

pre-sales this quarter? And secondly, while we are obviously doing well, we are on track to meet our sales guidance and delivering healthy sales growth, at the industry level, we have seen weakness in volumes over the last year.

So just wanted to get your thoughts on it and what is the way around it?

Abhishek Lodha: So, thank you for that question. Our contribution from new launches for 9 months is at about 1/3, about 33%. We tend to be in that range of about 30% to 35%. This quarter was higher. But for the 9-month period, it is at around 33%.

Parvez Qazi: And your thoughts on the volume weakness in the industry?

Abhishek Lodha: Sorry, Parvez, I'm not able to follow the question. May I request you to please repeat it?

Parvez Qazi: Over the last year, we have seen weakness in sales volume at the industry level, I mean, whether we look in terms of number of houses sold or volumes in terms of million square feet getting sold. I mean, while we are obviously continuing to do well, but I mean, in our main markets of Mumbai and Pune, now volumes have been declining for last 2-odd years. So just wanted to get your views on it. I mean as an industry, what is the way around it?

Abhishek Lodha: Very difficult for me to sort of have a response in terms of what is happening and what are the lead causes ... I have not studied what the causes of the decline in volume at the industry level. For us, volumes are up about 24% in square feet terms for the first 9 months. Hence, my sense is that it's the 2 forces, which I think have been often talked about.

One very clearly is that the market is moving towards the best placed players, because consumers who are buying want the assurance of getting a high - quality product and from the best brands. I think the other side is that at the very bottom end of the market, homes below INR 75 lakhs, I think there has been a decline in both supply as well as in sales in that sort of entry -level affordable housing segment .

That segment used to be a big driver of volumes, not of value, which is the reason why you're seeing that value is continuing to move up, but volumes have moderated at an industry level. Because we have consciously sort of

moved away from that segment over the last 2, 3 years, we haven't seen the impact of that, but there is definitely moderation in that segment.

Moderator: We take the next question from the line of Gaurav Khandelwal from JP Morgan.

Gaurav Khandelwal: I just wanted to understand the expenditures on construction this quarter. So , we are at INR 8.6 billion of construction spend, which is the lowest in the last 7 quarters, if I'm not wrong. And my understanding was that some quarters of last calendar year, we were stuck with environmental issues, which is behind us now. So ideally, construction expenses should have moved up in quarter ending December, whereas the number actually came down. So , can I just understand this better?

Abhishek Lodha: Gaurav, I would more look at the 9 -month number, because when things are built and when they are paid out, a quarter is too short a period to judge that. We definitely are looking at just under INR 30 billion of spend on construction for the 9 months, which is below our desired level.

And we do expect to push that up, as I mentioned in my earlier remarks, over the next few quarters, both the quarterly run rate as well as an equivalent 9 - month period, which in turn will have a significant improvement for us also in terms of collections. For the current quarter, we expect that number to be about INR 12 billion or thereabouts.

Gaurav Khandelwal: Got it. But is it fair to assume that the construction momentum has increased since last quarter, as in third quarter onwards?

Abhishek Lodha: The construction momentum has started moving up from November end onwards as these environmental issues got debottlenecked.

Moderator: Ladies and gentlemen, with

that, we conclude the question -and-answer

session. I now hand the conference over to Mr. Aayush Raghuvanshi, Co - Head of Investor Relations, for closing comments.

Aayush Raghuvanshi: Thank you, everyone, for joining the call. I hope we've been able to answer all your questions. If you have any further questions or need any information, you may connect with the Investor Relations team. Once again, thank you all for joining the call today.

Moderator: Thank you. On behalf of Lodha Developers, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

Call: Apr 2026

April 30, 2026

BSE Limited

Scrip Code: 543287

Debt Segment – 976262, 976764, 976895, 976923, 977163, 977293

National Stock Exchange of India Limited

Debt Segment

Trading Symbol: LODHA

Dear Sirs,

Sub: Q 4FY26 - Earnings Call Transcript

Ref: Intimation under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended ('Listing Regulations')

Pursuant to Regulation 30 of the Listing Regulations, we enclose herewith a copy of the transcript of the Company's Q 4FY26 Earnings Conference Call held on April 27, 2026. The transcript is also being uploaded on the Company's website i.e. www.lodhagroup.com under the Investor Relations section.

Kindly take the above information on your record.

Thanking you,

Yours faithfully,

For Lodha Developers Limited

(Formerly known as Macrotech Developers Limited)

Sanjyot Rangnekar

Company Secretary & Compliance Officer

Membership No. F4154

Encl.: As above

"Lodha Developers Limited

Q4 FY 2026 Post Results Conference Call"

April 27, 2026

Management: Mr. Abhishek Lodha : Managing Director and Chief Executive Officer

Mr. Sushil Kumar Modi : Executive Director, Finance

Mr. Sanjay Chauhan : Chief Financial Officer

Mr. Akshat Gupta: Deputy CEO – South & Central Mumbai

Mr. Nishant Bhasin: Deputy CEO – Luxury

Mr. Anand Kumar : Head of Investor Relations

Mr. Chintan Parikh : Co-Head of Investor Relations

Moderator: Ladies and gentlemen, good morning, and welcome to the Lodha Developers Limited Q4 FY '26 Earnings Conference Call. As a reminder, all participant lines will remain in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing star then zero on your touchtone telephone. Please note that this conference is being recorded.

I will now hand the conference over to Mr. Chintan Parikh, Co-Head of Investor Relations, for opening remarks. Thank you, and over to you sir.

Chintan Parikh: Thank you, Iqra, and good morning everyone. Welcome to Lodha Developers Q4 FY '26 Conference Call. Today, we have with us Mr. Abhishek Lodha, MD and CEO; Mr. Sushil Kumar Modi, Executive Director, Finance; Mr. Sanjay Chauhan, CFO; Mr. Akshat Gupta, Deputy CEO, South & Central Mumbai; Mr. Nishant Bhasin, Deputy CEO, Luxury; Mr. Anand Kumar, Head, Investor Relations.

Now I would like to invite Abhishek to make his opening remarks. Over to you, Abhishek.

Abhishek Lodha: Thank you, Chintan. Good morning, everyone. Thank you for joining us today. I'm sure you've had the opportunity to look at our investor presentation, and hence, I will not go through the detailed numbers. I will keep my remarks focused on what we think is strategically most important. And I'll use this time to give an overview of where the business stands, what we got right this year, our learnings and improvement areas and how we are thinking about the period going ahead.

Starting with the macro backdrop. The global environment was particularly challenging last year. We started off with the India-Pakistan situation, followed by the U.S. tariffs and thereafter, the Middle East tensions. The current escalations in the Middle East have definitely injected uncertainty into global trade, financial conditions and particularly the energy markets. India is not immune. The growth forecast for the fiscal year has been moderately trimmed down, but India's fundamentals are meaningfully stronger than in previous external shock episodes.

The rate cuts of the last year are still working through the system. Corporate and bank balance sheets are healthy and the demand side of the economy, consumption, credit and government capex

is holding up. Specifically for housing, the structural drivers remain intact. GCC has added over 300,000 high skill positions in India in 2025 alone.

Wage growth across the broader economy has run at 9% to 10% for many years now, and the same trend is expected even this year. And the supply side continues to consolidate in the housing market around branded trusted developers. These are not near-term tailwinds. They are the underpinning of a long expansion in the housing market, which we believe will drive India's conversion into a mid-income economy.

One thing I would like to share candidly is that March, which was the peak of the Middle East news cycle, did see select deferral of closures as consumers looked at the situation around them and thought about what is the best time to make their decision. We've already started seeing that housing has converted into becoming a more preferred asset class, given its lower volatility and resilience. And we believe that going forward, housing on the whole will be a net beneficiary of the situation in the Middle East, particularly as Indians remit less money out to the Middle East and Indians across the world look at India as a place where they would like to establish a permanent home or establishment.

This call comes at the anniversary of 5 years since our listing, which was on the 19th of April 2021. I don't want to let this important moment pass without reflecting on what the business has become. In fiscal '21, which was the peak of COVID, we did INR60 billion of presales. In FY '26, we did INR205 billion, a 28% CAGR. More importantly, PAT has grown more than 6x over the same period, touching INR34.3 billion this year with a 20% margin.

Net debt, which stood at 3.5x equity at IPO, is now at 0.23x. We have grown at scale while simultaneously deleveraging. That combination, we believe, is genuinely rare in this sector, and it reflects both the strength of our brand and the discipline of our capital allocation. I must also thank all the investors, who have believed in us and stood by us during these 5 years and enabled us to create the value and the business that has been created.

The one other number that I want to highlight is market share. Despite all the growth that we've had, we are currently at about 3.5% of primary housing sales in the top 6 cities. This is the clearest statement I can make about the long runway ahead.

Coming to fiscal '26 . Fiscal '26 was a strong year operationally in spite of the macro challenges that we spoke about and the effect of the environmental clearances delay, which affected us on the construction side and in terms of new launches in the first 3 quarters of the fiscal. Presales of INR205 billion, up 16% with every single quarter delivering its best ever performance.

Q4 was the strongest quarter in our history at about INR 58.9 billion of presales, up 23% year-on-year. Collections grew 5% for the year. Operating cash flow was approximately INR71 billion. Our financial revenue grew 21%, adjusted EBITDA grew 14% and PAT grew 24%. And importantly, PAT margin touched 20% for the first time. The slight compression in EBITDA margin relative to last year was purely a function of lower land sales.

The underlying development margin at 33% of the full year remains healthy, and our Q4 embedded margin was around the same number. Business development was particularly a standout. We added 12 projects with INR600 billion of GDV, 2.4x, our own guidance. This was not acquisition for growth's sake. These are high-quality, well-structured transactions that reflect the continued flight of landowners and partners to developers they trust.

As of 1st April 2026, our available GDV for sale is approximately INR2 trillion, excluding the long-term land in our townships, which will not be used in the next 5 years. This gives us exceptional visibility, and it means that we can meaningfully reduce bu

siness development

capex over the next 2 years with the natural resu It being a significant step-up in free cash flow. Touching upon our key strategic initiatives last year, the NCR, we entered in fiscal '26 with acquisition of 2 land pieces under the JDA route.

And I want to explain how we think about it. NCR is India's second largest housing market. It has historically lacked the kind of large trusted developers that can set a new benchmark for quality and customer experience, excluding, of course, DLF. We think, therefore, that there is a large and significant opportunity in the NCR, if we can pull off our operational and brand capabilities in the same way that we have done in other markets.

The 2 projects that we've signed are in Gurgaon with a GDV of about INR33 billion. We have Amandeep Singh, who has joined us from DLF and before that was with Godrej Properties as CEO for the market. And Sushil Kumar Modi has been driving the setup of this market for the company.

The team is now slowly and gradually building out, and we expect to start operations in fiscal '27. Our approach here is the same pilot and scale model we have used in Bengaluru and Pune. We entered Bengaluru in FY '23 on a pilot basis. Three years later, Bengaluru in FY '26 contributed about INR24 billion in presales, about over 12% of our total.

We have confidence that NCR will follow a similar trajectory. Palava is one of our most important long-term value creation stories, and the infrastructure picture is meaningfully changing this year. Navi Mumbai International Airport, 40 minutes from Palava has been inaugurated and is ramping up operations.

Over time, this distance will further reduce from Palava. The Mulund-Airoli-Palava freeway is expected to open in the coming months, cutting travel time to Mumbai's Eastern suburbs and the Airoli IT hub from Palava to under 25 minutes. The bullet train station at Palava with a 20-minute commute to BKC is targeted for 2028, '29.

What does this mean economically? Palava sells at an average today of about INR11,000 per square foot of carpet area. Comparable suburbs like Mulund and Thane are upwards of INR25,000 per square foot and Airoli itself is over INR20,000 per square foot.

As that connectivity gap closes, we expect price appreciation to accelerate and with it, our EBITDA margins on this land holding, which we expect to gradually move up to approximately 50%. On data centers, we have 400 acres of shovel-ready land at Palava, for which we have so far secured 2 anchor operators, AWS and STT.

The last transaction with STT was at approximately INR210 million to INR230 million per acre, up 8x in land value in 4 years. We are now planning to develop about 1 gigawatt of powered shell capacity on a build-to-suit basis, on about 100 acres out of these 400 acres of land with incremental cost in 2026 terms of about INR100 billion to INR110 billion, largely self-funded from the ongoing land sales in the park, which we expect value to reach INR0.7 billion per acre over the next few years and total to generate over INR120 billion from fiscal '27 and onwards in land sales value.

The Maharashtra Green Data Center policy provides substantial fiscal incentives that make Palava's cost of operations highly competitive globally. To give you an example to illustrate this, the cost of constructing a power shell in Palava is about 30% of that in the U.S. or Europe currently. It is not only a compelling cost advantage, but given the time to complete this construction, we believe that it is one of the most outstanding data center opportunities globally. Therefore, this is a structural long-duration annuity business that we are building at

very low incremental cost.

On the same lines, beyond data centers, our annuity income from retail, offices and warehousing touched about INR3 billion in FY '26. We have a strong pipeline, 8.8 million square feet of

total area across these asset classes, of which 3.8 million square feet is already complete and generating income.

The estimated annual rental income from these existing assets will be about INR10 billion by fiscal '31, excluding any data center contribution. Thus, we target reaching 10x of the fiscal '26 rental number in the next 6 years. As this grows, it will add meaningfully to PAT, strengthen our resilience and provide the kinds of earnings stability that complement our development business through its natural cycles.

On our balance sheet, the net debt ended the year at INR53.8 billion, reducing by INR8 billion during Q4. Net debt to equity is at 0.23x, well within our self-imposed ceiling of 0.5x. Our average cost of debt is 7.8%, down 90 basis points for the year. Our DevCo is on track to become debt-free over the next few years and any future debt in the business will be against rental income that the RentCo generates.

And this, we believe, again, provides a very solid low leverage, highly secure position for the business to grow it from. Our guidance for FY '27, we are guiding to presales of about INR240 billion with an embedded EBITDA margin of 32% to 34%. This includes single-digit percentage contribution from land sales.

We have a launch pipeline of INR218 billion GDV already identified for the year. We continue to watch the geopolitical situation closely, and we have assumed that the Middle East situation will normalize by the end of the first quarter in this forecast. In terms of the split of sales, we expect the first half to be in the low 40s and the balance to be in the second half, in line with the trend of the past years.

Over the medium term, our goal is focused on 20% CAGR in PAT and therefore, moving from about INR34 billion for fiscal '26 to more than INR85 billion by fiscal '31. The building blocks are all in place, a strong development pipeline, a deepening annuity income base, a balance sheet with significant capacity and a brand that continues to command a very strong market position amongst consumers on the back of superior product and service delivery.

I close by saying this, the Indian housing market is in the early stages of a structural expansion that is likely to last for decades. The convergence of rising incomes, urbanization, supply consolidation and improving infrastructure creates a backdrop that is truly unique. We are well positioned to grow our market share in this environment, and we intend to do so profitably and with discipline. Thank you for your time today, and I now hand it back over to Chintan.

Chintan Parikh: Akshat and Nishant will talk about the South & Central Market. Akshat, over to you.

Akshat Gupta: Thank you, Chintan. Thank you, Abhishek. Good morning, everyone. Let me now take you through Mumbai's South & Central market, especially how the market is shaping and the underlying demand trends that we are seeing in this market. This market continues to present a large and structurally growing opportunity for us with an estimated yearly size of over INR 400bn primary market and a healthy 15% CAGR since financial year 2022, driven by both volume and price growth.

At the same time, as Abhishek suggested, the market is witnessing a shift towards branded developers with their share increasing from roughly 30% to about 40% over similar time period, underscoring rising consumer preference for trust, quality and execution.

If we especially talk about our current position, we have been growing at a strong pace of 25% - plus CAGR in the South & Central Mumbai, primarily led by our residential portfolio, maintaining our market leadership with expanding market share. Our growth is anchored on focused micro market selection, deep understanding of evolving consumer preferences and being able to identify market gaps to build differentiated segment-specific products.

We continue to strengthen

our presence in established high-demand locations such as Worli, which have consistently demonstrated strong demand. Alongside this, we are expanding into emerging hotspots like Sewri, near the Eastern Seafront, which has seen 5x growth in the same period, supported by both planned and completed infrastructure upgrades such as the Coastal Road, Atal Setu and the upcoming Worli-Sewri connector.

We are also actively addressing opportunities in the commercial segment, where we see a clear demand/supply mismatch. There is a strong pent-up demand for high-quality office spaces, while the availability of Grade A developments remain limited. Some of our marquee commercial developments have seen prices double in the last 3, 4 years.

A significant portion of the existing commercial inventory continues to be rental-led, creating a clear gap for institutional grade for-sale office spaces. We identified this opportunity and

have been able to establish a leadership position in the for-sale office, capturing a large pie of the sales.

On the resi consumer side, we are continuing to see a clear shift towards premium and experience-led living. Customers are increasingly seeking larger homes, better connectivity and a superior lifestyle with a growing willingness to pay for quality and brand. As a result, market growth has been skewed towards premium and luxury segments. While the sub 3-bed segment has seen relatively muted growth of roughly 4% CAGR, the 3- and 4-bed segment has grown significantly faster at 15% to 20% CAGR, reflecting clear premiumization.

The 3- and 4-bed segment has demonstrated strength both across volume and pricing. The segment has seen double-digit price growth compared to 6% growth for the overall market, reflecting superior willingness to pay premium to larger formats. We have seen an even sharper trend play out in the luxury segment within the last few years, trending above 30% plus CAGR. I'd like to now invite Nishant, who leads luxury portfolio, who can shed some more light on this.

Nishant Bhasin: Thank you, Akshat. Good morning, everyone. Let me quickly take you through the luxury portfolio, how the segment is evolving and key drivers shaping performance. The share of INR50 crores plus residences has nearly doubled since financial year '24, increasing from 7% to 13% of the overall market. At the same time, supply remains highly constrained with Grade A developers contributing to 75% of the INR50 crores plus category and 100% of the INR100 crores plus category.

What this essentially indicates is a clear consolidation and consumer preference towards branded, trusted developers at the top end. Against this background, we have made significant strides in South & Central market over the past few years, scaling from a relatively limited presence in INR100 crores plus segment to becoming the leading player by sales in the region with a growth trajectory of 30% CAGR since financial year '23.

This has been driven by strong adoption across marquee micro markets such as Malabar Hill and Worli. In this context, this segment continues to be a key strength for us, where we command a 40% market share in INR100 crores plus category today. Importantly, this segment also demonstrates a clear pricing premium with realizations of INR50 crores plus projects, being 30% higher on a per square feet basis as compared to projects in a similar micro-market. This reflects the increasing importance of brand, product differentiation and curated experiential leading pricing value.

From a demand standpoint, this shift is underpinned by multiple structural factors. The scarcity of prime land parcels, rising preference for privacy and exclusivity and increasing focus on high-quality amenities are key drivers. As a result, ultra-luxury housing is largely end-user driven

with buyers viewing these as long-term legacy assets rather than investment

products, leading to a fundamentally different purchase mindset.

To summarize, we are operating in a large and growing market with a clear shift towards branded players and are well positioned across key micro markets, commercial opportunities and across different consumer and price segments. This positions us strongly to maintain our status as the market leader, while continuing to deliver sustainable long-term value. Thank you all, and over to Chintan.

Chintan Parikh: Thank you, Nishant. Iqra, we can open the floor for Q&A.

Moderator: Thank you very much. The first question is from the line of Gaurav Khandelwal from JP Morgan. Please go ahead.

Gaurav Khandelwal: I just wanted to better understand this guidance on moving to gross debt zero and prioritizing free cash flows. Is it going to be more operating cash flow driven? Or we will be pulling back on capex to an extent because we've already done a lot of BDs and hence, the capex need in the incremental years in FY '27, '28 will be lower and hence, we see positive FCF. So, what's the kind of combination on OCF and capex on how we get to a positive FCF at some point? And my second question is, I don't see a guidance for OCF for FY '27. Is there a specific reason for that?

Abhishek Lodha: Gaurav, thank you for your question. The focus of the business is obviously to deliver sustainable, predictable growth on account of the significant success in business development in fiscal '26 on the back of some stronger years previously. We now have sufficient visibility on our supply side for quite some time and therefore, can afford to be a lot more choosier in terms of the new business development that we do.

As a consequence of that, we expect that the investment into new business development will be muted over the next 2 years. And as a consequence, we expect the FCF to be therefore, higher. In terms of OCF, we believe that overall, with our very clear guidance on PAT growth, all other contributing or linked factors are then not relevant in guidance terms.

Having said that, we expect OCF to grow in line with PAT growth and therefore, grow at about 20% or thereabouts per annum from the current base of about INR 71 billion, which we delivered in fiscal '26.

Moderator: The next question is from the line of Murtuza Arsiwalla from Kotak Securities.

Murtuza Arsiwalla: Just on the launch pipeline of FY '27, INR218 billion, 5 new projects, about 14 new phases for existing projects. If you could give some colour on how ready this pipeline is in terms of being able to launch? Which are the key projects which would make for a chunky part of the contribution? Where are we in terms of RERA approvals, et cetera? So just some colour on how sales ready is this launch pipeline? And which are the key projects which would contribute?

Abhishek Lodha: Murtuza, in terms of the launch pipeline for fiscal '27, the first thing to note is that last year, our new launches contributed around 1/3 of sales. And this year, that number will become even slightly lower than that. What it's really telling you is that the inherent predictability of our sales is increasing and improving each year and the dependence on new launches is becoming lower, which is really where we find ourselves as more predictably placed internally as a business.

In terms of the new launches for the year, these are all launches where the land acquisition was completed in the last fiscal or before that. The design has already been completed and the approvals are either already available or well under process. Of these, we have launches in Pune. We have launches in Bangalore.

And of course, we have launches in Mumbai. We haven't included the potential 2 launches in NCR in this launch guidance because we expect to start construction in the next quarter. And we expect to launch either in Q4 of this fiscal or early in fiscal 2028. So, we've just been con

servative in keeping that out.

So, it's a very broad-based basis of launches. The visibility, in our opinion, is quite high. And unless there are some extraneous factors, for example, that environmental clearance issue, which affected last year, we don't see any risk to these launches.

Murtuza Arsiwalla: Abhishek, if I could follow up since you bring up the environmental issue, is that largely behind us for both MMR and larger MMR market? And we're seeing clearances coming at a steady sort of pace now?

Abhishek Lodha: Yes, Murtuza. The Supreme Court brought the situation to where it was in late 2024 back in August 2025. So, we all lost about 9 months in getting back to the same starting point. And the clearances then started getting given by, I think, sometime in November 2026 - sorry, November 2025. So, we are very much that issue is behind for the entire market, including for Lodha.

Moderator: The next question is from the line of Abhinav Sinha from Jefferies.

Abhinav Sinha: A couple of questions. So firstly, on data center, can you give us some milestones to expect such as when do we see the first announcements on the build-to-suit? And when do you start seeing lease income from that? So that's the first question.

Abhishek Lodha: Abhinav, it's a question which I would love to give you a very precise answer to, but I can tell you is that we have good and strong advanced discussions on the first set of BTS boxes. Things we expect definitely for the announcements to happen this fiscal. We are hoping sooner rather than later. And income from these, we expect to start coming in fiscal '29, which is about 2 years after the sign-up.

Abhinav Sinha: Okay. Sir, secondly, on the guidance that you have given of 17% growth this time. So, I understand that there's a Middle East conflict likely impact. Can you tell us how, say, April is

shaping up versus March? And do you think it can be like similar to the last time in first half where we had single-digit growth and then second half was much stronger?

Abhishek Lodha: So Abhinav, difficult for us to predict how this whole Middle East thing will pan out, etcetera. As I mentioned in my remarks, we have assumed that this Middle East situation settles down, i.e., stop being something which affects in a significant manner, energy flows or economic impact by the end of this quarter. I also mentioned, we expect sales in the first half to be about early 40s of the overall guidance and the balance to be in the second half.

This number was similar in the previous fiscal. And therefore, in growth terms, probably the first half growth will be in line with that 15-ish percent growth compared to last year. However, I would urge you and all the others attending the call to look in to our focus on PAT growth. As the primary way of measuring our business, this is the actual PAT in the P&L, not a number which is a derived number or an unaudited number.

We believe this provides a lot more clarity, a lot more visibility in terms of how the business is likely to perform going forward. And ultimately, as they say, cash is king, and that's really where now as a business, we expect to focus on. So, while we have a presales guidance, which is sort of in the mid-teens, our medium-term PAT guidance is at 20% or thereabouts.

Moderator: The next question is from the line of Pritesh Sheth from Axis Capital.

Pritesh Sheth: A couple of questions. First one, just trying to understand which segment would have been impacted most by this Middle East. We had a INR500 crores shortfall from our guidance last year. And again, if I assume ideal guidance would have been 20%, we are at 17%, again, a INR500 crores shortfall. So which segment was impacted and which one has remained kind of immune to this conflict? Yes, that's my first question.

Abhishek Lodha: Pritesh, we'd like to say that March, obviously, was more driven at individual level.

We had

some shortfall in sales from NRIs, who are based in the Middle East. We had some shortfall in closures in the luxury segment because everybody was just grappling with what had suddenly happened. We don't expect any persistent sort of single segment impact of this war, and we think it was just the shock of the event, and we expect things to normalize unless there is a persistent energy shock. So that's really our view on the Middle East crisis.

In terms of the pre-sales guidance question and its linkage to the Middle East situation, our view is that presales as a guidance tool has been something, which is probably less reflective of the underlying health of the business. And hence, we have now chosen to focus in terms of our guidance on PAT in a more specific manner. We think that the underlying health, which comes from a contribution of margin growth as well as presales growth, ultimately leading to a delivered profitability is the better way of looking at the health of any real estate company. Pritesh Sheth: Sure, sure. Makes sense. Makes sense. And just on Palava, I think we ended quite well in Q4 with almost INR800 crores of presales. What would be your outlook for Palava's residential

segment next year, given that we are on the verge of seeing completion of that Airoli -Katai Naka. Even Upper Thane developments that are in progress would also be on the verge of completion. So, what's your thought process on where would we be in FY '27 for Palava Residential, if you have any numbers, you have thought about? Yes.

Abhishek Lodha: Pritesh, we are very excited about the infrastructure in both Palava and Upper Thane now becoming operational. It's expected that the Palava -Airoli -Mulund freeway will be operational imminently, i.e., next 2 to 3 months unless the monsoon pushes it to post monsoon, but we hope it's pre-monsoon. And the completion of the Mumbai -Nagpur Super Highway, the Thane portion of it is a key priority, which is being monitored at the highest level of the state government, and we hope that, that will also be completed before Diwali.

So, both of these make us very, very excited about the potential for the impact on residential sales, particularly in these 2 locations. And we expect strong growth ahead of our average pre-sales growth for this fiscal. Once the exact timing of these openings is known, we may be able to give even a more precise number. But overall, we expect presales growth in the Extended Eastern suburbs to be ahead of our company level presales growth for this fiscal.

Pritesh Sheth: Got it. Got it. That's helpful. And lastly, on the cost side, if you want to quantify on how much has been the impact? And I mean, we follow the disclosures that you give towards the end of the slide presentation. But overall, how much has been changed since last 2, 3 months because of these concerns and the inflations that we see around?

Abhishek Lodha: Key and important question, Pritesh. Our assessment of the impact of construction cost increases has been currently running at approximately 3% to 5% of overall construction cost. The highest affected categories are the ones which are gas dependent. This includes tiles, paints, PVC pipes, aluminium formwork and certain waterproofing elements. There has been a more moderate impact on windows and facade systems, gypsum and steel. And then there is sort of a little bit in other categories.

This impact of 3% to 5% on construction cost, if it was to persist through the entire construction cycle of 3 years, it would give an impact on margin of about 1.7%. If it was to run for 6 months, which is, I would say, probably the more conservative view right now, you are talking about a very modest impact of roughly 0.35% of the sales value for those given projects. So right now, our assessment of the impact of the Middle East crisis on construction cost is that, yes, there has been some impact in selec

t categories, but the overall impact on margin is very, very nominal.

The other aspect which people have spoken about is labour attrition. Labour attrition in March, April is running at about 5% to 10% over seasonal norms. Part of it is obviously things which may be linked to the war like LPG or general sentiment. But there's also the state elections in various parts of the country and therefore, we don't see anything significant in terms of this labour attrition being abnormal.

Obviously, we've made a lot of effort over the long term to have our labour think about working for us in a very different manner from normal construction workforce, and that's helped keep the attrition low. And we've, of course, also made special efforts to make sure that the LPG issue does not affect their day-to-day welfare. So overall, an issue to watch, but nothing which is worrying right now.

Pritesh Sheth: Sure. That's it from my side. Thank you for the detailed answers. Thank you. All the best.

Moderator: Thank you. The next question is from the line of Kunal Tayal from Bank of America. Please go ahead.

Kunal Tayal: A couple of questions from me. First one, Abhishek, given the accretion that you are expecting in value of the data center park land, just curious as to what were the puts and takes you were

looking at in terms of developing your own data center as opposed to just monetizing it by way of selling the land. From the outside, it seems like it's a strategic call of creating an asset versus maximizing profitability. So, is that the right read?

Abhishek Lodha: Thanks. It's a key question. We've, of course, thought of it in multiple ways. We do think that the creation of the long-term compounding steady annuity stream is a strategic gap in our business. We have been working on improving on that front through our warehousing, industrial, retail and offices. And the data center opportunity gives us a significant step-up in the scale of our annuity business, which we think is strategically valuable.

Having said that, out of the 400 acres of land which is currently earmarked in our green data center park, about 100 acres will be used for building our own portfolio and the balance will be sold. So obviously, we are monetizing a significant part of that land and using the proceeds from that monetization to build a significant long-term annuity stream. So, it's really a strategic call to take a modest portion and build the long-term income rather than to take all the profit today.

Kunal Tayal: I understand. Got it. On the residential business, you're, of course, exiting FY'26 with a lot of inventory. And I do understand that's about the reason why you're also saying that the pressure on business development next couple of years will be low, and therefore, they should moderate. But that apart, do you also think it's part of the cycle where carrying more inventory makes sense because the percentage conversion might be lower than earlier?

Abhishek Lodha: No, we don't think of it that way. We don't expect that we are likely to see any reduction in our conversion rates or our sales throughput. We've just had a very strong year in business development, and that gives the business a lot more optionality, a lot more visibility for the long term. And we did some launches in the last quarter of the year, which were deferred from earlier. So, you end the year with a higher elevated level of unsold inventory, but nothing out of the normal.

On the contrary, as my colleagues, Akshat and Nishant remarked, we continue to see further development of brand preference in the consumer. And we expect over time that we will gain market share as well as have improved conversions on account of the fact that our product and brand are both compelling.

Moderator: The next question is from the line of Parvez Qazi from Nuvama Group.

Parvez Akhtar Qazi: So, one question from my side.

I wanted to get your views on 2 parameters. How was our performance on these parameters in FY '26? And what is the outlook going ahead? The first one is on sales volumes and the second one is on price appreciation? Thank you.

Abhishek Lodha: Thank you. Price growth last year came in at about 5%, and we expect a similar trend for fiscal '27. It, of course, therefore, implies that the rest of the growth is coming from volume. Last year's volume growth came in, in square foot terms, at about the 11%, 12% mark, and we expect a similar number for this fiscal too.

Moderator: The next question is from the line of Vivek Ramakrishnan from DSP Mutual Fund.

Vivek Ramakrishnan: To start with, let me give my sincere appreciation of the Lodha Foundation for the work in theoretical physics and mathematical sciences. And since it's part of your presentation, I thought I'll say that. But the questions which I have are more in line with what people had asked. In terms of the sales that you see, let's say, in the Mumbai area, is it linked to something specific like the stock market prices going up and down?

And are you seeing any delays in collections for even projects that have been sold? Or for example, in Bangalore, would it be linked to the tech sector and tech sector hiring, which seems to be a bit choppy. So, what will determine your sales? And are the collections from existing projects getting hampered in any way?

Abhishek Lodha: Vivek, thank you for your call-out on the Lodha Foundation. We appreciate it, and we hope that the foundation will continue to make some positive and significant contribution to both learning innovation and India's growth. In terms of your questions about how the real estate demand is linked to various factors like the stock market, we don't see any direct linkages between the real estate demand and the stock market. Obviously, for individuals that can vary, but on average, that is not the case.

Really, real estate demand is a function of future confidence in one's earning capability. And that really is how people make their choice on when to buy the home. Job confidence, economic growth confidence, sectoral as well as systemic leverage levels, all of these are determinants of political stability, all of these are determinants of confidence about the future. At the current time, we find that in spite of all the narrative around the impact of AI on job creation in the country, we are going to end up with white-collar jobs incomes growing at 9% to 10% per annum. It's important to emphasize that the median buyer of a Lodha home has an

average household income close to INR50 lakhs per annum and the entry-level buyer of a Lodha home has an annual household income of INR25 lakhs per annum.

This segment has to be understood carefully because it is not the mass consumer segment. It

is really the upper top tier of the consumer segment. And this segment, in our opinion, will of course, be ups and downs, but over time, benefit from the productivity gains unleashed by AI.

We, of course, are not macro specialists, but we do expect that the housing demand as it stands right now is pretty strong, driven by a combination of the factors of better lifestyle combined with belief in one's future potential that I mentioned earlier. And in terms of collection impact, no, there is no collection impact that we've seen on account of any short-term aberrations in the equity market. So, no impact there.

Vivek Ramakrishnan: I have just one more question. You made a strong statement on leverage. And given the muted business development growth this year, would you expect leverage levels to actually come down in the next year because you're going to be generating such strong free cash flows?

Abhishek Lodha: Vivek, yes, we do expect that our DevCo part of the business will reduce its leverage significantly going forward and perhaps might even become net

debt 0, the DevCo part of the

business over the next few years. So yes, on an overall basis, we would expect that the overall debt levels in the business at the end of fiscal '27 should be somewhat lower than what it is at the end of fiscal '26 in spite of the investments that we make in the build-out of our annuity assets.

Moderator: The next question is from the line of Akash Gupta from Nomura Holdings.

Akash Gupta: Congratulations, sir, on a great performance. Just my question on the Extended Eastern suburbs. For the past 4 years, our sales value from Extended Eastern suburbs has been kind of flatish at INR20 billion to INR25 billion. I think we have a guidance of doing INR80 billion by FY '30. Are we still holding on to that number? And when do we see that pickup happening? Would it be this year likely to reach to that INR80 billion mark by FY '30? That's my first question.

Abhishek Lodha: It's a very relevant question. We expect that this year, sales in the Extended Eastern suburbs will significantly benefit from the completion of the long-delayed infrastructure projects. That delay in infrastructure projects has definitely impacted sales in fiscal '26. We had expected sales to be stronger than these levels on the basis of the fact that these infrastructure projects should have been completed about 12 months ago.

But be as it may, as there's a saying better late than never. So, we look forward to the completion of these infrastructure connectivity pieces now very, very soon. And as a consequence, expect that a significant step-up in presales for the extended Eastern suburbs will be visible in this fiscal, most likely starting from the second half. And from thereafter, the compounding engine kicks in.

The guidance of INR80 billion per annum was a combination of obviously, residential presales combined with the presales of all other asset classes in the Extended Eastern suburbs. So that number has to be seen holistically, but there is no real change in our viewpoint. There may be 12 months of deferral on account of the delay in some of these infra projects.

But overall, we remain very strongly constructive on the potential of the Extended Eastern suburbs to become a key driver, not just of the company's presales growth, but more importantly, of the margins, given the fact that the land has been acquired by us already, and therefore, all price growth leads to significant flow-through into margin growth.

Akash Gupta: Understood. And sir, my second question is on the slide, we have given that for our 3,900-acre land parcel, we have roughly 600 million square feet of potential. What is the understanding of by when, like in how many decades should we be able to utilize this 600 million square feet number? Because currently, we are selling like roughly 4 million square feet. So, what is the understanding here? How should we think about it?

Abhishek Lodha: It's a key question. And as you would have noticed, we have our focus of the development company, the DevCo and the RentCo. Both the DevCo and the RentCo benefit from the land in the Extended Eastern suburbs, and we create value through residential sales, sales of other asset classes and creation of annuity assets like warehousing, data center, retail and so on.

The third element of our operating business, what we have now called LandCo, has now been created in order to generate a strategic plan for expedited monetizing of the land, which is not going to be likely to be used by the RentCo and the DevCo in the near term.

We expect over the next 12 months to have a clearer strategy of monetization, including potentially monetizing some of the land through third-party land sales so that there can be an expedited monetization of these land parcels. So hopefully, we'll provide a more detailed strategic update on how we can further fast track that monetization at the next annual earnings call.

Moderator

or: The next question is from the line of Murali Krishnan from Sundaram Mutual Fund.

Muralikrishnan: Sir, partially, you would have answered my question. So mostly on the launches. So just to understand our logic for having higher existing project launches over limited new project launches. We see Mumbai, I mean, in Western suburbs, there is a new project launch. With the

environmental clearances, one would have expected much more launches to come from Mumbai. So just to understand the logic for increasing phase launches over the new launches in MMR specifically?

Abhishek Lodha: Thanks, Murali, for your question. I think this question goes to the root of how we think about as a business and our focus on cash flow and profitability over any headline sales number. Having established a large set of operating projects where the land cost has already been incurred and where construction is partly underway, that is the most ROE accretive part of our

business, and that's the one where we focus most on to monetize and generate both cash flow as well as profitability.

The new launches are really a function of where we see gaps in the existing markets in terms of supply, and that's where we bring new launches to the table. So once again, I would like say as I've stated this before in the call and reemphasize the fact that please think about our business as one which is most focused on profitability and ROE resilience and predictability rather than driven by headline sales. For us, the presales are a means to an end. The end is ultimately profitability, and that's what our focus is.

So whatever trade-offs we make, our ultimate goal is to deliver the highest level of sustainable compounding in our underlying profitability.

Moderator: That was the last question for today. I now hand the conference over to Mr. Chintan Parikh for closing comments. Over to you, sir.

Chintan Parikh: Thank you, Iqra. Thanks for joining the call. If you have any queries, reach out to the Investor Relations team. Over to you, Iqra.

Moderator: Thank you very much. On behalf of Lodha Developers Limited, that concludes this conference. Thank you all for joining us today, and you may now disconnect your lines.

Call: Jul 2026

July 30, 2026

BSE Limited

Scrip Code: 543287

Debt Segment – 976262, 976764, 976895, 976923, 977163, 977293

National Stock Exchange of India Limited

Debt Segment

Trading Symbol: LODHA

Dear Sirs,

Sub: Q 1FY27 - Earnings Conference Call Transcript

Ref: Intimation under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended ('Listing Regulations')

Pursuant to Regulation 30 of the Listing Regulations, we enclose herewith a copy of the transcript of the Company's Q 1FY27 Earnings Conference Call held on July 27, 2026. The transcript is also being uploaded on the Company's website i.e. www.lodhagroup.com under the Investor Relations section.

Kindly take the above information on your record.

Thanking you,

Yours faithfully,

For Lodha Developers Limited
(Formerly known as Macrotech Developers Limited)

Sanjyot Rangnekar
Company Secretary & Compliance Officer
Membership No. F4154

Encl.: As above

"Lodha Developers Limited
Q1 FY 2027 Post Results Conference Call"
July 27, 2026

Management: Mr. Abhishek Lodha : Managing Director

Mr. Prashant Bindal: Chief Executive Officer, Lodha Residences

Mr. Sushil Kumar Modi : Whole -time Director, Group Finance Director

Mr. Sanjay Chauhan : Chief Financial Officer

Mr. Anand Kumar : Head of Investor Relations

Mr. Chintan Parikh : Co-Head of Investor Relations

Moderator: Ladies and gentlemen, good day, and welcome to the Lodha Developers Limited Q1 FY27 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star then zero on a touch -tone phone.

I now hand the conference over to Mr. Chintan Parikh , Co-Head of Investor Relations, for opening remarks. Thank you, and over to you, sir.

Chintan Parikh: Thank you, Rayo . Welcome to Lodha Developers Q1 FY27 Conference Call. Today, we have with us Mr. Abhishek Lodha, Managing Director; Mr. Prashant Bindal , CEO - Lodha Residences; Mr. Sushil Kumar Modi , Group Finance Director; Mr. Sanjay Chauhan, Chief Financial Officer.

I would now like to invite Abhishek to make his opening remarks. Over to you, Abhishek.

Abhishek Lodha: Thank you, Chintan. Good afternoon, everyone, and thank you for joining us. I hope you're doing well . As we had laid out at the previous call, from this quarter onwards, the primary lens through which we would like you to assess Lodha is accounting profit after tax, the numbers that are audited that flow into book value and against which return on equity is actually computed.

Alongside this, I would also ask you to watch operating cash flow because profit and cash together are the true reflection of any business. Please note that accounted profit will not be a trend line quarter -on-quarter. Under percentage of completion accounting, quarterly revenue is a function of three things that do not move in lockstep, receipt of minimum sale proceeds from our buyers, how much construction cost was incurred in each plant in that quarter and whether the land or annuity transactions have happened and closed within the quarter.

None of these arrive evenly across 12 months. So, there will be quarters that undershoot and quarters that overshoot. Our commitment of 20% PAT growth is an annual guidance, not a quarterly one . Please do not annualize any single quarter, and that includes this one, which sits firmly at the favourable end of that variance.

In terms of the highlights of the performance for this quarter, revenue for the quarter was at INR 50 billion, up 43% year -on-year. The adjusted EBITDA was INR 21.5 billion, up 79% at a margin

of 43% against 34.4% a year ago. PAT was at INR 13.7 billion, more than double the INR 6.8 billion of Q1 FY26 at a PAT margin of 26.9% against 18.6% in the equivalent quarter a year ago, our best ever quarter on revenue, on EBITDA and on PAT.

I would like to highlight that land monetization is not an exceptional item for this company. It is a planned recurring pillar of our business.

We now hold about 660 acres in our data center park. Of this, the first phase of 370 acres, we have already monetized about 130 acres, and we intend to further monetize about 150 acres over the next 3 to 4 years, which itself will generate close to INR 10,000 crores of sales. Beyond this, we have additional approximately 300 acres of optionality in our data center park. Further through our LandCo, for shaping and coming together, we intend to monetize land for non-competing uses, for example, back office in places where we have surplus land like Palava. Thus, overall, we expect land to be between INR 2,000 crores to INR 3,000 crores of sales every year for the next several years.

Secondly, the residential engine is in very good shape. As we had laid out in the previous quarter, we expected the Middle East conflict to persist through this quarter through the Q1 and end by the end of Q1. And therefore, we had deliberately postponed launches out of this quarter, and these launches generally make up about one third of pre -sales. From Q2, our launches will and already have commenced, and we are on track to deliver for our pre -sales growth on the residential side.

In terms of our guidance for fiscal '27, that is 20% growth on last year's PAT of INR 34.3 billion and hence, approximately INR 41 billion of PAT. Q1 has delivered 33% of that. We are ahead of the curve. We are not raising guidance on the strength of one quarter. We will endeavour to outperform.

Cash, the number I would like to also talk about. Collections for the quarter were INR 42.1 billion, up 46% Y -o-Y. That converted to INR 18.9 billion of operating cash flow. After investments, we still reduced net debt by INR 4.5 billion to now under INR 50 billion. Net debt to equity now stands at approximately 0.2x against our self -imposed ceiling of 0.5x. Net worth

is just under INR 250 billion. Average cost of debt is stable at 7.8%, amongst the lowest in the industry, supported by our AA rating and upgrade since 2021.

Funding all of our growth from operations while simultaneously deleveraging is, in my view, the genuine signal in this quarter, more so than any other number. Pre-sales for the quarter were INR 46.3 billion, up 4% year-on-year. That is below our trend line, and I want to explain it properly rather than quickly. This was a decision, not an outcome.

We launched almost nothing on the residential side in the first quarter, except for one new phase in Mumbai of approximately 0.4 million square feet. In a normal quarter, new launches account for roughly about one third of pre-sales, and we effectively removed that one third from this quarter.

In terms of where the Middle East situation stands now, the conflict has not resolved by the end of Q1 as we had assumed. Let me give you an updated assessment rather than just assume that everything is normalized. The demand impact is quite moderate. Middle East NRI buyers represent about 4% to 5% of our sales, roughly a third of our total NRI business, and sentiment there remains subdued.

There is an offsetting dynamic we think that is not yet fully played out. Uncertainty abroad is and will cause NRIs to want to secure a home base in India. We expect to also see the same pattern from U.S. based buyers for immigration-related reasons.

Last year, about INR 350 billion flowed from India into Dubai real estate. A material part of that will now stay in India. On the cost side, our supply chain is about 95%

domestic, so availability

has not been a problem. Energy-intensive input costs have risen. If this situation persists for a full year, we would expect project construction cost to rise by between 1% to 1.5%, with spread across a 3 to 4 year build period and assuming no price response; project level EBITDA impact of between 35 to 75 basis points.

For context, our overall construction cost inflation since April 2022 has run at approximately 3% per annum. Where this leaves us is that a prolonged conflict increases uncertainty, and I will not pretend otherwise. But on the evidence in front of us today, the impact does not look materially negative to our fiscal '27 delivery. If Russia-Ukraine is any guide, this kind of volatility works itself out over the medium term, and we will, of course, keep you updated if that assessment changes.

In terms of the rest of the year, we reaffirm our INR 240 billion pre-sales guidance for fiscal '27, and we expect H1 to be 40% to 42% of the full year, as we had mentioned in the start of the year itself. The balance of the year of the sales will happen in H2. For the full year, the launch calendar carries about 20-plus projects and phases totalling approximately INR 250 billion of GDV, including our first launch in NCR as well as continued growth in Bangalore and Pune. The Mulund-Airoli-Palava Freeway opening, which brings Airoli within a 20-minute drive and Mulund within 25 minutes as well as the Upper Thane connector to Viviana Mall should both be opening after the monsoon and hence, will be supportive of growth in sales in our large land holdings in those locations. In terms of the immediate outlook for Q2, we are off to a good start in July, and we expect pre-sales to be INR 50 billion or more on the back of the planned calendar for this quarter.

Now coming to data centers and our RentCo. The most significant development of the quarter was the entry of Digital Edge India, a joint venture between Digital Edge Singapore and National Infrastructure and Investment Fund into our Green Data Center Park at Palava, joining AWS and STT. The transaction was concluded at approximately INR 420 million per acre. The previous transactions in calendar '25 was at INR 210 million per acre.

So, this is an almost a doubling of value in just less than 12 months. Overall, the value of our land at Palava has risen more than 15x over the last 5 years. Three independent global operators AWS, STT, and now Digital Edge India have reconfirmed that this location is amongst, if not the very best, for setting up greenfield data centers in India and perhaps in Asia. And that shows the long-term strength of what lies ahead of us on the data center side.

As I had mentioned earlier, we hold approximately 660 acres of land in our green data center park with approximately 3 gigs of power availability at about US \$0.06 to US \$0.08 per unit, 5 fiber optic routes, 5 transmission lines and approval under the Maharashtra Green Integrated Data center policy.

Of this, about 130 acres has now been sold, and we expect to monetize a further 150 acres over the next 3 to 4 years at an average of about INR 600 million per acre, generating approximately INR 90 billion of further sales just from Phase 1 of our land. This will fund the build-out of about 1 gigawatt of powered shell on approximately 90 acres, which will generate over INR 20 billion of annual rental income by fiscal '32.

The balance land of approximately 300 acres gives us further optionality for both sale as well as build out on our balance sheet, and we will evaluate the same in due course. I want to underline the capital structure of how we are building out this data center business. The data

center build is largely self-funded from land sales inside the same park. It does not add to group leverage, and it does not compete with our DevCo for capital in any significant manner. On the bro

ader annuity business, o ur exit run rate for June was approximately INR3 billion without any contribution from data centers. The target is over INR30 billion, i.e., 10x by fiscal '32, of which about INR20 billion plus will come from data centers, INR6 billion from retail and offices and about INR4 billion from warehousing and industrial.

These numbers are estimates basis the land that has already been acquired and where development activity is already progressing. It does not take into account any further incremental addition of land, which we expect will provide further upside to the overall rental scale of our business.

The assets that are under development are largely performing ahead of underwriting. We invest in the RentCo at mid-turn returns on equity, assuming appropriate leverage against the rental receipts. At a DevCo level, as I had mentioned earlier, of course, we intend to be effectively debt-free over the next 2 to 3 years.

Let me close the substantive part by restating what we are committing to. Our guidance of about 20% PAT growth over the medium term, taking us beyond INR 85 billion over the next 5 years, i.e., by fiscal '31. Our return on equity, which is currently about 16% in fiscal '26, moving upwards and inching closer towards 20%, though it might not touch 20%.

The DevCo being net debt free within the next 2, 3 years as business development requirements taper against an unsold GDV of approximately INR 2 trillion enough to support growth for the foreseeable future. And net debt to equity always remains below our ceiling of 0.5x. We are at 0.2x today.

Our capital allocation hierarchy is clear and publicly stated, fund opportunities where there is brand fit and execution capacity, about 20% ROCE in DevCo and about 15% in RentCo, a regular dividend at 15% to 20% of PAT, thereafter debt reduction and thereafter, any surplus towards buyback or special dividends.

Our market cap on the development business across the top six cities is just 3.5% in value terms. The runway is not our constraint. Our own discipline is, and this quarter is an illustration of just that, not an exception. One final point, we measure ourselves on two things, both equally valuable, profit after tax and our reputation with customers and employees.

This quarter, we launched the Lodha Theoretical Physics Institute, India's first privately funded institution of its kind, headed by Professor Jainendra Jain, the first physicist of Indian origin to receive the Wolf Prize. And this quarter, we completed the fourth edition of the Lodha Genius program with over 400 students in association with IISER Pune and Ashoka University in NCR. With that, I end my remarks and hand over back to Chintan. Thank you.

Chintan Parikh: Thank you, Abhishek. I hand it over to Prashant for his remarks. Over to you, Prashant.

Prashant Bindal: Hi, everyone. Good afternoon. As Abhishek indicated, we achieved a pre-sales of INR 4,600 crores for the first quarter. More heartening is that our profit for the quarter was best ever at INR 1,373 crores, more than doubling on a Y-on-Y basis.

Let me first share my view on the industry. While this is the fifth year of the cycle, which started in 2021 post COVID, demand on the ground remains solid, especially so for the bigger and the stronger brands. As you would have observed in every other consumer segment, even in housing, consumers clearly are gravitating towards owning a better product and a better brand.

Housing is no longer seen as just the bare necessity of shelter, but a lifestyle-enhancing investment decision. This has led to a significant expansion in the premium and luxury segment in the industry. This quarter was no different with the lion's share of our sales of almost 60% coming from premium and luxury segments.

We remain the trend setter in the luxury segment across multiple locations and not only in South Mumbai, thus con

tinuing to gain market share on a continual basis. The impact of this trend has further accentuated the importance of brand and confidence of the consumer on the organization's ability to deliver on its purpose.

A brand with strong execution focus and ability to straddle across multiple segments will do well in the long run. I also believe that at some point, when the overall macro situation and inflation as well as interest rates are conducive, the middle-income segment will also start to do well.

About the competition in the market, the competition in our market remains rational as it is largely led by consumer affinity towards the stronger and the trusted brands. There is a great desire of the consumers to buy a Lodha property, and we have seen that across the new geographies that we have come in, whether it's been Pune, Bangalore or in MMR, where we

have entered new geographies, the desire of the consumers to buy a Lodha property is very high.

The consolidation in the industry is, I think, the single biggest trend. By some estimates, the contribution of the branded player in MMR market is still sub 30%. It was less than 20% 5 years back, and it has moved to almost 30% by end of '25. But our view is that this number could easily go to 40% to 45% by end of the decade as the weakest players with no brands keep exiting the space.

This will keep the industry structure good for the branded developers like us and very good for the consumers because the consumer's basic expectation is a great quality product, product on time and great services. And for that, you need resources, you need experience, you need expertise and you need that operational strength. And I think Lodha as a developer will provide everything on that regard.

As far as the Lodha development business performance is concerned, as Abhishek pointed out, the biggest strength of our business is balance. The balance is how much business are you going to get from your existing products and how much business from the new launches. We have always kept that balance in the range that 70% of the business, 65% to 70% coming from the existing projects and 30% to 35% coming from the new launches. And also, we try to keep balance between the geographies as well as the categories of the business.

What this ensures for our business is consistency and in absolute consistent that, that is what we have given over the last 5 years. So typically, 30% to 35%, as I said, of the pre-sales is driven by new launches. But in this quarter, we have had no such launches. And despite that, we delivered a business in line with the business plan and has been driven mainly from sustenance sales coming all from the existing business.

Most of the new launches will be happening in the second half of the year, coinciding with the festive season. We have one launch that has happened in the month of July in Bangalore and the kind of the first good results that we are getting there are extremely encouraging. And that reinforces our confidence in the structure that we have built on sustenance business as well as the new launches.

We have one more launch coming up in Bangalore, 2 in Pune, and we'll also be entering the NCR and 2 launch in MMR. And we are very confident that with the confidence that the sustenance as well as the new launches will take us to the yearly goals.

One of the biggest strengths of ours, which is less understood is our ability to innovate and being the first to bring in new products in the market. For example, we clearly identified a gap in the commercial market in the grade A development for the for-sale product. We brought in our commercial for sale product in Worli, which last year, which was hugely successful and continues to drive strong sales.

We are similarly also innovating new product categories within our existing projects. We are going to see multiple new project launches at Palava

as well as other locations within MMR

and other cities. Even in Bangalore, where we did the new launch, we went ahead of the market curve and introduced the product at a price point, which was almost 30% higher than the existing price points available. But the consumers have clearly given us a huge confidence by really accepting the product.

So just to sum up, in the first half, as Abhishek said that we will achieve 40% to 42% of our guidance of the pre-sales and the remaining in the second half. So, if we see our basic strength is focus on profitability. Our portfolio across mid-income, premium and luxury segments are now well balanced with mid-income, which is anything below INR 3 crores, is now about 50% and remaining coming from premium and luxury segments. This diversity and across the cities and categories help us taper over any volatility presented by other factors such as conflicts in Middle East or impact of high inflation and interest rates on entry-level homebuyers.

While pre-sales remain one of the key KPI for us, the biggest KPI is the profitability and delivery of the PAT. With the brand strength even strengthening even more, pricing power continues to enhance even in the newer markets. In the near term, we expect to enhance our pricing by 5% to 7% across different micro markets over the year.

This sort of pricing growth, which is still below the white-collar salary growth of 9% to 10%, keeps the affordability intact and helps in boosting the volumes. On the strength of our brand, we have the lever to further take the price growth up by at least 100 to 200 bps, which will straightaway give us confidence in the margins.

Our new markets are now performing very well with Bangalore now entering the growth phase. We are also starting the operating in the NCR. With this, we would have four cities, which will be contributing to our pre-sales into '26, '27. While MMR will remain a dominant home base, new cities together will start contributing over 30% to 45% of our pre-sales in the medium term, which makes our portfolio even more balanced.

The other positive thing that we have seen is that the conversion number, which we are seeing,

especially from quarter 2 from July onwards is in upwards of 8% and above. And that is a very positive sign for us. And we believe that in long run, we hope to reach the holy grail of 10%. And once we reach the 10% mark, the kind of advantage it gives in velocity and more importantly, in margins will be very significant.

To sum up, we remain fairly confident for delivering our guidance for the year. We have built a very granular plan, which enables us to achieve the guidance and with the right margin delivery.

With this, I hand over back to Chintan. Thank you, Chintan.

Chintan Parikh: Thank you, Prashant. Rayo, we can open the floor for Q&A.

Moderator: We have the first question from Pritesh Sheth from Axis Capital.

Pritesh Sheth: A couple of questions on the data center side. Firstly, just wanted to understand the value of the land sale that we did this quarter. And I'm assuming everything would have been recognized in revenue as well. And what kind of margins we are reporting for those land sales?

That's my first question.

Abhishek Lodha: Pritesh, in terms of the value of land sales for this quarter, the total, including the data center and some other sources of land sales was approximately INR 1,200 crores of pre-sales. Out of that, the revenue recognition is not 100% because there are certain activities that we need to complete for the buyers at the site.

So, to that extent, the revenue recognition has been at about 85% to 90% of that number. And in terms of the contribution to PAT from the land sale, that is approximately about INR 600 crores.

Pritesh Sheth: Got it. Contribution to PAT, INR 600 crores. Okay. And just a follow-up. So, 660 acres, everything falls under that MOU,

which we have with Maharashtra government or for now, it's just 400 acres and then we can expand to 660 acres?

Abhishek Lodha: The 660 acres is now part of the green data center, which is approved by the government of Maharashtra.

Pritesh Sheth: Okay. Awesome. And just on the rentals part, right? I think earlier, we had an estimate of INR 30 billion rentals coming from the power shell that we are targeting. In the presentation, now I see INR 20 billion plus kind of a number. Is it just a conservative estimate? Or this is something which is now revised downwards based on the transactions that we are seeing on the market? Or how should we think about it?

Abhishek Lodha: Pritesh, there may be some gap in understanding. There's been no change in our numbers. So, we had suggested that our rentals would be growing by 10x from the INR 3 billion level at the end of fiscal '26 to INR 30 billion at the end of fiscal '32. Of that, the contribution was from all the 3 verticals, i.e., data centers, retail and office and warehousing and industrial. And that same breakup continues. The current numbers are definitely, in our opinion, have some upside potential to it, but these are our current projections.

Pritesh Sheth: Sure. Got it. So, for data center powered shell, it would be INR 20 million per megawatt kind of annual rentals that one should expect, right?

Abhishek Lodha: Yes, a little over INR 20 million, yes.

Moderator: The next question is from Abhinav Sinha from Jefferies.

Abhinav Sinha: Good to see the strong P&L numbers that we have this time. Just a couple of questions on data center bit. So firstly, on the incremental size that we have allocated for the business, where are we on power availability? And what are you expecting on the demand side, which has prompted this big jump?

Abhishek Lodha: The demand environment for data centers continues to strengthen. We have to note that this is not demand which is national or regional. This is global demand. And as data center operators look to locate their sites, they will look at Virginia, they will look at Scandinavia, they will look at Johor and they will look at India.

So therefore, from an Indian perspective, it's important to note that this is not about competition within India, but it is about how India can position itself and gain share at a global level. Given India's very critical competitive advantages, primarily in terms of time because from breaking ground to getting a data center operational in India can be done in under 3 years compared to 4.5, 5 years in the West as well as in terms of cost where the cost of building power shell as well as turnkey shell in India is almost half of that in the West.

Plus, the fact that the government in India is very proactive, both at the state levels and equally and more importantly, at the central level as we saw with the tax exemption granted for data center operators where the usage is outside India. So, with all these factors in place, India is emerging as a strong location.

The reason for the expansion of our park, we believe that the park has created immense credibility given that 3 top operators, AWS Amazon, STT, which is Temasek and KKR subsidiary; and now Digital Edge India, which is a joint venture between Digital Edge Singapore and NIIF, which is 49% owned by the Government of India, funded by the Government of India.

These are all evidences of how important this part is to the global ecosystem. We now expect to further scale up our efforts to do development of clientele in the U.S., which is where most of the demand is likely to be eventually catered and coming from and hope that we can further increase capacity. We think that in this segment, capacity attracts demand, and that's really our direction of play. And so far, that's played out reasonably well. We also are making good progress towards the leasing of the first of our boxes, which

will be held on our balance sheet.

And we hope that in the course of this fiscal year, that will also come to fruition.

Your last point in terms of incremental power, that's an activity which we continue to work on. And we'll, of course, update as and when those further get fructified. But I would like to conclude by stating that the positive mindset of the government and the regulators is very supportive of expanding India's data center capacity and our park in Navi Mumbai/Palava is a key part of India's budding ecosystem in data centers.

Abhinav Sinha: That's very helpful, sir. Second question on Palava bit. There seem to be some uplift in sales in the current quarter and Mr. Bindal also hinting at better outcome there during the year. So, what do you see as, let's say, the launch timeline of the premium inventory there? And can we see big price uplift this year or maybe that can take another odd year?

Abhishek Lodha: Abhinav, we expect that the connectivity, which is ready, physically ready will open after the monsoon. And if that happens, then of course, we expect to see that it will lead to much greater and improved connectivity to the location from Airoli as well as Mulund. This will not only unlock the higher categories within residential. And therefore, we can count on that starting to surface from the fourth quarter, though I would say meaningful impact might not be visible in the numbers till early next fiscal.

But this will also start unlocking the LandCo side because as this connectivity comes through and as we know that next year on 15th August, the bullet train is going to start operations on a part of its leg, not to Palava, but on a part of its leg. And with both of those things, the LandCo, which is about selling the land that we have surplus for noncompeting uses, for example, affordable housing or back office, that will also benefit from this connectivity. So, I would say is that calendar year 2027 is when we see a significant impact.

Moderator: Next question is from Kunal Lakhan from CLSA.

Kunal Lakhan: My first question is on the pre-sales guidance. We maintained that guidance. And does that factor in the sustained impact of the Middle East war on the NRI demand? And if say, hypothetically, if the war ends, is there an upside potential to this guidance?

Abhishek Lodha: This question is something which is very difficult for us to form a view on because when will the war end, what will be the nature "of the end"? And how will that impact demand? I think as I mentioned in my remarks, so far, what we see is that the impact is contained. The duration has extended beyond what we assume, but we don't yet, given the other strengths, I expect that in spite of that, we will maintain our pre-sales guidance. And let's review it once it actually ends and what that nature of the end is. Thank you.

Kunal Lakhan: Just on the data center bit, when do you expect the leasing activity for the data center to commence? And what kind of demand are you forecasting in terms of like it will be like simple racks/cabinet demand or it will be more, so to speak, like hosting the servers and the end-to-end build-to-suit kind of demand. So, what kind of demand you are expecting there?

Abhishek Lodha: In terms of leasing, as I mentioned in my response to Abhinav and now, we expect that the leasing for the first of the boxes within that 1 gig of power shell that we intend to build will conclude in this fiscal year. We are in talks with a couple of large operators for that and hope that there will be good progress over the next 6 to 9 months. As we have laid out earlier, our current strategy is to move from the sale of land to in addition, building powered shell. That means that we build the physical box and enable the power up to one point in the box. The activities after that, which is the MEP and HVAC, which takes it from powered shell to turn

key shell. And thereafter, in the turnkey shell, the fit out of the racks and the chips, those are not within our purview of focus right now because we don't really believe we yet have the technical competence for that. Over time, we might move from power shell to turnkey shell, but that's at least a couple of years out.

So as of now, it's only powered shell and then the operators, the hyperscalers, the Neoclouds, the colocation players, they take it further from here and then they add various layers of value. So, we are really looking at it from a very wholesale perspective at this stage. We are not in the business right now of a business model of putting in the chips and the racks, which is highly capital intensive and also at risk of technological obsolescence as well as depreciation risk. We are not in that part of the business.

Kunal Lakhan: Understood. And just the last one. On the data center bit again, similar to the committed supply

of, say, 3 gigawatts on the electricity side that we have from state as well as National Grid, do we also have a commitment on the water supply side, especially considering the usual pressure on water resources that we have?

Abhishek Lodha: I think it's important to understand that water consumption in data centers does not use any freshwater. There is 0 planned utilization of any freshwater in our green data center park. The reason it's referred to as a green data center park is because it will operate at amongst the highest levels of sustainable data centers anywhere in the world. And the water that will be used will be all recycled water. The Mumbai region, the MMR as a whole generates about 3,500 MLD. I'll repeat that number, 3,500 MLD of recycled water, which is generally thrown out into the sea.

Now with the build-out of infrastructure and under the leadership of the Honorable Chief Minister and his long-term vision, a large part of this water rather than being thrown into the sea will become a revenue source for the municipal corporations and municipal councils by being redirected for usage at the data centers. So again, I repeat, there is 0 usage of fresh water at any of the green data center parks, and it is about utilizing the water, which would otherwise be thrown out -- the recycled water, which would otherwise be thrown out into the sea.

If that 3,500 MLD was to be effectively used, Mumbai could probably support upwards of 40 gigawatts of data centers. But obviously, that's a long, long story, and we are not aware as to when that will happen. But yes, we do have good availability of recycled water from the industrial areas around where our data center park is located. And again, I repeat, there will be our data center park will only use recycled water, which would otherwise be thrown out into the sea and not use any freshwater.

Moderator: The next question is from Akash Gupta from Nomura.

Akash Gupta: Congratulations on a great set of numbers. So, my first question is with respect to your Palava land parcel. Right now, what I understand is out of 4,000 acres, you have allocated roughly 600 acres towards the data center. My question is, is there a change in strategy for the Palava land parcel where we move primarily from residential to more towards data centers eventually where this mix, which is currently at probably 15% eventually moves to 20%, 25%? Or is there a constraining factor where this type of story can never happen?

Abhishek Lodha: I think we would all agree that many of you have been tracking our company for long that 2 years ago, data center was virtually 0. Hence, what it really tells you is that our land at Palava and Upper Thane is hugely valuable because this kind of large aggregated land in touching the Navi Mumbai and Thane is hugely valuable and rare, and it can be used to put to various uses. So far, we've developed more than 1,000 acres for residential and related uses. And as y

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now mentioned, there is about 600 acres earmarked for data centers. We still have significant amount of land other than what's been earmarked for these 2 in the order of plus 1,000 acres, which is yet to be earmarked for any use. And therefore, can be allocated to whatever use makes most sense, including based on market demand factors and so on.

Now on the residential side, as the connectivity to Airoli and Mulund concludes after the monsoon this year. And over the next 2 to 3 years, as the bullet train comes through, we expect a significant upside in the residential demand as well as the price points. Further, we expect that the LandCo that we are now slowly getting into shape will from fiscal '28 start showing that the land in Palava can be used for other noncompeting uses at similar price points, about INR 500 million per acre, things like back office, things like affordable housing and so on. So, there are various uses of this land, including, of course, the fact that the data center is now at about 600-plus acres.

Moderator: The next question is from Gaurav Khandelwal from JP Morgan.

Gaurav Khandelwal: I just have one question. I know that our focus metrics have evolved, but could we get some sense on how are the embedded margins this quarter, excluding the land sales?

Abhishek Lodha: The embedded margins excluding the land sales for this quarter are at around the early 30s mark.

Gaurav Khandelwal: Got it. So, this is still within the guidance range of 32% to 34%, which we had guided for this year?

Abhishek Lodha: That's correct. Of course, the margins for what we guided to are the margins for the company. We don't guide to margins by any segment. So obviously, there is outperformance this quarter where the margins are much higher, but that's got to do with the fact that we've done in this quarter approximately half of the land sales that we would expect to do in the year. So that sort of forward loading has moved the margins up. So, I would not change or expect that our margins will be in the 40s for the full year. Our guidance of the early 30s stands.

Gaurav Khandelwal: Got it. And just a follow-up question on the land sales. Are you having any discussions? How does the pipeline for land sales look for the rest of the year?

Abhishek Lodha: I think as I mentioned, the data center piece is gathering a lot of momentum. The demand is strong. And without revealing competitive information, I can only say is that there is more demand than we can currently supply.

Moderator: The next question is from Parikshit Kandpal from HDFC Securities.

Parikshit Kandpal: Congratulations on the land deal. My first question is whenever you sell a land, say, 1-acre land to a data center client, so how much capex do you need to incur on that on a cash flow basis? I mean you did tell you made 40% margin. So, I just want to understand how much cash flows that would result in?

Abhishek Lodha: I'll defer that question to Sushil to respond to, please.

Sushil Kumar Modi: So basically, from a cash flow standpoint, effectively most of the sales price adjusted with the tax effectively gets to the cash flow on the net basis.

Parikshit Kandpal: But do you need to incur any capex while selling this land to say, data center client? So, you have a historical land cost. And on top of it, you need to provide a minimum basic infra, some connectivity, some plug-and-play kind of infra. So typically, if you have an RFQ for, say, 100 acres or say, 1 acre, how much typical capex would go on a per acre basis to realize the INR 42 crores on that land?

Sushil Kumar Modi: Parikshit, yes, you are right. Obviously, when we look at the overall infrastructure, we are not looking at the infrastructure for any specific particular box. That is more for the entire 3 gigawatt as of now that we are developing. And to that extent, yes, we would have certain expense, certain capex to

be incurred, but those are in the bigger scheme of things are not too material, but yes, let's say, a number of more like INR 500 crores to INR 700-odd crores that we will incur over a period.

Parikshit Kandpal: Okay. Second question to Abhishek. Abhishek, you have already sold land to AWS, STT and now Digital Edge. So, has some work started there? And a related question, so when we also start building out our data center over the course of next 2, 3 years, so will we compete with these players? How will it work? Just wanted to understand that.

Abhishek Lodha: In terms of whether work has started, yes, several of the players have completed their design and tendered their works and have obtained their approvals and some of them have commenced physical activity at site. In terms of we also expect for our own box to start physical activity on site in the course of this calendar year. In terms of competing, I think it's important to note that the powered shell solution that we provide is not provided by any of the other players.

So, neither the co-lo players nor the hyperscalers look at providing the solution of powered shell. So, I think what we are doing through our action of providing both land as well as powered shell solution is expanding the market because we are giving solutions which currently are not available from any other solution provider.

Parikshit Kandpal: Okay. Sir, last question on the key markets on the residential side. If you can help us understand, I mean, how is Bangalore behaving? What's your initial view on NCR? Even in MMR, especially on the luxury side, have you seen any improvement on the luxury sentiment? I think last quarter, we had some fall-through sales because of the geopolitical. Have you seen the demand coming back now? Any sense on that?

Abhishek Lodha: Yes. I think in MMR, the impact of the start of the Middle East crisis that has abated. So, we've gone back to a normalized behavioural pattern in terms of the closure of high-value sales. Bangalore is shaping quite well. We had, as Prashant mentioned, the launch this quarter, and that's started off very well, ahead of our expectations. So that's shaping well. NCR, of course, we will have a launch in the second half of this fiscal year, and we'll see how that goes. This is how things have evolved for us in Pune and Bangalore remain cautiously optimistic.

Moderator: The next question is from Biplab from Emkay Global.

Biplab: My first question is on the data center, 660 acres that we have earmarked. How much capacity do you think that can be developed ultimately on the 660 acres? And for that full build-out, how much power requirement would be needed?

Abhishek Lodha: The answer really is evolving because technology continues to evolve quite rapidly. The power density of land has changed quite significantly and currently runs at somewhere between 11 megawatts to 15 megawatts per acre. So that's really the number right now. But what it will be in 2 years or 4 years' time is very difficult to know because obviously, power density seems to be moving upwards.

Biplab: So how much power tie-up do you have currently?

Abhishek Lodha: We currently have tie-up for 3 gigawatts.

Biplab: So, 3 gigawatts data center, we can build without any new tie-up that is.

Abhishek Lodha: That's correct.

Biplab: Okay. And second question is on the overall competitive advantage. You and other players are also getting aggressively into data center. So just trying to understand what is the competitive

advantage for a player like you? Is it primarily access to large contiguous land parcels and tie-up to power? So, suppose if some developer hypothetically, he has both a lot of land parcel in Navi Mumbai or Delhi and also has a power tie-up. Do you think they can also become a competition?

Abhishek Lodha: Yes. So, I think the primary requirements for this business are land, c

ontiguous land, power

and water, recycled water. And now as the business starts moving towards, I would say, a level of growing up/maturing, it depends on the ecosystem, who's already present there, what is the infrastructure which has already been built out and the relationships that one has with the various capacity builders.

So, it's a business where others can, of course, try to compete, but we believe that there is a clear competitive advantage that we have because we've been on this for several years and have built an ecosystem as well as deep relationships in addition to, of course, the physical infrastructure that you already highlighted.

Moderator: The next question is from Jatin from Bank of America.

Kunal: This is Kunal. Abhishek, continuing on the previous topic, just wanting to better appreciate the doubling of land price point in 12 months. So how much of this would be coming from the fact that as demand for data center land goes up, the market itself has risen? And what component comes from the fact that you're able to offer something unique in the land parcels that you own?

Abhishek Lodha: Kunal, I think it's important to note that the early price points that we offered were really to create the location. So, I would say that those price points were below market, and that was really the cost of creating the location and establishing the ecosystem.

Having now incurred that cost in the earlier transactions, we are moving more towards market price. We think fair market price is closer to about INR 650 million per acre. And we hope that over the next 18 months, we can reach that level.

In terms of value addition, as Sushil highlighted, we obviously incur a modest amount of cost, perhaps about 10% to 15% of the sales price at the current level of about INR 420 million per acre towards building out some infrastructure and making the land ready for them to start construction soon. So, there is a variety of things which goes into it. But yes, I would say is that the fair market value of the land that we have is more like INR 650 million per acre.

Kunal: Got that. And then just a quick follow-up. I heard you on the commitment or the access to 3 gigawatt of power that you already have. But we also hear that data center also needs access to power for long durations. So, would you be signing up contracts with the power agencies for, let's say, a 10- to 15-year contract? Or would it be like in short burst and then there might be the risk of price increase beyond that?

Abhishek Lodha: I think the fact, Kunal, is that these are all rapidly evolving fields, and we continue to work with experts and build out our own internal capabilities around that. We also work very closely with our clients who are actually the ultimate consumers of the power. So, we will be looking at all of those, but it's not that we are the consumers. So, the consumers are the end occupiers of the spaces. So, we work closely with their strategy.

Moderator: We'll take that as the last question. I would now like to hand the conference over to Mr. Anand Kumar for closing comments.

Anand Kumar: Thank you, everyone. I hope all the questions were answered. In case you have any more queries, please reach out to either me or Chintan in the IR team. Thank you.

Moderator: Thank you very much. On behalf of Lodha Developers Limited, that concludes this conference. Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines.